

In the opinion of Norton Rose Fulbright US LLP, Los Angeles, California under existing statutes, regulations, rulings and court decisions, and assuming compliance with the tax covenants described herein, interest on the 2016 Bonds is excluded pursuant to section 103(a) of the Internal Revenue Code of 1986 from the gross income of the owners thereof for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax. It is also the opinion of Bond Counsel that under existing law interest on the 2016 Bonds is exempt from personal income taxes of the State of California. See “TAX MATTERS” herein.



\$34,445,000
CALIFORNIA MUNICIPAL FINANCE AUTHORITY
SEWER TREATMENT REVENUE BONDS, SERIES 2016
(CITY OF SAN BERNARDINO SEWER FACILITIES PROJECT)

Dated: Date of Delivery**Due: August 1, as shown on the inside cover**

The \$34,445,000 aggregate principal amount of California Municipal Finance Authority Sewer Treatment Revenue Bonds, Series 2016 (City of San Bernardino Sewer Facilities Project) (the “2016 Bonds”) are being issued by the California Municipal Finance Authority (the “Authority”) pursuant to Articles 1 through 4 (commencing with Section 6500) of Chapter 5 of Division 7 of Title 1 of the Government Code of the State of California (the “JPA Act”) and an Indenture of Trust, dated as of December 1, 2016 (the “Indenture”), by and between the Authority and U.S. Bank National Association, as trustee (the “Trustee”). The proceeds of the 2016 Bonds will be used to (i) finance the acquisition and construction of additional capital improvements to the sewer treatment utility (the “Project”) of the City of San Bernardino Municipal Water Department (the “Department”); (ii) purchase a Municipal Bond Debt Service Reserve Insurance Policy in satisfaction of the Reserve Requirement (each as defined herein) for the 2016 Bonds; and (iii) pay the costs of issuance of the 2016 Bonds. See “PLAN OF FINANCE.” Capitalized terms used on this cover page and not otherwise defined shall have the meanings ascribed to them elsewhere in this Official Statement. See in particular APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – INDENTURE” and “– INSTALLMENT PURCHASE AGREEMENT.”

The 2016 Bonds are special obligations of the Authority payable solely from and secured by Project Revenues which consist of 2016 Purchase Payments (as defined herein) to be made by the Department, on behalf of the City of San Bernardino, California (the “City”), to the Authority under the Installment Purchase Agreement (as defined herein), and certain other moneys and securities held by the Trustee as provided in the Indenture. The 2016 Purchase Payments will be payable from and secured by a pledge of and lien on Net Revenues of the Sewer Treatment Fund (each as defined herein). As provided in the Installment Purchase Agreement, the City will irrevocably pledge all Net Revenues to the payment of the 2016 Purchase Payments and Additional Purchase Payments. See “SECURITY AND SOURCES OF PAYMENT FOR THE 2016 BONDS” and APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – INSTALLMENT PURCHASE AGREEMENT.”

The 2016 Bonds will accrue interest from their date of delivery, and interest thereon will be payable on February 1 and August 1 of each year, commencing on February 1, 2017. The 2016 Bonds will bear interest at the respective rates set forth on the inside cover page hereof. See “DESCRIPTION OF THE 2016 BONDS – General.”

The 2016 Bonds will be issued only in fully-registered form in denominations of \$5,000 and any integral multiple thereof and, when issued, will be registered in the name of Cede & Co., as the nominee of The Depository Trust Company, New York, New York (“DTC”). DTC will act as securities depository for the 2016 Bonds. Ownership interests in the 2016 Bonds may be purchased in book-entry form only. So long as DTC or its nominee is the Owner of the 2016 Bonds, the principal, the redemption premium, if any, and interest on the 2016 Bonds will be made as described in APPENDIX F – “INFORMATION REGARDING THE BOOK-ENTRY ONLY SYSTEM.”

The 2016 Bonds are subject to optional and mandatory sinking fund redemption as described herein. See “DESCRIPTION OF THE 2016 BONDS – Redemption of 2016 Bonds.”

The City is the debtor in an ongoing Chapter 9 bankruptcy case (“chapter 9”) pending in the United States Bankruptcy Court for the Central District of California. The City believes that the chapter 9 proceedings will not adversely impact the issuance or timely repayment of the 2016 Bonds, however, see “INTRODUCTION – Effect of City Chapter 9 Filing” and “RISK FACTORS – Effect of City of San Bernardino Bankruptcy Case.”

The scheduled payment of principal of and interest on the 2016 Bonds when due will be guaranteed under an insurance policy to be issued concurrently with the delivery of the 2016 Bonds by ASSURED GUARANTY MUNICIPAL CORP.



THE 2016 BONDS ARE SPECIAL OBLIGATIONS OF THE AUTHORITY PAYABLE SOLELY FROM AND SECURED SOLELY BY THE PROJECT REVENUES PLEDGED THEREFOR AND CERTAIN OTHER MONEYS AND SECURITIES HELD BY THE TRUSTEE AS PROVIDED IN THE INDENTURE. THE OBLIGATION OF THE CITY TO MAKE 2016 PURCHASE PAYMENTS UNDER THE INSTALLMENT PURCHASE AGREEMENT DOES NOT CONSTITUTE AN OBLIGATION OF THE CITY FOR WHICH THE CITY IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE CITY HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. NEITHER THE FULL FAITH AND CREDIT OF THE AUTHORITY, THE CITY, THE COUNTY OF SAN BERNARDINO (THE “COUNTY”), THE STATE OF CALIFORNIA (THE “STATE”), OR ANY POLITICAL SUBDIVISION OF THE STATE NOR THE TAXING POWER OF THE CITY, THE COUNTY, THE STATE, OR ANY POLITICAL SUBDIVISION OF THE STATE IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL OF OR INTEREST ON THE 2016 BONDS. THE AUTHORITY HAS NO TAXING POWER. NEITHER THE 2016 BONDS NOR THE OBLIGATION OF THE CITY TO MAKE 2016 PURCHASE PAYMENTS CONSTITUTES AN INDEBTEDNESS OF THE AUTHORITY, THE CITY, THE COUNTY, THE STATE, OR ANY POLITICAL SUBDIVISION OF THE STATE WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

This cover page contains information for general reference only. Potential purchasers must read the entire Official Statement to obtain information essential to making an informed investment decision.

The 2016 Bonds are offered when, as, and if delivered to and received by the Underwriter, subject to the approval of legality by Norton Rose Fulbright US LLP, Los Angeles, California, acting as Bond Counsel to the Authority. Certain legal matters will be passed upon for the Authority by Jones Hall, A Professional Law Corporation, San Francisco, California, for the City by the City Attorney, and for the City by Orrick, Herrington & Sutcliffe LLP as Disclosure Counsel. Orrick, Herrington & Sutcliffe LLP is also serving as counsel to the Underwriter. It is anticipated that the 2016 Bonds will be available for delivery through the book-entry facilities of DTC in New York, New York on or about December 28, 2016.

RAYMOND JAMES®

MATURITY SCHEDULE

CALIFORNIA MUNICIPAL FINANCE AUTHORITY
SEWER TREATMENT REVENUE BONDS, SERIES 2016
(CITY OF SAN BERNARDINO SEWER FACILITIES PROJECT)

Base CUSIP No.[†] 13050T

\$14,510,000 Serial Bonds

Maturity Date (August 1)	Principal Amount	Interest Rate	Yield	CUSIP[†]
2017	\$ 590,000	3.000%	1.000%	AA6
2018	610,000	4.000	1.380	AB4
2019	635,000	4.000	1.730	AC2
2020	665,000	5.000	2.020	AD0
2021	700,000	5.000	2.250	AE8
2022	735,000	5.000	2.430	AF5
2023	770,000	5.000	2.590	AG3
2024	810,000	5.000	2.750	AH1
2025	855,000	5.000	2.880	AJ7
2026	895,000	5.000	3.000	AK4
2027	935,000	3.000	3.240	AL2
2028	965,000	3.125	3.420	AM0
2029	995,000	3.375	3.600	AN8
2030	1,030,000	3.500	3.750	AP3
2031	1,065,000	3.625	3.820	AQ1
2032	1,105,000	3.625	3.875	AR9
2033	1,150,000	3.750	3.950	AS7

\$2,435,000 4.00% Term Bonds due August 1, 2035 - Yield: 4.060% CUSIP No.[†] AU2

\$2,635,000 4.00% Term Bonds due August 1, 2037 - Yield: 4.110% CUSIP No.[†] AW8

\$5,950,000 4.00% Term Bonds due August 1, 2041 - Yield: 4.150% CUSIP No.[†] BA5

\$8,915,000 4.00% Term Bonds due August 1, 2046 - Yield: 4.180% CUSIP No.[†] BF4

[†] CUSIP® is a registered trademark of the American Bankers Association. CUSIP Global Services (CGS) is managed on behalf of the American Bankers Association by S&P Capital IQ. Copyright(c) 2016 CUSIP Global Services. All rights reserved. CUSIP® data herein is provided by CUSIP Global Services. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP® numbers are provided for convenience of reference only. None of the City, the Department, the Authority, the Underwriter or their agents or counsel assume responsibility for the accuracy of such numbers.

No dealer, broker, salesperson, or other person has been authorized by the City, the Department or the Authority to give any information or to make any representations other than those contained herein and, if given or made, such other information or representations must not be relied upon as having been authorized by the City, the Department or the Authority. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the 2016 Bonds by a person in any jurisdiction in which it is unlawful for such person to make an offer, solicitation, or sale.

This Official Statement is not a contract with the purchasers of the 2016 Bonds. Statements contained in this Official Statement that involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as a representation of facts.

The information set forth herein has been furnished by the Department and by other sources that are believed to be reliable. The Underwriter has provided the following sentence for inclusion in this Official Statement. The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibility to investors under the federal securities law as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

The information and expressions of opinion herein are subject to change without notice and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the City, the Department, the Authority, or any other parties described herein since the date hereof. All summaries of the 2016 Bonds, the Indenture, the Installment Purchase Agreement, and other documents summarized herein are made subject to the provisions of such documents respectively and do not purport to be complete statements of any or all of such provisions.

This Official Statement is submitted in connection with the issuance of the 2016 Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

THE 2016 BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, IN RELIANCE UPON AN EXEMPTION CONTAINED IN SUCH ACT. THE 2016 BONDS HAVE NOT BEEN REGISTERED OR QUALIFIED UNDER THE SECURITIES LAWS OF ANY STATE.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE 2016 BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITER MAY OFFER AND SELL THE 2016 BONDS TO CERTAIN DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENT AT PRICES LOWER THAN THE PUBLIC OFFERING PRICE STATED ON THE INSIDE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICE MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITER.

Assured Guaranty Municipal Corp. ("AGM") makes no representation regarding the 2016 Bonds or the advisability of investing in the 2016 Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading "Bond Insurance" and APPENDIX H – "FORM OF MUNICIPAL BOND INSURANCE POLICY."

The City and the Authority each maintain a website. However, the information presented at such websites is not part of this Official Statement, is not incorporated by reference herein, and must not be relied upon in making an investment decision with respect to the 2016 Bonds.

CALIFORNIA MUNICIPAL FINANCE AUTHORITY

Board of Directors

Robert Adams
Paula Connors
Justin McCarthy
Deborah Moreno
Faye K. Watanabe

CITY OF SAN BERNARDINO

Elected Officials

R. Carey Davis, *Mayor*
Virginia Marquez, *Councilmember*
Benito J. Barrios, *Councilmember*
John Valdivia, *Mayor Pro Tempore*
Fred Shorett, *Councilmember*
Henry Nickel, *Councilmember*
Bessine L. Richard, *Councilmember*
James Mulvihill, *Councilmember*
David C. Kennedy, *Treasurer*
Georgeann “Gigi” Hanna, *City Clerk*
Gary D. Saenz, *City Attorney*

Board of Water Commissioners

Toni Callicott, *President*
Judith Valles, *Vice President*
Wayne Hendrix, *Commissioner*
Louis A. Fernandez, *Commissioner*
David E. Mlynarski, *Commissioner*

City of San Bernardino Municipal Water Department Management

Stacey R. Aldstadt – *General Manager*
Robin L. Ohama – *Deputy General Manager*
Miguel Guerrero, PE – *Director of Water Utility*
John A. Claus – *Director of Water Reclamation (Sewer Treatment Enterprise)*
Terri Willoughby – *Director of Finance*
Jennifer L. Shepardson – *Director of Environmental Regulatory Compliance*

SPECIAL SERVICES

Bond Counsel

Norton Rose Fulbright US LLP
Los Angeles, California

Municipal Advisor

Urban Futures, Inc.
Orange, California

Disclosure Counsel

Orrick, Herrington & Sutcliffe LLP
Los Angeles, California

Trustee

U.S. Bank National Association
Los Angeles, California

TABLE OF CONTENTS

	Page
INTRODUCTION	1
PLAN OF FINANCE	8
ESTIMATED SOURCES AND USES OF FUNDS	10
DESCRIPTION OF THE 2016 BONDS	10
General	10
Redemption of 2016 Bonds	11
SECURITY AND SOURCES OF PAYMENT FOR THE 2016 BONDS	14
Pledges of Project Revenues and Net Revenues	14
The Sewer Treatment Fund	16
Reserve Fund	18
Sewer Treatment Rate Stabilization Fund	19
Investments	20
Rate Covenant	20
Covenant to Budget	20
Issuance of Additional Obligations Under the Installment Purchase Agreement	20
Issuance of Additional Bonds Under the Indenture	21
DEBT SERVICE SCHEDULE	23
BOND INSURANCE	23
Bond Insurance Policy	23
Assured Guaranty Municipal Corp.	24
THE SEWER TREATMENT ENTERPRISE	26
General	26
Management	29
Employees	30
Operations, Service Area and Principal Customers	31
Contracts with Other Agencies	34
Customers	36
Establishment of Sewer Service Charges	37
Example Monthly Sewer Bill Comparison	43
Billing and Collection Procedures	44
Basis of Budget and Accounting	45
Investment of Funds	45
Reserve Policy; Sewer Treatment Fund	46
Capital Improvement Plan	47
Anticipated Additional Obligations; Financing Plan for the Sewer Treatment Enterprise CIP	49
Environmental Compliance	50
Historic Operating Results	50
Financial Projections	55
Management’s Discussion and Analysis	56
Outstanding Indebtedness	57
Employees’ Retirement Benefits	57
Other Post-Employment Healthcare Benefits	61
Insurance for the Sewer Treatment Enterprise	63
SEWER TREATMENT ENTERPRISE REGULATORY REQUIREMENTS	64
General	64
State Regulations	64
Proposed Regulations	64
THE AUTHORITY	64
RISK FACTORS	65
Special Obligations	65

TABLE OF CONTENTS

(continued)

	Page
Sewer Treatment Enterprise Demand	66
Sewer Treatment Enterprise Expenses and Collections	66
Constitutional Limit on Fees and Charges	67
Rate-Setting Process Under Proposition 218	67
Limitations on Remedies	68
Effect of City of San Bernardino Bankruptcy Case	68
Natural Disasters	71
Statutory and Regulatory Compliance	73
Dam Safety	74
Future Legislation	74
Potential Impact of Climatic Change	74
Uncertainties of Projections, Forecasts and Assumptions	75
Clean Water Factory	75
Absence of Secondary Market for the 2016 Bonds	76
Loss of Tax Exemption on 2016 Bonds	76
Economic, Political, Social, and Environmental Conditions	76
 CONSTITUTIONAL LIMITATIONS ON TAXES AND SEWER TREATMENT RATES AND	
CHARGES	76
Article XIII A	76
Article XIII B	77
Article XIII C	77
Article XIII D	78
Proposition 26	79
Initiative, Referendum and Charter Amendments	80
TAX MATTERS	80
Tax Exemption	80
Tax Accounting Treatment of Bond Premium and Original Issue Discount	81
Other Tax Consequences	82
CONTINUING DISCLOSURE	83
LITIGATION	85
The Authority	85
The City and the Sewer Treatment Enterprise	85
CERTAIN LEGAL MATTERS	86
MUNICIPAL ADVISOR	86
RATINGS	87
UNDERWRITING	87
FINANCIAL STATEMENTS	87
MISCELLANEOUS	88
 APPENDIX A – ECONOMIC AND DEMOGRAPHIC INFORMATION FOR THE CITY OF SAN	
BERNARDINO AND SAN BERNARDINO COUNTY	A-1
 APPENDIX B – COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR	
THE FISCAL YEAR ENDED JUNE 30, 2016	B-1
APPENDIX C – SUMMARY OF PRINCIPAL LEGAL DOCUMENTS	C-1
APPENDIX D – FORM OF BOND COUNSEL OPINION	D-1
APPENDIX E – FORM OF CONTINUING DISCLOSURE AGREEMENT	E-1
APPENDIX F – INFORMATION REGARDING THE BOOK-ENTRY ONLY SYSTEM	F-1
APPENDIX G – CONTINUING DISCLOSURE POLICY	G-1
APPENDIX H – FORM OF MUNICIPAL BOND INSURANCE POLICY	H-1

OFFICIAL STATEMENT

\$34,445,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
SEWER TREATMENT REVENUE BONDS, SERIES 2016
(CITY OF SAN BERNARDINO SEWER FACILITIES PROJECT)**

INTRODUCTION

This introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page, the inside cover page and appendices hereto and the documents described herein. All statements contained in this introduction are qualified in their entirety by reference to the entire Official Statement. References to and summaries of the laws of the State of California (the “State”) and any documents, reports, and other instruments referred to herein do not purport to be complete and such references are qualified in their entirety by reference to each such law, document, report, or instrument. All capitalized terms used in this Official Statement and not otherwise defined herein have the meanings set forth in the Indenture or the Installment Purchase Agreement, each as defined herein. See APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – INDENTURE” and “– INSTALLMENT PURCHASE AGREEMENT.”

General

The \$34,445,000 aggregate principal amount of California Municipal Finance Authority Sewer Treatment Revenue Bonds, Series 2016 (City of San Bernardino Sewer Facilities Project) (the “2016 Bonds”) are being issued by the California Municipal Finance Authority (the “Authority”) pursuant to Articles 1 through 4 (commencing with Section 6500) of Chapter 5 of Division 7 of Title 1 of the Government Code of the State of California (the “JPA Act”), and an Indenture of Trust, dated as of December 1, 2016 (the “Indenture”), by and between the Authority and U.S. Bank National Association, as trustee (the “Trustee”).

The proceeds of the 2016 Bonds will be used to (i) finance the acquisition and construction of additional capital improvements to the sewer treatment utility (the “Project”) of the City of San Bernardino Municipal Water Department (the “Department”); (ii) purchase a Municipal Bond Debt Service Reserve Insurance Policy in satisfaction of the Reserve Requirement (each as defined herein) for the 2016 Bonds; and (iii) pay the costs of issuance of the 2016 Bonds. See “PLAN OF FINANCE” and “ESTIMATED SOURCES AND USES OF FUNDS.”

The 2016 Bonds

The 2016 Bonds will accrue interest from their date of delivery, and interest thereon will be payable on February 1 and August 1 of each year, commencing on February 1, 2017. The 2016 Bonds will bear interest at the rates set forth on the inside cover page hereof. See “DESCRIPTION OF THE 2016 BONDS – General” and APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS.”

The 2016 Bonds are being issued only in fully-registered form in denominations of \$5,000 and any integral multiple thereof and, when issued, will be registered in the name of Cede & Co., as the nominee of The Depository Trust Company, New York, New York (“DTC”). DTC will act as securities depository for the 2016 Bonds. Ownership interests in the 2016 Bonds may be purchased in book-entry form only. So long as DTC or its nominee is the Owner of the 2016 Bonds, the principal, the redemption

premium, if any, and interest on the 2016 Bonds will be made as described in APPENDIX F – “INFORMATION REGARDING THE BOOK-ENTRY ONLY SYSTEM.”

The 2016 Bonds are subject to optional and mandatory sinking fund redemption prior to maturity as described herein. See “DESCRIPTION OF THE 2016 BONDS – Redemption of 2016 Bonds.”

Security and Sources of Payment for the 2016 Bonds

The 2016 Bonds are special obligations of the Authority and, as and to the extent set forth in the Indenture, are payable solely from and secured by a pledge, charge and lien upon the Project Revenues, which consist of 2016 Purchase Payments (as defined below) to be made by the Department on behalf of the City of San Bernardino, California (the “City”) under the Installment Purchase Agreement (as defined below), and certain other moneys and securities held by the Trustee as provided in the Indenture. The Project Revenues will consist primarily of 2016 Purchase Payments (as defined below) to be made by the Department, on behalf of the City, to the Authority under the Installment Purchase Agreement, dated as of December 1, 2016 (the “Installment Purchase Agreement”), by and between the City and the Authority.

The 2016 Purchase Payments will be payable from and secured by a pledge of and lien on Net Revenues of the Sewer Treatment Fund (each as defined herein). As provided in the Installment Purchase Agreement, the City will irrevocably pledge all Net Revenues to the payment of the 2016 Purchase Payments and Additional Purchase Payments. Such pledge together with the City’s obligation to pay any Bonds or Contracts (each as defined herein) shall constitute a first lien on Net Revenues and, subject to the Installment Purchase Agreement, the other funds and accounts created under the Installment Purchase Agreement for the payment of the 2016 Purchase Payments and all other Contracts and Bonds in accordance with the terms of the Installment Purchase Agreement and of the Indenture. As defined in the Installment Purchase Agreement, the term “2016 Purchase Payments” means the installment payments scheduled to be paid by the City pursuant to the Installment Purchase Agreement.

The City is a party to the Installment Purchase Agreement and the Continuing Disclosure Agreement and is acting through the Department. The Department is a semi-autonomous unit of the City that has specific powers granted to it under the City Charter. See “Municipal Water Department and the Sewer Treatment Enterprise” below. References to, and obligations of, the City under the Installment Purchase Agreement are, except as noted, expected to be performed by the Department, secured by and payable from the Sewer Treatment Fund as more particularly described in the Installment Purchase Agreement. The Sewer Treatment Enterprise, as more particularly described herein, is the City’s wastewater treatment utility (including all buildings, systems, plants, works, facilities or undertakings used for or useful in the treatment of wastewater). The Sewer Treatment Enterprise does not include the City’s collection system of sewer mains, lines and conveyance facilities. The collection system charge is not part of Revenues or Net Revenues.

The Department is responsible for both sewage treatment and disposal, and water service, in the City. The delivery and sale of water is separate enterprise of the City, managed by the Department, not included in the Sewer Treatment Enterprise, and its revenues do not secure the 2016 Purchase Payments or the 2016 Bonds. The City owns the Sewer Treatment Enterprise and operates the Sewer Treatment Enterprise through the Department. See “THE SEWER TREATMENT ENTERPRISE” below.

The City is the county seat of San Bernardino County (the “County”). The City encompasses approximately 59.6 square miles in the San Bernardino foothills and the eastern portion of San Bernardino Valley, approximately 60 miles east of the City of Los Angeles. See APPENDIX A – “ECONOMIC AND DEMOGRAPHIC INFORMATION FOR THE CITY OF SAN BERNARDINO AND SAN BERNARDINO COUNTY.”

Under the Installment Purchase Agreement, the City will agree and covenant that all Revenues (as defined herein) will be received by the City in trust under the Installment Purchase Agreement and will be deposited when and as received in the Sewer Treatment Fund, which fund has been established under the City Charter and which fund the City will agree, as provided in the Installment Purchase Agreement, to maintain and to hold separate and apart from other funds so long as any Installment Payments (including the 2016 Purchase Payments), Bonds or Contracts remain unpaid. As defined in the Installment Purchase Agreement, the term "Installment Payments" means the installment payments, lease payments or other payments of interest and principal scheduled to be paid by the City pursuant to the Contracts, if any. Moneys in the Sewer Treatment Fund will be used and applied by the City as provided in the Installment Purchase Agreement.

See "SECURITY AND SOURCES OF PAYMENT FOR THE 2016 BONDS."

The scheduled payment of principal of and interest on the 2016 Bonds when due will be guaranteed under an insurance policy (the "Policy") to be issued concurrently with the delivery of the 2016 Bonds by Assured Guaranty Municipal Corp. ("AGM" or the "Bond Insurer"). The Policy guarantees the scheduled payment of principal of and interest on the 2016 Bonds when due as set forth in the form of the Policy included as Appendix H to this Official Statement. The City and the Authority have elected to fund the Common Reserve Account with a Municipal Bond Debt Reserve Insurance Policy (the "2016 Reserve Policy") to be issued by AGM, the policy premium for which will be paid from a portion of the proceeds derived from the issuance and sale of the 2016 Bonds. For additional information regarding AGM, the Policy and the 2016 Reserve Policy, see "BOND INSURANCE" and "SECURITY AND SOURCES OF PAYMENT FOR THE 2016 BONDS - Reserve Fund."

THE BONDS ARE SPECIAL OBLIGATIONS OF THE AUTHORITY PAYABLE SOLELY FROM AND SECURED SOLELY BY THE PROJECT REVENUES PLEDGED THEREFOR AND CERTAIN OTHER MONEYS AND SECURITIES HELD BY THE TRUSTEE AS PROVIDED IN THE INDENTURE. THE OBLIGATION OF THE CITY TO MAKE 2016 PURCHASE PAYMENTS UNDER THE INSTALLMENT PURCHASE AGREEMENT DOES NOT CONSTITUTE AN OBLIGATION OF THE CITY FOR WHICH THE CITY IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE CITY HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. NEITHER THE FULL FAITH AND CREDIT OF THE AUTHORITY, THE CITY, THE COUNTY, THE STATE, OR ANY POLITICAL SUBDIVISION OF THE STATE NOR THE TAXING POWER OF THE CITY, THE COUNTY, THE STATE, OR ANY POLITICAL SUBDIVISION OF THE STATE IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL OF OR INTEREST ON THE BONDS. THE AUTHORITY HAS NO TAXING POWER. NEITHER THE BONDS NOR THE OBLIGATION OF THE CITY TO MAKE 2016 PURCHASE PAYMENTS CONSTITUTES AN INDEBTEDNESS OF THE AUTHORITY, THE CITY, THE COUNTY, THE STATE, OR ANY POLITICAL SUBDIVISION OF THE STATE WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

As of the date of issuance of the 2016 Bonds, the only long-term indebtedness secured by Net Revenues will be the 2016 Purchase Payments relating to the 2016 Bonds and a loan from the San Bernardino Valley Municipal Water District of \$1.2 million for the Department's UV System Rehabilitation Project, which matures on November 1, 2019 and is payable in four equal installments of \$300,000. This loan is an unsecured obligation payable from the Sewer Treatment Fund.

Rate Covenant

The City will covenant in the Installment Purchase Agreement to fix, prescribe and collect rates, fees, charges and connection fees for services of the Sewer Treatment Enterprise which will be at least sufficient to yield, during each Fiscal Year, Net Revenues equal to one hundred ten percent (110%) of Debt Service for such Fiscal Year. See “SECURITY AND SOURCES OF PAYMENT FOR THE 2016 BONDS – Rate Covenant.” For information on the possible limitation on the ability of the Department, on behalf of the City to comply with the rate covenant as a consequence of Proposition 218 (as defined herein), see “RISK FACTORS – Rate-Setting Process Under Proposition 218” and “CONSTITUTIONAL LIMITATIONS ON TAXES AND SEWER TREATMENT RATES AND CHARGES – Article XIIC” and “– Article XIID.”

As defined in the Installment Purchase Agreement, the term “Debt Service” means, for any Fiscal Year, the sum of (1) the interest paid or payable during such Fiscal Year on all outstanding Bonds, assuming that all outstanding serial Bonds are retired as scheduled and that all outstanding term Bonds are prepaid or paid from sinking fund payments as scheduled (except to the extent that such interest is to be paid from the proceeds of the sale of any Bonds), (2) those portions of the principal amount of all outstanding serial Bonds maturing in such Fiscal Year, and (3) those portions of the principal amount of all outstanding term Bonds required to be prepaid or paid in such Fiscal Year; provided, that (a) if any of such Bonds are Capital Appreciation Bonds or if the Installment Payments due under any of such Contracts are evidenced by Capital Appreciation Certificates, then the Accreted Value amount shall be deemed a principal payment, and interest that is compounded and paid as Accreted Value shall be deemed due on the scheduled redemption or payment date of such Capital Appreciation Bond or Capital Appreciation Certificate, (b) if any of such Bonds or if the Installment Payments due under any such Contracts bear interest payable pursuant to a variable interest rate formula, the interest rate on such Bonds or such Contracts for periods when the actual interest rate cannot yet be determined, shall be assumed to be equal to the current SIFMA Index Rate plus 2.0%, and (c) if 20% or more of the original principal of such Bonds or the Installment Payments due under such Contracts is not due until the final stated maturity of such Bonds or the Installment Payments due under such Contracts, such principal may, at the option of the City, be treated as if it were due based upon a level amortization of such principal over the term of such Bonds or Installment Payments, provided that the full amount of such principal shall be included in the calculation of Debt Service in the event the date of calculation is within 12 months of the actual maturity date of such Bonds or Installment Payment due under such Contract.

Additional Obligations

The 2016 Purchase Payments securing payment of the 2016 Bonds will be payable from Net Revenues. Pursuant to the Installment Purchase Agreement, the City may at any time issue obligations the Installment Payments pursuant to which, as the case may be, are payable from the Net Revenues on a parity with the payment by the City of the 2016 Purchase Payments, subject to satisfaction of the conditions specified in the Installment Purchase Agreement. See “SECURITY AND SOURCES OF PAYMENT FOR THE 2016 BONDS – Issuance of Additional Obligations Under the Installment Purchase Agreement,” “THE SEWER TREATMENT ENTERPRISE – Capital Improvement Plan” and “– Anticipated Additional Obligations; Financing Plans for the Sewer Treatment Enterprise CIP.”

The Authority

Under the JPA Act, certain California cities (including the City), counties and special districts have entered into a joint exercise of powers agreement (the “JPA Agreement”) forming the Authority for the purpose of exercising to powers common to the members and exercising the additional powers

granted to the Authority by the JPA Act and any other applicable provisions of California law. Under the JPA Agreement, the Authority may issue bonds, notes or any other evidence of indebtedness, for any purpose or activity permitted under the JPA Act or any other applicable law. See “THE AUTHORITY.” The Authority does not and will not in the future monitor the financial condition of the City or the Department or otherwise monitor payment of the 2016 Bonds or compliance with the documents relating thereto.

Municipal Water Department and the Sewer Treatment Enterprise

The Department is responsible for sewage treatment and disposal. The Department operates two enterprise funds: the Sewer Utility Enterprise Fund, used to account for the operations of the City's wastewater treatment system and related revenues (the “Sewer Treatment Fund” as defined herein) and the Water Utility Enterprise Fund (the “Water Fund”), each as referred to in the audited financial statements of the Department. See APPENDIX B – “COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016.” As used herein, and defined in the Indenture, the “Sewer Treatment Enterprise” means the entire sewer treatment utility (including all buildings, systems, plants, works, facilities or undertakings used for or useful in the treatment of wastewater) of the City as such utility now exists, together with all improvements and extensions to such system later constructed or acquired, and including buildings and facilities for administration and/or customer service. These administration/customer service facilities are used by the Department jointly for the Sewer Treatment Enterprise and the Water Enterprise (as defined below). The Sewer Treatment Enterprise does not include the City's collection system of sewer mains, lines and conveyance facilities. The collection system charge is not part of Revenues or Net Revenues. The City owns the Sewer Treatment Enterprise and operates the Sewer Treatment Enterprise through the Department. The City has, and will have, obligations of the Water Fund outstanding from time to time. There is no cross-collateralization of obligations of Sewer Treatment Fund and the Water Fund. The “Water Enterprise” as used herein means the City's water utility (including all buildings, systems, plants, works, facilities or undertakings used for or useful in the collection, storage, treatment or provision of potable water).

The Sewer Treatment Enterprise provides sewer treatment services to a service area (the “Service Area”) that includes approximately 64,000 connections in the City and portions of unincorporated San Bernardino County and to the City of Loma Linda (“Loma Linda”), and the East Valley Water District (the “EVWD”). The Department's sewer treatment services are provided to residential and commercial/industrial customers in the City, as well as residential and commercial/industrial customers of its two partner local agencies, the EVWD and Loma Linda. See “Contracts with Other Agencies” below.

The Department and its governing Board of Water Commissioners (the “Board”) were established on May 8, 1905 by the Mayor and the governing board of the City (called the Common Council) in accordance with the provisions specified in the City Charter. The City Charter gives the Board semi-autonomous authority to manage the Department independent of the Common Council. The City Charter was recently amended by vote of the electorate at the November 8, 2016 general election by a majority of 60.54% to 39.46%. The City Charter amendments, in the form of a new City Charter (Revised City Charter Measure L) is expected to take effect during the December 19, 2016 meeting of the Common Council. The amended City Charter provides that the Board will consist of five members appointed by a vote of the Mayor and entire Common Council. Board members serve six (6) year terms of office, staggered as in the same manner as at the time of the adoption of the amended City Charter. Any one or more of these Commissioners may be removed by a vote of the Mayor and entire Council. Under the City Charter, the Board has the power to (i) oversee and manage the City's water supply, recycled water, wastewater collection and treatment functions in accordance with State law, (ii) set and collect all rates, fees and charges for operation of the Sewer Treatment Enterprise, (iii) allocate all receipts and

expenditures to separate, independent, Sewer Treatment Fund in accordance with State law, and (iv) collaborate with the Common Council, Mayor and City Manager concerning the Sewer Treatment Enterprise. In this regard, the City Charter provides that the Council shall take such actions as may be appropriate to enforce rules and regulations of the Board.

The impact of the new City Charter on the Department substantially includes a realignment under which the Department will assume responsibility from the Department of Public Works for all sewer operations, including the collection system of sewer mains, lines and conveyance facilities, and rate-setting authority delegated to the Board. Previously the City Charter provided that the Mayor and Common Council would levy charges for sewer service, and the Common Council had the power to acquire, establish, construct, reconstruct, maintain, operate, manage, repair, improve or finance any building, system, plant, works, facilities or undertaking used for or useful in the treatment or disposal of sewage and the reclamation of effluent therefrom, or storm water, including drainage.

The City's sewer service billing is composed of a regional treatment charge and a collection system charge. The Department bills and collects the total charge. Prior to the recent amendments to the City Charter, local collection system charges, which are not of Revenues, were then transferred to the City's Public Works Department. As a result of the City Charter amendments described above, collection system charges are expected to be transferred to a dedicated enterprise fund other than the Sewer Treatment Fund. Despite the Department assuming operational responsibility for the collection system, the collection system charge is not part of Revenues or Net Revenues. Like sewer collection facilities, the Department has not to date had any obligation with respect to stormwater facilities or capture. See "THE SEWER TREATMENT ENTERPRISE – General."

The Board appoints the general manager of the Department, who is responsible for day-to-day operation of the Department. Stacey R. Aldstadt was appointed General Manager in 2005. The Sewer Treatment Enterprise is under the direction of John A. Claus – Director of Water Reclamation (Sewer Treatment Enterprise). See "THE SEWER TREATMENT ENTERPRISE – Management."

The Sewer Treatment Enterprise provides wastewater treatment services through the City's Margaret H. Chandler Water Reclamation Plant ("WRP"), which the Department has operated since 1973. The WRP is a 33 MGD (millions of gallons per day of flow) Regional Secondary Treatment facility that provides wastewater treatment services for the City, Loma Linda, EVWD, and unincorporated San Bernardino County areas. The WRP uses primary and secondary treatment processes to meet the discharge standards specified in the National Pollutant Discharge Elimination Permit (NPDES) issued to the Department by the State of California Regional Water Quality Control Board. Secondary treated wastewater from the WRP is discharged to an offsite tertiary treatment facility which is jointly owned by the City and the City of Colton, but operated by the City. That facility, the Rapid Infiltration and Extraction ("RIX") Tertiary Treatment Facility in Colton, receives approximately 27 MGD of secondary treated wastewater from the WRP and from the City of Colton's separate treatment facility. The RIX uses percolation basins and ultra-violet disinfection as further treatment processes to meet the State of California Title 22 tertiary standards, in addition to the discharge standards specified in a separate NPDES permit issued to the RIX facility. RIX treated wastewater consistently meets or exceeds required discharge standards and is often superior in quality to effluent produced through conventional tertiary facilities. It discharges to the Santa Ana River in substantial compliance with these permit requirements. The RIX is owned by the Colton/San Bernardino Regional Tertiary Treatment and Water Reclamation Authority, a joint powers between the City, through the Department, and the City of Colton, which reports its operations in financial statements separate from those of the Department and the City. The Department's equity position in this joint venture is reported in its financial statements as an investment. See Note 10 in APPENDIX B – "COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016."

The WRP recently completed the installation of a co-generation facility which uses the methane gas produced during the treatment processes as a source of energy to fuel two 704 kilo-watt generators which supply electricity to the WRP. This minimizes the amount of electricity required to be purchased for the operation of the WRP.

See “THE SEWER TREATMENT ENTERPRISE” and “SEWER TREATMENT ENTERPRISE REGULATORY REQUIREMENTS.”

Effect of City Chapter 9 Filing

The City is the debtor in an ongoing Chapter 9 bankruptcy case (“chapter 9”), Case No. 6:12-bk-28006 MJ, pending in the United States Bankruptcy Court for the Central District of California. The City believes that the pending chapter 9 proceedings will not adversely impact the issuance or timely repayment of the 2016 Bonds. However, no guaranty can be provided by the City, and Bond Counsel is not providing an opinion and has expressed no view, regarding the potential impact of the City’s bankruptcy on Net Revenues. See the caption “RISK FACTORS – Effect of City of San Bernardino Bankruptcy Case” for a discussion of the potential impacts of the City’s chapter 9 bankruptcy case.

Continuing Disclosure

The Department, on behalf of the City has agreed to provide, or cause to be provided, certain annual financial information and operating data and notice of certain Notice Events as described in the Continuing Disclosure Agreement (as defined herein). The form of the Continuing Disclosure Agreement is attached hereto as APPENDIX E – “FORM OF CONTINUING DISCLOSURE AGREEMENT. The Authority has not undertaken any similar obligation with respect to the 2016 Bonds, and any obligation for continuing disclosure with respect to the 2016 Bonds, has been undertaken solely by the Department, on behalf of the City. See “CONTINUING DISCLOSURE” herein.

Forward-Looking Statements

Certain statements contained in this Official Statement reflect not historical facts but forecasts and “forward-looking statements.” All forward-looking statements are predictions and are subject to known and unknown risks and uncertainties. No assurance can be given that the future results discussed herein will be achieved, and actual results may differ materially from the forecasts described herein. In this respect, the words “estimate,” “project,” “anticipate,” “expect,” “intend,” “believe” and similar expressions are intended to identify forward-looking statements. All projections, forecasts, assumptions, expressions of opinions, estimates and other forward-looking statements are expressly qualified in their entirety by the cautionary statements set forth in this Official Statement. The achievement of certain results or other expectations contained in such forward-looking statements involves known and unknown risks, uncertainties, and other factors that may cause the actual results, performance, or achievements described to be materially different from any future results, performance, or achievements expressed or implied by such forward-looking statements. No updates or revisions to these forward-looking statements are expected to be issued if or when the expectations, events, conditions, or circumstances on which such statements are based change. **INVESTORS ARE CAUTIONED NOT TO PLACE UNDUE RELIANCE ON SUCH FORWARD-LOOKING STATEMENTS, WHICH SPEAK ONLY AS OF THE DATE HEREOF.**

Miscellaneous

Copies of the Indenture and the Installment Purchase Agreement may be obtained from the Trustee at U.S. Bank National Association, 700 South Flower Street, Suite 500, Los Angeles, California 90017.

PLAN OF FINANCE

The net proceeds of the 2016 Bonds will be used to (i) finance the acquisition and construction of additional capital improvements for the Sewer Treatment Enterprise as described below (the “Project”), (ii) purchase a Municipal Bond Debt Service Reserve Insurance Policy in satisfaction of the Reserve Requirement; and (iii) pay the costs of issuance of the 2016 Bonds. See “ESTIMATED SOURCES AND USES OF FUNDS.”

The Department expects the Project to include the following capital improvements:

Project Name	Estimated Cost
Primary Influent Flow Equalization	\$12,500,000
Clean Water Factory – Phase I (construction)	13,500,000
Centralized Partial Oxidation Gas Turbine	5,000,000
Department Administration Building	2,125,000*
Customer Service Relocation	1,000,000
	<u>\$34,125,000</u>

The following is a summary description of these projects.

Primary Influent Flow Equalization. The Department has designed this project to increase the WRP’s treatment capacity and improve operational efficiency by reducing existing swings in extreme flow rates (which currently range from approximately 9 MGD to 30 MGD). This wide fluctuation of flow rates requires significant process changes (operator attention) throughout the day and creates the highest electrical energy demands during the periods that electrical costs are highest. By installing two 3-million gallon primary influent flow equalization basins, the efficiency and effectiveness of downstream process is improved, thereby reducing operating costs. Primary influent flow equalization not only provides efficient primary and secondary treatment with fewer operational adjustments, but also relieves hydraulic constraints in the downstream processes, thereby maximizing treatment capacity. In addition, primary influent flow equalization also provides the ability for emergency on-site storage during large storm events or unplanned power outages, and the ability to perform scheduled and unscheduled maintenance.

Clean Water Factory – Phase I. The Department has designed the Clean Water Factory project to treat effluent from the WRP to a quality approved for recharge and convey the recycled water to the Waterman Basins, the East Twin Creek Spreading Grounds, and the Devil Canyon and Sweetwater Basins for surface spreading in the northern portion of the Service Area. The Department expects that the Clean Water Factory will treat a side stream of San Bernardino Water Reclamation Plant effluent to a quality approved for direct non-potable use and convey the tertiary treated recycled water to customers that can benefit from a non-potable water supply. Phase I of this multi-phase project includes (1) the construction of a five million gallon per day (5 MGD) tertiary treatment facility and (2) the construction of a 0.25 – 0.5 MGD Advanced Purification Pilot Demonstration Plant at the existing WRP. See “THE SEWER TREATMENT ENTERPRISE – Capital Improvement Plan – Clean Water Factory” and “RISK

* Of this amount, \$125,000 is expected to be funded from Department funds on hand.

FACTORS – Clean Water Factory.” Currently, the Department does not use recycled water within its Service Area.

Centralized Partial Oxidation Gas Turbine (‘POGT’). The Department has designed this project to ensure the continued use of existing engines at the WRP fueled by the methane produced in anaerobic digesters, significantly reducing the amount of purchased electrical energy. Upon completion, the POGT will produce hydrogen gas, that will be mixed with digester gas, to create a syngas that will be distributed to the six engines fueled by digester gas, and enable their operations to comply with the new emissions limits established by the Southern California Air Quality Management District. The six digester gas-fueled engines range from 225 horsepower (HP) to 999 HP. These engines drive pumps, aeration blowers, and generators. The heat from these engines is recovered to heat the anaerobic digesters, significantly reducing the quantity of purchased natural gas.

Department Administration Building. Currently, various divisions of the Department are located in several, non-contiguous buildings which are leased or owned by the City. Construction of the administration building at the main Chandler Avenue complex will eliminate the need for leased space and will consolidate staff. The costs of this project will be split between the Sewer Treatment Fund and the Water Fund, with the Water Fund expected to contribute approximately \$9,500,000 in addition to the amount in the table above.

Customer Service Relocation. The Department’s Customer Service staff are currently located in the San Bernardino City Hall. Due to seismic concerns, all City Hall staff are being located to other facilities. The Department has acquired a building at 1350 “E” Street which will be used to house Customer Service staff. This building requires major renovations in order to be functional. The costs of this project will be split between the Sewer Treatment Fund and the Water Fund, with the Water Fund expected to contribute approximately \$2,000,000 in addition to the amount in the table above.

These projects substantially involve replacement, upgrading and increasing the capacity of existing facilities. Environmental approvals remain to be completed on these projects which require such approvals as new facilities, including the Clean Water Factory project, which approvals the Department expects in due course. There are no current or anticipated environmental considerations that would adversely affect the completion of these projects within the contemplated budgets or current timelines. The Department has a number of alternative projects in its Sewer Treatment Enterprise CIP (as defined herein) to which proceeds of the 2016 Bonds could be applied if any of the required environmental approvals, which are not anticipated to be problematic, are not forthcoming as currently expected. For a list of additional capital improvements pending for the Sewer Treatment Enterprise, see “THE SEWER TREATMENT ENTERPRISE – Capital Improvement Plan” and “– Anticipated Additional Obligations; Financing Plans for the Sewer Treatment Enterprise CIP.”

The funds deposited in the Acquisition Fund will not be available for the payment of debt service on to the 2016 Bonds.

ESTIMATED SOURCES AND USES OF FUNDS

The following table details the estimated sources and uses of the proceeds of the sale of the 2016 Bonds and other available funds.

Estimated Sources:

Principal Amount of the 2016 Bonds	\$34,445,000.00
Net Original Issue Premium/(Discount)	192,094.80
Total Sources	<u>\$34,637,094.80</u>

Estimated Uses:

Acquisition Fund	\$34,000,000.00
Costs of Issuance Fund ⁽¹⁾	637,094.80
Total Uses	<u>\$34,637,094.80</u>

⁽¹⁾ Costs of Issuance for the 2016 Bonds including underwriter's discount, bond insurance and reserve policy premiums, fees of legal counsel and advisors to the Department and the Authority and other costs of issuing the 2016 Bonds.

DESCRIPTION OF THE 2016 BONDS

General

The 2016 Bonds will accrue interest from their date of delivery, and interest thereon will be payable on February 1 and August 1 of each year, commencing on February 1, 2017 (each, an "Interest Payment Date"). The 2016 Bonds will bear interest at the rates set forth on the inside cover page hereof. The 2016 Bonds will be issued as fully-registered bonds in denominations of \$5,000 and any integral multiple thereof and, when issued, will be registered in the name of Cede & Co., as the nominee of DTC. DTC will act as securities depository for the 2016 Bonds. Ownership interests in the 2016 Bonds may be purchased in book-entry form only. So long as DTC or its nominee is the Owner of the 2016 Bonds, principal of, redemption premium, if any, and interest on the 2016 Bonds will be made as described in APPENDIX F – "INFORMATION REGARDING THE BOOK-ENTRY ONLY SYSTEM."

Interest on the 2016 Bonds will be payable on each Interest Payment Date to the person whose name appears on the Registration Books as the Owner thereof as of the Record Date immediately preceding each such Interest Payment Date, such interest to be paid by check or draft of the Trustee mailed by first-class mail, postage prepaid, on each Interest Payment Date to the Owner at the address of such Owner as it appears on the Registration Books as of the preceding Record Date; provided, however, that at the written request of the Owner of at least \$1,000,000 in aggregate principal amount of Outstanding 2016 Bonds filed with the Trustee prior to any Record Date, interest on such 2016 Bonds will be paid to such Owner on each succeeding Interest Payment Date by wire transfer of immediately available funds to an account in the continental United States designated in such written request (any such written request will remain in effect until rescinded in writing by such Owner). Principal of and premium (if any) on any 2016 Bond will be paid upon presentation and surrender thereof, at maturity, at the corporate Trust Office of the Trustee. The principal of and interest and premium (if any) on the 2016 Bonds will be payable in lawful money of the United States of America. As defined in the Indenture, the term "Record Date" for the 2016 Bonds means, with respect to any Interest Payment Date, the fifteenth

(15th) calendar day of the month immediately preceding such Interest Payment Date, whether or not such day is a Business Day.

DTC may discontinue providing its services as depository with respect to the 2016 Bonds at any time by giving written notice to the Authority or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, bonds are required to be printed and delivered. The Authority may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, bonds will be printed and delivered to DTC. The Indenture provides terms for the transfer and exchange of 2016 Bonds otherwise on the registration books maintained by the Trustee. The Trustee may require the Bond Owner requesting such transfer or exchange to pay any tax or other governmental charge required to be paid with respect to such transfer.

See APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – INDENTURE.”

Redemption of 2016 Bonds

Optional Redemption of 2016 Bonds. The 2016 Bonds maturing on or before August 1, 2026 are not subject to optional redemption prior to their maturity. The 2016 Bonds maturing on or after August 1, 2027 are subject to redemption in whole, or in part among maturities on such basis as the City may designate and by lot within a maturity, at the option of the City, on any date on or after August 1, 2026, from any available source of funds, at a redemption price equal to 100% of the principal amount of the 2016 Bonds to be redeemed, plus accrued interest to the date of redemption, without premium.

Mandatory Sinking Account Redemption of 2016 Bonds. The 2016 Bonds maturing on August 1, 2035 are subject to mandatory redemption, in part, from sinking account payments set forth in the following schedule commencing August 1, 2034, and on August 1 in each year thereafter to and including August 1, 2035 at a redemption price equal to the principal amount thereof to be redeemed (without premium), together with interest accrued thereon to the date fixed for redemption.

2016 Term Bonds maturing on August 1, 2035

Redemption Date (August 1)	Principal Amount To be Redeemed
2034	\$1,195,000
2035*	1,240,000

* Maturity

The 2016 Bonds maturing on August 1, 2037 are subject to mandatory redemption, in part, from sinking account payments set forth in the following schedule commencing August 1, 2036, and on August 1 in each year thereafter to and including August 1, 2037 at a redemption price equal to the principal amount thereof to be redeemed (without premium), together with interest accrued thereon to the date fixed for redemption.

2016 Term Bonds maturing on August 1, 2037

Redemption Date (August 1)	Principal Amount To be Redeemed
2036	\$1,290,000
2037*	1,345,000

* Maturity

If some but not all of the 2016 Bonds have been optionally redeemed pursuant to the Indenture, the total amount of Sinking Account payments to be made subsequent to such redemption will be reduced in an amount equal to the principal amount of the 2016 Bonds so redeemed by reducing each such future Sinking Account payment on a *pro rata* basis (as nearly as practicable) in integral multiples of \$5,000, as shall be designated pursuant to written notice filed by the Authority with the Trustee.

The 2016 Bonds maturing on August 1, 2041 are subject to mandatory redemption, in part, from sinking account payments set forth in the following schedule commencing August 1, 2038, and on August 1 in each year thereafter to and including August 1, 2041 at a redemption price equal to the principal amount thereof to be redeemed (without premium), together with interest accrued thereon to the date fixed for redemption.

2016 Term Bonds maturing on August 1, 2041

Redemption Date (August 1)	Principal Amount To be Redeemed
2038	\$1,400,000
2039	1,455,000
2040	1,515,000
2041*	1,580,000

* Maturity

If some but not all of the 2016 Bonds have been optionally redeemed pursuant to the Indenture, the total amount of Sinking Account payments to be made subsequent to such redemption will be reduced in an amount equal to the principal amount of the 2016 Bonds so redeemed by reducing each such future Sinking Account payment on a *pro rata* basis (as nearly as practicable) in integral multiples of \$5,000, as shall be designated pursuant to written notice filed by the Authority with the Trustee.

The 2016 Bonds maturing on August 1, 2046 are subject to mandatory redemption, in part, from sinking account payments set forth in the following schedule commencing August 1, 2042, and on August 1 in each year thereafter to and including August 1, 2046 at a redemption price equal to the principal amount thereof to be redeemed (without premium), together with interest accrued thereon to the date fixed for redemption.

2016 Term Bonds maturing on August 1, 2046

Redemption Date (August 1)	Principal Amount To be Redeemed
2042	\$1,645,000
2043	1,710,000
2044	1,780,000
2045	1,850,000
2046*	1,930,000

* Maturity

If some but not all of the 2016 Bonds have been optionally redeemed pursuant to the Indenture, the total amount of Sinking Account payments to be made subsequent to such redemption will be reduced in an amount equal to the principal amount of the 2016 Bonds so redeemed by reducing each such future Sinking Account payment on a *pro rata* basis (as nearly as practicable) in integral multiples of \$5,000, as shall be designated pursuant to written notice filed by the Authority with the Trustee.

Notice of Redemption. So long as DTC is acting as securities depository for the 2016 Bonds, notice of redemption, containing the information required by the Indenture, will be mailed by first class mail, postage prepaid, by the Trustee to DTC (not to the Beneficial Owners of any Bonds designated for redemption), not less than at least 20 but not more than 60 days prior to the redemption. The Indenture provides that the Trustee on behalf and at the expense of the Authority will mail (by first-class mail) notice of any redemption to the respective Owners of any 2016 Bonds designated for redemption, at their respective addresses appearing on the Registration Books, and to the Securities Depositories and to the Information Services, at least 20 but not more than 60 days prior to the date fixed for redemption; provided, however, that neither failure to receive any such notice so mailed nor any defect therein will affect the validity of the proceedings for the redemption of such 2016 Bonds or the cessation of the accrual of interest thereon, and so long as DTC is acting as securities depository for the 2016 Bonds, notice of redemption, containing the information required by the Indenture, will be mailed by first class mail, postage prepaid, by the Trustee to DTC (not to the Beneficial Owners of any 2016 Bonds designated for redemption). Such notice will state the date of the notice, the Redemption Date, the redemption place and the redemption price and will designate the CUSIP numbers, the 2016 Bond numbers (but only if less than all of the Outstanding 2016 Bonds are to be redeemed) and the maturity or maturities in the event of redemption of all of the 2016 Bonds of such maturity or maturities in whole of the 2016 Bonds to be redeemed, and will require that such 2016 Bonds be then surrendered at the Corporate Trust Office for redemption at the redemption price, giving notice also that further interest on such 2016 Bonds will not accrue from and after the redemption date. With regard to optional redemption in the event that funds required to pay the redemption price are not on deposit under the Indenture at the time the notice of redemption is sent, such notice may include a statement to the effect that the redemption is conditioned upon the receipt of the appropriate funds required to pay the redemption price by the Trustee on or prior to the redemption date.

Notice of redemption may be rescinded by the Authority prior to the specified date for redemption by notice of such rescission given by the Trustee to the City and, as applicable, to DTC, the MSRB, to the Securities Depositories and to the Information Services in the same manner the original notice was provided.

Partial Redemption of 2016 Bonds. In the event only a portion of any 2016 Bond is called for redemption, then upon surrender of such 2016 Bond the Authority will execute and the Trustee will

authenticate and deliver to the Owner thereof, at the expense of the Authority, a new 2016 Bond or 2016 Bonds of the same maturity date, of Authorized Denominations in aggregate principal amounts equal to the unredeemed portion of the 2016 Bond to be redeemed.

Effect of Redemption. From and after the date fixed for redemption, if funds available for the payment of the principal of and interest (and premium, if any) on the 2016 Bonds so called for redemption will have been duly provided, such 2016 Bonds so called will cease to be entitled to any benefit under the Indenture other than the right to receive payment of the principal, interest accrued to the Redemption Date, and premium, if any, and no interest will accrue thereon from and after the Redemption Date specified in such notice.

All 2016 Bonds redeemed in whole or in part pursuant to the Indenture will be canceled by the Trustee and destroyed, and the Trustee will certify in writing as to their destruction.

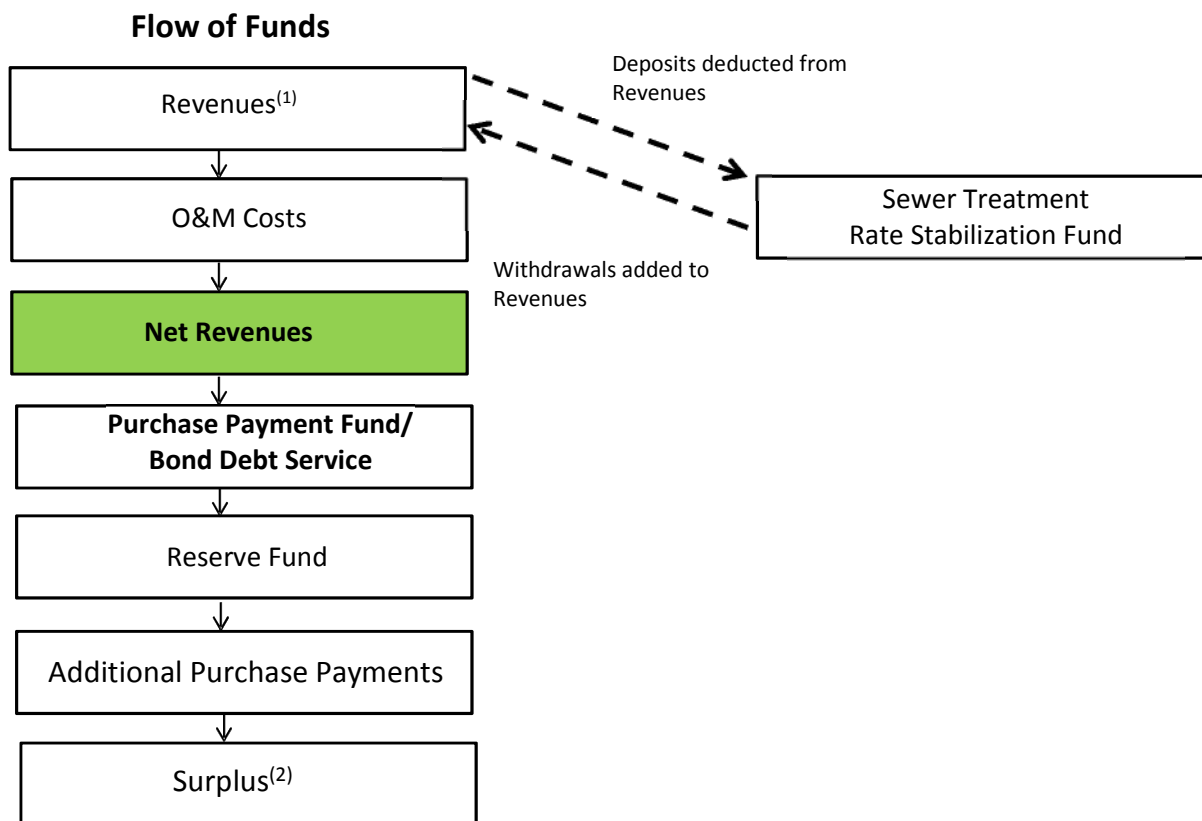
SECURITY AND SOURCES OF PAYMENT FOR THE 2016 BONDS

Pledges of Project Revenues and Net Revenues

Pursuant to the Indenture, the 2016 Bonds are special obligations of the Authority payable from and secured by the pledge of the Project Revenues and certain other moneys and securities held by the Trustee as provided in the Indenture. The term “Project Revenues,” as applied to the 2016 Bonds, means all 2016 Purchase Payments received by or due to be paid to the Authority pursuant to the Installment Purchase Agreement and the interest or profits from the investment of money in the Purchase Payment Fund pursuant to the Indenture. To secure the pledge of the Project Revenues, the Authority will transfer, convey, and assign to the Trustee, for the benefit of the Owners, all of the Authority’s right to receive 2016 Purchase Payments from the Department, on behalf of the City. See APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – INDENTURE.”

The 2016 Purchase Payments will be payable from and secured by a pledge of and lien on Net Revenues of the Sewer Treatment Fund. As provided in the Installment Purchase Agreement, the City will irrevocably pledge all Net Revenues to the payment of the 2016 Purchase Payments and Additional Purchase Payments. Such pledge together with the obligation of the City to pay any Bonds or Contracts will constitute a first lien on Net Revenues and, subject to the Installment Purchase Agreement, the other funds and accounts created under the Installment Purchase Agreement for the payment of the 2016 Purchase Payments and all other Contracts and Bonds in accordance with the terms of the Installment Purchase Agreement and of the Indenture. All money in the Purchase Payment Fund will be used and withdrawn by the Trustee in accordance with the Indenture. The collection system charge is not part of Revenues or Net Revenues.

The following flow of funds illustrates the flow of funds comprising Net Revenues under the Installment Purchase Agreement, the payment, as 2016 Purchase Payments, into the Purchase Payment Fund under the Indenture, and the resulting flow of funds under the Indenture:



- 1 Revenues includes Current Revenues as defined by the Installment Purchase Agreement plus transfers to the Sewer Treatment Fund from amounts on deposit in the Sewer Treatment Rate Stabilization Fund less amounts transferred to the Sewer Treatment Rate Stabilization Fund.
- 2 Surplus revenues may be expended by the City for any Sewer Treatment Enterprise purpose permitted by law, but only if enough funds have been set aside to cover the next debt service payment on outstanding Bonds.

The Indenture provides for the transfer and assignment, in trust, by the Authority to the Trustee, for the benefit of the Owners from time to time of the Bonds, all of the Project Revenues and all of the right, title and interest of the Authority in and to the Installment Purchase Agreement (other than the Unassigned Rights). The Trustee will be entitled to and will receive all of the Purchase Payments, and any Purchase Payments collected or received by the Authority will be deemed to be held, and to have been collected or received, by the Authority as the agent of the Trustee and will forthwith be paid by the Authority to the Trustee.

The City is a party to the Installment Purchase Agreement and the Continuing Disclosure Agreement and is acting through the Department. References to, and obligations of, the City under the Installment Purchase Agreement are, except as noted, expected to be performed by the Department, secured by and payable from the Sewer Treatment Fund as more particularly described in the Installment Purchase Agreement.

The Sewer Treatment Fund

The City accounts for the operations and maintenance of the Sewer Treatment Enterprise through an enterprise fund known as the Sewer Utility Enterprise Fund, used to account for the operations of the City's wastewater treatment system and related revenues (the "Sewer Treatment Fund" herein).

The Sewer Treatment Fund was established pursuant to Sections 143 and 149 of the City Charter, and is continued under Section 603 of the amended City Charter. The City Charter provides that the Department shall allocate all receipts and expenditures to such separate, independent, Sewer Treatment Fund in accordance with State law. As provided in the Installment Purchase Agreement, the City will agree and covenant that all Revenues will be received by the City in trust under the Installment Purchase Agreement and will be deposited when and as received in the Sewer Treatment Fund, which fund has been established under the City Charter and which fund the City will agree, as provided in the Installment Purchase Agreement, to maintain and to hold separate and apart from other funds so long as any Installment Payments (including the 2016 Purchase Payments), Bonds or Contracts remain unpaid. Moneys in the Sewer Treatment Fund will be used and applied by the City as provided in the Installment Purchase Agreement.

The Department, on behalf of the City will, from the moneys in the Sewer Treatment Fund, pay all Operation and Maintenance Costs as provided in the Installment Purchase Agreement. All remaining moneys in the Sewer Treatment Fund will be set aside at the following times for the transfer to the following respective special funds in the following order of priority; and all moneys in each of such funds will be held in trust and will be applied, used and withdrawn only for the purposes set forth in the Installment Purchase Agreement.

(a) *Purchase Payment Fund.* On or before each 2016 Purchase Payment Date until the 2016 Bonds have been paid or provision for their payment has been made as provided in the Indenture, the City shall, from the moneys in the Sewer Treatment Fund, transfer to the Trustee for deposit in the Purchase Payment Fund the 2016 Purchase Payment due and payable on that 2016 Purchase Payment Date. The City shall also, from the moneys in the Sewer Treatment Fund, transfer to the Trustee and any other trustee or payee with respect to Bonds and Contracts, for deposit in the respective payment fund, without preference or priority, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, any other Debt Service in accordance with the provisions of any Bond or Contract.

No deposit need be made in the Purchase Payment Fund if the amount in the Purchase Payment Fund is at least equal to the amount of the 2016 Purchase Payment due and payable on said 2016 Purchase Payment Date.

All money in the Purchase Payment Fund shall be used and withdrawn by the Trustee in accordance with the Indenture.

(b) *Reserve Fund.* On or before each 2016 Purchase Payment Date until the 2016 Bonds have been paid or provision for their payment has been made as provided in the Indenture, the City shall, from the remaining moneys in the Sewer Treatment Fund, thereafter, without preference or priority, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, transfer to the Trustee for deposit in the Reserve Fund and such other reserve funds and/or accounts, if any, as may have been established in connection with Bonds or Contracts other than the Installment Purchase Agreement, that sum, if any, necessary to restore the Reserve Fund to an amount equal to the Reserve Requirement and/or such other reserve funds or accounts to an amount equal to the amount required to be maintained therein;

provided, however, that the City may meet the Reserve Requirement by obtaining a Reserve Account Credit Facility (as defined in the Indenture) pursuant to the Indenture. See “Reserve Fund” below for a description of the Common Reserve Account within the Reserve Fund that will secure the 2016 Bonds and future Bonds under certain conditions.

No transfer of moneys for deposit to the Reserve Fund in connection with the 2016 Purchase Payments need be made if the amount contained therein is at least equal to the Reserve Requirement.

(c) *Additional Purchase Payments.* On or before each 2016 Purchase Payment Date until the 2016 Bonds have been paid or provision for their payment has been made as provided in the Indenture, the City shall, from the remaining moneys in the Sewer Treatment Fund, thereafter, without preference or priority, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, transfer to the applicable payee as provided in the Installment Purchase Agreement and any similar provisions established in connection with Bonds or Contracts other than the Installment Purchase Agreement, that sum, if any, necessary to pay all Additional Purchase Payments then due and payable and any corresponding payments then due and payable under any Bond or Contract other than the Installment Purchase Agreement.

(d) *Surplus.* Subject to the following sentence, moneys on deposit in the Sewer Treatment Fund on each 2016 Purchase Payment Date not necessary to make any of the payments required above, may be expended by the City for any Sewer Treatment Enterprise purpose permitted by law. Moneys on deposit in the Sewer Treatment Fund on any date other than a 2016 Purchase Payment Date may be expended by the City on such date for any Sewer Treatment Enterprise purpose permitted by law, provided that the amount needed to pay (i) the 2016 Purchase Payment due on the next succeeding 2016 Purchase Payment Date, (ii) any Installment Payments due on the next succeeding Installment Payment Date and (iii) (without duplication) the debt service on any outstanding Bonds due in the succeeding six-month period, in each case, shall have been set aside and deposited in the Purchase Payment Fund or any similar fund or account relating to any outstanding Bond or Contract, as the case may be.

As defined in the Installment Purchase Agreement, the term “Revenues” means Current Revenues plus transfers to the Sewer Treatment Fund from amounts on deposit in the Sewer Treatment Rate Stabilization Fund but only to the extent specified in the Installment Purchase Agreement, less amounts transferred to the Sewer Treatment Rate Stabilization Fund (other than the initial deposit therein). See “Sewer Treatment Rate Stabilization Fund” below.

The term “Current Revenues” means all income, rents, rates, fees, charges, and other moneys derived from the ownership or operation of the Sewer Treatment Enterprise, including, without limiting the generality of the foregoing, all income, rents, rates, fees, charges (including standby, capacity and connection charges), business interruption insurance proceeds or other moneys derived by the City from the furnishing and supplying of sewer or other services, facilities and commodities or byproducts sold, furnished or supplied through the facilities of or in the conduct or operation of the business of the Sewer Treatment Enterprise, and including, without limitation, all earnings and income derived from the investment of all such money and derived from the investment of all money in the Sewer Treatment Fund and investment earnings on the operating reserves to the extent that the use of such earnings is limited to the Sewer Treatment Enterprise by or pursuant to law; (ii) the proceeds derived by the City directly or indirectly from the lease of a part of the Sewer Treatment Enterprise; (iii) any amount received from the levy or collection of taxes which are solely available and are earmarked for the support of the operation of the Sewer Treatment Enterprise; and (iv) all proceeds of insurance covering business interruption loss relating to the Sewer Treatment Enterprise. Notwithstanding the foregoing, Current Revenues shall not

include: (a) in all cases, customers' deposits or any other deposits or advances subject to refund until such deposits or advances have become the property of the City; (b) any advances or contributions in aid of construction; (c) amounts paid to developers, or to reimburse developers, for capital improvements to the Sewer Treatment Enterprise; and (d) the proceeds of borrowings. The term "Net Revenues" means, for any Fiscal Year, the Revenues for such Fiscal Year less the Operation and Maintenance Costs for such Fiscal Year.

The term "Operation and Maintenance Costs" means costs spent or incurred for maintenance and operation of the Sewer Treatment Enterprise calculated in accordance with generally accepted accounting principles, including (among other things) the reasonable expenses of management and repair and other expenses necessary to maintain and preserve the Sewer Treatment Enterprise in good repair and working order, and including administrative costs of the City that are charged directly or apportioned to the Sewer Treatment Enterprise, including but not limited to salaries and wages of employees, payments to the Public Employees Retirement System or any other pension system or plan, payments for post-retirement healthcare benefits, overhead, insurance, taxes (if any), fees of auditors, accountants, attorneys, consultants or engineers and insurance premiums, and including all other reasonable and necessary costs of the City or charges (other than Debt Service payments) required to be paid by it to comply with the terms of the 2016 Bonds or of the Installment Purchase Agreement or any Contract or of any resolution or indenture authorizing the issuance of any Bonds or of such Bonds, but excluding in all cases depreciation, replacement and obsolescence charges or reserves therefor and amortization of intangibles or other bookkeeping entries of a similar nature.

See APPENDIX C – "SUMMARY OF PRINCIPAL LEGAL DOCUMENTS."

Reserve Fund

The Reserve Fund and the Reserve Accounts therein will be held and administered by the Trustee, and will be used solely for the purpose of paying the Series of Bonds secured by the Reserve Accounts in the manner provided in the Indenture. In connection with the issuance of the 2016 Bonds, the Authority will establish the Common Reserve Account, and the 2016 Bonds will be secured by the Common Reserve Account as a Common Reserve Series under the Indenture. The Common Reserve Account will be funded by a Municipal Bond Debt Reserve Insurance Policy (the "2016 Reserve Policy") to be issued by AGM in the amount of the Reserve Requirement for the 2016 Bonds (expected to equal approximately \$1,968,962 as of the date of issuance of the 2016 Bonds). The policy premium for the 2016 Reserve Policy will be paid from a portion of the proceeds derived from the issuance and sale of the 2016 Bonds. For additional information regarding AGM, see "BOND INSURANCE." As provided in the Indenture, the Common Reserve Account will thereafter be maintained at all times at the Reserve Requirement. As defined in the Indenture, the term "Reserve Requirement" means, (a) with respect to the Common Reserve Series, the least of (i) 10% of the issue price of the Common Reserve Series, (ii) the Maximum Annual Debt Service on the Common Reserve Series, and (iii) 125% of the average annual debt service on the Common Reserve Series, and (b) with respect to any other Series of Bonds, such amount as shall be specified in the Supplemental Indenture authorizing the issuance of such Series of Bonds. Future issues of Bonds, if any, may or may not participate in the Common Reserve Account as a Common Reserve Series of Bonds, and may be issued with no debt service reserve account and no claim to any account of the Reserve Fund, nor any Reserve Account Credit Facility (as defined in the Indenture) on deposit in an account thereof. See APPENDIX C – "SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – INDENTURE."

As provided in the Indenture, the Trustee will deposit in each Reserve Account proceeds of the sale of each Series of Bonds to be secured thereby or Reserve Account Credit Facility or Facilities, or any combination of the foregoing, in such amount as will be necessary to bring the amount on deposit therein

to the Reserve Requirement for such Series of Bonds. The Indenture does not require the replacement of all or any portion of a Reserve Account Credit Facility following the rating thereon being downgraded, suspended or withdrawn nor any other action to alternatively satisfy the applicable Reserve Requirement.

Each Reserve Account will be replenished in the following priority: first, to make all payments required under all reimbursement agreements with the providers of Reserve Account Credit Facilities credited to such Reserve Account (and if there is not sufficient money on deposit in such Reserve Account to make all such payments, then on a *pro rata* basis to each provider); and second, after all such payments are made in full, the amount necessary to make the money and Reserve Account Credit Facility or Facilities or any combination of the foregoing deposited in or credited to such Reserve Account equal to the aggregate Reserve Requirements of the Bonds secured by such Reserve Account. If at any time there is not sufficient money to make all of the foregoing payments, such payments will be made to the extent of available money into each Reserve Account in the same ratio as the principal amount of the Outstanding Bonds secured thereby bears to the aggregate principal amount of all Outstanding Bonds secured by the Reserve Fund.

Subject to the paragraph immediately below, each Reserve Account may be drawn upon for the sole purpose of paying the principal and redemption price of and interest on the Bonds secured by such Reserve Account. Money set aside from time to time with the Trustee for the payment of such principal, redemption price, or interest will be held in trust equally and ratably for the Owners.

If at any time no event of default has occurred and is continuing and the amount on deposit in a Reserve Account is greater than the applicable Reserve Requirement, the Trustee will, upon receipt of a Written Request of the Authority, withdraw such excess and apply such amount as directed in such Written Request of the Authority.

Sewer Treatment Rate Stabilization Fund

The Sewer Treatment Rate Stabilization Fund is required to be established and is maintained pursuant to the Installment Purchase Agreement; however, no minimum balance is required by the Installment Purchase Agreement. Transfers in and out of this fund serve as a revolving mechanism to mitigate potential fluctuations in the rates for the Sewer Treatment Enterprise operations, and maintain stable debt service coverage ratios for the Outstanding Obligations.

From time to time the City may deposit in the Sewer Treatment Rate Stabilization Fund established under the Installment Purchase Agreement, from Current Revenues, such amounts as the City shall determine, provided that deposits for each Fiscal Year may be made until (but not after) two hundred seventy (270) days following the end of such Fiscal Year. As of June 30, 2016, the amount designated for sewer treatment rate stabilization was \$2,679,273. Upon the delivery of the 2016 Bonds, the Department will transfer such amount to the Sewer Treatment Rate Stabilization Fund established under the Installment Purchase Agreement.

The Department, on behalf of the City may withdraw amounts from the Sewer Treatment Rate Stabilization Fund for transfer to the Sewer Treatment Fund in accordance with the Installment Purchase Agreement, for inclusion in Revenues for any Fiscal Year, such withdrawals to be made until (but not after) two hundred seventy (270) days after the end of such Fiscal Year. Notwithstanding the foregoing, no deposit of Current Revenues to the Sewer Treatment Rate Stabilization Fund may be made to the extent such Current Revenues were included in the report of an Independent Certified Public Accountant or an Independent Financial Consultant submitted in accordance with the terms of the Installment Purchase Agreement regarding the issuance of Additional Obligations, and withdrawal of the Current Revenues to be deposited in the Sewer Treatment Rate Stabilization Fund from Revenues described in

said report would cause noncompliance with the terms of the Installment Purchase Agreement. Amounts on deposit in the Sewer Treatment Rate Stabilization Fund are not pledged to the payment of any Installment Payments (including the 2016 Purchase Payments) or the payment of debt service on the 2016 Bonds.

Investments

All moneys in any of the funds or accounts established with the Trustee pursuant to the Indenture will be invested by the Trustee solely in Permitted Investments as defined in the Indenture. Obligations purchased as an investment of moneys in any fund will be deemed to be part of such fund or account. All moneys held in the Sewer Treatment Fund will be invested in Qualified Investments and the investment earnings thereon will remain on deposit in such fund, except as otherwise provided in the Installment Purchase Agreement Indenture. See APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – INDENTURE” and “– INSTALLMENT PURCHASE AGREEMENT.”

Rate Covenant

The City will covenant in the Installment Purchase Agreement to fix, prescribe and collect rates, fees, charges and connection fees for the Sewer Treatment Enterprise which will be at least sufficient to yield, during each Fiscal Year, Net Revenues equal to one hundred ten percent (110%) of Debt Service for such Fiscal Year. The Department, on behalf of the City, may make adjustments from time to time in such rates, fees, charges and connection fees and may make such classification thereof as it deems necessary, but shall not reduce the rates and charges then in effect unless the Net Revenues from such reduced rates, fees, charges and connection fees will at all times be sufficient to meet the requirements of such covenant. For information on the possible limitation on the Department’s ability to comply with the rate covenant described above as a consequence of Proposition 218, see “RISK FACTORS – Rate-Setting Process Under Proposition 218” and “CONSTITUTIONAL LIMITATIONS ON TAXES AND SEWER TREATMENT RATES AND CHARGES – Article XIIC” and “– Article XIID.”

Covenant to Budget

The City will covenant in the Installment Purchase Agreement that it will include in the annual budget for the Sewer Treatment Fund for each Fiscal Year the Installment Payments due in that Fiscal Year. The City will furnish to the Trustee (who shall have no duty to review such budget), copies of each final budget of the Sewer Treatment Fund by September 1 of each year. The covenants on the part of the City are deemed by the City to be duties imposed by law and it shall be the duty of each and every public official of the City to take such action and do such things as are required by law in the performance of the official duty of such officials to enable the City to carry out and perform the covenants and agreements in the Installment Purchase Agreement agreed to be carried out and performed by the City.

Issuance of Additional Obligations Under the Installment Purchase Agreement

Pursuant to the Installment Purchase Agreement, the City may at any time issue any Bonds, or arrange with the Authority the issuance of any Bonds, the payments pursuant to which, or execute any Contract the Installment Payments pursuant to which, as the case may be, are payable from the Net Revenues on a parity with the payment by the City of the 2016 Purchase Payments, subject to satisfaction of the conditions specified in the Installment Purchase Agreement including, without limitation, that either (i) Net Revenues for the most recent audited Fiscal Year or for any unaudited twelve-month period during the eighteen months preceding the date of issuance or execution of such Additional Obligations shall have been equal to at least one hundred ten percent (110%) of the Maximum Annual Debt Service on all outstanding Bonds and Contracts and on such Additional Obligations, plus all amounts due on

Policy Costs during the then current Fiscal Year, as evidenced by a Certificate of the City or (ii) the estimated Revenues and Net Revenues for the first Fiscal Year in which no interest on such Additional Obligations is capitalized, as evidenced by a Certificate of the City and a report prepared by an Independent Certified Public Accountant or an Independent Financial Consultant, filed with the Trustee (which calculation shall take into account only adopted rates and charges), are sufficient to satisfy the rate covenant under the Installment Purchase Agreement (i.e., 110% of Maximum Annual Debt Service on all outstanding Bonds, Contracts, and Additional Obligations, plus all amounts due on Policy Costs during the then current Fiscal Year).

As defined in the Installment Purchase Agreement, the term “Additional Obligations” means all additional Bonds to be issued, and/or Contracts to be executed, by the City, the Department or the Authority in accordance with such terms. The term “Contracts” means the Installment Purchase Agreement and any amendments and supplements thereto, and all contracts of the City authorized and executed by the City, the Installment Payments under which are payable on a parity with the 2016 Purchase Payments and which are secured by a parity pledge and lien on the Net Revenues, but excluding contracts entered into for operation and maintenance of the Sewer Treatment Enterprise. The term “Bonds” means all revenue bonds or notes or other obligations of the City authorized, executed, issued and delivered by the City, or any revenue bonds or notes or other obligations payable from revenues generated by any Contract, in each case the payments of which are on a parity with the 2016 Purchase Payments and which are secured by a parity pledge of and lien on the Net Revenues. The term “Maximum Annual Debt Service” means, at any point in time, the maximum amount of Debt Service in the then current or any future Fiscal Year, as calculated by the City. The term “Policy Costs” means repayments of any draw under the 2016 Reserve Policy and any other Reserve Account Credit Facility, any expenses related thereto and any accrued interest.

See APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – INSTALLMENT PURCHASE AGREEMENT – Additional Bonds and Contracts.”

Notwithstanding the foregoing provisions, there are no limitations on the ability of the City to execute any Contract or to issue any Bonds, or arrange with the Authority to execute any Contract or to issue any Bonds at any time to refund any outstanding Bonds or any outstanding Contracts, provided that during the period in which Bonds or Contracts (other than the refunding or refunded Bonds and Contracts) will be outstanding, the Debt Service due in each Fiscal Year following such refunding will be less than what the Debt Service due in such Fiscal Year would have been without such refunding. There shall be no limitations on the ability of the City to incur debt or other obligations payable from Net Revenues on a basis subordinate to the payment by the City of the 2016 Purchase Payments.

Issuance of Additional Bonds Under the Indenture

Pursuant to the Indenture, the Authority may at any time issue Additional Bonds payable from Project Revenues as provided in the Indenture and secured by a pledge of and charge and lien upon Project Revenues as provided in the Indenture equal to the pledge, charge and lien securing the Outstanding Bonds (including the 2016 Bonds) theretofore issued under the Indenture, subject to satisfaction of the conditions specified in the Indenture including, without limitation, that (i) such Additional Bonds shall be applied solely for (A) the purpose of financing the completion of the Project or financing an Additional Project, including payment of all costs incidental to or connected with such financing, and/or (B) the purpose of refunding any Bonds then Outstanding, or any Contract, or any other obligation of the City relating to the Sewer Treatment Enterprise as the City may determine, including payment of all costs incidental to or connected with such refunding; and (ii) the provisions of the Installment Purchase Agreement set forth above under the caption “Issuance of Additional Obligations Under the Installment Purchase Agreement” shall have been satisfied and either (A) the Installment

Purchase Agreement shall have been amended so as to modify the 2016 Purchase Payments payable by the City thereunder by an amount at least sufficient to pay the interest on and principal of such Additional Bonds as the same become due or (B) the City shall have entered into a Related Contract providing for the City to make Purchase Payments in amounts sufficient to pay the interest on and principal of such Additional Bonds, and in each case such amendment or such Related Contract shall be consistent with the terms of the Installment Purchase Agreement set forth above under the caption “Issuance of Additional Obligations Under the Installment Purchase Agreement.”

See APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – INDENTURE – Conditions for the Issuance of Additional Bonds” and “– Procedure for the Issuance of Additional Bonds.”

The Indenture does not limit the issuance of any bonds of the Authority payable from Project Revenues and secured by a pledge of and charge and lien upon Project Revenues if after the issuance and delivery of such bonds none of the Bonds theretofore issued under the Indenture will be Outstanding. Nothing in the Indenture limits in any way the power and authority of the Authority to incur other obligations payable from other lawful sources.

DEBT SERVICE SCHEDULE

The following table sets forth the amounts required in each Fiscal Year for the payment of principal of and interest on 2016 Bonds, assuming no optional redemptions.

Table 1
Debt Service Schedule⁽¹⁾

Fiscal Year Ending June 30	Principal	Interest	Total Debt Service
2017	\$ --	\$ 127,052.29	\$ 127,052.29
2018	590,000	1,377,175.00	1,967,175.00
2019	610,000	1,356,125.00	1,966,125.00
2020	635,000	1,331,225.00	1,966,225.00
2021	665,000	1,301,900.00	1,966,900.00
2022	700,000	1,267,775.00	1,967,775.00
2023	735,000	1,231,900.00	1,966,900.00
2024	770,000	1,194,275.00	1,964,275.00
2025	810,000	1,154,775.00	1,964,775.00
2026	855,000	1,113,150.00	1,968,150.00
2027	895,000	1,069,400.00	1,964,400.00
2028	935,000	1,033,000.00	1,968,000.00
2029	965,000	1,003,896.88	1,968,896.88
2030	995,000	972,028.13	1,967,028.13
2031	1,030,000	937,212.50	1,967,212.50
2032	1,065,000	899,884.38	1,964,884.38
2033	1,105,000	860,553.13	1,965,553.13
2034	1,150,000	818,962.50	1,968,962.50
2035	1,195,000	773,500.00	1,968,500.00
2036	1,240,000	724,800.00	1,964,800.00
2037	1,290,000	674,200.00	1,964,200.00
2038	1,345,000	621,500.00	1,966,500.00
2039	1,400,000	566,600.00	1,966,600.00
2040	1,455,000	509,500.00	1,964,500.00
2041	1,515,000	450,100.00	1,965,100.00
2042	1,580,000	388,200.00	1,968,200.00
2043	1,645,000	323,700.00	1,968,700.00
2044	1,710,000	256,600.00	1,966,600.00
2045	1,780,000	186,800.00	1,966,800.00
2046	1,850,000	114,200.00	1,964,200.00
2047	1,930,000	38,600.00	1,968,600.00
Total⁽²⁾:	\$34,445,000	\$24,678,589.81	\$59,123,589.81

⁽¹⁾ Excludes remaining payments on the \$1.2 million San Bernardino Valley Municipal Water District loan for the UV System Rehabilitation Project. This loan is an unsecured obligation payable from the Sewer Treatment Fund.

⁽²⁾ Amounts have been rounded; total may not equal the sum of the components.

Source: The Department.

BOND INSURANCE

Bond Insurance Policy

Concurrently with the issuance of the 2016 Bonds, Assured Guaranty Municipal Corp. (“AGM”) will issue its Municipal Bond Insurance Policy for the 2016 Bonds (the “Policy”). The Policy guarantees

the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Policy included as Appendix H to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Assured Guaranty Municipal Corp.

AGM is a New York domiciled financial guaranty insurance company and an indirect subsidiary of Assured Guaranty Ltd. (“AGL”), a Bermuda-based holding company whose shares are publicly traded and are listed on the New York Stock Exchange under the symbol “AGO.” AGL, through its operating subsidiaries, provides credit enhancement products to the U.S. and global public finance, infrastructure and structured finance markets. Neither AGL nor any of its shareholders or affiliates, other than AGM, is obligated to pay any debts of AGM or any claims under any insurance policy issued by AGM.

AGM’s financial strength is rated “AA” (stable outlook) by S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“S&P”), “AA+” (stable outlook) by Kroll Bond Rating Agency, Inc. (“KBRA”) and “A2” (stable outlook) by Moody’s Investors Service, Inc. (“Moody’s”). Each rating of AGM should be evaluated independently. An explanation of the significance of the above ratings may be obtained from the applicable rating agency. The above ratings are not recommendations to buy, sell or hold any security, and such ratings are subject to revision or withdrawal at any time by the rating agencies, including withdrawal initiated at the request of AGM in its sole discretion. In addition, the rating agencies may at any time change AGM’s long-term rating outlooks or place such ratings on a watch list for possible downgrade in the near term. Any downward revision or withdrawal of any of the above ratings, the assignment of a negative outlook to such ratings or the placement of such ratings on a negative watch list may have an adverse effect on the market price of any security guaranteed by AGM. AGM only guarantees scheduled principal and scheduled interest payments payable by the issuer of bonds insured by AGM on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the relevant insurance policy), and does not guarantee the market price or liquidity of the securities it insures, nor does it guarantee that the ratings on such securities will not be revised or withdrawn.

Current Financial Strength Ratings

On July 27, 2016, S&P issued a credit rating report in which it affirmed AGM’s financial strength rating of “AA” (stable outlook). AGM can give no assurance as to any further ratings action that S&P may take.

On August 8, 2016, Moody’s published a credit opinion affirming its existing insurance financial strength rating of “A2” (stable outlook) on AGM. AGM can give no assurance as to any further ratings action that Moody’s may take.

On December 10, 2015, KBRA issued a financial guaranty surveillance report in which it affirmed AGM’s insurance financial strength rating of “AA+” (stable outlook). AGM can give no assurance as to any further ratings action that KBRA may take.

For more information regarding AGM’s financial strength ratings and the risks relating thereto, see AGL’s Annual Report on Form 10-K for the fiscal year ended December 31, 2015.

Capitalization of AGM

At September 30, 2016, AGM's policyholders' surplus and contingency reserve were approximately \$3,891 million and its net unearned premium reserve was approximately \$1,378 million. Such amounts represent the combined surplus, contingency reserve and net unearned premium reserve of AGM, AGM's wholly owned subsidiary Assured Guaranty (Europe) Ltd. and 60.7% of AGM's indirect subsidiary Municipal Assurance Corp.; each amount of surplus, contingency reserve and net unearned premium reserve for each company was determined in accordance with statutory accounting principles.

Incorporation of Certain Documents by Reference

Portions of the following documents filed by AGL with the Securities and Exchange Commission (the "SEC") that relate to AGM are incorporated by reference into this Official Statement and shall be deemed to be a part hereof:

(i) the Annual Report on Form 10-K for the fiscal year ended December 31, 2015 (filed by AGL with the SEC on February 26, 2016);

(ii) the Quarterly Report on Form 10-Q for the quarterly period ended March 31, 2016 (filed by AGL with the SEC on May 5, 2016);

(iii) the Quarterly Report on Form 10-Q for the quarterly period ended June 30, 2016 (filed by AGL with the SEC on August 4, 2016); and

(iv) the Quarterly Report on Form 10-Q for the quarterly period ended September 30, 2016 (filed by AGL with the SEC on November 4, 2016).

All consolidated financial statements of AGM and all other information relating to AGM included in, or as exhibits to, documents filed by AGL with the SEC pursuant to Section 13(a) or 15(d) of the Securities Exchange Act of 1934, as amended, excluding Current Reports or portions thereof "furnished" under Item 2.02 or Item 7.01 of Form 8-K, after the filing of the last document referred to above and before the termination of the offering of the 2016 Bonds shall be deemed incorporated by reference into this Official Statement and to be a part hereof from the respective dates of filing such documents. Copies of materials incorporated by reference are available over the internet at the SEC's website at <http://www.sec.gov>, at AGL's website at <http://www.assuredguaranty.com>, or will be provided upon request to Assured Guaranty Municipal Corp.: 1633 Broadway, New York, New York 10019, Attention: Communications Department (telephone (212) 974-0100). Except for the information referred to above, no information available on or through AGL's website shall be deemed to be part of or incorporated in this Official Statement.

Any information regarding AGM included herein under the caption "BOND INSURANCE – Assured Guaranty Municipal Corp." or included in a document incorporated by reference herein (collectively, the "AGM Information") shall be modified or superseded to the extent that any subsequently included AGM Information (either directly or through incorporation by reference) modifies or supersedes such previously included AGM Information. Any AGM Information so modified or superseded shall not constitute a part of this Official Statement, except as so modified or superseded.

Miscellaneous Matters

AGM makes no representation regarding the 2016 Bonds or the advisability of investing in the 2016 Bonds. In addition, AGM has not independently verified, makes no representation regarding, and

does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under this heading “BOND INSURANCE.”

THE SEWER TREATMENT ENTERPRISE

General

The Department is responsible for water service and sewage treatment and disposal. The Department operates two enterprise funds: the Sewer Utility Enterprise Fund (the “Sewer Treatment Fund” herein) and the Water Utility Enterprise Fund (the “Water Fund”), each as referred to in the audited financial statements of the Department. The City owns the Sewer Treatment Enterprise and operates the Sewer Treatment Enterprise through the Department. The Water Enterprise and its revenues do not secure the 2016 Purchase Payments or the 2016 Bonds.

The Department’s sewage disposal system consists of two main components: regional sewage treatment facilities at the WRP and RIX and the collection system within City limits. The Sewer Treatment Enterprise does not include the City’s collection system of sewer mains, lines and conveyance facilities.

The City’s sewer service billing is composed of a regional treatment charge for costs of the WRP and RIX, and a collection system charge. The Department bills and collects the total charge. Prior to the recent amendments to the City Charter, local collection system charges, which are not of Revenues, were then transferred to the City’s Public Works Department. As a result of the City Charter amendments described above, collection system charges, which are not of Revenues, are expected to be transferred to a dedicated enterprise fund other than the Sewer Treatment Fund.

The WRP serves about 89,000 customers, of which about 57,000 are located within the City’s boundaries. Of these, the City’s collection system serves about 63,377 customers, of which about 38,218 are located within the City’s boundaries. The WRP also treats sewage from the EVWD and Loma Linda. See “Contracts with Other Agencies” below. The Sewer Treatment Enterprise includes these regional sewage treatment facilities. The WRP receives sewage from the collection system within the Service Area. As described herein, the RIX receives approximately 27 MGD of secondary treated wastewater from the WRP and Colton’s treatment facility.

A substantial portion of the use of the WRP and the RIX is attributable to the following local agencies involved in the cooperative use and development of the City’s regional sewage treatment facilities:

- *East Valley Water District:* The EVWD serves an area east and north of the City, including the City of Highland. In 1958, the EVWD entered into a joint powers agreement with the City for treatment and disposal of sewage from the EVWD at the WRP.
- *City of Loma Linda:* Loma Linda is a general law city located east and south of the City. The City provides sewage treatment and disposal to Loma Linda under a joint powers agreement similar to that of the EVWD. In 1965, Loma Linda entered into a joint powers agreement with the City for treatment and disposal of sewage from Loma Linda at the WRP.

The EVWD is pursuing the development of a sewage treatment plant which, if developed and completed, would negate in whole or in part its partnering with the City for treatment of EVWD sewage at the WRP. See “Contracts with Other Agencies” below. The Department has projected that if the EVWD begins treating its own wastewater, the Department will lose at least \$4.5 million annually for 20 years for loss of use of a portion of the WRP which was sized to serve this partnering agency. For a description of litigation concerning the treatment plant and the potential for competing treatment facilities this party to a WRP JPA Agreement (as defined below), see “LITIGATION.”

The Department and its governing Board of Water Commissioners (the “Board”) were established on May 8, 1905 by the Mayor and the governing board of the City (called the Common Council) in accordance with the provisions specified in the City Charter. As a result of City Charter amendments in the form of a new City Charter (Revised City Charter Measure L) approved at the November 8, 2016 general election by a majority of 60.54% to 39.46%, the Board will consist of five members appointed by a vote of the Mayor and entire Common Council. The Department is currently governed by its five-member Board, appointed by the Mayor. The current members of the Board are:

Name	Office	End of Term
Toni Callicott	President	September 16, 2019
Judith Valles	Vice President	December 4, 2016*
Wayne Hendrix	Commissioner	April 6, 2021
Louis A. Fernandez	Commissioner	September 16, 2019
David E. Mlynarski	Commissioner	May 19, 2020

The Department has grown through the years to include: water supply, water reclamation, geothermal heating supply, and administrative support. The City Charter gives the Board semi-autonomous authority to manage the Department, including the Sewer Treatment Enterprise, independent of the Common Council. Under the City Charter, the Board has the following powers and responsibilities with respect to the Sewer Treatment Enterprise:

- a. Be responsible to oversee and manage the City’s wastewater collection and treatment functions in accordance with State law.
- b. Employ such persons, including a general manager, as may be needed for proper administration of the Sewer Treatment Enterprise.
- c. Set and collect all rates, fees and charges for operation of the Sewer Treatment Enterprise.
- d. Allocate all receipts and expenditures to separate, independent, Sewer Treatment Fund in accordance with State law.
- e. Collaborate with the Council, Mayor and City Manager concerning the Sewer Treatment Enterprise. In this regard, the Council shall take such actions as may be appropriate to enforce rules and regulations of the Board.
- f. Establish and periodically review and revise such rules and regulations as may be appropriate for managing the Sewer Treatment Enterprise.

* Board position is currently subject to appointment or reappointment upon a vote of the Mayor and Common Council, with the current member to remain in place until an appointment otherwise.

The impact of the new City Charter on the Department substantially includes a realignment under which the Department will assume responsibility from the Department of Public Works for all sewer operations, including the collection system of sewer mains, lines and conveyance facilities, and rate-setting authority delegated to the Board. Previously under the City Charter, the Common Council had the power to acquire, establish, construct, reconstruct, maintain, operate, manage, repair, improve or finance any building, system, plant, works, facilities or undertaking used for or useful in the treatment or disposal of sewage and the reclamation of effluent therefrom, or storm water, including drainage. The City Charter further provided that the Mayor and Common Council would levy charges for sewer service. Under the new City Charter, the City will have a council-manager form of government, with the City Manager running the City's day-to-day operations, supervising all City employees. The City Clerk, City Attorney and City Treasurer will no longer be elected, rather designated by appointment. The Mayor and the Common Council will be elected by plurality and provisions for run-off elections will be eliminated. Department heads, boards, commissions, committees will be appointed by the Common Council and Mayor, rather than by the Mayor alone.

In 1974, the Mayor and Common Council transferred responsibility for management and operation of the water reclamation (treatment) plant to the Board. At the November 8, 2016 general election, City voters approved City Charter amendments in the form of a new City Charter (Revised City Charter Measure L). Its impact on the Department substantially includes a realignment under which the Department will assume responsibility from the Department of Public Works for all sewer operations, including the collection system of sewer mains, lines and conveyance facilities, and rate-setting authority delegated to the Board, with the Department alone, rather than the Mayor and Common Council, having the power to acquire, establish, construct, reconstruct, maintain, operate, manage, repair, improve or finance any building, system, plant, works, facilities or undertaking used for or useful in the collection, treatment or disposal of sewage and the reclamation of effluent therefrom, or storm water, including drainage. Like sewer collection facilities, the Department has not to date had any obligation with respect to stormwater facilities or capture.

As a result of the City Charter amendments described above, the Board, will have the power and authority to establish charges for sewer service treatment and collection without the review or approval of any other governmental body, to refuse or terminate sewer service treatment and collection to delinquent customers, and to require full payment of delinquent amounts and reconnection fees to resume service.

The City's sewer service billing is composed of a regional treatment charge and a collection system charge. The Department bills and collects the total charge. Prior to the recent amendments to the City Charter, local collection system charges, which are not of Revenues, were then transferred to the City's Public Works Department. As a result of the City Charter amendments described above, collection system charges are expected to be transferred to a dedicated enterprise fund other than the Sewer Treatment Fund. Despite the Department assuming operational responsibility for the collection system, the collection system charge is not part of Revenues or Net Revenues. Like sewer collection facilities, the Department has not to date had any obligation with respect to stormwater facilities or capture.

Moneys held in the Sewer Treatment Fund shall be kept separate and apart from other moneys of the City. See "RISK FACTORS – Effect of City of San Bernardino Bankruptcy Case."

Operations of the Department are directed by the Board and its general manager. The City Charter provides that the City Manager shall not be responsible for the administration of the Department. The Board appoints the general manager of the Department, who is responsible for day-to-day operation of the Department.

Management

The Department is under the direction of Stacey R. Aldstadt, General Manager and Robin L. Ohama, Deputy General Manager. Terri Willoughby is the Department's Director of Finance.

Stacey R. Aldstadt – General Manager. Ms. Aldstadt was appointed General Manager in July 2005. Ms. Aldstadt began working for the Department in 1997 as Deputy General Manager. Ms. Aldstadt is a member of the State Bar of California, State Bar of Texas (currently inactive status) and admitted to several federal district courts; and member, American Water Works Association. She is Chairperson of the Colton/San Bernardino Regional Tertiary Treatment and Water Reclamation Authority; Secretary for the Lytle Creek Water Conservation Association; and Commissioner of the West End Water Development, Treatment and Conservation Joint Powers Authority. Ms. Aldstadt attended the University of Houston, where she received both her bachelor's degree and law degree. After passing the California bar exam in 1990, Ms. Aldstadt practiced law in Riverside, California with the law firms Thompson & Colegate and Redwine & Sherrill. Her practice areas included contract, personnel and general liability litigation. In 1996, she became a Deputy City Attorney for the City, advising the Department, among other departments, and handling complex litigation matters.

Robin L. Ohama – Deputy General Manager. Ms. Ohama was named as Deputy General Manager in October 2005. As Deputy General Manager, Ms. Ohama assists the General Manager and Water Division and Sewer Division Directors in the administration of water and water reclamation services of the Department. She directly manages administrative services for the Department which includes Purchasing, Customer Service, and Human Resources. With extensive management experience in both the public and private sectors, Ms. Ohama previously worked as a Human Resources Division Chief for the County of San Bernardino. She also was employed as the Department Administrator for Occupational Health Services for the Inland Empire Kaiser Permanente medical facilities. Ms. Ohama also served as Medical Liaison for the State Compensation Insurance Fund, the state's largest workers' compensation carrier. Ms. Ohama attended the University of Southern California where she received her Bachelor of Arts degree in both English and Journalism. She then went on to earn a Juris Doctorate degree from Western State University College of Law.

Terri Willoughby – Director of Finance. Ms. Willoughby was appointed Director of Finance in July 2014. Ms. Willoughby has worked in the public sector for twenty years, working for the County of Riverside, and cities of Riverside, Barstow and Menifee in capacities ranging from Assistant Controller to Finance Director. Ms. Willoughby was previously the Southern California board representative for the California Society of Municipal Finance Officers, and is currently active in the organization. Ms. Willoughby also volunteers her time as the Treasurer of the Riverside Road Runners, a non-profit organization in Riverside, CA. Ms. Willoughby attended California State University, San Bernardino where she earned a bachelor's degree in Business Administration with a concentration in Accounting in 1993 and a Masters in Public Administration in 2007.

The Sewer Treatment Enterprise is under the direction of John A. Claus – Director of Water Reclamation.

John A. Claus – Director of Water Reclamation. Mr. Claus was appointed Director of Water Reclamation in January 2008. As Director, Mr. Claus oversees the operation and maintenance of the WRP and the RIX and other assets of the Sewer Treatment Enterprise. Mr. Claus is responsible for maintaining compliance with all required State and Federal regulations, including the National Pollutant Discharge Elimination System (NPDES) permits issued by the California Regional Water Quality Control Board. Mr. Claus has been involved in the operation, maintenance, and management of wastewater agencies and facilities since 1988. Mr. Claus entered the U.S. Navy immediately after high school and served six years

as a Gas Turbine Systems Technician. He began his career in the wastewater field at the Yucaipa Valley Water District, where he worked as a Laboratory Technician and then as a Treatment Plant Operator. After working for the district for six years, he joined the City of Riverside in 1994, where over the span of nearly ten years, he held the positions of Wastewater Process Control Supervisor, Wastewater Operations Manager, and Wastewater Systems Manager. Prior to his employment with the Department, Mr. Claus worked in the engineering consulting industry with the firm of Carollo Engineers for three years. He was responsible for the development of plant operations manuals, performing process troubleshooting and process start-ups, and conducting operator training in the wastewater industry. Mr. Claus attended the University of Redlands, where he received his Bachelor's Degree in Business Administration and Management. He holds a Grade V Wastewater Treatment Plant Operator Certificate, issued by the California State Water Resources Control Board. He is a member of the Water Environment Federation and the California Water Environment Association.

Employees

The Department has a staff of 280, including the Board. Primary functions and staffing are as follows:

Administration:	88	Administration of the Department, including Management, Environmental and Regulatory Compliance, Finance and Accounting, Human Resources, Customer Service, Information Technology and Purchasing.
Water Enterprise:	108	Operate, monitor and regulate wells, reservoirs and treatment plants.
Sewer Treatment Enterprise:	84	Utilize modern wastewater treatment processes to maintain compliance with required discharge limits.

There is some overlap of duties among Department employees between the Water Enterprise and the Sewer Treatment Enterprise with a roughly 60/40 proportion of headcount and costs between the two divisions.

Department employees are unrepresented but terms of employment are reflected in part in a Memorandum of Understanding with the Department. The Department enjoys good relations with its employees and has not experienced a work stoppage.

Board members, management and eligible staff of the Department are provided pension benefits as part of the City's Miscellaneous Plan (the "Miscellaneous Plan"), an Agent Multiple-Employer Defined Benefit Pension Plan administered by the California Public Employees' Retirement System ("CalPERS"). The Department is part of the Miscellaneous Plan. Additionally, certain other post-employment healthcare benefits ("OPEB") are provided to employees of the Department. For more information including a description of the Miscellaneous Plan, OPEB, plan liabilities, costs to the Sewer Treatment Enterprise, and projections, see "THE SEWER TREATMENT ENTERPRISE – Employees' Retirement Benefits" and "– Other Post-Employment Healthcare Benefits." See also, Notes 7 and 8 in APPENDIX B – "COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016."

Additional services for the collection system of sewer mains, lines and conveyance facilities are provided by employees of the City's Public Works Department, including the Operations & Maintenance Division, and Sewer Line Maintenance Section.

Operations, Service Area and Principal Customers

The Service Area includes approximately 64,000 connections in the City and portions of unincorporated San Bernardino County and the partnering agencies, Loma Linda and the EVWD. The Department's sewer treatment services are provided to residential and commercial/industrial customers in the City, as well as residential and commercial/industrial customers of its two partner local agencies, the EVWD and Loma Linda. See "Contracts with Other Agencies" below. The WRP serves about 89,000 customers, of which about 57,000 are located within the City's boundaries. Of these, the City's collection system serves about 63,377 customers, of which about 38,218 are located within the City's boundaries. The Sewer Treatment Enterprise's largest source of revenue is sewer service charges from customers in the City, and from Loma Linda and the EVWD. See "LITIGATION – The City and the Enterprise." Service charges account for virtually all of operating income and about 90% total Sewer Treatment Enterprise revenues.

The customers of the WRP for fiscal years ended June 30, 2013 through June 30, 2016 are shown in the table below. For fiscal year 2015-16, residential and multi-family customers account for approximately 63% of total customers.

Table 2
City of San Bernardino Municipal Water Department
Treatment Plant Customers
(Fiscal Years 2012-13 through 2014-15)

	<u>2012-13</u>	<u>2013-14</u>	<u>2014-15</u>	<u>2015-16</u>	<u>% Share</u>
City	38,010	37,947	38,218	38,266	59.48%
EVWD	20,051	19,519	19,531	19,537	30.36
Loma Linda	5,248	5,248	5,628	6,539	10.16

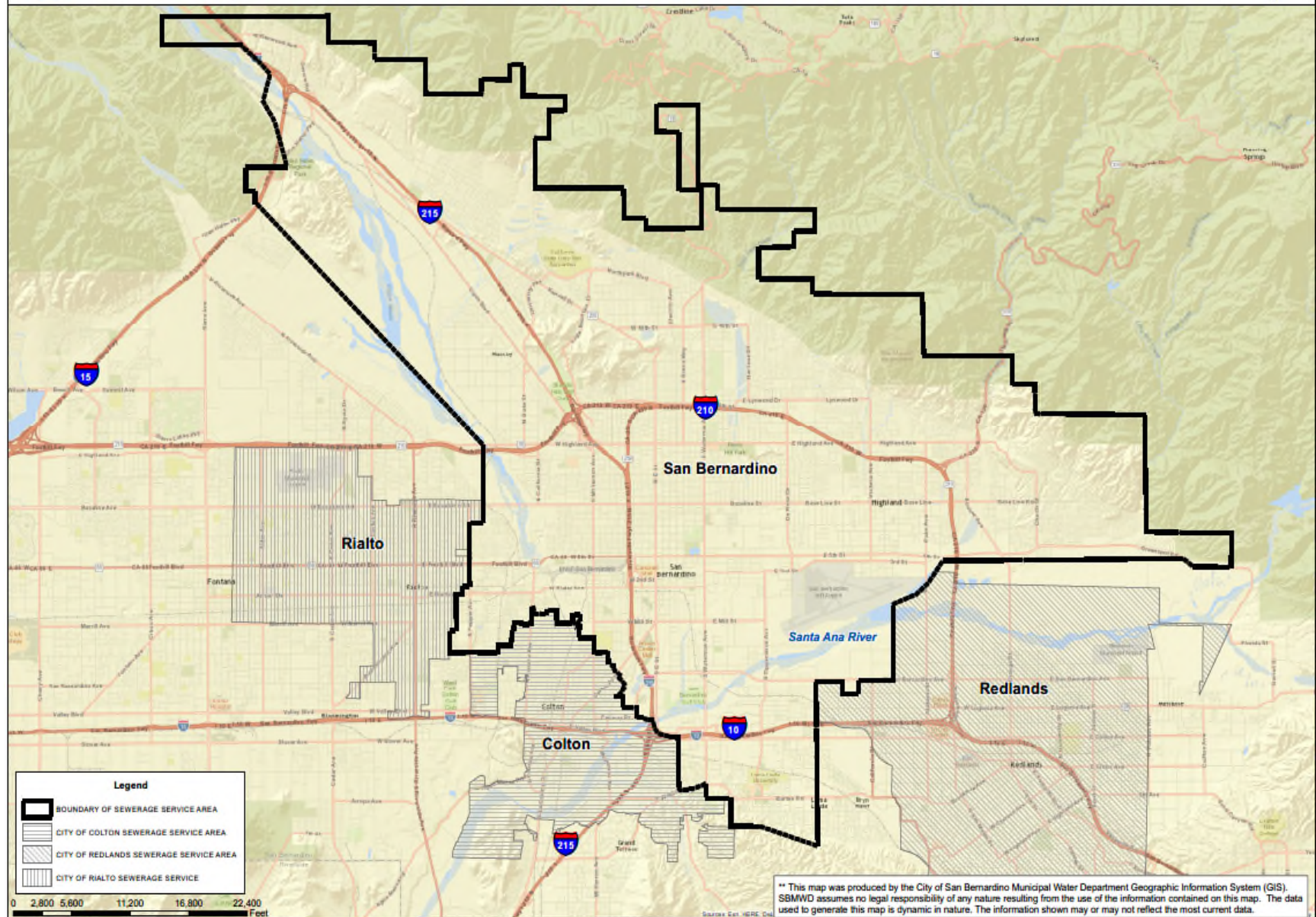
Source: The Department.

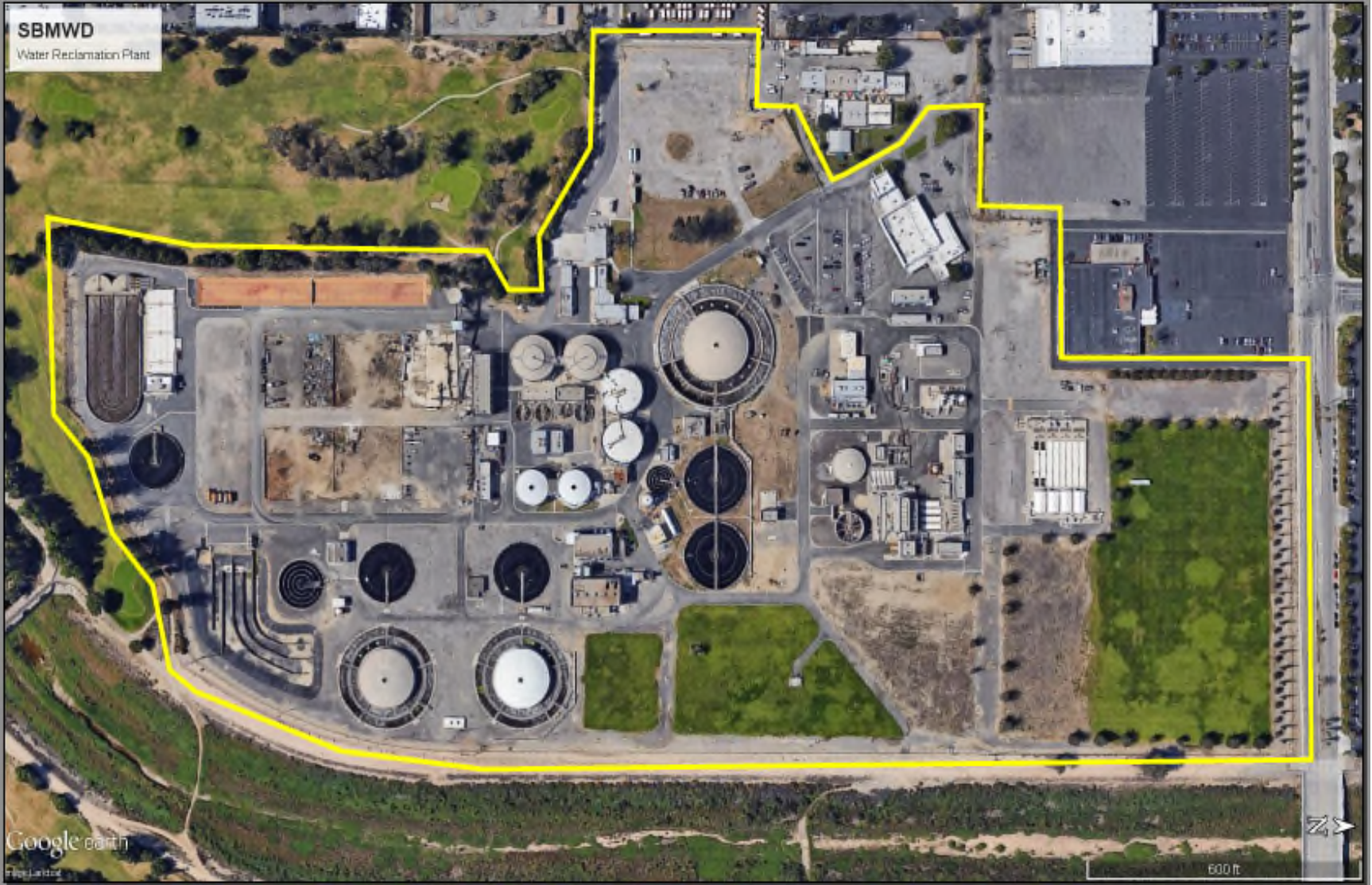
No single City customer accounted for more than 2% of the gross revenues of the Sewer Treatment Enterprise.

The maps below shows the Service Area and an aerial view of the WRP.



City of San Bernardino - Wastewater Treatment Facility Service Area





SBMWD
Water Reclamation Plant

Google earth
© 2014 Google



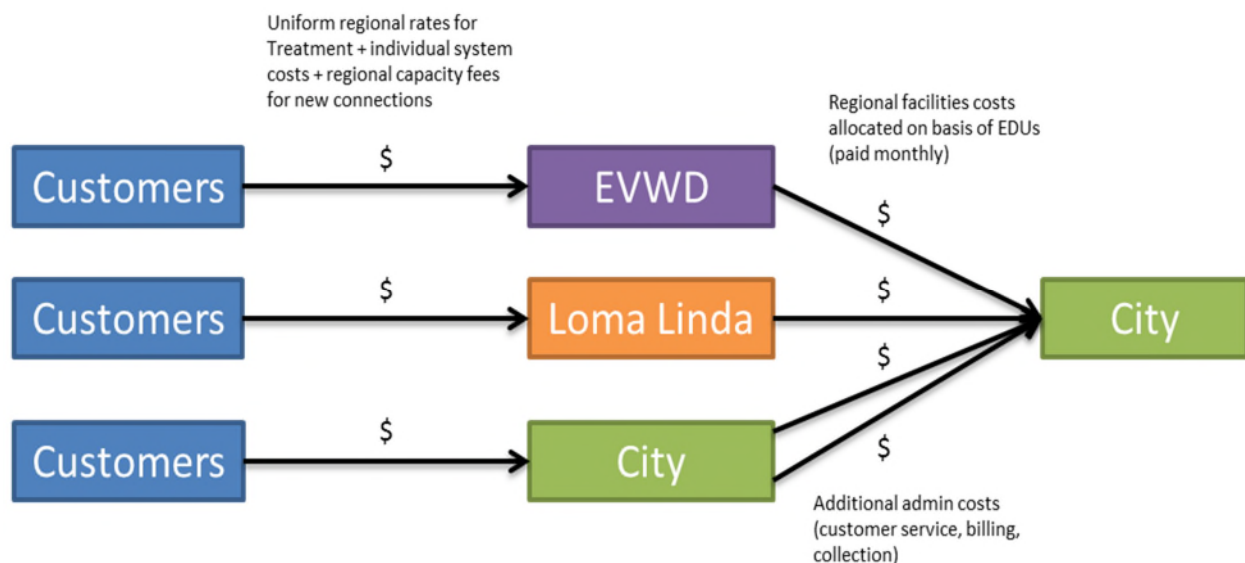
600 ft

Contracts with Other Agencies

Regional WRP JPA Agreements. The City has joint powers agreements with the EVWD (as successor to the East San Bernardino County Water District) and Loma Linda (the “WRP JPA Agreements”) for wastewater treatment at the WRP. The agreement with the EVWD was originally approved in 1958, and that with Loma Linda was originally approved in 1965. Each has been amended subsequently. The terms of the WRP JPA Agreements are essentially similar. Neither has a stated term, and each provides that it can only be amended and modified by mutual consent and is to continue in effect until terminated by mutual consent of the parties. Currently, the EVWD disputes that it has an obligation under its WRP JPA Agreement to convey its wastewater to City facilities for treatment. For a description of litigation with respect to actions by the EVWD with respect to their respective actions to jointly propose and develop a sewage treatment plant, see “LITIGATION.” In the event that EVWD determines to cease sending wastewater to City facilities for treatment, any operational shortfalls resulting from a decline in the use of capacity would be allocated among remaining users.

The WRP JPA Agreements establish certain rules and requirements with respect to the discharge of sewage into their respective sewer systems, including requirements that the EVWD and Loma Linda abide by, and require their customers to abide by, the City’s rules and regulations regarding sewer service.

Under the WRP JPA Agreements, all costs attributable to regional facilities will be shared by the parties to these and other agreements in proportion to the number of equivalent dwelling units served by each party. The regional cost per dwelling unit equivalent will be determined by the City at the close of each fiscal year by dividing the total regional costs (as defined in the WRP JPA Agreements) by the number of regional dwelling unit equivalents. Each agency is responsible for the costs of the number of dwelling unit equivalents attributable to its customers. Each agency agrees to impose regional capacity fees through the term of the agreement. The regional capacity fee shall increase in proportion to the most recently published 12 month increase in CPI. As provided in the WRP JPA Agreements, funds collected from such source shall be used exclusively to finance the expansion of capital improvements or additions to the regional treatment facilities. Each party has agreed that the City will not make treatment capacity in the regional facility available to any future user unless such future user has paid a regional capacity charge of an amount equal to or greater than the regional capacity charge then in effect.



Certain expenses are allocated only within the City as expenses associated with the Department's customer service, billing, and cashiering services. These services are most appropriately allocated only within the City because the Department only provides them for the City customers. The Department does not provide them for EVWD and Loma Linda customers. Recognition of recovery of Department-only expenses only from the City customers is done by an addition to the Monthly Charge in addition to the systemwide average percentage increase. Conversely, the Monthly Charge applicable to EVWD and Loma Linda will be lower than that applicable to the City.

Under the WRP JPA Agreements, the City, the EVWD, and Loma Linda all agree to adopt uniform regional sewer rate ordinances or resolutions to fix the charges applicable to regional facilities and treatment charges and a uniform base fee for treatment capacity. Each party also agrees to implement a uniform system of assigning dwelling unit equivalents to its customers. Each party has the right to levy charges in addition to the regional monthly rate for their respective customers. Regional charges are restricted to regional facilities.

Each party agrees to impose a regional capacity fee on all new connections within its Service Area. Funds collected from such regional capacity fees are to be used exclusively to finance the expansion of capital improvements or additions to regional treatment facilities. The City cannot make treatment capacity in the regional facility available to any future customer unless that future customer has paid a regional capacity fee of any amount equal to or greater than the regional capacity fee then in effect.

As compensation to the City for services rendered in providing treatment capacity and treating and disposing of wastes from the EVWD and Loma Linda, the EVWD and Loma Linda have agreed to pay to the Department at the end of each monthly period, or other period established by each party for imposing and collecting sewer service charges, the aggregate of regional facilities and treatment charges and regional capacity fees under the WRP JPA Agreements. Any amount of such payment which is in dispute shall be paid to the City with a notation that it is paid under protest and shall be repaid at a later time if so decided by any appropriate court of law. Payments required under the WRP JPA Agreements shall be paid within 30 days of the due date. Payments not made within 30 days of the due date will bear interest at the current prevailing prime rate of interest until paid.

Colton/San Bernardino Regional Tertiary Treatment and Water Reclamation Authority. On August 2, 1994, the City, through the Department, formed a joint powers authority with the City of Colton to construct, operate, use and maintain tertiary wastewater treatment, disposal and water reclamations systems, including the Regional Rapid Infiltration and Extraction Facility ("RIX"). This authority is governed by a separate board consisting of four members; two appointed by the City, through the Board, and two appointed by the City Council of the City of Colton. Construction of RIX was administered by the Santa Ana Watershed Project Authority and was substantially completed in 1996, at which time administration and operation was turned over to the City.

The RIX provides further treatment of effluent from the WRP and from the City of Colton's separate treatment facility in order to meet State of California Title 22 tertiary treatment standards and the discharge standards specified in a separate NPDES permit issued to the RIX facility. Its discharges are released to the Santa Ana River in substantial compliance with these permit requirements.

The City and the City of Colton each have a measurable equity interest in the net position of RIX in proportion to their contributions, which are based on an 80% / 20% split, respectively. Annual revenues (in the form of contributions from the two member cities) are equal to annual expenses. For a description of certain environmental issues and threatened litigation, see "LITIGATION."

Customers

The following table sets forth the historical number of connections to the Sewer Treatment Enterprise for each year from Fiscal Years 2010-11 through 2015-16.

Table 3
City of San Bernardino Municipal Water Department
Historical Number of Sewage Treatment Connections
Fiscal Years 2010-11 through 2015-16

User Type	2010-11	2011-12	2012-13	2013-14	2014-15	2015-16
San Bernardino Residential	32,447	32,571	32,563	32,537	32,874	32,889
San Bernardino Nonresidential	5,416	5,412	5,447	5,410	5,344	5,377
EVWD Residential	18,700	18,813	18,925	18,404	18,480	18,477
EVWD Nonresidential	1,138	1,128	1,126	1,115	1,051	1,060
Loma Linda Residential	4,648	4,443	4,663	4,656	5,040	5,948
Loma Linda Nonresidential	584	589	585	592	588	591

Source: The Department; from the Department's audited financial statements.

The Sewer Treatment Enterprise's principal source of revenues is sewer service charges from the City, and from Loma Linda and the EVWD, including residents and non-residential enterprises. The following table sets forth the historical sources of revenues of the Sewer Treatment Fund for Fiscal Years 2010-11 through 2015-16. The table includes sewer rate revenues under the current rate schedule, not including the rates effective on October 1, 2016, and to be effective on July 1, 2017.

Table 4
City of San Bernardino Municipal Water Department
Historical Sources of Sewer Treatment Enterprise Revenues
Fiscal Years 2010-11 through 2015-16

User Type	2010-11	2011-12	2012-13	2013-14	2014-15	2015-16	% of 2015-16
San Bernardino Residential	\$ 7,053,263	\$ 7,650,142	\$ 7,922,936	\$ 8,111,634	\$ 8,056,827	\$ 8,746,617	34.96%
San Bernardino Nonresidential	7,131,988	7,877,416	8,332,214	8,033,072	7,240,533	7,125,053	28.47
EVWD Residential	3,645,721	4,019,127	4,188,434	4,149,836	4,093,625	4,008,039	16.02
EVWD Nonresidential	2,070,233	2,492,375	2,434,118	2,725,075	2,571,813	2,825,971	11.29
Loma Linda Residential	870,734	933,648	1,063,124	991,387	997,242	1,008,071	4.03
Loma Linda Nonresidential	1,048,402	1,258,747	1,549,643	1,330,102	1,294,612	1,308,474	5.23
Total	\$21,820,341	\$24,231,455	\$25,490,469	\$25,341,106	\$24,254,652	\$25,022,225	100.00%

Source: The Department; from the Department's audited financial statements.

The following table sets forth the 10 largest customers of the Sewer Treatment Enterprise for Fiscal Year 2015-16, which customers provided approximately 5.35% of the total Sewer Treatment Enterprise revenues (\$25,022,225) for such Fiscal Year.

Table 5
City of San Bernardino Municipal Water Department
Top Ten Sewage Treatment Customers
(Fiscal Year 2015-16)

Customer	Revenues	Percent of Total
San Bernardino City Unified School District	\$ 260,086	1.03%
Housing Authority of the County of San Bernardino	236,323	0.95
County of San Bernardino	186,730	0.75
Pama Management Company	134,567	0.54
St. Bernardine Hospital/CHW	131,408	0.53
City of San Bernardino	91,303	0.36
243 North Meridian LLC	80,887	0.32
Lido Condominiums	75,172	0.30
W. Dean Weidner	72,205	0.29
Baghdady, Henry	70,226	0.28
Top Ten Customers Total	<u>\$1,338,907</u>	<u>5.35%</u>

Source: Statistical Section (Unaudited) of the Department's Comprehensive Annual Financial Report for Fiscal Year 2015-16.

Establishment of Sewer Service Charges

The primary sources of moneys deposited in the Sewer Treatment Fund are sewer service charges from the City, and from Loma Linda and the EVWD. The City sewer service billing is composed of a regional treatment charge and a collection system charge. The Department bills and collects the total charge. The City establishes a uniform regional treatment charge for all customers served by the WRP. The agencies served by contract pay the regional treatment costs by charging their customers the regional treatment charge and remitting the total of such charges attributable to their customers to the City. Regional treatment charges to Loma Linda and EVWD are calculated by the partnering agency, remitted to the Department and upon receipt confirmed by the Department based on volume of effluent and reported revenues.

Rates and charges for sewage treatment are reviewed and changes recommended by the Board. As a result of City Charter amendments described above, rates hereafter will be adopted by the Board, rather than adopted by the Mayor and Common Council as under the prior City Charter provisions, with the Department required by the City Charter to set and collect all rates, fees and charges for operation of the Sewer Treatment Enterprise. The Common Council had, and the Board will have, the power and authority to establish charges for sewer service without the review or approval of any other governmental body, to refuse or terminate sewer service to delinquent customers, and to require full payment of delinquent amounts and reconnection fees to resume service.

The Department has defined two categories of sewer customers—residential and commercial/industrial. Residential customers are single-family residences, duplexes, or triplexes charged on a unit basis. All other customers, including apartments, trailer courts, and commercial/industrial customers, are charged on the basis of flow and strength. The flow portion of charges to nonresidential customers is based on water consumption as reflected by water meter readings for the billing period, and may be reduced for the purpose of establishing charges subject to seasonal or consumptive use approved by the Board.

Sewer treatment fees, rates and charges to City customers of the Sewer Treatment Enterprise are collected on a combined municipal utility bill that also includes sewer collection system charges, water rates and charges and storm drain fees. Bills are distributed on a bi-monthly basis for most customers and

on a monthly basis for higher consumption residential, commercial and industrial customers. Like sewer collection facilities, the Department has not to date had any obligation with respect to stormwater facilities or capture.

The Department completed a Sewer Treatment Rate Study on September 21, 2015 (the “Rate Study”) and the Common Council approved sewer rate increases on September 24, 2015. The Department and City implemented a three-step increase in sewer treatment fees, rates and charges of approximately 8.5% for implementation on October 1, 2015 and July 1, 2016, respectively; and 3.25% to be effective on July 1, 2017. The Department’s prior, most recent Sewer Treatment Rate Study was completed in approximately 2010, and the Common Council last implemented a two-phase sewer treatment adjustment in January 2012.

The Rate Study reviewed projected sewer treatment revenue requirements for the six-year study period for Fiscal Years 2015-16 through 2020-21; presented a schedule of sewer treatment rates effective through the end of Fiscal Year 2017-18 for the Board and Common Council to consider in the first half of 2015, and outlined potentially changing conditions with financial implications, with recommendations for ongoing monitoring of these items.

Additional local collection rates are also levied to cover costs of the sewage collection system. Prior to the recent amendments to the City Charter, local collection system charges, which are not of Revenues, were then transferred to the City’s Public Works Department. As a result of the City Charter amendments described above, collection system charges are expected to be transferred to a dedicated enterprise fund other than the Sewer Treatment Fund. The Sewer Treatment Enterprise does not include the City’s collection system. The collection system charge is not part of Revenues or Net Revenues.

The following table sets forth a schedule of current sewer rates charged, and to be charged, for all residential, commercial, and industrial use.

Table 6
City of San Bernardino Municipal Water Department
Current Sewer Rate Schedule

Customer Class	Rates, Effective On:			Unit of Charge ⁽¹⁾
	10/1/2015	7/1/2016	7/1/2017	
Monthly Charge (San Bernardino)				
Residential	\$20.65	\$22.38	\$23.10	\$/Month/Account
Multi-Family (2 Units)	41.31	44.76	46.20	\$/Month/Account
Multi-Family (3 Units)	61.96	67.14	69.29	\$/Month/Account
Multi-Family, Mobile Home Parks (4 or more units)	3.18	3.42	3.52	\$/Month/Account
Non-Residential	3.18	3.42	3.52	\$/Month/Account
Industrial	1.67	1.78	1.83	\$/Month/Account
Monthly Charge (EVWD and Loma Linda)				
Residential	19.18	20.85	21.55	\$/Month/Account
Multi-Family (2 Units)	38.37	41.72	43.10	\$/Month/Account
Multi-Family (3 Units)	57.55	62.58	64.64	\$/Month/Account
Multi-Family, Mobile Home Parks (4 or more units)	1.71	1.90	1.97	\$/Month/Account
Non-Residential	3.18	3.42	3.52	\$/Month/Account
Industrial	0.20	0.26	0.28	\$/Month/Account
Usage Charge (All Customers)				
Multi-Family (4+ Units), Mobile Home Parks	1.36	1.48	1.53	\$/hcf
Retail, Commercial, Light Industrial	2.28	2.47	2.55	\$/hcf
Auto Repair, Car Wash	1.41	1.53	1.58	\$/hcf
Offices, Motels (without Restaurants)	1.63	1.77	1.83	\$/hcf
Restaurants, Hotels	2.93	3.18	3.28	\$/hcf
Laundromats	1.63	1.77	1.83	\$/hcf
Hospitals, Convalescent Homes	1.46	1.58	1.63	\$/hcf
Schools, Churches, Nursery Schools	1.19	1.29	1.33	\$/hcf
Domestic Liquid Waste	0.043	0.047	0.049	\$/gallon
Industrial				
Discharge Flow	977.00	1,060.00	1,094.00	\$/MG
Biochemical Oxygen Demand Charge	391.00	424.00	438.00	\$/1,000 lbs
Suspended Solids Charge	694.00	753.00	778.00	\$/1,000 lbs

(1) \$/hcf is per hundred cubic feet ("hcf"); \$/MG is per millions of gallons of flow; \$/1,000 LBS is calculated by weight in pounds of biochemical oxygen demand and suspended solids in wastewater.

Source: The Department.

The following is a summary of categories of sewer rates:

Sewer Service Charges: Table 6 above shows the current sewer service charges and the total charges by type of customer. Service charges account for virtually all of operating income and about 90% total Sewer Treatment Fund revenues.

The most recent sewer treatment rate schedules became effective on October 1, 2015 and July 1, 2016. Further rate increases are approved with an effective date of July 1, 2017. Currently, single-family residential customers and two- and three-unit multi-family customers within the City pay flat monthly service charges. In addition, all other non-industrial customers pay a usage charge that depends on the amount of metered water consumption. This usage charge depends on the type of customer. Rates for the City's industrial customers are based on the amount of flow, biochemical oxygen demand ("BOD") and total suspended solids ("TSS") discharged.

The key sources of sewer revenues other than sewer treatment rates are the following, which are typically billed separately from service charges:

Connection Fees: Each application for a permit to connect any property to a public sewer is required to be accompanied by a connection fee designated for construction and improvement of the WRP, to provide additional capacity to meet increased demand, in an amount as described below.

Residential — for each single family house and for each dwelling unit in a duplex or triplex, the current connection fee is \$3,500 per unit.

Multiple residential and non-residential — for multiple dwellings in excess of three units, mobile home parks, motels, hotels and commercial, institutional and industrial connections, and any other type of connection, currently the Department will estimate the amount of sewage effluent resulting from the connection at a gallon per day basis, and will set the connection fee at an amount equal to approximately \$12.45 per gallon.

Sewer connection fees represent the cost of connecting (i.e. a residence) to the existing system. Sewer capacity fees (discussed immediately below) are charged when a property is deemed to cause the need for additional capacity beyond the existing system. These fees are applicable to development within the City, Loma Linda, and the EVWD service areas. These fees are based on the value of the capital facilities necessary to serve new customers and are established by the City and also implemented by EVWD and Loma Linda.

Sewer Capacity Fees. These are one-time fees payable at the time of development or change in use that represent a proportionate share of the cost of sewer treatment capacity. Capacity fees are charged when a property is deemed to cause the need for additional capacity beyond the existing system. Capacity fee revenues dropped substantially during the economic downturn but have rebounded to some extent in recent years.

Brine Line Discharge and Permits. The Department receives fees in connection with its operation of the Santa Ana Regional Interceptor (“SARI”) station, which is operated under an agreement with the San Bernardino Valley Municipal Water District (“Valley District”) for the discharge of brine wastewater.

Septic Receiving Fees. The Department receives approximately \$100,000 per year from septic customers that deliver sewage to the WRP.

Industrial Waste Income. The Department receives approximately \$90,000 per year in industrial waste income.

Interest Income. The Department invests its capital and operating reserves and earns interest income on these reserves. In Fiscal Year 2014-15, interest income was approximately \$510,000.

Capital Grants. The Department does pursue grant funding for capital projects. Grant funding is competitive and is difficult to obtain. Historically, the Sewer Treatment Enterprise has utilized grant funding when possible for capital projects.

Advance Rights. In 1984, the City adopted a resolution that provided for financing of additional capacity in the WRP by advance sales of capacity rights to property owners for a limited time. The right is a guarantee of sewer capacity and can be resold only through the City or applied towards the capacity fee at the time of connection. The City sold approximately 19,000 single-family equivalent dwelling units of sewer capacity rights. Such sales were made for cash, term purchase agreements, or letters of credit. Revenue from these sales have been used to fund growth-related capital projects. Any remaining funds are reflected in restricted asset accounts.

The Fiscal Year 2015-16 Sewer Treatment Enterprise revenues are less than the past couple of years. The average water consumption per single-family residential connection decreased from 21 hundred cubic feet (“hcf”)/month in 2013 to 16 hcf/month in 2015.

The following table sets forth a schedule of historic, current and pending sewer treatment rates charged, and to be charged.

Table 7
City of San Bernardino Municipal Water Department
Sewage Treatment Rate History

	<u>7/1/1995</u>	<u>1996- 2004</u>	<u>7/1/2004</u>	<u>1/1/2009</u>	<u>1/1/2010</u>	<u>2/1/2011</u>	<u>1/1/2012</u>	<u>10/1/2015</u>	<u>7/1/2016</u>	<u>7/1/2017</u>
Residential (monthly per EDU)	\$13.25	no chng.	\$14.50	\$15.25	\$16.00	\$17.00	\$18.50	\$20.65	\$22.38	\$23.10
Commercial:										
Commodity Charge (per hcf)										
Multifamily, mobile home parks	0.75	no chng.	0.83	0.90	0.95	1.10	1.25	1.36	1.48	1.53
Retail, commercial, light industrial	1.10	no chng.	1.70	1.80	1.90	2.00	2.10	2.28	2.47	2.55
Auto repair, car wash	1.20	no chng.	1.17	1.25	1.30	1.30	1.30	1.41	1.53	1.58
Offices, motels (without restaurants)	0.95	no chng.	1.32	1.40	1.50	1.50	1.50	1.63	1.77	1.83
Restaurants, hotels	1.70	no chng.	1.84	1.90	2.00	2.35	2.70	2.93	3.18	3.28
Laundromats	0.90	no chng.	1.15	1.25	1.30	1.40	1.50	1.63	1.77	1.83
Hospitals, convalescent homes	0.80	no chng.	0.84	0.90	0.95	1.15	1.35	1.46	1.58	1.63
Schools, churches, nursery schools	0.50	no chng.	0.62	0.65	0.70	0.90	1.10	1.19	1.29	1.33
Industrial:										
Discharge Flow (per million gal.)	826.67	no chng.	816.10	860.00	900.00	900.00	900.00	977.00	1,060.00	1,094.00
Biological Oxygen demand (per 1K lbs)	†	no chng.	264.91	280.00	292.00	330.00	360.00	391.00	424.00	438.00
Suspended Solids	†	no chng.	577.41	610.00	640.00	640.00	640.00	694.00	753.00	778.00

† Information is not available.

Source: The Department.

Example Monthly Sewer Bill Comparison

The following table compares example monthly residential sewer bills with those for other local utilities. The comparison includes both sewer treatment and sewer collection. This table shows that the Department's monthly sewer bill for the average residential customer is lower than most neighboring agencies, subject to footnote 6, even after the approved rate increases of 8.5%, 8.5% and 3.5%, respectively, effective on October 1, 2015 and July 1, 2016, and to be effective on July 1, 2017. The table shows, as to other jurisdictions, information available as of 2015 and where known, includes in the table notes information about future rate increases that have already been adopted. This table separately identifies rates for sewer collection and treatment, as some but not all utilities have separate charges. It is important to note that most of the neighboring sewer systems have either adopted rate increases that will take effect in the future, or are currently reviewing their sewer rates.

Table 8
City of San Bernardino Municipal Water Department
Monthly Single-Family Residential Bill Comparison⁽¹⁾

Utility	Treatment	Collection ⁽²⁾	Total
San Bernardino ⁽²⁾			
Effective 10/1/15	\$20.65	\$9.00	\$29.65
Effective 7/1/16	22.38	9.45	31.83
Effective 7/1/17	23.10	9.92	33.02
Other Jurisdictions ⁽¹⁾			
Rialto ⁽³⁾	N/A	N/A	50.72
EVWD ⁽⁴⁾	19.18	15.36	34.54
Riverside ⁽⁵⁾	N/A	N/A	33.62
Colton ⁽⁶⁾	N/A	N/A	33.00
Loma Linda ⁽⁴⁾	19.18	10.97	30.15
Redlands	N/A	N/A	23.24
Fontana ⁽⁷⁾	14.39	7.37	21.76
Cucamonga Valley Water District ⁽⁷⁾	14.39	5.73	20.12

(1) Rates effective as approved and effective as of 2015. "N/A" means that treatment and collection rates are not broken out separately.

(2) The Sewer Treatment Enterprise does not include the City's collection system. The collection system charge is not part of Revenues or Net Revenues.

(3) Rialto's rate increased to \$60.19 in 2015.

(4) Includes the proposed Department sewer treatment rate increase effective in 2015 EVWD and Loma Linda's sewer collection rate was calculated by FG Solutions, LLC by subtracting the Department's sewer treatment charge from the total charge.

(5) Riverside's rate will increase to \$39.59 as of July 1, 2017.

(6) Colton's rate will increase to \$34.33 as of July 1, 2017.

(7) Sewer treatment provided by Inland Empire Utilities Agency (IEUA). IEUA has adopted treatment rate increases to \$15.89 effective 10/1/15, with gradual increases to \$20 by Fiscal Year 2019-20. IEUA also collects property tax revenues not shown in this table. The two utilities served by IEUA appear to have lower sewer treatment rates than other utilities. However, not illustrated is the fact that IEUA collects property tax revenues in addition to user charge revenues. For example, IEUA's Fiscal Year 2014-15 budget showed \$62.8 million of user charge revenues and \$40.1 million of property tax revenues.

Source: The Department.

Comparisons with other jurisdictions can be useful, but they do not in themselves explain why utility rates are set at the levels they are. Each utility is unique and has its own set of circumstances that influence rate setting. In particular, the following are not apparent from a monthly bill comparison: (i) age of infrastructure and needed capital investments in order to maintain service and comply with regulatory mandates; (ii) the condition of the infrastructure and the extent to which a utility chooses to

invest in repairs and replacements to its infrastructure; (iii) whether a utility is currently deferring capital investment and whether large capital expenditures loom in the future; (iv) how efficient a utility is in providing service; and (v) whether rate increases are currently deferred or anticipated.

Billing and Collection Procedures

Sewer service charges to City customers of the Sewer Treatment Enterprise are collected on a combined municipal utility bill that also includes sewer collection system charges, water rates and charges and storm drain fees. Like sewer collection facilities, the Department has not to date had any obligation with respect to stormwater facilities or capture.

Bills are distributed on a bi-monthly basis for most customers and on a monthly basis for higher consumption residential, commercial and industrial customers. Accounts are deemed delinquent and eligible for disconnect at 45 days following the billing cycle. The Department operates to minimize and prevent delinquencies in customer payment of accounts. Current Department procedures include a required minimum of a 2-month average bill security deposit for customers who do not pass a set credit check, a reassessment of deposit and an additional deposit (equivalent to a 3-month average bill, or the maximum allowed by law, whichever is greater) upon disconnection of service for non-payment, limited time given for payment extensions, the grant of extensions to Customer of Record only, scheduling delinquent accounts for disconnection as soon as the account is eligible for disconnection, and placing property liens on owner accounts unpaid balances, or upon receiving a notice of foreclosure. In the case of closed accounts, current Department procedures include sending accounts to a collection agency promptly after 60 days in order to procure payment on unpaid balances and, in the more extreme cases, by utilizing the California Interagency Intercept Collection (IIC) Program facilitated by the Franchise Tax Board that intercepts (offsets) income tax refunds when individuals have delinquent debts owed to government agencies and California colleges. Failure to receive a bill does not relieve a consumer of liability for payment. Unpaid bills shall be considered a debt to the City. Any person, firm or corporation failing or refusing to pay said indebtedness shall be liable to an action on the part of the City, for the collection of all unpaid charges.

The following table sets forth information related to accounts receivable and number of shut-offs.

Table 9
City of San Bernardino Municipal Water Department
Sewer Customer Accounts Receivable and Shut-Offs By Fiscal Year
Fiscal Years 2010-11 through 2014-15
(Unaudited)

	2010-11	2011-12	2012-13	2013-14	2014-15
Number of Accounts	62,933	62,956	63,309	62,714	63,377
Sewer Revenue ⁽¹⁾	\$23,433,833	\$25,888,729	\$26,414,654	\$25,670,774	\$24,734,425
Accounts Receivable ⁽²⁾	\$5,681,248	\$6,612,142	\$7,041,416	\$7,627,361	\$6,365,070
Accounts Receivable Over 120 Days ⁽²⁾	\$226,648	\$217,147	\$194,994	\$156,940	\$148,998
% of Total Sewer Revenues ⁽³⁾	0.6%	0.5%	0.5%	0.4%	0.4%
Number of Shut-Offs ⁽⁴⁾	4,505	4,802	4,834	4,241	4,141

(1) Audited.

(2) Amounts are as of June 30 and represent the receivable portion of billed customer accounts as of the end of each Fiscal Year.

(3) Percentage of Accounts Receivable over 120 days as compared to Total Sewer Revenues.

(4) Shut-Offs for non-payment may include multiple shut-offs associated with the same account throughout the Fiscal Year.

Sources: The Department's Comprehensive Annual Financial Reports for the indicated Fiscal Years 2010-11 through 2014-15 with respect to "Sewer Revenue." The Department, for all other line items.

Basis of Budget and Accounting

The Department reports its activities as enterprise funds, which are used to account for operations that are financed and operated in a manner similar to a private business enterprise, where the intent of the Department is that the costs (including depreciation) of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges. Operating revenues and expenses are recognized on the accrual basis. Operating revenues are recognized in the accounting period in which they are earned, and expenses are recognized in the period incurred, regardless of when the related revenues are received.

The Department's Sewer Utility Enterprise Fund (the Sewer Treatment Fund herein) is used to account for the operations of the Sewer Treatment Enterprise and related revenues and expenses. The budget process generally follows this outline.

<u>July-August</u>	<u>Planning</u> : Evaluate previous budget year processes; Discuss improvements; Plan for necessary process revisions;
<u>September-December</u>	<u>Preparation</u> : Create calendar with budget process deadlines; Create salary assumptions memo including CPI, CalPERS, and estimated merit increases; Update section organization charts and personnel worksheets with current personnel; Populate prior year actual expenses, current budget, and projected expenses;
<u>January-February</u>	<u>Focus</u> : Distribute budget packets; Staff to update current year projections and proposed budget amounts; Review proposed capital projects;
<u>March-May</u>	<u>Assembly and Workshops</u> : Return completed worksheets by calendar deadlines; Compile and audit submitted budget information; Division director's review; Make adjustments and recommendations; General Manager review of completed budget with staff; and
<u>June</u>	<u>Final Step</u> : Presentation to the Board; Discussion, adoption, and execution of approved budget.

The Department has an established policy to allow for amendments to its operating and capital improvement budgets to accommodate the acceptance of federal, state, or local grants, revisions to currently funded programs or other revisions as approved by the General Manager and/or the Board.

Capital improvement amendments for projects previously approved by the Board may be approved by the General Manager provided they do not increase the overall capital budget for the Sewer Treatment Enterprise. In the event the priority of an optional project rises to a level requiring funding, the General Manager has authority to reallocate its funds from another project within the same funding group.

Table 12 sets forth a summary statement of the amended Sewer Treatment Fund budgets for Fiscal Years 2014-15 through 2016-17 and actual results for Fiscal Years 2014-15 and 2015-16. The Department's Sewer Treatment Fund budget for Fiscal Year 2016-17 was adopted on June 21, 2016.

Investment of Funds

In order to provide for the safety of the liquid assets within the Sewer Treatment Fund, the Department has established a bank account and investment portfolio within the City treasury as required

by the City Charter. Representatives of the City Treasurer's office and the Department are signatories to these accounts. The City Charter specifically grants to the Board the power to control and order the expenditure of these funds and limits the withdrawal of these funds for the payment of demands authenticated by the Board. See Note 3 in APPENDIX B – "COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016."

As provided in the Installment Purchase Agreement, all moneys held by the City in the Sewer Treatment Fund shall be invested in Qualified Investments and the investment earnings thereon shall remain on deposit in such fund, except as otherwise provided therein. See APPENDIX C – "SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – INSTALLMENT PURCHASE AGREEMENT."

Reserve Policy; Sewer Treatment Fund

The Department's financial plan for the Sewer Treatment Enterprise includes the establishment of reserve funds in accordance with the Department's adopted Reserve Policy. Reserve funds are established to ensure financial stability and to have sufficient funding available to meet the operating, capital and debt service cost obligations of the Sewer Treatment Fund. With respect to the Sewer Treatment Fund, the Department has committed to the following funds in its Reserve Policy, adopted by the Board in February 2013.

- *Operating Reserve:* The purpose of this reserve is to ensure adequate cash flow is available to meet day-to-day expenses. Funding is derived from Current Revenues and budget transfers. The target balance is 45 days of the operating expenses budgeted for the Sewer Treatment Fund. As of June 30, 2016, \$2,309,354 was on deposit in this reserve, which is approximately 9% of budgeted operating expenses under the Department's Sewer Treatment Fund budget for Fiscal Year 2016-17.
- *Rate Stabilization Reserve:* The purpose of this reserve is to offset revenue risk associated with low service demand years. Should Current Revenues not be sufficient to fund expenses, this reserve normalizes revenues without the need to immediately increase rates. Should Current Revenues exceed expenses, this reserve is replenished. Staff will identify cost reduction areas to reduce expenses before use of this reserve. Funding is derived from Current Revenues or transfers from other reserves of the Sewer Treatment Fund as authorized by the Board. The minimum target balance for the Sewer Treatment Fund is 10% of annual sewer revenue. As of June 30, 2016, \$2,679,273 was on deposit in this reserve. Upon the delivery of the 2016 Bonds, the Department will transfer such amount to the Sewer Treatment Rate Stabilization Fund established under the Installment Purchase Agreement. See "SECURITY AND SOURCES OF PAYMENT FOR THE 2016 BONDS – Sewer Treatment Rate Stabilization Fund."
- *Emergency Replacement Reserve:* The purpose of this reserve is to minimize the impact of unforeseen capital asset and operating expenses. Use of these funds is limited to significant capital asset acquisitions, repairs and improvements, and emergency operating costs. The target balance for this reserve is 3% of the total recorded value of Sewer Treatment Enterprise capital assets of the Sewer Treatment Enterprise as of the previous Fiscal Year. The Board shall have authority over the use of these funds. In the event of an emergency, the General Manager shall have authority over the use of these funds but is required to report the emergency expenditures to the Board at the next regularly scheduled meeting of the Board following the emergency event. As of June 30, 2016, \$1,924,381 was on deposit in this reserve.

- *Capital Replacement Reserve:* The purpose of this reserve is to provide funding in support of the capital program for the Sewer Treatment Enterprise. Funding originates from Current Revenues. The target balance of this reserve is assessed on an annual basis as part of the budgeting process to adjust for emerging capital needs. The use of these funds is approved as part of the annual budgeting process. The Board may also authorize transfers and use of these funds on an as-needed basis. As of June 30, 2016, \$9,407,667 was on deposit in this reserve. The Adopted Fiscal Year 2016-17 Budget includes the expenditure of \$6,121,072 and targets \$2,835,000 for deposit in this fund.
- *Unrestricted Fund Balance.* There is no minimum balance established for Unrestricted Funds, but the Department to keep this balance above \$0. As of June 30, 2016, \$9,252,054 was on deposit with the Department as undesignated reserves of the Sewer Treatment Fund.

From time to time, the Department may have other externally restricted reserves, such as the Common Reserve Account for the 2016 Bonds, funded according to the agreements imposing said restrictions. No amounts set aside for these restricted reserves shall be available for designation to other reserves, and amounts shall be used only in accordance with their permitted use.

See APPENDIX B – “COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016.”

Capital Improvement Plan

The Department completed its 5-Year Sewer Treatment Enterprise Capital Improvement Program (the “Sewer Treatment Enterprise CIP”) for the Sewer Treatment Enterprise which serves as the basis for a long term financial plan. The Department has routinely updated its Sewer Treatment Enterprise CIP as part of its budget process and rate studies.

The Sewer Treatment Enterprise CIP is established to address current and future system needs in a cost effective manner. Components of the current Sewer Treatment Enterprise Master Plan have been adopted into the current Sewer Treatment Enterprise CIP. See “PLAN OF FINANCE” herein. The following table shows categories of projects with the estimated cost of expenditures in the Sewer Treatment Enterprise CIP for the period of Fiscal Years 2016-17 through 2020-21. Final Sewer Treatment Enterprise CIP project costs will be refined as the Sewer Treatment Enterprise CIP progresses. The budget for each project and program is established and approved by the Board. See “Basis of Budget and Accounting” above.

The projected capital improvements represent a larger annual expenditure than what the Department historically has executed. Department staff anticipate that two additional engineering staff are needed to deliver the projects that constitute the Sewer Treatment Enterprise CIP. Finally, an annual capital expenditure for equipment and capitalized labor is included.

The following table sets forth categories of projects with the estimated cost of expenditures in the Sewer Treatment Enterprise CIP for the period of Fiscal Years 2016-17 through 2020-21. The projections for these projects over this period require annual expenditures of approximately \$4 million to \$37 million, with total expenditures for the period shown of approximately \$67 million.

Table 10
City of San Bernardino Municipal Water Department
Projected Sewer Treatment Enterprise Capital Improvements⁽¹⁾

Capital Expenditure Category	Fiscal Year 2016-17	Fiscal Year 2017-18	Fiscal Year 2018-19	Fiscal Year 2019-20	Fiscal Year 2020-21	Total
Replacement/Rehabilitation	\$ 3,620,000	\$ 3,884,500	\$1,280,875	\$ 601,500	\$ 863,750	\$10,250,625
New System Assets	3,375,000	12,082,000	4,585,000	570,000	2,910,000	23,522,000
Clean Water Factory (Ph 1-3) ⁽²⁾	2,000,000	18,250,000	--	--	--	20,250,000
RIX – New System Assets	24,000	--	--	--	24,000	48,000
RIX – Facilities Rehabilitation	308,000	391,200	397,600	250,400	--	1,347,200
Plus Engineering Staff	300,000	300,000	300,000	300,000	300,000	1,500,000
Plus Overhead ⁽³⁾	443,040	452,340	461,840	471,540	481,440	2,310,200
Plus Capitalized Labor ^{(3) (4)}	1,558,660	1,591,390	1,624,810	1,658,930	1,693,770	8,127,560
Total	\$11,628,700	\$36,951,430	\$8,650,125	\$3,852,370	\$6,272,960	\$67,355,585

(1) Excludes projects expected to be funded with proceeds of the 2016 Bonds (see “PLAN OF FINANCE” and “ESTIMATED SOURCES AND USES OF FUNDS”) and projects and amounts to be funded by non-Department agencies or developers. Capital Expenditures projected include inflation adjusted dollars at an inflation rate of 2.1% per year.

(2) Later Phases for construction of the full-scale facility are not yet included in Sewer Treatment Enterprise CIP projections or rate projections herein. See “Clean Water Factory” below and “RISK FACTORS – Clean Water Factory.” Not included in this Table 10 are Phase 1 costs to be funded with a portion of the proceeds of Series 2016 Bonds in the amount \$13,500,000.

(3) These costs are excluded from Operation and Maintenance Costs shown in Table 14 and included as capital expenses in this table; based on Fiscal Year 2014-15 budget including inflation adjusted dollars at an inflation rate of 2.1% per year.

(4) Capital costs that are paid from the Department’s operating budget.

Source: The Department.

Not included in the Sewer Treatment Enterprise CIP projections are Department projects that are funded by outside agencies or that are funded by developers, since these capital projects are not expected to affect sewer treatment rates.

The Sewer Treatment Enterprise CIP assumes Fiscal Year 2015-16 dollars, and projected costs include an annual inflation rate of 2.1% due to anticipated increases in construction costs over time and the expected execution of the Sewer Treatment Enterprise CIP.

The Sewer Treatment Enterprise CIP is expected to be funded with various funding sources available to the City. See “Anticipated Additional Obligations; Financing Plan for the Sewer Treatment Enterprise CIP” below.

Replacement/Rehabilitation of System Assets and New System Assets both refer to improvements at the WRP. Similarly, improvements at the RIX facility are categorized as either New System Assets or Facilities Rehabilitation. RIX costs are limited to the Department’s 80% share of the total RIX project cost. The remaining 20% is covered by the City of Colton and is not included in the projections herein.

Clean Water Factory. Southern California is facing an unprecedented water crisis. This crisis stems from the effects of climate change, continuing population growth, severe drought in the Colorado River Basin, the threat of failing levees, and endangered species issues in the Bay Delta. The Department’s primary source of groundwater, the Bunker Hill Groundwater Basin is not an unlimited supply of water, and in the past few years during time of extreme drought, basin groundwater levels have dropped to historic lows, and overall basin levels are trending down. These conditions are severely testing the region’s ability to provide clean water, both now and in the future. In its recent Recycled Water Policy statement, the State Water Resources Control Board (“SWRCB”) encouraged local and regional water agencies to move toward local water sustainability by emphasizing water recycling, water

conservation, improved maintenance of supply infrastructure and the capture and use of storm water and dry-weather urban runoff. A principal component of the current Sewer Treatment Enterprise CIP is the proposed Clean Water Factory project. The project is designed to establish a reliable, sustainable source of clean water. The project was not feasible until after 2000, due to high groundwater in the Bunker Hill Basin and the prohibitive costs of reverse osmosis.

The Clean Water Factory is a 20-year program that will involve the planning, design, and construction of new advanced water treatment facilities, wastewater treatment facilities, pump stations, transmission lines and pipelines. The Department has designed the Clean Water Factory project to treat effluent from the WRP to a quality approved for recharge, and to convey the recycled water to the Waterman Basins, the East Twin Creek Spreading Grounds, and the Devil Canyon and Sweetwater Basins for surface spreading in the northern portion of the Service Area. The Department expects that the Clean Water Factory will treat a side stream of WRP effluent to a quality approved for direct non-potable use and convey the tertiary treated recycled water to customers that can benefit from a non-potable water supply. The Clean Water Factory project also includes property and easement acquisition, discretionary permitting, financing, facility startup, testing, operation and maintenance of new facilities, significant public education and community engagement.

Projects associated with Phases 1 – 3 of the Department’s Clean Water Factory are shown in Table 10. Not included in Table 10 are Phase 1 costs to be funded with a portion of the proceeds of Series 2016 Bonds in the amount \$13,500,000. These initial Phases 1 – 3 include preliminary engineering, pilot testing of the advanced purification pilot plant, and design/construction of the related tertiary treatment facilities. Upon completion of Phases 1 – 3, the Department will have an operating treatment component of the Clean Water Factory designed to treat a portion of the outflow which is projected in the current complete design plans. As projected herein, the expenditures for the Clean Water Factory attributable to the Sewer Treatment Fund represent the single largest component, approximately \$20.3 million, or 30% of the overall Sewer Treatment Enterprise CIP for Fiscal Years 2016-17 through 2020-21. Later Phases for construction of the full-scale facility are not yet included in Sewer Treatment Enterprise CIP projections or rate projections herein. Projected Clean Water Factory expenditures following Fiscal Year 2017-18 total an additional approximately \$200 million through Fiscal Year 2037-38. See “RISK FACTORS – Clean Water Factory.”

Water reuse is proven, safe, reliable, and is currently in use in other communities in the United States and around the world. The Clean Water Factory is a significant water and wastewater capital improvement program that is expected, upon full implementation, to create 21 million gallons per day (“mgd”) of locally controlled water by the end of calendar year 2035. See “Anticipated Additional Obligations; Financing Plan for the Sewer Treatment Enterprise CIP” above and “RISK FACTORS – Clean Water Factory.”

Sewer service charges for Fiscal Year 2020-21 and beyond are not part of the 2016 Rate Case. Clean Water Factory expenditures for the Sewer Treatment Fund are rate dependent. The Department anticipates that additional increases will be necessary after Fiscal Year 2019-20. The Department expects to perform cost of service analysis to prepare a new rate case for recommended rate adjustments for the Sewer Treatment Fund, and for the Water Fund, as determined by the Board as may be deemed to benefit the Water Enterprise, to address future capital program costs, operation and maintenance expenditures, and Clean Water Factory capital expenditures. See “RISK FACTORS –Clean Water Factory.”

Anticipated Additional Obligations; Financing Plan for the Sewer Treatment Enterprise CIP

The Sewer Treatment Enterprise CIP includes the costs described in Table 10 above. The Department expects to cover the substantial portion of the current Sewer Treatment Enterprise CIP with

pay-go funding. In addition, the Department pursues federal and State grant funding for capital projects. Grant funding is competitive and is difficult to obtain. Historically, the Sewer Treatment Enterprise has utilized grant funding when possible for capital projects. To the extent that pay-go funding or grant funding is not sufficient in any period, the Department is able to defer the Sewer Treatment Enterprise CIP expenditures described in Table 10 above without adversely impacting the operations or financial condition of the Sewer Treatment Enterprise.

The Department currently anticipates that debt proceeds would fund approximately 30% of the estimated capital project costs through Fiscal Year 2020-21. Pursuant to the Installment Purchase Agreement, the City may incur additional Obligations, payments with respect to which will be on parity with the City's obligation to make 2016 Purchase Payments, subject to satisfaction of the conditions specified in the Installment Purchase Agreement. Additional Obligations may include additional loans from the California Infrastructure and Economic Development Bank, the SWRCB, and other direct loans, the payments with respect to which are expected to be on parity in right of payment to the City's obligation to make 2016 Purchase Payments. See "SECURITY AND SOURCES OF PAYMENT FOR THE 2016 BONDS – Issuance of Additional Obligations Under the Installment Purchase Agreement."

Environmental Compliance

The projects in the Sewer Treatment Enterprise CIP are generally subject to the California Environmental Quality Act, as amended (Division 13 of the California Public Resources Code) ("CEQA"). Under CEQA, a project which may have a significant effect on the environment and which is to be carried out or approved by a public agency must comply with a comprehensive environmental review process.

As part of its regular planning and budgetary process, the Department prepares separate environmental documents for each Sewer Treatment Enterprise CIP project and evaluates the project under the City's environmental impact review procedures, which were developed in compliance with federal and State laws and local regulations. The Department performs and completes CEQA review and analysis for Sewer Treatment Enterprise CIP projects as and when required.

The Sewer Treatment Enterprise CIP involves replacement, upgrading and increasing capacity of existing facilities. Environmental approvals remain to be completed on these projects which require such approvals as new facilities, including the Clean Water Factory project, which approvals the Department expects in due course. There are no current or anticipated environmental considerations that would adversely affect the completion of the Sewer Treatment Enterprise CIP within the contemplated budget or current timeline. The Department has a number of alternative projects in its Sewer Treatment Enterprise CIP which may proceed if any of the required environmental approvals, which are not anticipated to be problematic, are not forthcoming as currently expected.

Historic Operating Results

The following table shows the Sewer Treatment Fund's statements of revenues, expenses, and changes in fund net position for Fiscal Years 2011-12 through 2015-16, excerpted from the Department's audited financial statements.

Table 11
City of San Bernardino Municipal Water Department
Statements of Revenues, Expenses, and Changes in Fund Net Position
For the Sewer Treatment Fund
Fiscal Years 2011-12 through 2015-16 (Audited)

	2011-12	2012-13	2013-14	2014-15	2015-16
OPERATING REVENUES:					
Charges for Services ⁽¹⁾	\$ 24,250,417	\$ 25,261,792	\$ 25,350,989	\$24,399,415	\$ 25,030,569
Other Operating Revenues	1,638,312	1,152,861	319,785	335,010	380,171
TOTAL OPERATING REVENUES	25,888,729	26,414,653	25,670,774	24,734,425	25,410,740
OPERATING EXPENSES:					
Administration and Customer Service	--	--	2,754,625	2,387,122	2,434,748
Utility Administration	1,598,854	1,653,263	449,769	638,613	706,430
Plant Operations	9,770,245	9,448,306	8,907,163	8,697,724	9,163,720
Maintenance	3,257,127	3,392,868	3,146,275	2,906,853	2,874,352
Environmental Control	557,828	592,589	621,055	594,777	636,563
Distribution	--	--	--	--	--
Engineering	--	--	527,294	534,226	464,554
General, Administration and Overhead	2,224,773	2,801,450	2,141,332	990,463	1,158,630
Depreciation and Amortization	4,645,127	4,408,721	3,426,515	2,870,550	1,292,426
TOTAL OPERATING EXPENSES	22,053,954	22,297,197	21,974,028	19,620,328	18,731,423
OPERATING INCOME (LOSS)	3,834,775	4,117,456	3,696,746	5,114,097	6,679,317
NONOPERATING REVENUES (EXPENSES):					
Investment Income	812,885	340,689	443,836	481,211	658,456
Rental Income	21,907	22,574	20,669	700	41,498
Noncapital Grant Funds	--	--	--	--	--
Gain (Loss) on Asset Disposition	(31,114)	(11,644)	(16,244)	--	--
Gain (Loss) on Joint Venture - RIX	--	--	(1,222,459)	345,884	(1,116,078)
Interest Expense and Fiscal Charges	(1,147,810)	(828,129)	(557,049)	(227,165)	(167,795)
Amortization of Issuance Costs	(28,528)	(94,188)	--	--	--
Other	(89,523)	(59,992)	202,078	498,247	359,800
TOTAL-NON OPERATING REVENUES (EXPENSES)	(462,183)	(630,690)	(1,129,169)	1,098,877	(224,119)
NET INCOME (LOSS) BEFORE CAPITAL CONTRIBUTIONS	3,372,592	3,486,766	2,567,577	6,212,974	6,455,198
CAPITAL CONTRIBUTIONS:					
Acquisition Fees	--	--	--	--	--
Capacity Fees	196,375	1,065,443	814,325	938,131	1,277,397
EPA Grants	--	--	--	--	--
Other Capital Restricted Fees	474,836	409,957	174,851	134,710	181,736
TOTAL CAPITAL CONTRIBUTIONS	671,211	1,475,400	989,176	1,072,841	1,459,133
CHANGE IN NET POSITION	4,043,803	4,962,166	3,556,753	7,285,815	7,914,331
Net Position, Beginning of Year	100,089,728	101,662,841	101,621,707	84,101,171	91,386,986
Prior Period Adjustment ⁽²⁾	(2,470,690)	1,670,848	--	--	--
Net Position, End of Year	\$101,662,841	\$108,295,855	\$105,178,460	\$91,386,986	\$99,301,317

(1) The Fiscal Year 2014-15 and Fiscal Year 2015-16 Charges for Services are less than previous amounts. Such results were considered as part of the Department's recent rate study.

(2) During the year the Department implemented GASB 68 resulting in recording a net pension liability and deferred outflow of resources as a prior period adjustment.

Source: The Department's Comprehensive Annual Financial Reports for Fiscal Years 2011-12 through 2015-16. For Fiscal Year 2015-16 see APPENDIX B – "COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016." This statement is a summary statement only. The complete Comprehensive Annual Financial Report of the Department, including the Notes to the Financial Statements therein, is an integral part of this statement.

Accompanying the Independent Auditor's Report in Appendix B is the Department's Management Discussion and Analysis, which is not audited, but is supplementary information required by the Government Accounting Standards Board. The Management Discussion and Analysis presents a summary and overview of the Department's financial condition. Such Management Discussion and Analysis should be reviewed in conjunction with the information presented below to obtain an understanding of the Department's financial condition. See, also, "Management's Discussion and Analysis" below.

The following table shows the Sewer Treatment Fund budgets for Fiscal Years 2014-15 through 2016-17 and actual results for Fiscal Years 2014-15 and 2015-16. In each year, the Department controlled spending and delayed some hiring because of expected declines in revenue.

Table 12
City of San Bernardino Municipal Water Department
Sewer Treatment Fund Budgets for Fiscal Years 2014-15 through 2016-17,
Actual Results for Fiscal Year 2014-15 and Fiscal Year 2015-16

	Fiscal Year 2014-15 Budget (Amended)	Fiscal Year 2014-15 Actual	Fiscal Year 2015-16 Budget (Amended)	Fiscal Year 2015-16 Actual	Fiscal Year 2016-17 Budget (Original)
OPERATING REVENUES:					
Charges for Services	\$27,743,000	\$24,399,415	\$26,792,731	\$25,030,569	\$30,626,880
Other Operating Revenues	280,000	335,010	288,000	380,171	288,000
TOTAL OPERATING REVENUES	28,023,000	24,734,425	27,080,731	25,410,740	30,914,880
OPERATING EXPENSES:					
Administration and Customer Service	2,704,669	2,387,122	2,771,148	2,434,748	2,729,974
Utility Administration	912,409	638,613	929,482	706,430	1,001,835
Plant Operations	9,802,253	8,697,724	9,763,244	9,163,720	11,097,227
Maintenance	3,646,725	2,906,853	3,774,469	2,874,352	3,864,489
Environmental Control	659,500	594,777	613,859	636,563	673,739
Engineering and Water Quality Control	581,262	534,226	599,088	464,554	543,277
General, Administration and Overhead	3,281,600	990,463	3,026,600	1,158,630	2,636,200
Depreciation and Amortization	4,500,000	2,870,550	4,500,000	1,292,426	4,500,000
TOTAL OPERATING EXPENSES	26,088,418	19,620,328	25,977,890	18,731,423	27,046,741
OPERATING INCOME (LOSS)	1,934,582	5,114,097	1,102,841	6,679,317	3,868,139
NONOPERATING REVENUES (EXPENSES):					
Investment Income	510,000	481,211	510,000	658,456	510,000
Rental Income	23,000	700	23,000	41,498	23,000
Noncapital Grant Funds	--	--	--	--	--
Gain (Loss) on Asset Disposition	--	--	--	--	--
Gain (Loss) on Joint Venture – RIX	--	345,884	--	(1,116,078)	--
Interest Expense and Fiscal Charges	(600,887)	(227,165)	(635,196)	(167,795)	(4,000)
Other	--	498,247	--	359,800	--
TOTAL NON OPERATING REVENUES (EXPENSES)	(67,887)	1,098,877	(102,196)	(224,119)	529,000
NET INCOME (LOSS) BEFORE CAPITAL CONTRIBUTIONS	1,866,695	6,212,974	1,000,645	6,455,198	4,397,139
CAPITAL CONTRIBUTIONS:					
Acquisition Fees	--	--	--	--	--
Capacity fees	700,000	938,131	700,000	1,277,397	700,000
EPA Grants	--	--	--	--	--
Other Capital Restricted Fees	588,500	134,710	588,500	181,736	588,500
TOTAL CAPITAL CONTRIBUTIONS	1,288,500	1,072,841	1,288,500	1,459,133	1,288,500
CHANGE IN NET POSITION	3,155,195	7,285,815	2,289,145	7,914,331	5,685,639
Net Position, Beginning of year	84,101,171	84,101,171	91,386,986	91,386,986	93,676,131
Net Position, End of Year	\$87,256,366	\$91,386,986	\$93,676,131	\$99,301,317	\$99,361,770

Source: The Department.

The following table shows the operating revenues and expenses and debt service coverage of the Sewer Treatment Fund for Fiscal Years 2011-12 through 2015-16.

Table 13
City of San Bernardino Municipal Water Department
Calculation of Historic Debt Service Coverage – Sewer Treatment Fund
Fiscal Years 2011-12 through 2015-16
(Unaudited)

Fiscal Year Ended June 30	Total Operating Revenue	Net Operating Expenses (Excluding Depreciation and Amortization)	Net Operating Income (Loss)	Net Non- Operating Income/ (Expense) ⁽¹⁾	Amount Available for Debt Service	Debt Service ⁽²⁾		Total Debt Service	Coverage Ratio ⁽³⁾
						Principal	Interest		
2012	\$25,888,729	\$17,408,827	\$8,479,902	\$ (462,183)	\$8,017,719	\$4,417,731	\$1,166,496	\$5,584,227	1.44
2013	26,414,654	17,888,476	8,526,178	(630,690)	7,895,488	4,724,227	757,010	5,481,237	1.44
2014	25,670,774	18,547,513	7,123,261	(1,129,169)	5,994,092	4,424,090	747,460	5,171,550	1.16
2015	24,734,425	16,749,778	7,984,647	1,098,877	9,083,524	4,629,425	568,888	5,198,313	1.75
2016	25,410,740	17,438,997	7,971,743	(224,119)	7,747,624	300,000	--	300,000	25.83

(1) Consists principally of rental income and interest revenue.

(2) Includes the \$36,230,000 of Certificates of Participation which were executed and delivered in 1998 to advance refund then outstanding 1992 Sewer Certificates of Participation and fund additional capital improvements, which were defeased in April 2015. Fiscal Year 2015-16 debt service is for the Valley District loan of \$1.2 million. This loan is an unsecured obligation payable from the Sewer Treatment Fund.

(3) Coverage levels comport with rate adjustments. Prior to the rate adjustment effective in July, 2015, the Common Council last implemented a two-phase sewer treatment adjustment in January 2012.

Source: Statistical Section (Unaudited) of the Department's Comprehensive Annual Financial Reports for Fiscal Years 2011-12 through 2015-16.

Financial Projections

Table 14 sets forth the Department's projected Revenues, Maintenance and Operation Costs, Net Revenues, debt service and debt service coverage of the Sewer Treatment Enterprise for the Fiscal Years 2016-17 through 2020-21 and includes the approved rate increases of 8.5%, 8.5% and 3.5%, respectively, effective on October 1, 2015 and July 1, 2016, and to be effective on July 1, 2017. The projections are based on the assumptions described in the footnotes to the table.

The financial forecast represents the Department's estimate of projected financial results based upon its judgment of the probable occurrence of future events. The assumptions set forth in the following paragraphs and in the footnotes to Table 15 are material in the development of the Department's financial projections, and variations in the assumptions may produce substantially different financial results. Actual operating results achieved during the projection period may vary from those presented in the forecast and such variations may be material.

The Department has determined the following factors to be relevant to its projections and assumptions with respect to sewer service charges and revenues:

- *Customer growth.* Financial projections assume 1.0% annual customer growth through Fiscal Year 2020-21. Customer growth increases the size of the customer base and growth rates exceeding 1.0% per year will result in higher connection fee revenue and rate revenues. Conversely, customer growth less than 1.0% per year could result in lower revenues than projected.
- *Capital project cost certainty.* The Sewer Treatment Enterprise CIP contains estimates of future project costs. The actual costs will not be known until the projects are designed, bid, and built.
- *Inflation rates.* The projected rates are based on a 2.1% annual inflation rate. Changes in inflation rates will have financial implications.
- *Interest rates.* Interest rates that differ from assumptions will have financial implications. The interest rate assumption in these projections for investment income is 1% based on recent historical and projected performance.

Table 14
City of San Bernardino Municipal Water Department
Projected Net Revenues and Debt Service Coverage – Sewer Treatment Fund
Fiscal Years 2015-16 through 2019-20
(Unaudited)

DESCRIPTION	Fiscal Year 2015-16	Fiscal Year 2016-17 Projected	Fiscal Year 2017-18 Projected	Fiscal Year 2018-19 Projected	Fiscal Year 2019-20 Projected
Revenues					
Operating Revenues ⁽¹⁾	\$25,410,740	\$30,914,880	\$32,294,620	\$33,713,030	\$34,047,280
Interest Income on Operating Funds	658,456	750,000	750,000	750,000	750,000
Other Non-Operating Revenues	401,298	25,000	25,000	25,000	25,000
Capacity Fee Revenue ⁽²⁾	1,277,397	1,000,000	1,000,000	1,000,000	1,000,000
Total System Revenues	27,747,891	32,689,880	34,069,620	35,488,030	35,822,280
Operation and Maintenance Costs⁽³⁾					
Enterprise Expenses ⁽³⁾	17,438,997	26,277,560	26,889,550	27,511,140	28,149,150
Total Operation and Maintenance Costs	17,438,997	26,277,560	26,889,550	27,511,140	28,149,150
Net Revenues	10,308,894	6,412,320	7,180,070	7,976,890	7,673,130
Debt Service ⁽⁴⁾	--	127,052	1,967,175	1,966,125	1,966,225
Debt Service Coverage⁽⁴⁾	--	50.5	3.6	4.1	3.9

(1) Assumes the rates which became effective on October 1, 2015 and the recently approved increases of 8.5% and 3.5%, respectively, effective on July 1, 2016, and to be effective on July 1, 2017. Sewer service charges for Fiscal Year 2020-21 and beyond are not part of the 2016 Rate Case. The Department anticipates that additional increases will be necessary after Fiscal Year 2019-20 and expects to perform cost of service analysis to prepare a new rate case for recommended rate adjustments for the Sewer Treatment Fund to address future capital program costs, operation and maintenance expenditures, and Clean Water Factory capital expenditures. See "Capital Improvement Plan – Clean Water Factory." Above and "RISK FACTORS – Clean Water Factory."

(2) One-time fees payable at the time of development that represent a proportionate share of the cost of sewer treatment capacity. Capacity Fee revenues dropped substantially during the economic downturn but have rebounded to some extent in recent years.

(3) Calculated in accordance with the Installment Purchase Agreement. Operation and Maintenance Costs exclude depreciation and amortization. Non-Operating Expenses of "Gain/Loss on Asset Disposition" and "Interest Expense and Fiscal Charges" are not included. The Department expects for the next three years to make similar contributions to fund the annual normal and actuarial CalPERS and OPEB costs as described below under the captions "Employees' Retirement Benefits" and "Other Post-Employment Healthcare Benefits."

(4) Assumes debt service on the 2016 Bonds.

Source: The Department.

Management's Discussion and Analysis

The Department completed a Sewer Treatment Rate Study on September 21, 2015, and the Common Council approved sewer rate increases on September 24, 2015. The Department and City implemented a three-step increase in sewer treatment fees, rates and charges of approximately 8.5%, implemented on October 1, 2015 and July 1, 2016, respectively; and 3.25% on July 1, 2017. Actual operating revenues for Fiscal Year 2015-16 are less than projected in the Fiscal Year 2015-16 adopted budget.

During Fiscal Year 2014-15, total revenues for the Sewer Treatment Fund decreased by less than 1% from the prior year, while total expenses decreased almost 17% during the same time period. Total capital assets increased by \$8.6 million in Fiscal Year 2014-15, with approximately \$6.1 million in construction in progress completed and placed in service. The Sewer Treatment Fund net position decreased \$10.3 million to \$91.387 million in Fiscal Year 2014-15. The primary cause of this decrease was a prior period adjustment of \$21.1 million due to the implementation of new pension reporting

standards related to the Department's pension obligations. The net investment in capital assets increased \$18.3 million, due to the completion of several long-term capital projects within the period.

Coverage for the Sewer Treatment Fund was 1.16x as of June 30, 2014, and 1.75x as of June 30, 2015. Coverage levels in Table 13 reflect actual previous rate adjustments. Prior to the rate adjustment effective in October, 2015, and July 2016, the Common Council last implemented a two-phase sewer treatment adjustment in January 2012.

The Service Area's local economy has been affected by the recent recession, both to a greater extent and for a longer period than surrounding cities. This has affected the Department as increased residential and commercial vacancies have led to a declining customer base. However, as the local real estate and employment markets improve, this customer base should begin to recover. The City's unemployment rate is currently 6.6%, down from 7.8% in the prior year. Local economists also project continued improvement in the labor market and are forecasting that the region's unemployment rate will drop to 6.1% by the end of 2020. The economic outlook for the Service Area looks promising, as the economy is improving regionally which will translate into improved economic conditions for Department customers within the Service Area.

See APPENDIX B – "COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016."

Outstanding Indebtedness

As of the date of issuance of the 2016 Bonds, the only long-term indebtedness payable from Net Revenues will be the 2016 Purchase Payments relating to the 2016 Bonds and a loan from the San Valley District of \$1.2 million for the Department's UV System Rehabilitation Project, which matures on November 1, 2019 and is payable in four equal installments of \$300,000. This loan is an unsecured obligation payable from the Sewer Treatment Fund.

See APPENDIX B – "COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016."

The City has no general obligation bonds outstanding with respect to the Sewer Treatment Fund, no plans for such indebtedness, and no plans to obtain authorization from the voters to issue such indebtedness.

Employees' Retirement Benefits

General. The City contributes to the State of California Public Employees' Retirement System ("CalPERS"), which acts as a common investment and administrative agent for cities in the State. CalPERS provides retirement and disability benefits, annual cost-of living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions and all other requirements are established by state statute and the terms of current memoranda or agreements with City employee associations. Copies of CalPERS annual financial report may be obtained from their executive office: 400 P Street, Sacramento, CA, 95814 or on their website: www.calpers.ca.gov. The information on such website is not incorporated herein by such reference or otherwise.

The Department is part of the City's CalPERS Miscellaneous Plan, therefore all related information included in this Official Statement and in Note 7 in APPENDIX B – "COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016" refers to the City as a whole unless specifically indicated otherwise. The Department is

obligated to contribute amounts necessary to provide for normal and unfunded liability allocated to the Sewer Treatment Enterprise's portion of the City's required contribution to the Miscellaneous Plan as determined by CalPERS actuaries.

The defined pension benefit is payable monthly for life, in an amount that varies.

Two types of contributions are made for covered employees under the CalPERS Miscellaneous Plan. The first contribution represents the amount the City (or the Department) is required to make (the employer rate). The second represents an amount, which is made by the employee (the member rate). The employer rate is an actuarially established rate, is set by CalPERS, and changes from year to year. The Department has partnered with its employees to manage the costs of pensions, and Department employees have for several years by agreement contributed to the member rate.

The Governor, in September 2012, signed Assembly Bill No. 340 ("AB 340") and Assembly Bill No. 197 ("AB 197"), which enacted the California Public Employees' Pension Reform Act of 2013 ("PEPRA"). AB 340 (i) increases the retirement age for new State, school, and city and local agency employees depending on job function, (ii) caps the annual CalPERS pension benefit payout, (iii) addresses numerous abuses of the system, and (iv) requires State, school, and certain city and local agency employees to pay at least half of the costs of their CalPERS pension benefits. PEPRA applies to all public employers except the University of California, charter cities and charter counties (except to the extent they contract with CalPERS). Among other things, AB 340 also enacted pension spiking reform for new and existing employees, required three-year averaging of final compensation for new employees, and provided employers with new authority to negotiate cost-sharing agreements with current employees. AB 340 also contained limitations on the use of retired annuitants, requiring that an annuitant have a six-month break in service prior to returning to work.

CalPERS predicts that the impact of AB 340 on employers, including the Department, and employees will vary, based on each employer's current level of benefits. To the extent that the new formulas lower retirement benefits, employer contribution rates could decrease over time as current employees retire and employees subject to the new formulas make up a larger percentage of the workforce. This change would, in some circumstances, result in a lower retirement benefit for employees than they currently earn. Additionally, CalPERS has noted that changes arising from AB 340 could ultimately have an adverse impact on public sector recruitment in areas that have historically experienced recruitment challenges due to higher pay for similar jobs in the private sector.

The legislation created mandatory benefits tiers for new employees who have not worked for another CalPERS agency hired beginning January 1, 2013 ranging from 2.0% at age 50 to a maximum of 2.7% at age 57 for police safety and fire safety employees and 1.1% at age 50 to a maximum of 2.4% at age 62 for miscellaneous employees.

The Department and the City have each implemented the PEPRA provisions. Employees pay their costs (the member rate above) of CalPERS pension benefits, as they have since 2010. The Department is currently working with its employees to partner further in cost sharing.

The latest CalPERS actuarial valuation of the City's Miscellaneous Plan is dated October 2015 with respect to the fiscal year ended June 30, 2014 (the "2014 CalPERS Report"). The Department's membership consists of the following as of June 30, 2013:

Retirees and beneficiaries receiving benefits	123
Active plan members	<u>246</u>
Total plan members	369

See Note 7 in APPENDIX B – “COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016.”

All Sewer Treatment Enterprise employees are members of the City’s Miscellaneous Plan. The Sewer Treatment Fund is allocated its portion of the City’s required contribution to the Miscellaneous Plan as determined by CalPERS actuaries. The Department contributed 100% of its allocated required contributions of \$755,803, \$1,152,061 and \$1,297,308 to CalPERS for the fiscal years ended June 30, 2013, 2014, and 2015, respectively. The Department contributed \$1,511,673 for Fiscal Year 2015-16 and has budgeted to make a contribution of \$2,021,112 for Fiscal Year 2016-17. See Note 7 in APPENDIX B – “COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016” for information about the City’s Miscellaneous Plan, its liabilities and funding.

The following table sets forth the schedule of funding progress for the City’s Miscellaneous Plan as of valuations completed for June 30, 2009 through 2014. The Department’s share of this liability is currently approximately 37%, with the Sewer Treatment Fund’s share of this liability at approximately 15%.

Table 15
City of San Bernardino
Miscellaneous Plan Schedule of Funding Progress
Valuations Completed for June 30, 2009 through 2014
(Unaudited)

Valuation Date (June 30)	Actuarial Value of Assets (A)	Market Value of Assets (B)	Actuarial Accrued Liability (AAL) (C)	Funded Ratio (Market)	Unfunded Actuarial Accrued Liability (UAAL) (C) – (A)	AAL Less Market Value of Assets (C) – (B)	Covered Payroll
2009	\$391,359,614	\$246,644,984	\$144,714,630	63.0%	(\$246,644,984)	(\$101,930,354)	\$51,175,225
2010	406,903,699	274,500,317	132,403,382	67.5	(274,500,317)	(142,096,935)	50,283,620
2011	427,257,567	324,463,658	102,793,909	75.9	(324,463,658)	(221,669,749)	49,852,713
2012	446,677,440	316,290,288	130,387,152	70.8	(316,290,288)	(185,903,136)	47,801,727
2013	462,716,487	346,176,839	116,539,648	74.8	(346,176,839)	(229,637,191)	39,974,288
2014	501,077,609	391,353,584	109,724,025	78.1	(391,353,584)	(281,629,559)	41,170,684

Source: 2014 CalPERS Report.

At its April 17, 2013, meeting, CalPERS’ Board of Administration (the “Board of Administration”) approved a recommendation to change the CalPERS amortization and smoothing policies. Prior to this change, CalPERS employed an amortization and smoothing policy that spread investment returns over a 15-year period with experience gains and losses paid for over a rolling 30-year period. After this policy change, CalPERS commenced an amortization and smoothing policy that pays for all gains and losses amortized over a 20-year period with a five-year ramp-up and five-year ramp-down period. The new amortization and smoothing policy was used for the first time in the June 30, 2013, actuarial valuations in setting employer contribution rates for fiscal year 2015-16.

On February 18, 2014, the Board of Administration approved new demographic actuarial assumptions based on a 2013 study of recent experience. The largest impact, applying to all benefit groups, is a new 20-year mortality projection reflecting longer life expectancies and that longevity will continue to increase. Because retirement benefits will be paid out for more years, the cost of those benefits will increase as a result. The Board of Administration also assumed earlier retirements for Police 3%@50, Fire 3%@55, and Miscellaneous 2.7%@55 and 3%@60, which will increase costs for those

groups. The Department has liabilities in connection with the City's Miscellaneous Plan only. As a result of these changes, rates are expected to increase beginning in fiscal year 2016-17 (based on the June 30, 2014 valuation) with full impact in Fiscal Year 2020-21.

On November 18, 2015, the Board of Administration adopted a funding risk mitigation policy intended to incrementally lower its discount rate — its assumed rate of investment return — in years of good investment returns, help pay down the pension fund's unfunded liability, and provide greater predictability and less volatility in contribution rates for employers. The policy establishes a mechanism to reduce the discount rate by a minimum of 0.05 percentage points to a maximum of 0.25 percentage points in years when investment returns outperform the existing discount rate, currently 7.5%, by at least four percentage points. CalPERS staff modeling anticipates the policy will result in a lowering of the discount rate to 6.5% in about 21 years, improve funding levels gradually over time and cut risk in the pension system by lowering the volatility of investment returns. More information about the funding risk mitigation policy can be accessed through CalPERS' web site at the following website address: <https://www.calpers.ca.gov/page/newsroomicalpers-news/2015/adopts-funding-risk-mitigation-policy>. The reference to this website is provided for reference and convenience only. The information contained within the website may not be current, has not been reviewed by the City, the Department or the Authority and is not incorporated in this Official Statement by reference.

The table below provides a recent history of the employer contribution rates for the Miscellaneous Plan, as determined by the 2014 CalPERS Report. It does not account for prepayments or benefit changes made in the middle of the year.

Table 16
City of San Bernardino
Miscellaneous Plan Historic Contribution Rates
Fiscal Years 2011-12 Through 2016-17

Fiscal Year	Employer Normal Cost	Unfunded Rate	Total Employer Contribution Rate
2011-12	10.180%	7.068%	17.248%
2012-13	9.979	7.376	17.355
2013-14	10.608	7.578	18.186
2014-15	10.284	9.885	20.169
2015-16	10.201	14.008	24.209
2016-17	10.335	15.709	26.044

Source: 2014 CalPERS Report.

Current projections are for a total employer contribution rate of 28.4% in Fiscal Year 2017-18 increasing to 34.4% in Fiscal Year 2021-22. The estimated rate for 2017-18 is based on a projection of the most recent information available, including an estimated 2.4% investment return for Fiscal Year 2014-15. The Department expects that its employer contributions will increase materially in the future. These projected costs are included in the projections set forth in Table 14.

The projected employer contribution rates (before cost sharing) assume CalPERS earns 2.4% for fiscal year 2014-15 and 7.50% every fiscal year thereafter, and assuming that all other actuarial assumptions will be realized and that no further changes to assumptions, contributions, benefits, or funding will occur during the projection period. The projected contribution rates do not reflect that the plan's normal cost will decline over time as new employees are hired into PEPR and other lower cost benefit tiers.

Reporting obligations under Governmental Accounting Standards Board Statement No. 68 (including as amended by Statement No. 71, “GASB 68”) commenced with financial statements for the fiscal year ended June 30, 2015. The Department implemented this Statement in the fiscal year ending June 30, 2015. Under GASB 68, an employer reports the net pension liability, pension expense and deferred outflows/deferred inflows of resources related to pensions in its financial statements as part of its financial position. The result of the implementation of these standards decreased the Department’s net position at July 1, 2014 by \$49,016,946, of which \$21,077,289 was attributed to the Sewer Treatment Fund, resulting in recording a net pension liability and deferred outflow of resources as a prior period adjustment.

See Note 7 in APPENDIX B – “COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016.”

Other Post-Employment Healthcare Benefits

General. The Department provides retiree healthcare benefits, also known as other post-employment benefits (“OPEB”), to all qualifying Department retirees and their spouses in accordance with current memoranda of understanding with employee associations. Department employees are eligible for retiree health benefits if they retire from the Department on or after age 55 with at least 10, 12 or 15 years of service and are eligible for a PERS pension. The latest actuarial valuation of the plan occurred June 30, 2014.

The contribution requirements of plan members and the Department are established and may be amended by the Board. The required contribution is based on projected pay-as-you-go financing requirements, with an additional amount to prefund benefits as may be determined annually by the Board. The Department has established an irrevocable trust to which pre-funding contributions are made. The Department pays up to the entire cost of health benefits for eligible retirees and their spouses, subject to the Department’s vesting schedule. OPEB is currently limited to Department employees only, and references to liabilities and contributions in this Official Statement and the Department’s financial statements relate only to the Department.

The Department’s OPEB cost (expense) is calculated based on the annual required contribution of the employer (“ARC”), an amount actuarially determined in accordance with the parameters of GASB Statement 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years. The following table shows the components of the Department’s annual OPEB cost for the year, the amount actually contributed to the plan, and changes in the Department’s net OPEB obligation:

Actual required contribution (ARC)	\$ 2,707,000
Interest on new OPEB obligation	22,032
Amortization of net OPEB obligation	(30,000)
Annual OPEB cost (expense)	2,699,032
Contributions made	2,256,321
Increase in net OPEB obligation	442,711
Net OPEB obligation - beginning of year	352,510
Net OPEB obligation - end of year	795,221

The Department's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for Fiscal Year 2014-15 and the two preceding years were as follows:

Table 17
City of San Bernardino Municipal Water Department
Annual OPEB Cost Contributed
Fiscal Years 2012-13 through 2014-15

Year Ended	Annual OPEB Cost	Paid Contribution	Percentage of Annual OPEB Cost Contributed	OPEB Obligation
6/30/2013	\$2,361,000	\$ 573,621	24%	\$1,787,379
6/30/2014	2,438,000	3,872,869	159	352,510
6/30/2015	2,699,032	2,256,321	84	795,221

Source: The Department.

See Note 8 in APPENDIX B – “COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016.”

The Department contributed 100% of its allocated required contributions to the Department's OPEB Trust for the fiscal years ended June 30, 2014, 2015, and 2016, with \$1,310,233, \$708,167, and \$732,048 allocated to the Sewer Treatment Fund for the fiscal years ended June 30, 2014, 2015, and 2016, respectively. The Department budgeted to make contributions of \$715,951 for Fiscal Year 2016-17. Projected OPEB costs are included in the projections set forth in Table 14.

As of June 30, 2014, the most recent actuarial valuation date, the plan was 38.2% funded. The actuarial accrued liability for benefits was \$35,012,000, the actuarial value of assets was \$13,380,000 and the unfunded actuarial accrued liability (“UAAL”) was \$21,632,000. The covered payroll (annual payroll of active employees covered by the plan) was \$15,531,000 and the ratio of the UAAL to the covered payroll was 139.3%.

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress presents multi-year trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the June 30, 2014, actuarial valuation, the entry age actuarial cost method was used. The actuarial assumptions included a rate of return of 6.25% and annual healthcare cost trend rates of 7.5% initially, reduced by Increments to an ultimate rate of 5% in 2021. Both rates included a 3% inflation

assumption. The actuarial value of assets was determined using techniques that spread the effects of short-term volatility in the market value of investments over a five-year period. The UAAL is being amortized as a level percentage of projected payroll on a closed basis. The remaining amortization period at June 30, 2015, was 19 years.

Table 18
City of San Bernardino Municipal Water Department
OPEB Schedule of Funding Progress

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a % of Covered Payroll (b-a)/c
6/30/2010	\$--	\$28,676,000	\$28,676,000	0.0%	\$12,619,000	227.2%
6/30/2012	8,556,000	28,831,000	20,275,000	29.7	14,765,000	137.3
6/30/2014	13,380,000	35,012,000	21,632,000	38.2	15,531,000	139.3

Source: The Department.

See Note 8 in APPENDIX B – “COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016” for additional information.

Insurance for the Sewer Treatment Enterprise

As provided in the Installment Purchase Agreement, the Department is required to procure and maintain or cause to be procured and maintained insurance on the Sewer Treatment Enterprise with responsible insurers in such amounts and against such risks (including damage to or destruction of the Sewer Treatment Enterprise) as are usually covered in connection with facilities similar to the Sewer Treatment Enterprise, so long as such insurance is available from reputable insurance companies and obtainable at a reasonable cost. The Department is further required to procure and maintain such other insurance as it shall deem advisable or necessary to protect its interests, which insurance shall afford protection in such amounts and against such risks as are usually covered in connection with municipal wastewater systems similar to the Sewer Treatment Enterprise.

The Department maintains casualty insurance on many of the assets of the Sewer Treatment Enterprise, including, among other assets, treatment plants, pump stations, administration buildings, garages, warehouses, concession buildings, and labs. Neither the Department, nor the City’s Public Works Department currently maintains property insurance for the pipelines of the Sewer Treatment Enterprise because such insurance is not available at commercially reasonable rates, but is insured under its liability policy for damage to property as a result of a pipe break.

The Department currently maintains earthquake insurance on buildings and plant facilities of the Sewer Treatment Enterprise; however, the Department is not obligated under the Installment Purchase Agreement to maintain earthquake insurance on the Sewer Treatment Enterprise, and may elect to discontinue such coverage at its discretion.

Claims and expenses attributable to the Sewer Treatment Enterprise are recorded in the Sewer Treatment Fund. In most cases, significant losses are covered by insurance for major events except workers’ compensation, for which the Department retains risk of loss in conjunction with the City’s risk management program for workers compensation. Settlement amounts have not exceeded insurance coverage for the current year or the prior three years. Insurance coverage has been increased over the past several years.

The approximate aggregate liabilities of the Sewer Treatment Fund for the year ended June 30, 2016 was \$246,180. See Note 11 in APPENDIX B – “COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016.”

SEWER TREATMENT ENTERPRISE REGULATORY REQUIREMENTS

General

Prior to the recent amendments to the City Charter, the City provided sewer collection and treatment services to its customers through two separate City departments. The Department provided sewer treatment services, and the City’s Public Works Department provided sewer collection services. The impact of the new City Charter on the Department substantially involves a realignment under which the Department will assume responsibility from the Department of Public Works for all sewer operations, including the collection system of sewer mains, lines and conveyance facilities. Despite the Department assuming operational responsibility for the collection system, the collection system charge is not part of Revenues or Net Revenues. Like sewer collection facilities, the Department has not to date had any obligation with respect to stormwater facilities or capture. See “THE SEWER TREATMENT ENTERPRISE – General.”

As part of routine operations and maintenance activities, the Department transfers treated water between storage facilities and discharges water to the environment. These transfers and discharges are regulated under the Federal Clean Water Act through general and facility-specific National Pollutant Discharge Elimination System (“NPDES”) permits issued by the SWRCB. Such permits contain numerical effluent limitations, monitoring, reporting, and notification requirements for water discharges from the facilities and pipelines of the Sewer Treatment Enterprise.

The WRP and RIX operations are regulated by the Clean Water Act under the direction of the EPA. The EPA has delegated permitting authority to the State Department of Environmental Conservation, which administers the State Pollution Discharge Elimination System (“SPDES”).

State Regulations

As an operator of a municipal wastewater system, the City is responsible for complying with various State requirements, including CEQA, with respect to the operational requirements, design and construction standards for its operators. Failure to meet these standards may subject the City to civil or criminal sanctions. The Department is currently in substantial compliance with all applicable State regulations.

Proposed Regulations

Other new regulations, including regulations that are in effect but whose compliance are not yet mandated and regulations that are currently proposed, will continue to impact the operation of the Sewer Treatment Enterprise and its associated costs. Also, the costs of proposed new regulations are currently unknown. See “RISK FACTORS – Statutory and Regulatory Compliance.”

THE AUTHORITY

The Authority was formed pursuant to the JPA Act and the JPA Agreement for the purpose of exercising to powers common to the members and exercising the additional powers granted to the Authority by the JPA Act and any other applicable provisions of State law. Under the JPA Agreement,

the Authority may issue bonds, notes or any other evidence of indebtedness, for any purpose or activity permitted under the JPA Act or any other applicable law.

None of the Authority, any Authority member or any person executing the 2016 Bonds is liable personally on the 2016 Bonds or subject to any personal liability or accountability by reason of their issuance. The 2016 Bonds are limited obligations of the Authority, payable solely from and secured by the pledge of the Project Revenues and other funds provided for in the Indenture with respect to such 2016 Bonds. Neither the Authority, its members, the State, nor any of its political subdivisions will be directly, indirectly, contingently or morally obligated to use any other moneys or assets to pay all or any portion of the debt service due on the 2016 Bonds, to levy or to pledge any form of taxation whatever therefor or to make any appropriation for their payment. The 2016 Bonds are not a pledge of the faith and credit of the Authority, its members, the State, or any of its political subdivisions, nor do they constitute indebtedness within the meaning of any constitutional or statutory debt limitation. The Authority has no taxing power.

The Authority will not be required to advance any moneys derived from any source other than the Project Revenues and certain other moneys and securities held by the Trustee as provided in the Indenture, whether for the payment of the principal of or interest on the 2016 Bonds or for any other purpose of the Indenture.

The Authority may sell and deliver obligations other than the 2016 Bonds. These obligations will be secured by instruments separate and apart from the Installment Purchase Agreement and the Indenture, and the holders of such other obligations of the Authority will have no claim on the security for the 2016 Bonds. Likewise, the Owners of the 2016 Bonds will have no claim on the security for such other obligations that may be issued by the Authority.

Neither the Authority nor its independent contractors has furnished, reviewed, investigated or verified the information contained in this Official Statement other than the information contained in this section and the section entitled "LITIGATION – The Authority." The Authority does not and will not in the future monitor the financial condition of the City or the Department or otherwise monitor payment of the 2016 Bonds or compliance with the documents relating thereto. Any commitment or obligation for continuing disclosure with respect to the 2016 Bonds or the City or the Department has been undertaken by the Department, on behalf of the City. See "CONTINUING DISCLOSURE" herein.

RISK FACTORS

Investment in the 2016 Bonds involves risks that may not be appropriate for certain investors. The following is a discussion of certain risk factors that should be considered, in addition to other matters set forth herein, in evaluating the 2016 Bonds for investment. The information set forth below does not purport to be an exhaustive listing of the risks and other considerations that may be relevant to an investment in the 2016 Bonds. In addition, the order in which the following information is presented is not intended to reflect the relative importance of any such risks.

Special Obligations

The 2016 Bonds are special obligations of the Authority and, as and to the extent set forth in the Indenture, are payable solely from and secured by a pledge, charge and lien upon the Project Revenues, which consist of 2016 Purchase Payments to be made by the Department on behalf of the City under the Installment Purchase Agreement, and certain other moneys and securities held by the Trustee as provided in the Indenture. The full faith and credit of the Authority and the City is not pledged for the payment of the principal of or interest on the 2016 Bonds. The 2016 Bonds are not payable from and secured by a

legal or equitable pledge of, or charge, lien or encumbrance upon, any of the property of the Authority or the City or any of its income, receipts, or revenues except the Project Revenues and such other funds as provided in the Indenture. The Authority has no other source of revenues from which to pay debt service on the 2016 Bonds. The Authority has no taxing power.

The obligation of the City to pay the 2016 Purchase Payments securing the 2016 Bonds is a special obligation of the City and is not secured by a legal or equitable pledge or charge or lien upon any property of the City or any of its income or receipts, except the Net Revenues under the Installment Purchase Agreement. The obligation of the City to make the 2016 Purchase Payments does not constitute an obligation of the City to levy or pledge any form of taxation or for which the City has levied or pledged any form of taxation. The City is obligated under the Installment Purchase Agreement to make the 2016 Purchase Payments solely from Net Revenues payable under the Installment Purchase Agreement.

Sewer Treatment Enterprise Demand

There can be no assurance that the local demand for the services provided by the Sewer Treatment Enterprise will be maintained at levels described in this Official Statement under the heading “THE SEWER TREATMENT ENTERPRISE.” Any factor which results in a decline in the level of demand for wastewater services, or other adverse changes in demographics within the boundaries of the City could cause the demand for related wastewater services, to decline, from time to time, or over the term of the 2016 Bonds. Reduction in the level of demand could require an increase in rates or charges in order to produce Net Revenues sufficient to comply with the City’s rate covenant in the Installment Purchase Agreement. A significant decline in demand might create a situation in which the City could not increase Sewer Treatment Enterprise rates and charges sufficiently to offset the decrease in customers or usage. This would reduce the City’s ability to make the 2016 Purchase Payments, which could in turn adversely impact the Authority’s ability to make payments of the principal of and interest on the 2016 Bonds as and when due.

Further, among other factors affecting demand, the Sewer Treatment Enterprise use is affected by economic conditions. Economic recession and its associated impacts such as job losses, income losses, and housing foreclosures or vacancies affect aggregate levels of wastewater services. Among other matters, general and southern California economic conditions and changes in law and government regulations could adversely affect the amount of operating revenues to the Sewer Treatment Fund. There can be no assurance that an entity with regulatory authority over the Sewer Treatment Enterprise will not adopt further restrictions on operation of the Sewer Treatment Enterprise.

Sewer Treatment Enterprise Expenses and Collections

The operation and maintenance expenditures related to the Sewer Treatment Enterprise are expected to increase in the next five years. See “THE SEWER TREATMENT ENTERPRISE – Financial Projections.” However, there can be no assurance that the projected future Operation and Maintenance Costs of the Sewer Treatment Enterprise will actually be as projected by the Department and described in this Official Statement.

Changes in technology, demographic changes, lifestyle changes and new regulatory requirements, and increases in the cost of energy or other expenses, could reduce Net Revenues, and each could require substantial increases in rates or charges in order to comply with the rate covenant for the Sewer Treatment Enterprise under the Installment Purchase Agreement. Also, any such rate increases could increase the likelihood of nonpayment by users of wastewater services, from the City and could also decrease demand from such purchasers and may impact the City’s ability to make the 2016 Purchase Payments, which

could in turn adversely impact the Authority's ability to make payments of the principal of and interest on the 2016 Bonds as and when due.

Constitutional Limit on Fees and Charges

If a portion of the Sewer Treatment Enterprise rates or connection charges were determined by a court to exceed the reasonable costs of providing service, any fee which the City charges may be considered to be a "special tax," which under Article XIII A of the California Constitution must be authorized by a two-thirds vote of the affected electorate. This limitation is applicable to the rates for service provided by the Sewer Treatment Enterprise. The reasonable cost of service provided by the Sewer Treatment Enterprise has been determined by the State Controller to include depreciation and allowance for the cost of capital improvements, including debt service. In addition, the California courts have determined that fees such as connection fees (capacity charges) will not be special taxes if they approximate the reasonable cost of constructing enterprise improvements contemplated by the local agency imposing the fee. Such court determinations have been codified in the California Government Code (Section 66000 *et seq.*).

The City believes that the rates and use charges imposed by the Department in connection with the Sewer Treatment Enterprise do not exceed the costs it reasonably bears in providing such services.

Under Article XIII B of the California Constitution, state and local government entities have an annual "appropriations limit" which limits their ability to spend certain moneys called "appropriations subject to limitation," which consists of tax revenues, certain state subventions and certain other moneys, including user charges to the extent they exceed the costs reasonably borne by the entity in providing the service for which it is levying the charge. In general terms, the "appropriations limit" is to be based on certain fiscal year 1978-79 expenditures, and is to be adjusted annually to reflect changes in the consumer price index, population and services provided by these entities. Among other provisions of Article XIII B, if an entity's revenues in any year exceed the amount permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years.

See, also "CONSTITUTIONAL LIMITATIONS ON TAXES AND SEWER TREATMENT RATES AND CHARGES."

Rate-Setting Process Under Proposition 218

As described in this Official Statement, the City will covenant in the Installment Purchase Agreement to fix, prescribe and collect rates, fees, charges consistent with its rate covenant under the Installment Purchase Agreement. The Department, on behalf of the City (as a result of recent City Charter amendments) may make adjustments from time to time in such rates, fees, charges and connection fees and may make such classification thereof as it deems necessary, but shall not reduce the rates and charges then in effect unless the Net Revenues from such reduced rates, fees, charges and connection fees will at all times be sufficient to meet the requirements of such covenant. However, Proposition 218, which added Articles XIII C and XIII D to the California Constitution, affects the Department's ability to impose future rate increases, and no assurance can be given that future rate increases will not encounter majority protest opposition or be challenged by initiative action authorized under Proposition 218. If future proposed rate increases cannot be imposed as a result of majority protest or initiative, the Sewer Treatment Enterprise might thereafter be unable to generate Net Revenues in the amounts required by the Installment Purchase Agreement to pay the 2016 Purchase Payments, which could in turn adversely impact the Authority's ability to make payments of the principal of and interest on the 2016 Bonds. See "CONSTITUTIONAL LIMITATIONS ON TAXES AND SEWER TREATMENT RATES AND CHARGES – Article XIII C" and "– Article XIII D."

Limitations on Remedies

The enforceability of the rights and remedies of the Owners and the obligations of the City and the Department may become subject to the following: the federal bankruptcy code and applicable bankruptcy, insolvency, reorganization, moratorium, or similar laws relating to or affecting the enforcement of creditors' rights generally, now or hereafter in effect; usual equitable principles which may limit the specific enforcement under state law of certain remedies; the exercise by the United States of America of the powers delegated to it by the federal Constitution; and the reasonable and necessary exercise, in certain exceptional situations, of the police power inherent in the sovereignty of the State and its governmental bodies in the interest of servicing a significant and legitimate public purpose. Bankruptcy proceedings, or the exercising of powers by the federal or state government, if initiated, could subject the Owners to judicial discretion and interpretation of their rights in bankruptcy or otherwise and consequently may entail risks of delay, limitation, or modification of their rights.

The Indenture provides that if any Event of Default shall occur, then, and in each and every such case during the continuance of such Event of Default, the Trustee may, and at the written direction of the Owners of a majority in aggregate principal amount of the Bonds at the time Outstanding, as provided, and upon being indemnified to the Trustee's satisfaction, shall, upon written notice to the Authority and the City, pursue any available remedy at law or in equity to enforce the payment of the principal of and interest and premium (if any) on the Bonds, and to enforce any rights of the Trustee under or with respect to the Indenture; provided, that, such remedies shall not include any remedy of acceleration. Any remedies available to the Owners of the 2016 Bonds upon the occurrence of an Event of Default under the Indenture are in many respects dependent upon judicial actions, which are often subject to discretion and delay and could prove both expensive and time consuming to obtain.

Holders of 2016 Bonds do not, and will not have a right to the remedy of acceleration under the Indenture or the Installment Purchase Agreement.

If the City or the Department fail to comply with its covenants under the Installment Purchase Agreement to pay the 2016 Purchase Payments, there can be no assurance of the availability of remedies adequate to protect the interests of the holders of 2016 Bonds.

Effect of City of San Bernardino Bankruptcy Case

On August 1, 2012, the City filed a petition for relief under chapter 9 of the United States Bankruptcy Code (the "Bankruptcy Code") in the United States Bankruptcy Court for the Central District of California (the "Bankruptcy Court"), Case No. 6:12-bk-28006 MJ (the "Bankruptcy Case"). For the reasons described below, the City believes that the Bankruptcy Case will be concluded in a manner that will not adversely affect the issuance or timely repayment of or security for the 2016 Bonds, but no assurances can be given regarding such outcome.

The City filed its initial chapter 9 plan of adjustment and disclosure statement in the Bankruptcy Case on May 29, 2015, and a first amended chapter 9 plan of adjustment and disclosure statement on November 25, 2015. On March 30, 2016, the City filed its second amended chapter 9 plan of adjustment and disclosure statement. On May 27, 2016, the City filed its third amended chapter 9 plan (the "Plan") and on July 7, 2016 the Bankruptcy Court approved the form of disclosure statement and set October 14, 2016, for the hearing on confirmation of the Plan. Balloting for the Plan ended on September 2, 2016 with over 95.9% of votes cast in favor of the Plan. At the hearing on October 14, 2016, the Bankruptcy Court did not issue any rulings. However, the Bankruptcy Court noted that the City's evidence in support of confirmation of the Plan supported a finding that the Plan was feasible. The next hearing is set for

November 15, 2016, at which time the Bankruptcy Court indicated that it would consider the objections to confirmation and rule on confirmation of the Plan.

On December 6, 2016, the Bankruptcy Court issued a tentative order approving the City's plan to exit bankruptcy. On December 1, 2016, the City reached agreement with its last creditor opposing the Plan, an organization called the Big Independent Cities Excess Pool ("BICEP"), a group of six mid-sized cities that pool coverage for liability claims, including an unknown number of civil-rights claims against the City that total more than \$1 million. The Bankruptcy Court's order represents a tentative approval of the Plan submitted by the City. The order is tentative until the official confirmation order is issued, which the Bankruptcy Court stated would be done within 30 days. The next hearing date in the case is scheduled for January 27, 2017.

The City's obligation to make 2016 Purchase Payments under the Installment Purchase Agreement is payable from and secured by a pledge of and lien on Net Revenues from its ownership and operation of the Sewer Treatment Enterprise. The City believes that the Net Revenues are "special revenues" within the meaning of the Bankruptcy Code. "Special revenues" are defined by the Bankruptcy Code to include, among other revenue, receipts derived from the ownership, operation, or disposition of projects or systems of the debtor that are primarily used or intended to be used primarily to provide utility or other services. Although the filing of the Bankruptcy Case operated as an automatic stay against any action to recover a claim against or obtain money or other property from or enforce a lien against the City, under the Bankruptcy Code the automatic stay does not extend to application of pledged "special revenues" in excess of necessary operating expenses of the project or system from which they are derived. Although the pledge of and lien on Net Revenues constitutes a consensual lien, rather than a statutory lien, a consensual lien on "special revenues" remains effective after commencement of a chapter 9 case, as would a statutory lien.

The City notes that many issues under chapter 9 of the Bankruptcy Code, including issues relevant to the impairment of obligations payable from and secured by "special revenues," have not yet been the subject of reported appellate decisions, and certain commentators and parties in other cases have taken positions that could result in impairment of such obligations and liens were such positions adopted by the courts. Nevertheless, for the reasons discussed above and below, the City believes that its pledge of and lien on Net Revenues as security for payment of the 2016 Purchase Payments (and therefore the 2016 Bonds) will be recognized, given effect, and enforced throughout and after conclusion of the Bankruptcy Case.

As stated, the protection afforded by the Bankruptcy Code to pledges of and liens on "special revenues" after the commencement of a case extends only to "special revenues" that are not needed to pay necessary operating expenses of the project or system from which they were derived. It is not clear precisely which expenses would constitute necessary operating expenses, and the definitions of Operation and Maintenance Costs and Net Revenues in the transaction documents would not be controlling. Consequently, a court could reduce Net Revenues available to pay Owners of the 2016 Bonds during the pendency of the Bankruptcy Case, or any subsequent chapter 9 case initiated by the City, if it concludes that expenses not deducted by the Installment Purchase Agreement to calculate Net Revenues nevertheless are necessary operating expenses.

Further, the City did not seek, and thus did not receive, an order from the Bankruptcy Court approving the pledge of and lien on Net Revenues for the 2016 Purchase Payments or the City's entry into the Installment Purchase Agreement. Under the Bankruptcy Code, the Bankruptcy Court may avoid a transfer of property (including the pledge of and lien on Net Revenues granted to secure payment of the 2016 Purchase Payments) by the City during the pendency of the Bankruptcy Case, unless the transfer is authorized under the Bankruptcy Code or by the Bankruptcy Court. In addition, while "special revenues"

are exempt from an automatic stay, they are not exempt from a possible stay for cause with City consent, if a creditor challenges the pledge of and lien on Net Revenues granted to secure the 2016 Purchase Payments, either as a whole or in part. The City has no intention to consent to such a stay. In addition, the City believes that the pledge and lien granted by it to secure payment of the 2016 Purchase Payments are authorized under the Bankruptcy Code, because chapter 9 provides that a bankruptcy court may not interfere with the political or governmental powers of a political subdivision such as the City (unless the City approves a plan of adjustment to that effect or consents to such action), and nothing in the Bankruptcy Code prohibits the City from granting such pledge and lien. There is no binding judicial precedent that addresses the relevant Bankruptcy Code provisions, so the Bankruptcy Court could reach a different conclusion. If the pledge and lien are not authorized under the Bankruptcy Code, then the Bankruptcy Court would be authorized to avoid or subordinate the pledge and lien (either in whole or in part). Nonetheless, the City believes that the Bankruptcy Court would not avoid the pledge and lien, even if it were authorized to do so, for the same reasons that it believes the Bankruptcy Court would not approve a Plan that does not give full effect to the pledge and lien, as described below.

Since the inception of the Bankruptcy Case, no creditor of the City has asserted that the Bankruptcy Court consider a claim against any enterprise fund of the City, such as the Sewer Treatment Fund. Throughout the case the City has timely paid regularly scheduled principal and interest on its enterprise fund bond obligations and only deferred payments on its pension obligation bonds.

The City could propose and the Bankruptcy Court could approve a revised Plan that alters the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Installment Purchase Agreement, if the Bankruptcy Court concludes (a “fairness conclusion”) that the alterations are fair, equitable, not unfairly discriminatory and are part of a plan that is in the best interests of creditors and otherwise complies with the Bankruptcy Code. The City has no intention to propose such a Plan or consent to a stay of its application of Net Revenues to pay 2016 Purchase Payments (although it may not be legally barred from doing so). Even if it did consent to such a stay or propose such a Plan, the City believes that neither the stay nor the fairness conclusion required to approve a Plan would be warranted under prevailing conditions, because (1) under California law, the City may not apply revenues from ownership and operation of the Sewer Treatment Enterprise for any purpose other than operation, maintenance, and improvement of the Sewer Treatment Enterprise, including debt service on indebtedness incurred for that purpose, (2) the Bankruptcy Code does not impair the power of a state to control a municipality in the state in the exercise of a political or governmental power, including expenditures made in the exercise of that power, and accordingly the City believes that it has no legal power to propose a Plan that would divert revenue from the Sewer Treatment Fund to pay obligations of the City that are not expenses of the Sewer Treatment Fund, and (3) revenues for the Sewer Treatment Fund have been and are projected to be sufficient to pay all expenses of the Sewer Treatment Enterprise, including the 2016 Purchase Payments. There can be no assurance that the Owners of the 2016 Bonds would be successful in opposing such a Plan or imposition of a stay, should the City seek to propose such a Plan or impose such a stay.

The City’s bankruptcy, and the economic and political factors leading to it, have resulted in significant adverse impacts to the City, including a severe reduction in some City services. The City’s Recovery Plan, which is being implemented concurrently with its chapter 9 plan (the Plan as defined herein), lays out a plan to improve services funded by the General Fund and to increase General Fund revenues. The City has successfully annexed into the County Fire District effective July 1, 2016 and has contracted refuse service to a private company effective in May 1, 2016 representing annual savings to the General Fund of roughly \$12 million. While the City has reached agreements with all of its major creditors, the failure of the City to confirm the Plan and otherwise successfully emerge from the Bankruptcy Case could negatively impact the City’s ability to fully implement its Recovery Plan.

Whatever the outcome of the present Bankruptcy Case, there can be no assurance that the City will not seek relief as a debtor in another chapter 9 bankruptcy case during the term of the 2016 Bonds. If the City again files a petition for relief under chapter 9 in the future, as in the City's current bankruptcy proceeding, the City may be able to alter the priority, interest rate, principal amount, payment terms, collateral maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of bonds and bond related agreements, if the bankruptcy court concludes under then prevailing conditions that the alterations are fair, equitable, not unfairly discriminatory and are part of a plan that is in the best interests of creditors and otherwise complies with the Bankruptcy Code. There may be other possible effects of a bankruptcy of the City that could result in delays or reductions in payments on the 2016 Bonds.

Natural Disasters

The financial stability of the Sewer Treatment Enterprise can be adversely affected by a variety of factors, particularly those which may affect infrastructure and other public improvements and private improvements and the continued habitability and enjoyment of such improvements. The City, like many California communities, may be subject to unpredictable seismic activity, fires, flood, or other natural disasters. Southern California is a seismically active area. Seismic activity, wildfires and other natural disasters represents a potential risk for damage to buildings, roads, bridges and property within the City. Although the Department has implemented disaster preparedness plans and made improvements to the Sewer Treatment Enterprise in connection with such natural disasters, there can be no assurance that these or any additional measures will be adequate in the event that a natural disaster occurs, nor that costs of preparedness measures will be as currently anticipated. Further, damage to components of the Sewer Treatment Enterprise could cause a material increase in costs for repairs or a corresponding material adverse impact on Net Revenues. As provided in the Installment Purchase Agreement, the Department is required to procure and maintain or cause to be procured and maintained insurance on the Sewer Treatment Enterprise with responsible insurers in such amounts and against such risks (including damage to or destruction of the Sewer Treatment Enterprise) as are usually covered in connection with facilities similar to the Sewer Treatment Enterprise, so long as such insurance is available from reputable insurance companies and obtainable at a reasonable cost. The Department is further required to procure and maintain such other insurance as it shall deem advisable or necessary to protect its interests, which insurance shall afford protection in such amounts and against such risks as are usually covered in connection with municipal wastewater systems similar to the Sewer Treatment Enterprise. The Department maintains casualty insurance on many of the assets of the Sewer Treatment Enterprise, including, among other assets, treatment plants, pump stations, administration buildings, garages, warehouses, concession buildings, and labs. The Department currently maintains earthquake insurance on buildings and plant facilities of the Sewer Treatment Enterprise; however, the Department is not obligated under the Installment Purchase Agreement to maintain earthquake insurance on the Sewer Treatment Enterprise, and may elect to discontinue such coverage at its discretion. Neither the Department, nor the City's Public Works Department currently maintains property insurance for the pipelines of the sewer collection system or the Sewer Treatment Enterprise because such insurance is not available at commercially reasonable rates, but is insured under its liability policy for damage to property as a result of a pipe break.

Earthquake. Many California communities, including the City and the Service Area, are subject to periodic earthquake activity. In addition, land susceptible to seismic activity may be subject to liquefaction during the occurrence of such event. The City is surrounded by earthquake faults. According to the Safety Element of the City's General Plan, the City is located between several active fault zones including: the San Andreas Fault, the San Jacinto Fault, the Glen Helen Fault, and the Loma Linda Fault. If an earthquake were to substantially damage or destroy taxable property within the City, the assessed valuation of such property would be reduced. Although the City believes that no active or inactive fault

lines pass through, or near, the City, if there were to be an occurrence of severe seismic activity in the City, there could be an impact on the cost or the ability to provide water and wastewater services until repairs could be made, possibly diminishing Net Revenues. Earthquakes or other natural disasters could interrupt operation of the Sewer Treatment Enterprise and thereby interrupt the ability of the Department to realize Net Revenues sufficient to pay the 2016 Purchase Payments securing the payment of principal of and interest on the 2016 Bonds. The Sewer Treatment Enterprise has not experienced any significant losses of facilities or services as a result of earthquakes.

In anticipation of such potential disasters, the Department designs and constructs all facilities of the Sewer Treatment Enterprise to the seismic codes in effect at the time of design of the project. Building codes require that some of these factors be taken into account, to a limited extent, in the design of improvements, including the Sewer Treatment Enterprise. Some of these factors may also be taken into account, to a limited extent, in the design of other infrastructure and public improvements neither designed nor subject to design approval by the City or the Department. Design criteria in any of these circumstances are established upon the basis of a variety of considerations and may change, leaving previously-designed improvements unaffected by more stringent subsequently established criteria. In general, design criteria reflect a balance at the time of protection and the future costs of lack of protection, based in part upon a present perception of the probability that the condition will occur and the seriousness of the condition should it occur. Conditions may occur and may result in damage to improvements of varying seriousness, such that the damage may entail significant repair or replacement costs and that repair or replacement may never occur either because of the cost or because repair or replacement will not facilitate habitability or other use, or because other considerations preclude such repair or replacement. Under any of these circumstances, the actual value of public and private improvements within the City in general may well depreciate or disappear, notwithstanding the establishment of design criteria for any such condition.

Groundwater in the Bunker Hill Basin generally flows in a southwesterly direction from the San Bernardino Mountains to the San Jacinto Fault. The San Jacinto Fault acts as a barrier, or underground dam, causing the groundwater behind the fault to rise toward land surface in the form of high groundwater. In addition to the rising water associated with the groundwater barrier, this area of the basin also experiences a “pressure effect” caused by the higher water surface elevation along the foothills. This high groundwater area is located within the City and is commonly referred to as the “Pressure Zone” or the “Area of Historic High Groundwater” (the “AHHG”). In the past, water levels in the AHHG have risen high enough to cause artesian conditions (groundwater pooling above land surface). Groundwater levels which are this shallow frequently cause basements to flood, adversely affect the load-bearing capacity of streets, disrupt underground utilities and may cause “liquefaction” during an earthquake. Liquefaction occurs when saturated, sandy soil turns into a “quicksand” state during an earthquake. When liquefaction occurs, the ground no longer provides support to underground utilities or overlying structures, allowing them to sink or to float. In some cases, the foundational supports have been compromised, resulting in buildings toppling over. Liquefaction can be mitigated by removing the water from the soil or by changing the soil characteristics through grouting or other methods. The Department can make no predictions or offer any assurances with respect to such potential damages. Necessary repairs, or any portion thereof, could be charged to the Department as Operation and Maintenance Costs, senior in right of payment to 2016 Purchase Payments, rather than allocated as eligible expenditures of the City’s General Fund or Road Fund.

Wildfires. The City is susceptible to wildland fires due to the steep terrain and highly flammable chaparral vegetation of the foothills of the San Bernardino Mountains and high winds that correspond with seasonal dry periods. The characteristics of the San Bernardino Mountains and winds in the area result in large uncontrollable fires on a recurring basis. Major fires have endangered the City on numerous occasions and in several instances, have spread into the City causing extensive damage, most

recently in 2003 with the Old Waterman Canyon fire, the largest fire in recent history, which destroyed approximately 330 residential properties, and the Panorama fire in 1980, which destroyed 345 structures and killed four people. Many of the areas burned during the Panorama fire were again burned in 2003.

The danger from wildland fires in foothill locations is increased by the number of structures and encroachment of new development in the hillside areas. Specific concerns include the density of development, spacing of structures, brush clearance, building materials, access to buildings by fire equipment, adequacy of evacuation routes, property maintenance, and water availability. The capacity of the water systems to provide sufficient water to fight fires is also a significant issue. Other areas in southern California are burned off periodically by way of controlled burns to remove older vegetation. The controlled burn process is used very carefully in the San Bernardino Mountains because of the unpredictability and force of the winds in the area that could make controlled burns a potential hazard.

Facilities comprising the Sewer Treatment Enterprise generally consist of pipelines and connections, flow control facilities, and pumping stations, which are not typically vulnerable to damage by wildfires. The above ground facilities within the Sewer Treatment Enterprise are designed to be tolerant to damage by wildfires through the use of fire resistant material where possible, such as concrete and masonry blocks. In addition, the Department works closely with the City's fire department to ensure that proper vegetative clearances are maintained in and around the properties and facilities of the Sewer Treatment Enterprise. The Department watches for wildfires that may threaten the facilities of the Sewer Treatment Enterprise and operations and maintenance crews are dispatched to ensure that all above-ground facilities remain safe and operational. Further, during fires, the Department works closely with the City's fire department and law enforcement officers to monitor and protect facilities of the Sewer Treatment Enterprise to ensure continuous operation.

Wind. According to the Safety Element of the City's General Plan, the City is subject to extremely high winds, which have resulted in significant property damage. For example, portions of roofs and block walls have been broken and blown away and public utility structures such as power lines and traffic signals have been damaged. The most significant wind problems occur at the canyon mouths and valleys extending downslope from the San Bernardino Mountains. The highest velocities are associated with downslope canyon and Santa Ana winds (90-100 mph). Santa Ana wind conditions are a reversal of the prevailing southwesterly winds and usually occur on a region-wide basis during late summer and early fall. Santa Ana winds are dry, warm winds that flow from the higher desert elevations in the north through the mountain passes and canyons. Of the major fires in the San Bernardino Mountains, all have occurred during periods of high winds. The high wind velocity and property damage potential have resulted in the northern half of the City adjacent to the mountains being classified by the City as a "High Wind Area." In this area of the City, stringent conditions for the construction of buildings and public facilities are applied.

Drought Risks. The ability of the Department to operate effectively can be affected by the water supply available to the City, which is situated in an arid and semi-desert environment. If the water supply or availability for sale decreases significantly, whether by operation of mandatory supply restrictions, prohibitively high water costs or otherwise, water sales will diminish, and Net Revenues available to pay the 2016 Purchase Payments may be adversely affected, particularly if collections are adversely impacted.

Statutory and Regulatory Compliance

The Sewer Treatment Enterprise is subject to a variety of federal and State statutory and regulatory requirements. The City's failure to comply with applicable laws and regulations could result in significant fines and penalties. Such claims are payable from assets of the Sewer Treatment Enterprise or from other legally available sources. In addition to claims by private parties, changes in the scope and

standards for public agency systems such as that operated by the Department may also lead to administrative orders issued by federal or State regulators. Future compliance with such orders can also impose substantial additional costs on the Sewer Treatment Enterprise. No assurance can be given that the cost of compliance with such laws, regulations, and orders would not adversely affect the ability of the Department to generate Net Revenues sufficient to pay the debt service on account of any obligation on a parity with the 2016 Purchase Payments including, without limitation, the 2016 Purchase Payments, which could in turn adversely impact the Authority's ability to make payments of the principal of and interest on the 2016 Bonds. See "SEWER TREATMENT ENTERPRISE REGULATORY REQUIREMENTS."

Dam Safety

The DSOD supervises the safety of the storage reservoirs in the State. The Department has one covered storage reservoir, the Perris Hill Reservoir, under the jurisdiction of the DSOD. DSOD may impose operating restrictions on dams and reservoirs that adversely affect the operation of the Sewer Treatment Enterprise. See "SEWER TREATMENT ENTERPRISE REGULATORY REQUIREMENTS – Permits and Licenses."

Future Legislation

The City is subject to various laws, rules and regulations adopted by the local, State and federal governments and their agencies. The Department is unable to predict the adoption or amendment of any such laws, rules or regulations, or their effect on the operations of the Sewer Treatment Enterprise or financial condition of the Sewer Treatment Fund.

Potential Impact of Climatic Change

The issue of climate change has become an important factor in water resources planning in the State, and it is being considered during planning for water supplies and systems. Many studies cite evidence that increasing concentrations of greenhouse gases have caused and will continue to cause a rise in temperatures around the world, which will result in a wide range of changes in climate patterns. Moreover, they cite evidence that a warming trend occurred during the latter part of the 20th century and will likely continue through the 21st century. These changes could have a direct effect on water resources in the State, and numerous studies on climate and water in the State have been conducted to determine the potential impacts. Based on these studies, global warming could result in the following types of water resources impacts in the State, including impacts on water supplies and systems:

- Sea level rise and an increase in saltwater intrusion into groundwater,
- Changes in the timing, intensity, and variability of precipitation, and an increased amount of precipitation falling as rain instead of as snow,
- Reductions in the average annual snowpack due to a rise in the snowline and a shallower snowpack in the low- and medium-elevation zones, and a shift in snowmelt runoff to earlier in the year,
- Long-term changes in watershed vegetation and increased incidence of wildfires that could affect water quality,
- Increased water temperatures with accompanying adverse effects on some fisheries,
- Increases in evaporation and concomitant increased irrigation need, and

- Changes in urban and agricultural water demand.

However, other than the general trends listed above, there is no clear scientific consensus on exactly how global warming will quantitatively affect water supplies or wastewater services with respect to the Sewer Treatment Enterprise.

Uncertainties of Projections, Forecasts and Assumptions

Compliance with certain of the covenants in the Installment Purchase Agreement and the Indenture is based upon assumptions and projections including, but not limited to, those described under “THE SEWER TREATMENT ENTERPRISE – Financial Projections.” Projections and assumptions are inherently subject to significant uncertainties. Inevitably, some assumptions will not be realized and unanticipated events and circumstances may occur and actual results are likely to differ, perhaps materially, from those projected. Accordingly, such projections are not necessarily indicative of future performance, and none of the Department, the City or the Authority can assume responsibility for the accuracy of such projections. See also “INTRODUCTION – Forward-Looking Statements.”

Clean Water Factory

Among current Sewer Treatment Enterprise CIP projects, the Clean Water Factory is the most significant in cost and scope. Project costs for the Clean Water Factory described in this Official Statement are based upon preliminary estimates by the Department, as are projected schedules for the completion of project components, plans and designs, construction costs, and funding sources. The amount of capital contributions as described in this Official Statement are also based upon preliminary estimates by the Department assuming system capacities and respective costs of service. Accordingly, actual results are subject to adjustment and may vary, and costs may be higher or lower than such estimates. This is true including for the estimates of the cost of the contracts for services and tasks needed to complete the first phases of the Clean Water Factory as described herein. In addition, completion of the Clean Water Factory includes certain assumptions (which the Department considers to be reasonable), and Department goals. In the event the costs of the first phases of the Clean Water Factory exceed the Department’s original estimates, delays or unforeseen obstacles are faced, additional capital contributions may be necessary in order to pay for the total costs of the first phases of the Clean Water Factory. The exact amount of any such additional capital contributions will depend upon (a) the actual costs of the first phases of the Clean Water Factory incurred to date where costs and funding are different than anticipated, (b) any unanticipated additional costs of the first phases of the Clean Water Factory needed to complete the first phases of the Clean Water Factory, (c) approval of a rate case to address future capital program costs in Fiscal Years 2020-21 and later Fiscal Years, and (d) whether any bonds, loans or grants will differ from those projected to finance costs of the first phases of the Clean Water Factory. Such variables also apply to the timing, costs and funding of later phases of construction of the Clean Water Factory (expected through Fiscal Year 2037-38), which is projected to begin to be expended in Fiscal Year 2034-35, however, such estimates are currently more subject to change than those with respect to phase one because of the extended time frame. See “THE SEWER TREATMENT ENTERPRISE – Capital Improvement Plan – Clean Water Factory” for additional information on the Clean Water Factory. As with each component of the Sewer Treatment Enterprise CIP, the achievement of projected results, completion, and other expectations involves known and unknown risks, uncertainties, and other factors that may hinder the Department’s ability to meet the Sewer Treatment Enterprise CIP schedule set forth herein. “THE SEWER TREATMENT ENTERPRISE – Capital Improvement Plan” and Table 10 under that heading and “– Anticipated Additional Obligations; Financing Plans for the Sewer Treatment Enterprise CIP.”

Absence of Secondary Market for the 2016 Bonds

There can be no guarantee that there will ever be a secondary market for purchase or sale of the 2016 Bonds or, if a secondary market exists, that the 2016 Bonds can be sold for any particular price. Occasionally, because of general market conditions or because of adverse history or economic prospects connected with a particular issue, secondary marketing practices in connection with a particular issue are suspended or terminated. Additionally, prices of issues for which a market is being made will depend upon then prevailing circumstances. Such prices could be substantially different from the original purchase price.

Loss of Tax Exemption on 2016 Bonds

As discussed under the caption “TAX MATTERS,” interest on the 2016 Bonds could become included in gross income for purposes of federal income taxation, retroactive to the date the 2016 Bonds were issued, as a result of future acts or omissions of the City, the Department or the Authority in violation of their respective covenants in the Indenture and the Installment Purchase Agreement.

Economic, Political, Social, and Environmental Conditions

Prospective investors are encouraged to evaluate current and prospective economic, political, social, and environmental conditions as part of an informed investment decision. Changes in economic, political, social, or environmental conditions on a local, state, federal, and/or international level may adversely affect investment risk generally. Such conditional changes may include (but are not limited to) fluctuations in business production, consumer prices, or financial markets, unemployment rates, technological advancements, shortages or surpluses in natural resources or energy supplies, changes in law, social unrest, fluctuations in the crime rate, political conflict, acts of war or terrorism, environmental damage, and natural disasters.

CONSTITUTIONAL LIMITATIONS ON TAXES AND SEWER TREATMENT RATES AND CHARGES

Article XIII A

Article XIII A of the California Constitution provides that the maximum *ad valorem* tax on real property cannot exceed 1% of the “full cash value,” which is defined as “the county assessor’s valuation of real property as shown on the 1975-76 tax bill under ‘full cash value’ or, thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership has occurred after the 1975 assessment,” subject to exceptions for certain circumstances of transfer or reconstruction and except with respect to certain voter approved debt. The “full cash value” is subject to annual adjustment to reflect increases, not to exceed 2% per year, or decreases in the consumer price index or comparable local data, or to reflect reduction in property value caused by damage, destruction or other factors.

Article XIII A requires a vote of two-thirds of the qualified electorate to impose special taxes, while generally precluding the imposition of any additional *ad valorem*, sales or transaction tax on real property. As amended, Article XIII A exempts from the 1% tax limitation any taxes above that level required to pay debt service on certain voter-approved general obligation bonds for the acquisition or improvement of real property. In addition, Article XIII A requires the approval of two-thirds of all members of the State Legislature to change any State laws resulting in increased tax revenues.

Under California law, any fee that exceeds the reasonable cost of providing the service for which the fee is charged is a “special tax,” which under Article XIII A must be authorized by a two-thirds vote of

the electorate. Under Article XIID, fees and charges for water, sewer, and refuse collection services are subject to majority protest, but are not subject to the two-third vote requirement of Article XIIA. The reasonable cost of providing water services has been determined by the State Controller to include depreciation and allowance for the cost of capital improvements. In addition, the California courts have determined to date that fees such as capacity fees will not be special taxes if they approximate the reasonable cost of constructing the water or wastewater capital improvements contemplated by the local agency imposing the fee.

Article XIIB

Article XIIB of the California Constitution limits the annual appropriations of proceeds of taxes by State and local government entities to the amount of appropriations of the entity for the prior fiscal year, as adjusted for changes in the cost of living, changes in population, and changes in services rendered by the entity. User fees and charges are considered proceeds of taxes only to the extent they exceed the reasonable costs incurred by a governmental entity in supplying the goods and services for which such fees and charges are imposed.

To the extent that assessments, fees, and charges collected by the Department are used to pay the costs of maintaining and operating the Sewer Treatment Enterprise and payments due on the 2016 Bonds, and including the funding of the Common Reserve Account at the Reserve Requirement, the Department believes as of the date hereof that such moneys should not be subject to the annual appropriations limit of Article XIIB.

Article XIIC

On November 5, 1996, the voters of the State approved Proposition 218, a constitutional initiative, entitled the "Right to Vote on Taxes Act" ("Proposition 218"). Proposition 218 added Articles XIIC and XIID to the California Constitution and contained a number of interrelated provisions affecting the ability of local governments, including the City, to levy and collect both existing and future taxes, assessments, fees, and charges.

Section 1 of Article XIIC requires majority voter approval for the imposition, extension, or increase of general taxes and Section 2 thereof requires two-thirds voter approval for the imposition, extension, or increase of special taxes. These voter approval requirements of Article XIIC reduce the flexibility of the City to raise revenues by the levy of general or special taxes and, given such voter approval requirements, no assurance can be given that the City will be able to enact, impose, extend, or increase any such taxes in the future to meet increased expenditure requirements.

As concerns the Department, the City has not enacted, imposed, extended, or increased any tax since the effective date of Proposition 218.

Section 3 of Article XIIC expressly extends the initiative power to give voters the power to reduce or repeal local taxes, assessments, fees, and charges, regardless of the date such taxes, assessments, fees, or charges were imposed. Section 3 expands the initiative power to include reducing or repealing assessments, fees, and charges, which had previously been considered administrative rather than legislative matters and therefore beyond the initiative power. This extension of the initiative power is not limited by the terms of Article XIIC to fees imposed after November 6, 1996, the effective date of Proposition 218, and absent other legal authority could result in the reduction in any existing taxes, assessments, or fees and charges imposed prior to November 6, 1996.

“Fees” and “charges” are not expressly defined in Article XIIC or in SB 919, the Proposition 218 Omnibus Implementation Act enacted in 1997 to prescribe specific procedures and parameters for local jurisdictions in complying with Article XIIC and Article XIID (“SB 919”). Such terms are, however, defined in Article XIID, discussed below. On July 24, 2006, the California Supreme Court ruled in *Bighorn-Desert View Water Agency v. Virgil (Kelley)* (the “*Bighorn Decision*”) that charges for ongoing water delivery are property-related fees and charges within the meaning of Article XIID and are also fees or charges within the meaning of Section 3 of Article XIIC. The California Supreme Court held that such water service charges may, therefore, be reduced or repealed through a local voter initiative pursuant to Section 3 of Article XIIC.

In the *Bighorn Decision*, the Supreme Court did state that nothing in Section 3 of Article XIIC authorizes initiative measures that impose voter-approval requirements for future increases in fees or charges for water delivery. The Supreme Court stated that water providers may determine rates and charges upon proper action of the governing body and that the governing body may increase a charge that was not affected by a prior initiative or impose an entirely new charge.

The Supreme Court further stated in the *Bighorn Decision* that it was not holding that the initiative power is free of all limitations and was not determining whether the initiative power is subject to the statutory provision requiring that water and wastewater service charges be set at a level that will pay debt service on bonded debt and operating expenses. Such initiative power could be subject to the limitations imposed on the impairment of contracts under the contract clause of the United States Constitution. Additionally, SB 919 provides that the initiative power provided for in Proposition 218 “shall not be construed to mean that any owner or beneficial owner of a municipal security, purchased before or after November 5, 1996 (the date of adoption of Proposition 218), assumes the risk of, or in any way consents to, any action by initiative measure that constitutes an impairment of contractual rights” protected by the United States Constitution. No assurance can be given that the voters of the City will not, in the future, approve initiatives that repeal, reduce or prohibit the future imposition or increase of assessments, fees or charges, including the treatment rates and charges of the Sewer Treatment Enterprise, which are the source of Net Revenues to make the 2016 Purchase Payments and, in turn, payments of the principal of and interest on the 2016 Bonds, and other Outstanding Obligations.

Notwithstanding the fact that water service charges may be subject to reduction or repeal by voter initiative undertaken pursuant to Section 3 of Article XIIC, the City will covenant to levy and charge rates that meet the requirements of the Installment Purchase Agreement in accordance with applicable law. Under the Installment Purchase Agreement, the City will covenant to impose rates and charges at specified levels. No assurance can be provided that the City will be able to meet such covenant if any proposed increased service charges cannot be imposed as a result of a majority protest under Proposition 218.

Article XIID

Article XIID defines a “fee” or “charge” as any levy other than an *ad valorem* tax, special tax, or assessment, imposed upon a parcel or upon a person as an incident of property ownership, including a user fee or charge for a property-related service. A “property-related service” is defined as “a public service having a direct relationship to a property ownership.” As discussed above, in the *Bighorn Decision*, the California Supreme Court held that a public water agency’s charges for ongoing water delivery are fees and charges within the meaning of Article XIID. Article XIID requires that any agency imposing or increasing any property-related fee or charge must provide written notice thereof to the record owner of each identified parcel upon which such fee or charge is to be imposed and must conduct a public hearing with respect thereto. The proposed fee or charge may not be imposed or

increased if a majority of owners of the identified parcels file written protests against it. As a result, the local government's ability to increase such fee or charge may be limited by a majority protest.

While the City Attorney currently believes, based upon the judicial precedent in place during the period of these prior rate increases, that a reviewing court could reasonably uphold the validity of those increases, none of the City, the Department or the City Attorney can provide any assurances as to the outcome of a challenge to the prior increases in the treatment rates and charges of the Sewer Treatment Enterprise that were not approved in accordance with the notice and hearing requirements of Article XIIID if one were brought.

In addition, Article XIIID also includes a number of limitations applicable to existing, new, or increased fees and charges, including provisions to the effect that (i) revenues derived from the fee or charge shall not exceed the funds required to provide the property-related service; (ii) such revenues shall not be used for any purpose other than that for which the fee or charge was imposed; (iii) the amount of a fee or charge imposed upon any parcel or person as an incident of property ownership shall not exceed the proportional cost of the service attributable to the parcel; and (iv) no such fee or charge may be imposed for a service unless that service is actually used by, or immediately available to, the owner of the property in question. Property-related fees or charges based on potential or future use of a service are not permitted.

Article XIIID establishes procedural requirements for the imposition of assessments, which are defined as any charge upon real property for a special benefit conferred upon the real property. Standby charges are classified as assessments. Procedural requirements for assessments under Article XIIID include conducting a public hearing and mailed protest procedure, with notice to the record owner of each parcel subject to the assessment. The assessment may not be imposed if a majority of the ballots returned oppose the assessment, with each ballot weighted according to the proportional financial obligation of the affected parcel. The Department and the City Attorney believe that as of the date of this Official Statement that current sewer fees and charges that are subject to Proposition 218 materially comply with the provisions thereof.

Should it become necessary to increase the sewer service charges, treatment rates and charges above current levels, the Department would be required to comply with the requirements of Article XIIID in connection with such proposed increase.

The Department believes that current sewer capacity fees are not subject to Proposition 218. Furthermore, as of the date of this Official Statement, the City, the Department and the City Attorney are unaware of any legal challenges to this position.

The interpretation and application of Proposition 218 will ultimately be determined by the courts or through implementing legislation with respect to a number of the matters described above, and it is not possible at this time to predict with certainty the outcome of such determination or the nature or scope of any such legislation.

Proposition 26

Proposition 26, a State ballot initiative aimed at restricting regulatory fees and charges, was approved by the California voters on November 2, 2010. Proposition 26 broadens the definition of "tax" in Article XIIC of the California Constitution to include levies, charges and exactions imposed by local governments, except for charges imposed for benefits or privileges or for services or products granted to the payor (and not provided to those not charged) that do not exceed their reasonable cost; regulatory fees that do not exceed the cost of regulation; fees for the use of local governmental property; fines and

penalties imposed for violations of law; real property development fees; and assessments and property-related fees imposed under Article XIII D of the California Constitution. California local taxes are subject to approval by two-thirds of the voters voting on the ballot measure for authorization. Proposition 26 applies to charges imposed or increased by local governments after the date of its approval.

The Department believes that Proposition 26 does not apply to its sewer treatment rates and charges because such rates and charges are within various exceptions to Proposition 26. Furthermore, as of the date of this Official Statement, the City, the Department and the City Attorney are unaware of any legal challenges to this position.

Initiative, Referendum and Charter Amendments

Under the California Constitution, the voters of the State have the ability to initiate legislation and require a public vote on legislation passed by the State Legislature through the powers of initiative and referendum, respectively. For example, Article XIII A, Article XIII B and Articles XIII C and XIII D and Proposition 26 were adopted pursuant to the State's constitutional initiative process. As described herein, at the November 8, 2016 general election, City voters approved City Charter amendments in the form of a new City Charter. While this happens infrequently, this is one example where under the City Charter, the voters of the City can restrict or revise the powers of the City through the approval of a charter amendment. From time to time, other initiative measures could be adopted or legislative measures could be approved by the Legislature, which may place limitations on the ability of the City to increase revenues or to increase appropriations. Such measures may further affect the City's ability to collect taxes, assessments or fees and charges, which could have an effect on Sewer Treatment Fund. The Department is unable to predict whether any such initiatives or charter amendments might be submitted to or approved by the voters, the nature of such initiatives or charter amendments, or their potential impact on the Department or the Sewer Treatment Enterprise.

TAX MATTERS

Tax Exemption

The Internal Revenue Code of 1986 (the "Code") imposes certain requirements that must be met subsequent to the issuance and delivery of the 2016 Bonds for interest thereon to be and remain excluded pursuant to section 103(a) of the Code from the gross income of the owners thereof for federal income tax purposes. Noncompliance with such requirements could cause the interest on the 2016 Bonds to be included in the gross income of the owners thereof for federal income tax purposes retroactive to the date of issuance of the 2016 Bonds. Each of the Authority and the City will covenant to maintain the exclusion of the interest on the 2016 Bonds from the gross income of the owners thereof for federal income tax purposes.

In the opinion of Norton Rose Fulbright US LLP, Los Angeles, California, Bond Counsel, under existing statutes, regulations, rulings and court decisions, interest on the 2016 Bonds is exempt from personal income taxes of the State of California and, assuming compliance with the covenants mentioned herein, interest on the 2016 Bonds is excluded pursuant to section 103(a) of the Code from the gross income of the owners thereof for federal income tax purposes. It is the further opinion of Bond Counsel, under existing statutes, regulations, rulings and court decisions, that the 2016 Bonds are not "specified private activity bonds" within the meaning of section 57(a)(5) of the Code and, therefore, that interest on the 2016 Bonds will not be treated as an item of tax preference for purposes of computing the alternative minimum tax imposed by section 55 of the Code. Receipt or accrual of interest on 2016 Bonds owned by a corporation may affect the computation of the alternative minimum taxable income. A corporation's

alternative minimum taxable income is the basis on which the alternative minimum tax imposed by section 55 of the Code will be computed.

Pursuant to the Installment Purchase Agreement and the Indenture and in the *Tax Certificate Pertaining to Arbitrage and Other Matters under Sections 103 and 141-150 of the Internal Revenue Code of 1986*, to be delivered by the Authority and the City in connection with the issuance of the 2016 Bonds, each of the Authority and the City will make representations relevant to the determination of, and will make certain covenants regarding or affecting, the exclusion of interest on the 2016 Bonds from the gross income of the owners thereof for federal income tax purposes. In reaching its opinions described in the immediately preceding paragraph, Bond Counsel will assume the accuracy of such representations and the present and future compliance by each of the Authority and the City with its covenants.

Except as stated in this section above, Bond Counsel will express no opinion as to any federal or state tax consequence of the receipt of interest on, or the ownership or disposition of, the 2016 Bonds. Furthermore, Bond Counsel will express no opinion as to any federal, state or local tax law consequence with respect to the 2016 Bonds, or the interest thereon, if any action is taken with respect to the 2016 Bonds or the proceeds thereof predicated or permitted upon the advice or approval of other counsel. Bond Counsel has not undertaken to advise in the future whether any event after the date of issuance of the 2016 Bonds may affect the tax status of interest on the 2016 Bonds or the tax consequences of the ownership of the 2016 Bonds.

Bond Counsel's opinion is not a guarantee of a result, but represents its legal judgment based upon its review of existing statutes, regulations, published rulings and court decisions and the representations and covenants of the Authority and the City described above. No ruling has been sought from the Internal Revenue Service (the "Service") with respect to the matters addressed in the opinion of Bond Counsel, and Bond Counsel's opinion is not binding on the Service. The Service has an ongoing program of auditing the tax-exempt status of the interest on municipal obligations. If an audit of the 2016 Bonds is commenced, under current procedures the Service is likely to treat the Authority as the "taxpayer," and the owners would have no right to participate in the audit process. In responding to or defending an audit of the tax-exempt status of the interest on the 2016 Bonds, the Authority may have different or conflicting interests from the owners. Public awareness of any future audit of the 2016 Bonds could adversely affect the value and liquidity of the 2016 Bonds during the pendency of the audit, regardless of its ultimate outcome.

Existing law may change to reduce or eliminate the benefit to bondholders of the exemption of interest on the 2016 Bonds from personal income taxation by the State of California or of the exclusion of the interest on the 2016 Bonds from the gross income of the owners thereof for federal income tax purposes. Any proposed legislation or administrative action, whether or not taken, could also affect the value and marketability of the 2016 Bonds. Prospective purchasers of the 2016 Bonds should consult with their own tax advisors with respect to any proposed or future change in tax law.

A copy of the form of opinion of Bond Counsel relating to the 2016 Bonds is included in Appendix D hereto.

Tax Accounting Treatment of Bond Premium and Original Issue Discount

To the extent that a purchaser of a 2016 Bond acquires that 2016 Bond at a price in excess of its "stated redemption price at maturity" (within the meaning of section 1273(a)(2) of the Code), such excess will constitute "bond premium" under the Code. Section 171 of the Code, and the Treasury Regulations promulgated thereunder, provide generally that bond premium on a tax-exempt obligation must be amortized over the remaining term of the obligation (or a shorter period in the case of certain callable

obligations); the amount of premium so amortized will reduce the owner's basis in such obligation for federal income tax purposes, but such amortized premium will not be deductible for federal income tax purposes. Such reduction in basis will increase the amount of any gain (or decrease the amount of any loss) to be recognized for federal income tax purposes upon a sale or other taxable disposition of the obligation. The amount of premium that is amortizable each year by a purchaser is determined by using such purchaser's yield to maturity. The rate and timing of the amortization of the bond premium and the corresponding basis reduction may result in an owner realizing a taxable gain when its 2016 Bond is sold or disposed of for an amount equal to or in some circumstances even less than the original cost of the 2016 Bond to the owner.

The excess, if any, of the stated redemption price at maturity of 2016 Bonds of a maturity over the initial offering price to the public of the 2016 Bonds of that maturity is "original issue discount." Original issue discount accruing on 2016 Bond is treated as interest excluded from the gross income of the owner thereof for federal income tax purposes and is exempt from California personal income tax to the same extent as would be stated interest on that 2016 Bond. Original issue discount on any 2016 Bond purchased at such initial offering price and pursuant to such initial offering will accrue on a semiannual basis over the term of the 2016 Bond on the basis of a constant yield method and, within each semiannual period, will accrue on a ratable daily basis. The amount of original issue discount on such a 2016 Bond accruing during each period is added to the adjusted basis of such 2016 Bond to determine taxable gain upon disposition (including sale, redemption or payment on maturity) of such 2016 Bond. The Code includes certain provisions relating to the accrual of original issue discount in the case of purchasers of 2016 Bonds who purchase such 2016 Bonds other than at the initial offering price and pursuant to the initial offering.

Bond Counsel is not opining on the accounting for or consequence to a Bond purchaser of bond premium or original issue discount on the 2016 Bonds. Persons considering the purchase of 2016 Bonds with original issue discount or initial bond premium should consult with their own tax advisors with respect to the determination of original issue discount or amortizable bond premium on such 2016 Bonds for federal income tax purposes and with respect to the state and local tax consequences of owning and disposing of such 2016 Bonds.

Other Tax Consequences

Although interest on the 2016 Bonds may be exempt from California personal income tax and excluded from the gross income of the owners thereof for federal income tax purposes, an owner's federal, state or local tax liability may be otherwise affected by the ownership or disposition of the 2016 Bonds. The nature and extent of these other tax consequences will depend upon the owner's other items of income or deduction. Without limiting the generality of the foregoing, prospective purchasers of the 2016 Bonds should be aware that (i) section 265 of the Code denies a deduction for interest on indebtedness incurred or continued to purchase or carry the 2016 Bonds and the Code contains additional limitations on interest deductions applicable to financial institutions that own tax-exempt obligations (such as the 2016 Bonds), (ii) with respect to insurance companies subject to the tax imposed by section 831 of the Code, section 832(b)(5)(B)(i) reduces the deduction for loss reserves by 15% of the sum of certain items, including interest on the 2016 Bonds, (iii) interest on the 2016 Bonds earned by certain foreign corporations doing business in the United States could be subject to a branch profits tax imposed by section 884 of the Code, (iv) passive investment income, including interest on the 2016 Bonds, may be subject to federal income taxation under section 1375 of the Code for Subchapter S corporations that have Subchapter C earnings and profits at the close of the taxable year if greater than 25% of the gross receipts of such Subchapter S corporation is passive investment income, (v) section 86 of the Code requires recipients of certain Social Security and certain Railroad Retirement benefits to take into account, in determining the taxability of such benefits, receipts or accruals of interest on the 2016 Bonds and (vi)

under section 32(i) of the Code, receipt of investment income, including interest on the 2016 Bonds, may disqualify the recipient thereof from obtaining the earned income credit. Bond Counsel will express no opinion regarding any such other tax consequences.

CONTINUING DISCLOSURE

The Authority has determined that no financial or operating data concerning the Authority is material to an evaluation of the offering of the 2016 Bonds or to any decision to purchase, hold or sell 2016 Bonds and the Authority will not provide any such information. The Authority shall have no liability to the Owners of the 2016 Bonds or any other person with respect to Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934, as amended (the “Rule”).

Pursuant to the Continuing Disclosure Agreement of the City (the “Continuing Disclosure Agreement”), the Department, on behalf of the City, has agreed to provide, or cause to be provided, to the Municipal Securities Rulemaking Board in the manner prescribed by the SEC certain annual financial information and operating data and notice of certain Notice Events (as described in the Continuing Disclosure Agreement). The form of the Continuing Disclosure Agreement is attached hereto as APPENDIX E – “FORM OF CONTINUING DISCLOSURE AGREEMENT. The annual report is to be filed by the Department not later than the date in each year that is the first day of the month following the eighth month after the end of the Department’s Fiscal Year (which currently would be June 30), commencing with the report for the 2015-16 Fiscal Year (the “Annual Report”), and is to include audited financial statements of the Department, including the financial results of the Sewer Treatment Fund, or audited financial statements of the City, including the financial results of the Sewer Treatment Fund. The covenants of the City acting by and through the Department, in the Continuing Disclosure Agreement have been made in order to assist the Underwriter in complying with the Rule. A failure by the Department, on behalf of the City, to comply with any of the covenants therein is not an event of default under the Indenture or the Installment Purchase Agreement.

The City and its related entities have each entered into a number of continuing disclosure agreements in connection with bonds previously issued by the City and its related entities. One of the bond issues relates to a debt secured by revenues of the Sewer Treatment Enterprise (the “1998 Sewer Certificates of Participation”). During the past five years, the City and its related entities failed to comply with the majority of their obligations under such continuing disclosure undertakings. These failures are attributable in part to the City’s bankruptcy (See the caption “RISK FACTORS – Effect of City of San Bernardino Bankruptcy Case”) and, accordingly, the City until recently had not prepared audited financial statements since Fiscal Year 2012-13. The audited financial statements for the Fiscal Year 2013-14 were released on June 9, 2016 with the auditors including a going concern qualification in such audit. The audited financial statements for the Fiscal Year 2014-15 were posted on October 10, 2016. The missing or late continuing disclosure filings of the City and its related entities are described below.

- The City and its related entities filed the City’s audited financial statements late for the Fiscal Years 2010-11, 2011-12 and 2012-13, including in certain cases more than 340 days late for Fiscal Year 2010-11, more than 540 days late for Fiscal Year 2011-12 and more than 730 days late for Fiscal Year 2012-13. Remedial notices addressing the failure to timely file annual reports were posted on October 11, 2016.

- The City and its related entities have consistently filed incomplete annual operating data and has consistently failed to provide such operating data on a timely basis.

- The City and its related entities have failed to report, with respect to City General Fund obligations and bonds of its successor redevelopment agency, unscheduled debt service reserve draws and other events of default on a timely basis.

- The City and its related entities have failed to report ratings changes applicable to insurers and underlying bond ratings on a timely basis. The remedial ratings change filings for the 1998 Sewer Certificates of Participation were posted on October 11, 2016.

- The City and its related entities have failed to report the City's bankruptcy filing. See the caption "RISK FACTORS – Effect of City of San Bernardino Bankruptcy Case."

- With regards to the 1998 Sewer Certificates of Participation, the City filed the audited financial statements for the Sewer Treatment Enterprise more than 100 days late for Fiscal Year 2011-12 and more than 150 days late for Fiscal Year 2013-14. If the City had included the balance in the reserve account for the 1998 Sewer Certificates of Participation, the City would have filed its annual operating data for the 1998 Sewer Certificates of Participation on time for the last five years with the exception of the annual operating data for the Fiscal Year 2011-12. The reserve fund balance information was corrected for the annual operating reports for the last five years in a corrective filing on January 4, 2016. Under the continuing disclosure undertaking for the 1998 Sewer Certificates of Participation, the audited financial statements and annual operating data for the Sewer Treatment Enterprise was due within 210 days after the end of each Fiscal Year. The audited financial statements and annual operating data are due under the Continuing Disclosure Agreement within eight months (approximately 240 days) after the end of each Fiscal Year. Remedial notices addressing the failure to timely file annual reports for the 1998 Sewer Certificates of Participation were posted on October 11, 2016.

As described in the Continuing Disclosure Agreement, the Department will undertake compliance of the City's obligations under the Continuing Disclosure Agreement. Unlike the delay in release of the City's financial statements described above, the Department has produced audited financial statements of the Department, including the financial results of the Sewer Treatment Fund, during the pendency of the City's bankruptcy proceedings. For example, Department released to the public its audited financial statements on January 27, 2016 for the Fiscal Year 2014-15, March 5, 2015 for the Fiscal Year 2013-14, February 26, 2014 for the Fiscal Year 2012-13, April 12, 2013 for the Fiscal Year 2011-12 and January 10, 2012 for the Fiscal Year 2010-11. Management of the Department expects that it can produce and file with the Municipal Securities Rulemaking Board the audited financial statements for the Sewer Treatment Fund and the other required information by the required date under the Continuing Disclosure Agreement.

In addition, the Department has engaged Urban Futures, Inc. to act as Dissemination Agent under the Continuing Disclosure Agreement. As part of its services as Dissemination Agent, Urban Futures has agreed to develop and maintain a database to monitor, track and review reporting and filing requirements as outlined in the Continuing Disclosure Agreement.

Furthermore, the Board adopted disclosure policies and procedures for the Department in October 2016 designed to ensure timely and complete compliance with the Department's undertakings under the Rule. See APPENDIX G – "CONTINUING DISCLOSURE POLICY." The Department's Director of Finance, together with the Dissemination Agent, Urban Futures, Inc., have initially assumed primary responsibility for compliance. The City's Finance Director, the Department's Director of Finance and two other staff members participated in a continuing disclosure training on August 8, 2016.

LITIGATION

The Authority

To the knowledge of the Authority, there is no material litigation pending or threatened against the Authority concerning the validity of the 2016 Bonds or any proceedings of the Authority taken with respect to the issuance thereof.

The City and the Sewer Treatment Enterprise

As of the date of this Official Statement, there is no litigation pending against the City or the Department or, to the knowledge of its respective executive officers, threatened, seeking to restrain or enjoin the issuance, sale, execution, or delivery of the 2016 Bonds or the Installment Purchase Agreement or in any way contesting or affecting the validity of the 2016 Bonds or the Installment Purchase Agreement or the authorizations or any proceedings of the City or the Department taken with respect to the issuance or sale thereof, or the pledge or application of any moneys or security provided for the payment of the 2016 Bonds or the Installment Purchase Agreement or the use of the proceeds of the 2016 Bonds.

There are no pending lawsuits that, in the opinion of the City Attorney, challenge the validity of the 2016 Bonds, the corporate existence of the City or the Department, or the title of the executive officers thereof to their respective offices. In connection with this review, attention has been given to not only litigation pending against the City, but also litigation pending against the Department. The Office of the City Attorney has prepared the following summary, as of the date of this Official Statement, of certain claims and lawsuits for which the estimated loss to the City as of such date exceeds \$1 million pending against the Sewer Treatment Fund for construction claims and certain other alleged liabilities arising during the ordinary course of operations of the Sewer Treatment Enterprise:

In August 2016, the Department was notified that three environmental groups intend to sue the City, the City of Colton and the Colton/San Bernardino Regional Tertiary Treatment and Water Reclamation Authority with respect to the alleged impacts of temporary maintenance shutdowns at the RIX on the endangered Santa Ana suckerfish. The 60-day notice of intent to file a lawsuit was filed by the Center for Biological Diversity, the San Bernardino Valley Audubon Society and the Sierra Club. Particularly in times of drought, the suckerfish is dependent upon the release of water from the RIX to maintain flow and surface water in portions of the Santa Ana River. By halting discharges deemed necessary to maintaining surface flows of the Santa Ana River, the maintenance shutdown operations of the RIX is alleged to be stranding and killing threatened fish, violating the Endangered Species Act and driving the fish closer to extinction, according to the notice. The environmental groups assert that since 2014, more than 100 Santa Ana sucker deaths have been documented in three instances when wastewater discharges into the river were halted. The halting of water flow from the RIX are the result of shutdowns, necessary to perform required maintenance to ensure that discharged wastewater meets Clean Water Act permit standards. The Department cannot predict the outcome of the proposed litigation, but expects to continue to work with the United States Fish and Wildlife Service for a managed solution to these required maintenance shutdowns.

The City is currently plaintiff in litigation against the EVWD and the Valley District with respect to their respective actions to jointly propose and develop a sewage treatment plant, currently referred to as the Sterling Natural Resource Center, the operations of which would be redundant, in part, to the operations and capacity of the WRP in the City, and the RIX. Currently, EVWD wastewater is treated first at the WRP and the RIX Tertiary Treatment Facility. The City opposes the Sterling project and asserts (i) defects in the Environmental Impact Report for the Sterling project, citing potential public

health, water quality, environmental and cost concerns, (ii) the lack of governmental authority by the EVWD, as a water district, to provide wastewater treatment and disposal services, and (iii) circumvention of critical public processes with oversight over the delivery of services. The City asserts that in order for the Sterling project to proceed, the local agencies must obtain authorization from the San Bernardino County Local Agency Formation Commission (“LAFCO”). LAFCO is a state mandated local agency established to oversee the boundaries of cities and special districts, and to review local agency proceedings in order to encourage orderly boundaries and the efficient delivery of services. As proposed, Sterling Natural Resource Center has been described as an up to 10 mgd wastewater treatment facility with a cost of \$128 – 300 million which would discharge treated wastewater into the local groundwater basin. The Sterling project is in its preliminary stages for planning and development, however, the Department has projected that if the EVWD begins treating its own wastewater, the Sewer Treatment Fund will lose at least \$4.5 million annually for 20 years for loss of use of a portion of the WRP which was sized to serve this partnering agency.

The WRP JPA Agreement with EVWD provides that it can only be amended and modified by mutual consent and is to continue in effect until terminated by mutual consent of the parties. Currently, EVWD disputes that it has an obligation under the WRP JPA Agreement with EVWD to convey its wastewater to City facilities for treatment. This dispute could be the subject of litigation relating to EVWD’s obligations under the WRP JPA Agreement with EVWD. In the event that EVWD determines to cease sending wastewater to City facilities for treatment, any operational shortfalls resulting from a decline in the use of capacity would be allocated among remaining users.

In addition to the matters summarized above under this heading, in the ordinary course of operations, the Department is subject to claims and litigation from outside parties. After consultation with legal counsel, the Department believes the ultimate outcome of such matters, if any, will not materially affect the operations of the Sewer Treatment Enterprise or the financial condition of the Sewer Treatment Fund.

CERTAIN LEGAL MATTERS

The validity of the 2016 Bonds and certain other legal matters are subject to the approving opinion of Norton Rose Fulbright US LLP, Los Angeles, California, Bond Counsel to the Authority. A complete copy of the proposed form of Bond Counsel opinion is contained in APPENDIX D hereto. Bond Counsel undertakes no responsibility for the accuracy, completeness or fairness of this Official Statement. Certain legal matters will be passed upon for the Authority by Jones Hall, A Professional Law Corporation, San Francisco, California, for the City by the City Attorney, and for the City by Orrick, Herrington & Sutcliffe LLP as Disclosure Counsel. Orrick, Herrington & Sutcliffe LLP is also serving as counsel to the Underwriter. Except for the City Attorney, such counsel will receive compensation contingent upon the sale and delivery of the 2016 Bonds.

MUNICIPAL ADVISOR

Urban Futures, Inc., Orange, California (the “Municipal Advisor”) has assisted the City in matters relating to the planning, structuring, and sale of the 2016 Bonds and the preparation of this Official Statement, and has provided general financial advisory services to the City with respect to the sale of the 2016 Bonds. The Municipal Advisor provides financial advisory services only and does not engage in the underwriting, marketing, or trading of municipal securities or other negotiable instruments. The payment of fees of the Municipal Advisor is contingent upon the closing of the 2016 Bond transaction.

RATINGS

S&P Global Ratings (“S&P”) is expected to assign the 2016 Bonds its municipal bond rating of “AA” (stable outlook) with the understanding that the Policy insuring the payment when due of the principal of and interest on the 2016 Bonds will be issued by AGM concurrently with the delivery of the 2016 Bonds. S&P has assigned to the 2016 Bonds an underlying municipal bond rating of “A” (stable outlook). Such ratings reflect only the views of such rating agencies, and an explanation of the significance of the ratings may be obtained by contacting them at: Standard & Poor’s, 55 Water Street, New York, New York 10041. Such ratings are not a recommendation to buy, sell or hold the 2016 Bonds. There is no assurance that such ratings will continue for any given period of time or that such ratings will not be revised downward or withdrawn entirely by such organizations, if in their judgment circumstances so warrant. Any such downward revision or withdrawal of such ratings may have an adverse effect on the market price of the 2016 Bonds.

There is no assurance such ratings will continue for any given period of time or that such ratings will not be revised downward or withdrawn entirely by the rating agencies, if in the judgment of such rating agencies, circumstances so warrant. Any such downward revision or withdrawal of such ratings may have an adverse effect on the market price of the 2016 Bonds. None of the Department, the City or the Authority undertakes any obligation to oppose any downward revision, suspension or withdrawal.

UNDERWRITING

The 2016 Bonds are being purchased by Raymond James & Associates, Inc. (the “Underwriter”) pursuant to a Bond Purchase Agreement, dated December 8, 2016 (the “Purchase Agreement”), by and among the Authority, the City and the Underwriter. The Underwriter has agreed, subject to certain conditions, to purchase the 2016 Bonds at a purchase price of \$34,464,869.80 (equal to the original principal amount thereof, plus a net original issue premium of \$192,094.80, less an Underwriter’s discount of \$172,225.00). The Underwriter is committed to purchase all of the 2016 Bonds if any are purchased.

In connection with this offering, the Underwriter may overallocate or effect transactions that stabilize or maintain the market price of the 2016 Bonds at a level above that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued at any time. The Underwriter may offer and sell the 2016 Bonds to certain dealers and dealer banks and banks acting as agent at prices lower than the public offering price stated on the inside cover page hereof and said public offering price may be changed from time to time by the Underwriter.

FINANCIAL STATEMENTS

The Department prepares financial statements annually in conformity with generally accepted accounting principles for governmental entities, which are audited by an independent certified public accountant. The Department’s most recent financial statements, for the Fiscal Year ended June 30, 2016, were audited by Davis Farr LLP, certified public accountants (the “Independent Auditor”), as stated in their report. The Department’s basic financial statements contained in the Department’s CAFRs include the financial statements of the Sewer Treatment Fund. The Department’s CAFR’s also include information relating to the Water Fund. The 2016 Bonds are not secured by any amounts from the Water Fund. The most recent audited financial statements of the Department with an unqualified auditor’s opinion are included as Appendix B hereto. See APPENDIX B – “COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016.”

Accompanying the Independent Auditor's Report in Appendix B is Management's Discussion and Analysis, which is not audited, but is supplementary information required by the Government Accounting Standards Board.

Investors are encouraged to read the entire Official Statement including such financial statements in order to obtain information essential to the making of an informed investment decision.

The Independent Auditor did not review this Official Statement. The Department did not request the consent of the independent auditors to append the Department's financial statements to this Official Statement. Accordingly, the independent auditors did not perform any procedures relating to any of the information in this Official Statement.

MISCELLANEOUS

References are made herein to certain documents and reports which are brief summaries thereof which do not purport to be complete or definitive and reference is made to such documents and reports for full and complete statements of the contents thereof. Copies of the Indenture and the Installment Purchase Agreement may be obtained from the Trustee at U.S. Bank National Association, 700 South Flower Street, Suite 500, Los Angeles, California 90017. The Appendices are integral parts of this Official Statement and must be read together with all other parts of this Official Statement.

This Official Statement is not to be construed as a contract or agreement between the Authority, the City or the Department and the purchasers or Owners of any of the Bonds. The information and expressions of opinion herein are subject to change without notice and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the financial condition, results of operations, or any other affairs of the City, the Department, the Sewer Treatment Enterprise, or the Authority since the date hereof. Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact.

This Official Statement has been duly approved, executed and delivered by the City, acting by and through the Department.

CITY OF SAN BERNARDINO

By: /s/ Stacey R. Aldstadt
Stacey R. Aldstadt – General Manager
Municipal Water Department

APPENDIX A

ECONOMIC AND DEMOGRAPHIC INFORMATION FOR THE CITY OF SAN BERNARDINO AND SAN BERNARDINO COUNTY

The information in this Appendix A is descriptive of the City of San Bernardino (the “City”) and San Bernardino County (the “County”). The following information concerning the City and the County is included only for the purpose of supplying general information regarding the community. The 2016 Bonds are not a debt of the County and the County has not participated in the preparation of this Appendix A. The information in this Appendix A is subject to change without notice, and neither delivery of this Official Statement nor any sale thereafter of the 2016 Bonds shall under any circumstances imply that there has not been any change in the affairs of the City, the County or the Department or in any other information contained herein since the date of the Official Statement. The 2016 Bonds are payable solely from the sources described herein (see “SECURITY AND SOURCES OF PAYMENT FOR THE 2016 BONDS”). No taxing power of the City, the County, the State of California (the “State”), nor any political subdivision of the State, is pledged to the payment of the 2016 Bonds.

General

The County is located in Southern California and was established by an act of the State Legislature on May 23, 1853, forming the County from the eastern part of Los Angeles County. The County encompasses an area of over 22,000 square miles, making it geographically the largest county in the nation and includes twenty-four incorporated communities. The County is bordered on the west by Los Angeles and Kern County, on the north by Inyo County and on the south by the Riverside County.

The City is the county-seat of the County. Incorporated in 1857, it is one of the largest cities in the Inland Empire. The economy of the City is largely shaped by the logistics and transportation industries, government and the United States military.

The City encompasses approximately 59.6 square miles in the San Bernardino foothills and the eastern portion of San Bernardino Valley, approximately 60 miles east of the City of Los Angeles. The January 1, 2016 population of the City was estimated by the California Department of Finance to be 215,491.

The City operates under and is governed by the laws of the State and its City Charter as periodically amended since the original City Charter was adopted by the electorate in 1905. The most recent City Charter was passed in 2004. At the November 8, 2016 general election, City voters approved City Charter amendments in the form of a new City Charter (Revised City Charter Measure L). Its impact on the Department is substantially limited to a realignment under which the Department will assume responsibility from the Department of Public Works for all sewer operations, including the collection system of sewer mains, lines and conveyance facilities, and rate-setting authority delegated to the Board. One intent is to reduce length and complexity of City Charter provisions. Under the new City Charter, the City will have a council-manager form of government, with the City Manager running the City's day-to-day operations, supervising all City employees. The City Clerk, City Attorney and City Treasurer will no longer be elected, rather designated by appointment. The Mayor and the Common Council will be elected by plurality and provisions for run-off elections will be eliminated. Department heads, boards, commissions, committees will be appointed by the Common Council and Mayor, rather than by the Mayor alone.

Population

The following table shows the population estimates of the City, County and State from 2007 through 2016.

POPULATION ESTIMATES
City of San Bernardino, San Bernardino County and State of California
2007 through 2016

Year⁽¹⁾	City of San Bernardino		San Bernardino County		State of California	
	Population	% Change	Population	% Change	Population	% Change
2007	206,904	1.8%	1,989,690	1.5%	36,399,676	0.8%
2008	207,748	0.4	2,009,594	1.0	36,704,375	0.8
2009	208,318	0.3	2,019,432	0.5	36,966,713	0.7
2010	209,656	0.6	2,033,141	0.7	37,223,900	0.7
2011	210,842	0.6	2,054,735	1.1	37,536,835	0.9
2012	211,727	0.4	2,070,374	0.8	37,881,357	0.9
2013	212,286	0.3	2,086,559	0.8	38,239,207	1.0
2014	212,675	0.2	2,100,700	0.7	38,567,459	0.9
2015	213,861	0.6	2,121,088	1.0	38,907,642	0.9
2016	215,491	0.8	2,139,570	0.9	39,255,883	0.9

⁽¹⁾ As of January 1.

Source: 2007-10, 2011-16 (2000 and 2010 DRU Benchmark); California Department of Finance for January 1.

Personal Income

The following table shows of per capita personal income for the County, the State and the United States from 2005 through 2014.

PER CAPITA PERSONAL INCOME⁽¹⁾
San Bernardino County,
State of California, and United States
2005 through 2014

Year	County of San Bernardino	California	United States
2005	\$27,579	\$39,046	\$35,904
2006	28,489	41,693	38,144
2007	29,352	43,182	39,821
2008	30,017	43,786	41,082
2009	29,144	41,588	39,376
2010	29,314	42,411	40,277
2011	30,491	44,852	42,453
2012	31,064	47,614	44,266
2013	31,683	48,125	44,438
2014	32,892	49,985	46,049

(1) Per capita personal income is the total personal income divided by the total mid-year population estimates of the U.S. Bureau of the Census. All dollar estimates are in current dollars (not adjusted for inflation).
Source: U.S. Department of Commerce, Bureau of Economic Analysis.

Building Activity

The annual building permit valuations and number of permits for new dwelling units issued from 2011 through 2015 for the County and the City are shown in the following tables.

BUILDING PERMITS AND VALUATIONS
San Bernardino County
(Dollars in Thousands)
2011 through 2015

	2011	2012	2013	2014	2015
Valuation (\$000's)					
Residential	\$341,317	\$ 480,704	\$ 666,166	\$ 708,471	\$1,056,572
Non-Residential	361,662	562,616	768,169	958,267	1,146,723
Total	\$702,979	\$1,043,320	\$1,434,335	\$1,666,738	\$2,203,295
Units					
Single Family	1,075	1,214	1,874	1,937	2,753
Multiple Family	409	596	1,439	1,266	1,159
Total	1,484	1,810	3,313	3,203	3,912

Note: Totals may not add to sum because of rounding.
Source: Construction Industry Research Board.

BUILDING PERMITS AND VALUATIONS
City of San Bernardino
(Dollars in Thousands)
2011 through 2015

	2011	2012	2013	2014	2015
Valuation (\$000's)					
Residential	\$ 6,688	\$ 7,249	\$ 12,061	\$ 36,608	\$ 36,100
Non-Residential	48,151	87,364	156,460	112,312	138,704
Total	\$54,839	\$94,613	\$168,521	\$148,920	\$174,804
Units					
Single Family	24	18	38	62	38
Multiple Family	0	0	0	50	47
Total	24	18	38	112	85

Note: Totals may not add to sum because of rounding.
Source: Construction Industry Research Board.

Employment

The following table summarizes the labor force, employment and unemployment figures for the City, County and State from 2011 through 2015.

CIVILIAN LABOR FORCE, EMPLOYMENT AND UNEMPLOYMENT RATE
City of San Bernardino, San Bernardino County and State of California
2011 through 2015⁽¹⁾

Year	Area	Labor Force	Employment	Unemployment	Unemployment Rate (%)
2011	City of San Bernardino	84,900	69,800	15,100	17.8%
	San Bernardino County	857,800	743,300	114,500	13.4
	State of California	18,417,900	16,249,600	2,168,300	11.8
2012	City of San Bernardino	84,800	71,300	13,500	15.9%
	San Bernardino County	862,200	759,800	102,500	11.9
	State of California	18,519,000	16,589,700	1,929,300	10.4
2013	City of San Bernardino	84,500	73,000	11,500	13.6%
	San Bernardino County	865,100	778,100	87,000	10.1
	State of California	18,596,800	16,933,300	1,663,500	8.9
2014	City of San Bernardino	83,600	75,100	8,500	10.2%
	San Bernardino County	911,400	838,200	73,200	8.0
	State of California	18,811,400	17,397,100	1,414,300	7.5
2015	City of San Bernardino	83,800	76,900	6,900	8.2%
	San Bernardino County	926,600	866,800	59,800	6.5
	State of California	18,981,800	17,798,600	1,183,200	6.2

⁽¹⁾ Data is based on annual averages, unless otherwise specified, and is not seasonally adjusted.
Source: U.S. Department of Labor - Bureau of Labor Statistics, California Employment Development Department. March 2015 Benchmark.

Industry

The following table summarizes the average annual industry employment in the County from 2011 through 2015.

LABOR FORCE AND INDUSTRY EMPLOYMENT ANNUAL AVERAGES San Bernardino County 2011 through 2015

	2011	2012	2013	2014	2015
Farm	2,500	2,400	2,400	2,600	2,000
Mining and Logging	600	800	900	1,000	1,000
Construction	25,000	26,800	27,400	30,100	32,500
Manufacturing	46,500	47,300	48,300	51,200	54,300
Wholesale Trade	29,400	31,600	34,000	35,900	38,100
Retail Trade	76,900	81,000	82,800	83,900	84,900
Transportation, Warehousing and Utilities	47,600	52,000	53,500	58,800	63,500
Information	4,500	5,300	5,300	5,000	4,900
Financial Activities	20,900	21,000	21,300	21,800	22,400
Professional and Business Services	73,700	73,500	74,900	78,400	82,300
Educational and Health Services	91,100	94,700	102,100	105,300	109,600
Leisure and Hospitality	55,100	57,100	60,900	64,300	68,200
Other Services	20,300	20,900	20,900	21,500	22,400
Government	113,300	112,500	114,000	116,100	119,500
Total All Industries	607,400	626,900	648,700	675,900	705,600

Note: Items may not add to total due to independent rounding.

Source: California Employment Development Department, Labor Market Information Division. March 2015 Benchmark.

Largest Employers

The following table lists the largest employers in the County as of June 30, 2013 *(due to the unavailability of fiscal year 2015 and 2014 data)*.

LARGEST EMPLOYERS
San Bernardino County
As of June 30, 2013

	Employer	Description	Number of Employees⁽¹⁾	% of Total County Employees
1.	San Bernardino County	County Government	19,000	2.00%
2.	Stater Bros. Market	Grocery retail and headquarters	18,221	1.92
3.	U.S. Army, Fort Irwin & Nat. Training Ctr.	Military	13,805	1.45
4.	Loma Linda University	University and research	13,805	1.45
5.	U.S. Marine Corp Air Ground Combat Center	Military	12,486	1.31
6.	United Parcel Service Inc.	Freight company distribution center	8,600	0.91
7.	San Bernardino City Unified School District	Primary & secondary education	8,574	0.90
8.	Ontario International Airport	Public airport	7,695	0.81
9.	Loma Linda University Medical Center	Hospital and healthcare	6,147	0.65
10.	Kaiser Permanente	Hospital and healthcare	6,000	0.63

⁽¹⁾ Due to the unavailability of fiscal year 2015 and 2014 data, fiscal year 2013 data was used instead.
Source: San Bernardino County 'Comprehensive Annual Financial Report' for the year ending June 30, 2015.

The following table lists the largest employers in the City as of June 30, 2015.

LARGEST EMPLOYERS
City of San Bernardino
As of June 30, 2015

	Employer	Number of Employees⁽¹⁾
1.	Stater Brothers	18,000
2.	County of San Bernardino	17,395
3.	San Bernardino City Unified School District	12,629
4.	California State University, San Bernardino	3,012
5.	Saint Bernardine Medical Center	1,400
6.	Community Hospital of San Bernardino	1,200
7.	City of San Bernardino	1,067
8.	San Bernardino Community College District	862
9.	The Sun Newspaper	526
10.	Blood Bank of San Bernardino	340

Source: San Bernardino City Economic and Development Department.

Commercial Activity

Summaries of annual taxable sale date for the County and the City for years 2010 through 2014 are shown in the following tables.

TAXABLE SALES San Bernardino County 2010 through 2014 (Dollars in Thousands)

Year	Retain and Food Permits	Retain and Food Taxable Transactions	Total Permits	Total Outlets Taxable Transactions
2010	34,068	\$17,308,880	47,562	\$24,687,862
2011	34,140	18,736,053	47,791	27,322,980
2012	35,095	19,980,937	48,936	29,531,921
2013	32,986	21,173,875	46,632	31,177,823
2014	34,455	22,240,376	48,349	33,055,967

Note: In 2009, retail permits expanded to include permits for food services.

Source: "Taxable Sales in California (Sales & Use Tax)" - California State Board of Equalization.

TAXABLE SALES City of San Bernardino 2010 through 2014 (Dollars in Thousands)

Year	Retail and Food Permits	Retail and Food Taxable Transactions	Total Permits	Total Outlets Taxable Transactions
2010	5,082	\$1,757,939	6,232	\$2,091,723
2011	4,996	1,923,398	6,156	2,284,943
2012	5,098	2,049,832	6,258	2,422,215
2013	4,401	2,171,867	5,498	2,568,376
2014	4,673	2,273,215	5,808	2,737,021

Note: In 2009, retail permits expanded to include permits for food services.

Source: "Taxable Sales in California (Sales & Use Tax)" - California State Board of Equalization.

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX B

COMPREHENSIVE ANNUAL FINANCIAL REPORT OF THE DEPARTMENT FOR THE FISCAL YEAR ENDED JUNE 30, 2016

The Comprehensive Annual Financial Report attached as Appendix B includes information relating to the Water Utility Enterprise Fund. The 2016 Bonds are payable solely from the sources described herein (see “SECURITY AND SOURCES OF PAYMENT FOR THE 2016 BONDS”) and are not secured by any amounts from the Water Utility Enterprise Fund.

[THIS PAGE INTENTIONALLY LEFT BLANK]

COMPREHENSIVE ANNUAL FINANCIAL
REPORT OF THE CITY OF SAN
BERNARDINO MUNICIPAL WATER
DEPARTMENT, A DEPARTMENT OF THE
CITY OF SAN BERNARDINO,
CALIFORNIA



FOR THE FISCAL YEAR ENDED JUNE 30, 2016

**City of San Bernardino Municipal Water Department
Comprehensive Annual Financial Report
Fiscal Year Ending June 30, 2016**

Table of Contents

	<u>Page No.</u>
Introductory Section:	
Letter of Transmittal	i
Organizational Chart	vii
Financial Section:	
Independent Auditor's Report	1
Management's Discussion and Analysis	5-10
Basic Financial Statements:	
Statement of Net Position	12-13
Statement of Revenues, Expenses and Changes in Net Position	14
Statement of Cash Flows	15-16
Notes to the Basic Financial Statements	17-46
Statistical Section:	
Changes in Net Position – Combined Funds	49
Changes in Net Position – Water Fund	50
Changes in Net Position – Sewer Fund	51
Net Position by Component – Combined	52
Net Position by Component – Water Fund	53
Net Position by Component – Sewer Fund	54
Water Fund Revenue by Type	55
Sewer Fund Revenue by Type	56
Water Fund Expenses by Type	57
Sewer Fund Expenses by Type	58
Water Fund Debt Service Coverage	60
Sewer Fund Debt Service Coverage	61
Demographic Statistics	63
Major Employers	64
Authorized Positions History	65
Water Rates: Minimum Monthly Charge	67
Water Connections and Revenues by User Types	68
Water Rates – Elevation Charges per HCF	69
Top Ten Water Consumers	70
Sewage Treatment Rate History	71
Sewage Treatment Connections and Revenue by User Type	72
Top Ten Sewage Treatment Customers	73

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

BOARD OF WATER COMMISSIONERS

TONI CALLICOTT
President

Commissioners
JUDITH VALLES
LOUIS A. FERNANDEZ
WAYNE HENDRIX
DAVID E. MLYNARSKI



STACEY R. ALDSTADT
General Manager
ROBIN L. OHAMA
Deputy General Manager
MIGUEL GUERRERO, P.E.
Director of Water Utility
JOHN A. CLAUS
Director of Water Reclamation
JENNIFER SHEPARDSON
Director of Environmental &
Regulatory Compliance
TERRI WILLOUGHBY
Director of Finance

“Trusted, Quality Service since 1905”

December 1, 2016

Members of the Board of Water Commissioners
San Bernardino Municipal Water Department

Introduction:

State law requires that every general purpose government publish within six months of the close of each fiscal year a complete set of audited financial statements. This report is published to fulfill that requirement for the San Bernardino Municipal Water Department (“Department”) for the fiscal year ended June 30, 2016.

Management assumes full responsibility for the completeness and reliability of the information contained in this report, based upon a comprehensive framework of internal control that it has established for this purpose. Because the cost of internal control should not exceed anticipated benefits, the objective is to provide reasonable, rather than absolute, assurance that the financial statements are free of any material misstatements.

Davis Farr LLP has issued an unqualified (“clean”) opinion on the Department’s financial statements for the year ended June 30, 2016. The independent auditor’s report is located at the front of the financial section of this report.

Management’s discussion and analysis (“MD&A”) immediately follows the independent auditor’s report and provides a narrative introduction, overview, and analysis of the basic financial statements. MD&A complements this letter of transmittal and should be read in conjunction with it.

Profile of the Department:

The San Bernardino Municipal Water Department and the Board of Water Commissioners (“Board”) were established on May 8th, 1905 by the Mayor and Common Council of San Bernardino in accordance with the provisions specified in the City charter. The Board assembled for the first time on May 16th, 1905 to meet the water supply needs of the community by providing trusted, quality service to our customers. This service has grown through the years to include: water supply, water reclamation, geothermal heating supply, and administrative support for our growing community.

300 North "D" Street, San Bernardino, California 92418 P.O. Box 710, 92402 Phone: (909) 384-5141

FACSIMILE NUMBERS: Administration: (909) 384-5215 Engineering: (909) 384-5532 Customer Service: (909) 384-7211

Corporate Yards: (909) 384-5260 Water Reclamation Plant: (909) 384-5258

The first water distribution system of San Bernardino included water supply for approximately six thousand citizens within a one square mile service area. In contrast, the water supply distribution network now encompasses over 40,000 service connections including 550 miles of water mains. Although the number of connections has increased during the past one hundred years, our commitment to providing trusted, quality service remains the same.

The Department has operated the Water Reclamation Plant (WRP) since 1973. The WRP is a 33 million gallons per day (MGD) Regional Secondary Treatment facility that provides trusted, quality wastewater treatment services for the City of San Bernardino, City of Loma Linda, East Valley Water District, San Bernardino International Airport, Patton State Hospital, and unincorporated areas of San Bernardino County. The WRP serves about 89,000 customers, of which 57,000 are located within the City's boundaries.

The San Bernardino service area receives the majority of its water supply from an underground aquifer called Bunker Hill Basin which is concentrated at the Northwestern end of the city. The water contained in the Bunker Hill Basin is replenished with rain and snowmelt that filters through our local San Bernardino Mountains. This local water supply ensures that the customers of the San Bernardino Municipal Water Department receive high quality, inexpensive water as compared to other communities. Many other communities in Southern California must import their water supplies from remote locations via the Colorado River and Northern California pipelines. Many water supplies imported from distant locations can be impacted by certain man-made and natural contaminants as the water is transported to the customer.

The Department is committed to providing trusted, quality service to our customers as we provide water supply, water reclamation, geothermal heating, and administrative services to our community.

Fiscal Management:

The Board annually adopts an operating and capital budget prior to the new fiscal year. The budget authorizes and provides the basis for reporting and control of financial operations and accountability for the Department's functions, including the Water and Sewer Funds. The budget and reporting treatment applied to a fund is consistent with the accrual basis of accounting and the financial statement basis. Each year the Department adopts a balanced budget.

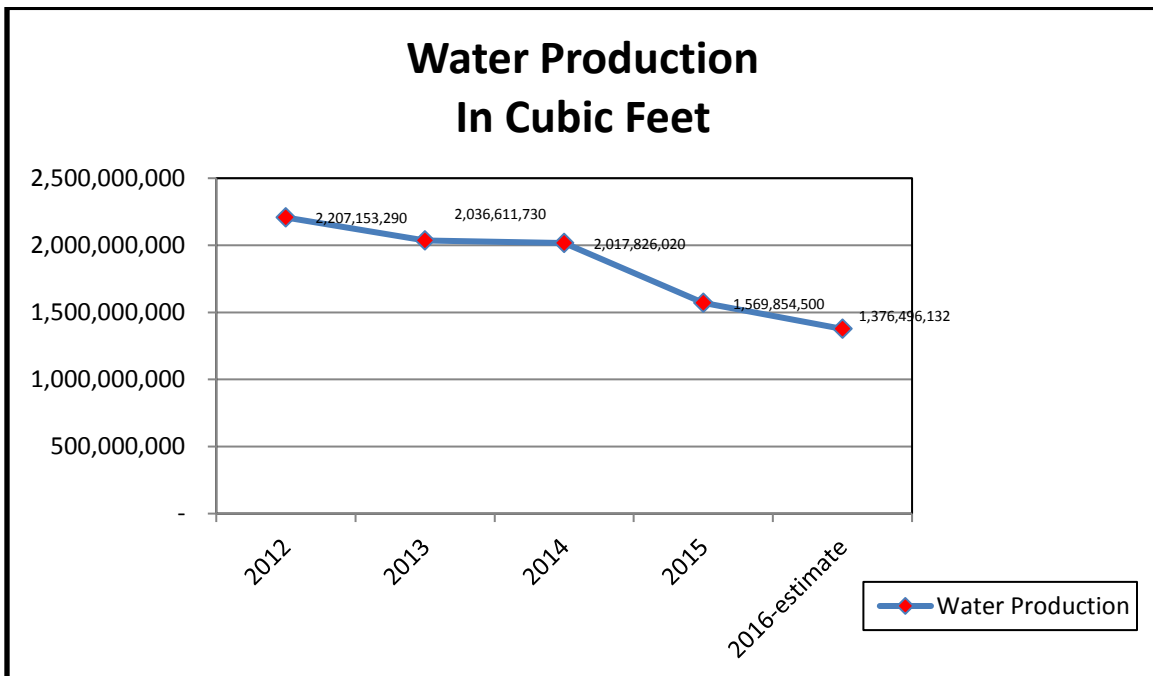
Local Economy:

The Department's offices are located in the City of San Bernardino in San Bernardino County. According to the California Department of Finance, San Bernardino's population as of January 1, 2016 was 215,491. San Bernardino's local economy has been affected by the recent recession, both to a greater extent and for a longer period than surrounding cities. This has affected the Department as increased residential and commercial vacancies have led to a declining customer base. However, as the local real estate and employment markets improve, this customer base should begin to recover. The City's unemployment rate is currently 7.5%, down from 7.6% in the prior year and 9.4% two years prior. The unemployment rate for San Bernardino County reflects a similar improvement, with a rate of 6.4%. Local Economists also project continued improvement in the labor market and are forecasting that the region's unemployment rate will drop to 6.1% by the end of 2020.

California's water supply continues to be a concern due to projected population increases and dwindling supplies from traditional sources. The Department has expanded and will continue to expand its conservation efforts in order to respond to the state-wide drought emergency. Department staff members continue to seek various methods to decrease its dependence on imported water and to increase water source reliability, including increasing production of recycled water. On January 17, 2014, Governor Edmund G. Brown Jr. proclaimed a State of Emergency related to the drought conditions in California and formed the Drought Task

Force. On April 1, 2015, Governor Brown issued an executive order mandating a statewide 25% reduction for urban water suppliers. On May 5, 2015, the State Water Resources Control Board adopted an emergency regulation which assigned a conservation standard to each urban water supplier. The conservation standard assigned to the Department was 28%. In turn, the Department's Board of Water Commissioners declared that Stage IIA, Extreme Mandatory Restrictions were in effect. These restrictions imposed a 28% reduction in water usage and assess financial penalties on usage in excess of these amounts. Through May of 2016, the Department achieved a 25% reduction.

In May 2016, the State Water Resources Control Board adopted a revised emergency water conservation regulation which required local agencies to develop conservation standards based on the agencies' particular circumstances rather than a mandatory state conservation percentage. It allowed water suppliers to self-certify their own conservation standard based on supply and demand from previous years, and extended the emergency regulation through February 2017. In accordance with this latest emergency regulation, the Department's conservation requirement is now set at 15%.



Long Term Financial Planning:

The Department's financial plan includes the establishment of reserve funds in accordance with the Department's adopted Reserve Policy. Reserve funds are established to ensure the Department's financial stability and to have sufficient funding available to meet its operating, capital and debt service cost obligations. The Department has committed to the following funds in its Reserve Policy, adopted by the Board in February 2013.

- **Operating Reserve:** This reserve is established to ensure adequate cash flow is available to meet day-to-day expenses. The target balance is 45 days of the operating expenses budgeted for each respective fund.
- **Rate Stabilization Reserve:** This reserve is established to offset revenue risk associated with low service demands years. The minimum target balance for the Water Fund is 20% of budgeted water sales. The minimum target balance for the Sewer Fund is 10% of budgeted sewer sales.

- **Emergency Replacement Reserve:** The purpose of this reserve was to minimize the impact of unforeseen capital asset and operating expenses. The target balance for the Water Fund is 2% of the total recorded value of capital assets as of the previous fiscal year. The target balance for the Sewer Fund is 3% of the total recorded value of capital assets as of the previous fiscal year.
- **Capital Replacement Reserve:** The Capital Replacement Reserve was set up in order to provide funding in support of the Department's capital program. The basis for calculating the target balance for this reserve is a rolling five-year average of the Department's Capital Improvement Program projects, excluding those with external funding. The target balance will be assessed on an annual basis as part of the budgeting process.

Debt Administration:

The Department's outstanding debt as of June 30, 2016 consists of four Notes Payable in the Water Fund, and one Note Payable in the Sewer Fund, as shown in the table below:

Water Fund Long-Term Debt Activity	
Year of Issuance/Description	Use of Proceeds
2002 California Infrastructure & Economic Development Bank (CIEDB) Note	Funding for transmission mains, booster Stations and a reservoir.
2007 California Infrastructure & Economic Development Bank (CIEDB) Note	Funding for booster stations and transmission mains in the Verdemon area.
2012 California Infrastructure & Economic Development Bank (CIEDB) Note	Funding for the construction of the 12 million gallon Ogden Reservoir and pipeline improvements.
2012 San Bernardino Valley Municipal Water District Note	Funding for the purchase of real property.

Sewer Fund Long-Term Debt Activity	
Year of Issuance/Description	Use of Proceeds
2015 San Bernardino Valley Municipal Water District Note	Funding for UV System Rehabilitation for the San Bernardino/Colton Rapid Infiltration Extraction (RIX) project

Relevant Financial Policies:

Internal Control Structure

Department management is responsible for the establishment and maintenance of the internal control structure that ensures that the assets of the Department are protected from loss, theft or misuse. The internal control structure also ensures that adequate accounting data are compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The Department's internal control structure is designed to provide reasonable assurance that these objectives are met. The concept of reasonable assurance recognizes that (1) the cost of a control should not exceed the benefits likely to be derived and (2) the valuation of costs and benefits requires estimates and judgments by management.

Major Initiatives and Key Values:

The activities of the Board and staff at the Department are driven by our key value statements as outlined below:

1. Provide the highest level of customer service to our community.
2. Establish fair and equitable rates.
3. Provide the highest quality of water and wastewater services.
4. Provide responsible stewardship of our resources and our environment.
5. Require ethical business practices.
6. Promote staff development.

Acknowledgements:

Preparation of this report was accomplished by the combined efforts of Department staff. We appreciate the dedicated efforts and professionalism that these staff members contribute to the service of the Department's customers. The contributions made by Susan Justice, Principal Accountant, and Michelle Honis and Jennifer Francis, Senior Accountants, deserve special recognition. We would also like to thank and recognize the members of the Board for their continued support in planning and implementation of the Department's fiscal policies.

Respectfully submitted,



Robin L. Ohama, Deputy General Manager



Terri A. Willoughby, Director of Finance

City of San Bernardino Municipal Water Department

Mayor of the City of San Bernardino

R. Carey Davis

Board of Water Commissioners

Toni Callicott, President

David E. Mlynarski, Commissioner

Dr. Louis A. Fernandez, Commissioner

Wayne Hendrix, Commissioner

Dr. Judith Valles, Commissioner

Administration

Stacey R. Aldstadt, General Manager

Robin L. Ohama, Deputy General Manager

Miguel Guerrero, Director of Water Utilities

John A. Claus, Director of Water Reclamation

Terri Willoughby, Director of Finance

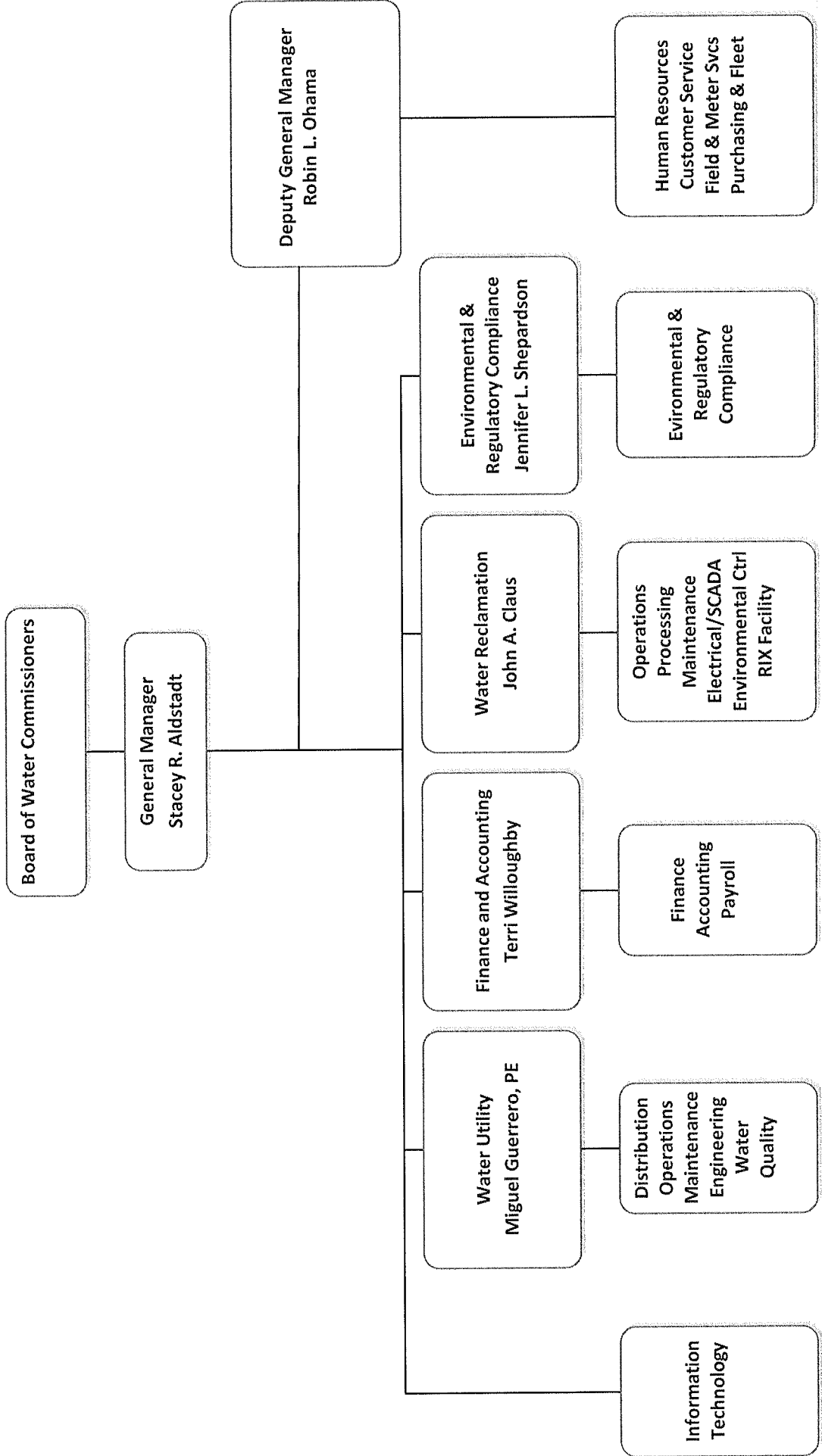
Mission Statement

To meet our customer's needs by providing high-quality service in water supply, water reclamation and geothermal heating in the most professional and cost-effective manner possible.

Organization

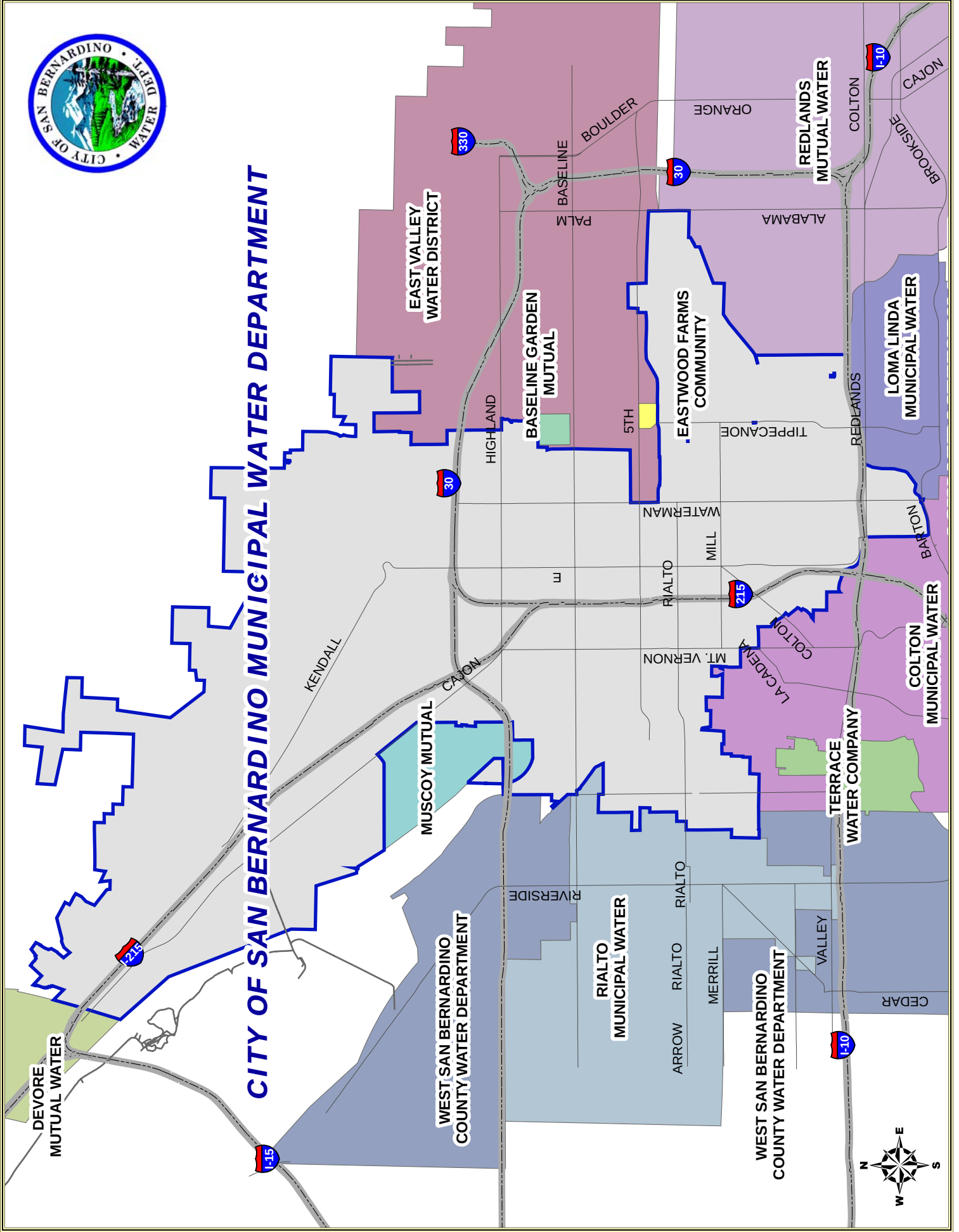
The City of San Bernardino Municipal Water Department was formed in 1905 under the Charter of the City of San Bernardino. The Department is governed by the Board of Water Commissioners who are appointed by the Mayor of the City of San Bernardino. The Charter gives the Board of Water Commissioners semi-autonomous authority to govern the Department independent of the City Council. The Department operates two enterprise funds: the Water Utility Enterprise Fund and the Sewer Utility Enterprise Fund. Water service encompasses the City, with the exception of the east end, which is served by the East Valley Water District. Sewer service encompasses all of the City of San Bernardino, the City of Loma Linda, the former Norton Air Force Base, Patton State Hospital and portions of the areas serviced by East Valley Water District.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
ORGANIZATION





CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT



Board of Water Commissioners
Municipal Water Department of the City of San Bernardino
San Bernardino, California

Independent Auditor's Report

Report on the Financial Statements

We have audited the accompanying financial statements of each major fund of the Municipal Water Department of the City of San Bernardino, California ("Department"), as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the Department's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of each major fund of the Municipal Water Department of the City of San Bernardino, California, as of June 30, 2016, and the changes in its financial position and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matters

As discussed in Note 1, the financial statements of the Municipal Water Department of the City of San Bernardino ("Department") are intended to present the financial position, the changes in financial position and cash flows of only that portion of each major fund of the City of San Bernardino, California that are attributable to the transactions of the Department. They do not purport to, and do not, present fairly the financial position of the City of San Bernardino as of June 30, 2016, the changes in its financial position, or its cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America. Our opinion is not modified with respect to this matter.

On August 1, 2012, the City of San Bernardino filed a petition under Chapter 9 of the United States Bankruptcy Code seeking to adjust the timing and amount of the payments associated with the City's obligations. As discussed in note two to the financial statements, there is considerable uncertainty associated with this process and the effects of this process upon the Department are not known at this time.

As described further in note 3 to the financial statements, during the year ended June 30, 2016, the Department implemented Governmental Accounting Standards Board (GASB) Statement No. 72. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the *management's discussion and analysis* be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Department's basic financial statements. The *introductory section* and the *statistical section* are presented for purposes of additional analysis and are not a required part of the basic financial statements. The *introductory* and the *statistical sections* have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 1, 2016 on our consideration of the Department's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Department's internal control over financial reporting and compliance.

A handwritten signature in blue ink that reads "Davis Fan" followed by a stylized flourish.

Irvine, California
December 1, 2016

PAGE INTENTIONALLY LEFT BLANK

The City of San Bernardino's Municipal Water Department (Department) is a water and sewer treatment utility responsible for delivering high quality, economically priced water and sewer treatment service to a quarter of a million customers in and around the City of San Bernardino, California. This section of the Department's annual financial report presents management's analysis of the Department's financial performance during the fiscal year that ended on June 30, 2016. Please read it in conjunction with the basic financial statements, which follow this section. **All amounts in the Management's Discussion and Analysis within text areas are in thousands unless otherwise noted.**

Financial Highlights

New significant Accounting Standards implemented. In fiscal year 2015-16, the Department adopted one new statement of financial accounting standards issued by the Government Accounting Standards Board (GASB). Statement No. 72, "*Fair Value Measurement and Application*," (Statement) defines fair value and describes how fair value should be measured, what assets and liabilities should be measured at fair value, and what information about fair value should be disclosed in the notes to the financial statements. The Department implemented this Statement in the fiscal year ended June 30, 2016.

Other highlights:

- The Department's overall net position increased by \$8.4 million.
- Operating revenues decreased by slightly more than 9.42% from the prior year, primarily due to reduced consumption in response to mandated drought-related conservation measures.
- Operating expenses decreased \$1.8 million, or 3% from the prior fiscal year.
- Net income/loss before capital contributions decreased by \$2.4 million, primarily due to decreased water revenues, as noted above.
- The Department's current ratio (the ability to pay short-term obligations) was 3.66.
- Cash available (the ability to cover current expenses with cash) was 329 days.

Overview of the Financial Statements

The discussion and analysis are intended to serve as an introduction to the Department's basic financial statements. The Department's basic financial statements are comprised of two components: the Financial Statements and the Notes to the Basic Financial Statements. This report also contains other supplementary information in addition to the basic financial statements themselves. Information providing citywide financial results is available in the City's Comprehensive Annual Financial Report.

Required Financial Statements

The financial statements of the Department report information about the Department using accounting methods similar to those used by private sector companies. These statements offer short-term and long-term financial information about its activities. The Statement of Net Position (pages 12-13) includes all of the Department's investments in resources (assets) and the obligations to creditors (liabilities). It also provides the basis for evaluating the capital structure of the Department and assessing the liquidity and financial flexibility of the Department. All of the current year's revenues and expenses are accounted for in the Statement of Revenues, Expenses and Changes in Net Position. (page 14) This statement measures the success of the Department's operations over the past year and can be used to determine whether the Department has successfully recovered all its costs through its user fees and other charges, profitability, and credit worthiness. The final required financial statement is the Statement of Cash Flows (pages 15-16). The primary purpose of this statement is to provide information about the Department's cash receipts and cash payments during the reporting period. The statement reports cash receipts, cash payments, and net changes in cash resulting from operations,

investing, and financing activities and provides answers to such questions as where did cash come from, what was cash used for, and what was the change in cash balance during the reporting period.

Financial Analysis of the Department

Our analysis of the Department begins on page 12 of the financial statements. One of the most important questions to ask about the Department's finances is "Whether the Department, as a whole, is better off or worse off as a result of the year's activities?" The Statement of Net Position, and the Statement of Revenues, Expenses and Changes in Net Position report information about the Department's activities in a way that will help answer this question. These two statements report the net position of the Department and changes in them. Measuring the change in the Department's net position - the difference between assets and liabilities - is one way to measure financial health or financial position. Over time, increases or decreases in the Department's net assets are indications of whether its financial health is improving or deteriorating. However, one will need to consider other non-financial factors such as changes in economic conditions, population growth, zoning and new or changed government legislation.

Water Utility Fund

To begin our analysis, a summary of the Water Utility Fund's Statement of Net Position is presented in Table A-1.

TABLE A-1
Condensed Statement of Net Position - Water Utility
(amounts expressed in thousands of dollars)

	<u>2016</u>	<u>2015</u>	<u>\$ Change</u>	<u>% Change</u>
Current and noncurrent assets	\$ 69,427	\$ 78,876	\$ (9,449)	-11.98%
Capital assets	189,100	188,080	1,020	0.54%
Total assets	258,527	266,956	(8,429)	-3.16%
Deferred outflows of resources	2,057	1,698	358	
Current liabilities	8,345	12,730	(4,385)	-34.45%
Noncurrent liabilities	97,828	98,612	(784)	-0.80%
Total liabilities	106,173	111,342	(5,169)	-4.64%
Deferred inflows of resources	2,337	5,501	(3,164)	
Net investment in capital assets	169,731	166,963	2,768	1.66%
Restricted	-	-	-	0.00%
Unrestricted	(17,658)	(15,153)	(2,505)	16.53%
Total net position	<u>\$ 152,073</u>	<u>\$ 151,810</u>	<u>\$ 263</u>	<u>0.17%</u>

As can be seen from the table above, the Water Utility net position increased .17%, or \$263 to \$152,073 in fiscal year 2016. The net investment in capital assets increased \$2.8 million in fiscal year 2016 due to the completion of capital projects within the period.

TABLE A-2
Condensed Statement of Revenues, Expenses and Changes in Net Position - Water Utility
(amounts expressed in thousands of dollars)

	2016	2015	\$ Change	% Change
Operating revenue	\$ 30,002	\$ 33,121	\$ (3,119)	-9.42%
Capital contributions	2,812	3,905	(1,093)	-27.99%
Other nonoperating revenue	2,390	2,872	(482)	-16.79%
Total revenues	35,204	39,898	(4,694)	-11.77%
Operating expenses	\$ 34,834	\$ 35,505	(670)	-1.89%
Nonoperating expenses	107	169	(62)	-36.91%
Total expenses	34,941	35,674	(733)	-2.05%
Change in net position	263	4,225	(3,962)	-93.78%
Net position, beginning balance	151,810	175,525	(23,715)	-13.51%
Prior period adjustment	-	(27,940)	27,940	N/A
Total net position	<u>\$ 152,073</u>	<u>\$ 151,810</u>	<u>\$ 263</u>	<u>0.17%</u>

Total revenues decreased by 12%, or \$4.7 million, primarily due to decreased water revenues from the continuation of conservation efforts. Total expenses decreased 2% due to prudent cost control measures adopted in response to the expected decline in revenues.

TABLE A-3
Capital Assets - Water Utility
(amounts expressed in thousands of dollars)

	2016	2015	\$ Change	% Change
Land and easements	\$ 5,654	\$ 5,654	\$ -	0.00%
Construction in progress	3,932	3,523	409	11.61%
Wells and pumping	99,444	98,173	1,271	1.29%
Distribution	151,104	146,681	4,423	3.02%
Plant and facilities	3,648	3,222	426	13.23%
Other capital assets	15,636	15,827	(190)	-1.20%
Total capital assets	279,419	273,079	6,340	2.32%
Less: accumulated depreciation	(90,319)	(84,999)	(5,320)	6.26%
Total capital assets, net	<u>\$ 189,100</u>	<u>\$ 188,080</u>	<u>\$ 1,020</u>	<u>0.54%</u>

Total capital assets increased \$1.0 million in fiscal year 2016. Approximately \$4.2 million in construction in progress was completed and placed in service during the fiscal year. Major project completions include the Sheridan Road Main Replacement Project and the North Park Boulevard & University Tract 10773 Project. Additional information on capital assets is presented in Note 4 of the Notes to the Basic Financial Statements.

TABLE A-4
Long-term Debt - Water Utility
(amounts expressed in thousands of dollars)

	<u>2016</u>	<u>2015</u>	<u>\$ Change</u>	<u>% Change</u>
Notes payable	\$ 19,369	\$ 21,117	\$ (1,748)	-8.28%
Compensated absences	904	942	(37)	-3.97%
Total long-term debt	<u>\$ 20,273</u>	<u>\$ 22,058</u>	<u>\$ (1,785)</u>	<u>-8.09%</u>

During the year, the Water Utility's long-term debt decreased by \$1.8 million which can be attributed to normal debt payments. Additional information on long-term debt is presented in Note 6 of the Notes to Basic Financial Statements.

Sewer Utility Fund

TABLE B-1
Condensed Statement of Net Position - Sewer Utility
(amounts expressed in thousands of dollars)

	<u>2016</u>	<u>2015</u>	<u>\$ Change</u>	<u>% Change</u>
Current and noncurrent assets	\$ 57,331	\$ 59,627	\$ (2,296)	-3.85%
Capital assets	67,139	64,146	2,993	4.67%
Total assets	124,470	123,773	697	0.56%
Deferred outflow of resources	1,551	1,348	2,899	215%
Current liabilities	4,430	8,568	(4,138)	-48.30%
Noncurrent liabilities	20,527	21,015	(489)	-2.32%
Total liabilities	24,957	29,583	(4,627)	-15.64%
Deferred inflow of resources	1,763	4,150	5,913	142%
Net investment in capital assets	65,939	56,090	9,849	17.56%
Restricted	7,814	7,516	298	3.97%
Unrestricted	25,548	27,781	(2,233)	-8.04%
Total net position	<u>\$ 99,301</u>	<u>\$ 91,387</u>	<u>\$ 7,914</u>	<u>8.66%</u>

As can be seen from the table above, the Sewer Utility net position increased \$8 million to \$99,301 in fiscal year 2016. The primary result of this increase was a decrease in liabilities due to the elimination of debt associated with the Sewer Fund. The net investment in capital assets increased \$9.8 million, due to the completion of several long-term capital projects within the period combined with the elimination of debt associated with these projects.

TABLE B-2
Condensed Statement of Revenues, Expenses and Changes in Net Position - Sewer Utility
(amounts expressed in thousands of dollars)

	2016	2015	\$ Change	% Change
Operating revenue	\$ 25,411	\$ 24,734	\$ 676	2.73%
Capital contributions	1,459	1,073	386	36.01%
Other nonoperating revenue	1,060	1,326	(266)	-20.08%
Total revenues	27,930	27,133	796	2.93%
Operating expenses	18,731	19,620	(889)	-4.53%
Nonoperating expenses	1,284	227	1,057	465.17%
Total expenses	20,015	19,847	168	0.85%
Change in net position	7,914	7,286	629	8.63%
Net position, beginning balance	91,387	105,178	(13,791)	-13.11%
Prior period adjustment	-	(21,077)	21,077	100.00%
Total net position	\$ 99,301	\$ 91,387	\$ 7,914	8.66%

During Fiscal Year 2016, total revenues for the Sewer Utility increased 3% from the prior year, while total expenses decreased almost 1% during the same time period.

TABLE B-3
Capital Assets - Sewer Utility
(amounts expressed in thousands of dollars)

	2016	2015	\$ Change	% Change
Land and easements	\$ 11,755	\$ 12,168	\$ (413)	-3.39%
Construction in progress	16,808	13,934	2,874	20.62%
Pumping	3,622	3,192	430	13.46%
Buildings, plants and stores	131,033	129,866	1,167	0.90%
Field and office equipment	5,921	5,866	54	0.93%
Total capital assets	169,138	165,026	4,112	2.49%
Less: accumulated depreciation	(101,999)	(100,880)	(1,119)	1.11%
Total net assets	\$ 67,139	\$ 64,146	\$ 2,993	4.67%

Total capital assets increased by \$3 million in fiscal year 2016, with approximately \$1.3 million in construction in progress completed and placed in service. Major project completions include the Santa Ana River Interceptor (SARI) Line Pipe Projection project and the rehabilitation of the asphalt at the Water Reclamation Plant. More information relating to capital assets can be found in Note 4 of the Notes to the Basic Financial Statements.

TABLE B-4
Long-term Debt - Sewer Utility
(amounts expressed in thousands of dollars)

	<u>2016</u>	<u>2015</u>	<u>\$ Change</u>	<u>% Change</u>
Notes payable	\$ 1,200	\$ 1,710	\$ (510)	-29.81%
Certificates of participation	-	6,346	(6,346)	-100.00%
Compensated absences	328	284	44	15.33%
Total long-term debt	<u>\$ 1,528</u>	<u>\$ 8,340</u>	<u>\$ (6,812)</u>	<u>-81.68%</u>

During the year, the Sewer Utility's long-term debt decreased \$6.8 million which can be attributed to both normal debt payments as well as the defeasance of the 1998 Certificates of Participation during the fiscal year. Additional information on long-term debt is presented in Note 6 of the Notes to Basic Financial Statements.

Management Challenges and Opportunities

Economics

The local economy of the Service Area (Service Area) served by the Department has been affected by the recent recession, both to a greater extent and for a longer period than surrounding cities. This has affected the Department as increased residential and commercial vacancies have led to a declining customer base. However, as the local real estate and employment markets improve, this customer base should begin to recover. The City's unemployment rate continues to decline as the economy continues to improve. Local economists also project continued improvement in the labor market and are forecasting that the region's unemployment rate will drop to 6.1% by the end of 2020. The economic outlook for the Service Area looks promising, as the economy is improving regionally which will translate into improved economic conditions for Department customers.

Capital Construction

The Sewer Utility faces an extensive list of compliance-related construction requirements over the next several years, and is also rehabilitating facilities and designing/constructing Primary Influent Flow Equalization. The Water Utility continues to concentrate on retrofitting and upgrading existing facilities to current design standards and Uniform Building Codes (UBC) as well as replacing aging pipelines, wells and plant facilities.

Rates

A three-part water utility rate increase was presented to the Board of Water Commissioners in June 2016, and was approved after the close of the current fiscal year. A three-phase sewer treatment rate increase was approved in September 2015 consisting of increases of 8.5% implemented on October 1, 2015 and July 1, 2016 with an additional 3.25% to be implemented on July 1, 2017. The Department continues to review revenue and expense levels to determine when rate increases will be necessary.

Contacting the Department's Director of Finance

This financial report is designed to provide our customers and creditors with a general overview of the Department's finances and to demonstrate the Department's accountability for the money it receives. If you have questions about this report or need additional financial information, please contact the Department's Director of Finance at (909) 384-5184. For information on the City of San Bernardino's financial statements, please contact the City's finance department at (909) 384-5242.

Basic Financial Statements

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Statement of Net Position

June 30, 2016

	Water Utility	Sewer Utility	Interfund Eliminations	Total
<u>ASSETS</u>				
Current assets:				
Cash and investments (note 3)	\$ 10,486,465	23,276,807	-	33,763,272
Accounts receivable, net	5,857,779	3,178,659	-	9,036,438
Interest receivable	11,494	59,396	-	70,890
Due from other entities	29,929	436,526	-	466,455
Inventory	1,794,883	-	-	1,794,883
Current portion of prepaid expenses	729,891	-	-	729,891
Total current assets	18,910,441	26,951,388	-	45,861,829
Noncurrent assets:				
Prepaid expenses	-	729,664	-	729,664
Investment in joint venture - RIX (note 10)	-	21,413,314	-	21,413,314
Investment in joint venture - PSA (note 10)	-	422,263	-	422,263
Restricted assets:				
Cash and cash equivalents (note 3):				
Restricted for capital-related fees	-	7,814,086	-	7,814,086
Restricted for consent decree (notes 3 & 13)	-	-	-	-
Investments (note 3):				
Restricted for consent decree (note 13)	22,223,052	-	-	22,223,052
Interest receivable - consent decree (note 13)	87,343	-	-	87,343
Prepaid insurance - consent decree (note 13)	28,206,540	-	-	28,206,540
Capital assets (note 4):				
Non-depreciable assets	9,586,423	28,562,968	-	38,149,391
Depreciable assets	269,832,172	140,575,269	-	410,407,441
Less: accumulated depreciation and amortization	(90,318,935)	(101,999,162)	-	(192,318,097)
Total capital assets (net)	189,099,660	67,139,075	-	256,238,735
Total noncurrent assets	239,616,595	97,518,402	-	337,134,997
Total assets	258,527,036	124,469,790	-	382,996,826
<u>DEFERRED OUTFLOW OF RESOURCES</u>				
Deferred pension contributions (note 7)	2,056,532	1,551,419	-	3,607,951
Total deferred outflow of resources	2,056,532	1,551,419	-	3,607,951

(continued on next page)

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Statement of Net Position, continued

June 30, 2016

	Water Utility	Sewer Utility	Interfund Eliminations	Total
<u>LIABILITIES</u>				
Current liabilities:				
Accounts payable	1,466,630	2,370,588	-	3,837,218
Related parties payable (note 9)	1,570,911	721,511	-	2,292,422
Accrued compensation	760,319	525,699	-	1,286,018
Claims payable (note 11)	1,298,326	246,180	-	1,544,506
Consumer deposits	488,587	-	-	488,587
Current portion of compensated absences (note 6)	723,569	262,255	-	985,824
Current portion of notes payable (note 6)	1,813,782	300,000	-	2,113,782
Accrued interest payable	222,800	3,471	-	226,271
Total current liabilities	<u>8,344,924</u>	<u>4,429,704</u>	<u>-</u>	<u>12,774,628</u>
Noncurrent liabilities:				
Consumer deposits	3,039,610	-	-	3,039,610
Compensated absences (note 6)	180,892	65,564	-	246,456
Unearned revenue - consent decree (note 13)	50,516,936	-	-	50,516,936
Notes payable (note 6)	17,554,880	900,000	-	18,454,880
OPEB obligation (note 8)	932,476	246,614	-	1,179,090
Net pension liabilities (note 7)	25,603,182	19,314,681	-	44,917,863
Total noncurrent liabilities	<u>97,827,976</u>	<u>20,526,859</u>	<u>-</u>	<u>118,354,835</u>
Total liabilities	<u>106,172,900</u>	<u>24,956,563</u>	<u>-</u>	<u>131,129,463</u>
<u>DEFERRED INFLOW OF RESOURCES</u>				
Deferred inflows - actuarial (note 7)	2,337,436	1,763,329	-	4,100,765
Total deferred inflow of resources	<u>2,337,436</u>	<u>1,763,329</u>	<u>-</u>	<u>4,100,765</u>
<u>NET POSITION</u>				
Net investment in capital assets (note 14)	169,730,998	65,939,075	-	235,670,073
Restricted for capital-related fees (note 14)	-	7,814,086	-	7,814,086
Unrestricted (note 14)	(17,657,766)	25,548,156	-	7,890,390
Total net position	<u>\$ 152,073,232</u>	<u>99,301,317</u>	<u>-</u>	<u>251,374,549</u>

See accompanying independent auditor's report and notes to the basic financial statements.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT*Statement of Revenues, Expenses and Changes in Net Position*

For the year ended June 30, 2016

	Water Utility	Sewer Utility	Interfund Eliminations	Total
Operating revenues:				
Charges for services	\$ 29,388,782	25,030,569	-	54,419,351
Other operating revenues	613,089	380,171	(35,961)	957,299
Total operating revenues	<u>30,001,871</u>	<u>25,410,740</u>	<u>(35,961)</u>	<u>55,376,650</u>
Operating expenses				
Administration and customer service	6,815,967	2,434,748	-	9,250,715
Utility administration	600,025	706,430	-	1,306,455
Plant operations	6,907,732	9,163,720	-	16,071,452
Maintenance	1,978,534	2,874,352	(35,961)	4,816,925
Environmental control	-	636,563	-	636,563
Distribution	4,499,129	-	-	4,499,129
Engineering and water quality control	2,326,551	464,554	-	2,791,105
General, administration and overhead	5,897,093	1,158,630	-	7,055,723
Depreciation and amortization	5,809,331	1,292,426	-	7,101,757
Total operating expenses	<u>34,834,362</u>	<u>18,731,423</u>	<u>(35,961)</u>	<u>53,529,824</u>
Operating income (loss)	<u>(4,832,491)</u>	<u>6,679,317</u>	<u>-</u>	<u>1,846,826</u>
Nonoperating revenues (expenses)				
Investment income	63,566	658,456	-	722,022
Rental income	134,845	41,498	-	176,343
Noncapital grant funds	1,696,219	-	-	1,696,219
Share of joint venture income (loss)	-	(1,116,078)	-	(1,116,078)
Interest expense and fiscal charges	(106,698)	(167,795)	-	(274,493)
Other	495,298	359,800	-	855,098
Total nonoperating revenues (expenses)	<u>2,283,230</u>	<u>(224,119)</u>	<u>-</u>	<u>2,059,111</u>
Net income (loss) before capital contributions	<u>(2,549,261)</u>	<u>6,455,198</u>	<u>-</u>	<u>3,905,937</u>
Capital contributions:				
Acquisition fees	361,030	-	-	361,030
Capacity fees	2,441,162	1,277,397	-	3,718,559
EPA grants	10,000	-	-	10,000
Other capital restricted fees	-	181,736	-	181,736
Total capital contributions	<u>2,812,192</u>	<u>1,459,133</u>	<u>-</u>	<u>4,271,325</u>
Change in net position	262,931	7,914,331	-	8,177,262
Net position, beginning of year	151,810,301	91,386,986	-	243,197,287
Net position, end of year	<u>\$ 152,073,232</u>	<u>99,301,317</u>	<u>-</u>	<u>251,374,549</u>

See accompanying independent auditor's report and notes to the basic financial statements.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Statement of Cash Flows

For the year ended June 30, 2016

	Water Utility	Sewer Utility	Interfund Eliminations	Total
Cash flow from operating activities:				
Cash received from customers	\$ 30,749,151	24,422,913	-	55,172,064
Rental income	134,845	41,498	-	176,343
Nonoperating miscellaneous revenue (expenses)	515,764	359,800	-	875,564
Cash paid to employees for services	(10,081,714)	(6,329,020)	-	(16,410,734)
Cash paid to suppliers of goods and services	(24,220,595)	(8,936,848)	-	(33,157,443)
Cash paid to RIX joint venture operations	-	(2,368,133)	-	(2,368,133)
Net cash provided by operating activities	(2,902,549)	7,190,210	-	4,287,661
Cash flow from noncapital financing activities:				
Cash paid to RIX joint venture (capital)	-	(641,578)	-	(641,578)
Consent Decree insurance drawdowns	1,696,219	-	-	1,696,219
Net cash provided by noncapital financing activities	1,696,219	(641,578)	-	1,054,641
Cash flow from capital and related financing activities:				
Capital fees received	2,802,192	1,459,133	-	4,261,325
Cash paid to acquire capital assets	(6,849,742)	(4,285,451)	-	(11,135,193)
Loan proceeds	-	1,200,000	-	1,200,000
Principal paid on capital-related debt	(1,747,865)	(8,084,710)	-	(9,832,575)
Interest paid on capital-related debt	(125,267)	(213,714)	-	(338,981)
Grant proceeds	10,000	-	-	10,000
Net cash provided by (used for) capital and related financing activities	(5,910,682)	(9,924,742)	-	(15,835,424)
Cash flow from investing activities:				
Purchase of investments	(18,234,142)	(13,953,642)	-	(32,187,784)
Sales and maturities of investments	17,677,660	20,350,561	-	38,028,221
Interest received	41,907	735,111	-	777,018
Net cash provided by investing activities	(514,575)	7,132,030	-	6,617,455
Net increase (decrease) in cash	(7,631,587)	3,755,920	-	(3,875,667)
Cash and cash equivalents at beginning of year	14,292,091	6,619,012	-	20,911,103
Cash and cash equivalents at end of year	<u>\$ 6,660,504</u>	<u>10,374,932</u>	<u>-</u>	<u>17,035,436</u>
Reconciliation of cash and cash equivalents to amounts reported on the statement of net position:				
Cash and investments	\$ 10,486,465	23,276,807	-	33,763,272
Restricted cash and cash equivalents:				
Restricted for capital related fees	-	7,814,086	-	7,814,086
Less those not meeting the definition of a cash equivalent	(4,075,961)	(20,715,961)	-	(24,791,922)
Cash and cash equivalents at end of year	<u>\$ 6,410,504</u>	<u>10,374,932</u>	<u>-</u>	<u>16,785,436</u>

(continued on next page)

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Statement of Cash Flows, continued

For the year ended June 30, 2016

	Water Utility	Sewer Utility	Interfund Eliminations	Total
Reconciliation of operating income to net cash provided by (used for) operating activities:				
Operating income (loss)	\$ (4,832,491)	6,679,317	-	1,846,826
Depreciation and amortization	5,809,381	1,292,426	-	7,101,807
Nonoperating miscellaneous revenue (expenses)	515,764	359,799	-	875,563
Rental income	134,845	41,498	-	176,343
Adjustments:				
(Increase) decrease in accounts receivable	507,291	(715,968)	-	(208,677)
(Increase) decrease in due from other entities	569,234	(271,858)	-	297,376
(Increase) decrease in inventory	196,430	-	-	196,430
(Increase) decrease in prepaid expenses	(431,980)	91,576	-	(340,404)
(Increase) decrease in deferred pension contributions	(358,411)	(270,380)	-	(628,791)
Increase (decrease) in accounts payable	(3,207,800)	15,249	-	(3,192,551)
Increase (decrease) in related parties payable	(1,084,226)	456,211	-	(628,015)
Increase (decrease) in accrued compensation	(100,237)	54,913	-	(45,324)
Increase (decrease) in compensated absences current portion	(91,623)	34,861	-	(56,762)
Increase (decrease) in compensated absences non-current portion	54,195	8,716	-	62,911
Increase (decrease) in claims payable	84,787	6,507	-	91,294
Increase (decrease) in consumer deposits current portion	(94,758)	-	-	(94,758)
Increase (decrease) in consumer deposits non-current portion	(234,487)	-	-	(234,487)
Increase (decrease) in OPEB obligation	303,581	80,288	-	383,869
Increase (decrease) in net pension liability	2,271,715	1,713,750	-	3,985,465
Increase (decrease) in deferred inflows-actuarial	(3,163,759)	(2,386,695)	-	(5,550,454)
Net cash provided by operating activities	<u>\$ (3,152,549)</u>	<u>7,190,210</u>	<u>-</u>	<u>4,037,661</u>

There were no significant noncash investing, capital and financing related activities for the year ended June 30, 2016.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements

For the Year Ended June 30, 2016



(1) Reporting Entity and Summary of Significant Accounting Policies

A. Organization and Operations of the Reporting Entity

The San Bernardino Municipal Water Department (Department) is governed under the Charter of the City of San Bernardino (City). A Board of Water Commissioners (BOWC) appointed by the Mayor and approved by City Council, has Charter defined powers, with full authority for administration of the water utility and delegated authority for the sewer treatment utility. The Department has served the community since 1905.

B. Basis of Accounting and Measurement Focus

The Department reports its activities as enterprise funds, which are used to account for operations that are financed and operated in a manner similar to a private business enterprise, where the intent of the Department is that the costs (including depreciation) of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges. Revenues and expenses are recognized on the accrual basis. Revenues are recognized in the accounting period in which they are earned and expenses are recognized in the period incurred, regardless of when the related cash flow takes place.

Operating revenues, such as charges for services (water sales, sewer services and water services) result from exchange transactions associated with the principal activity of the Department. Exchange transactions are those in which each party receives and gives up essentially equal values. Nonoperating revenues, such as property taxes and investment income, result from nonexchange transactions or ancillary activities in which the Department gives (receives) value without directly receiving (giving) equal value in exchange.

When both restricted and unrestricted resources are available for use, the Department uses restricted resources and then unrestricted resources.

The major funds of the Department are described below:

Water Utility Fund – The Water Utility Enterprise Fund (Water Utility) is used to account for the operations of the Department's water system and related revenues.

Sewer Utility Fund – The Sewer Utility Enterprise Fund (Sewer Utility) is used to account for the operations of the City's wastewater treatment system and related revenues. The Sewer conveyance system is under the direction of the City's Public Works Department.

Administrative and engineering services are provided by the Water Utility to the Sewer Utility. Electrical services are provided by the Sewer Utility to the Water Utility.

C. Implementation of GASB Pronouncements

In February 2015, the GASB issued Statement No. 72, Fair Value Measurement and Application. The Standard defines fair value and describes how fair value should be measured, what assets and liabilities should be measured at fair value, and what information about fair value should be disclosed in the notes to the financial statements. The provisions of this Statement are effective for financial statements for periods beginning after June 30, 2016. The Department implemented this Statement in the fiscal year ending June 30, 2016.

D. Financial Reporting

The Department's basic financial statements are presented in conformance with the provisions of Governmental Accounting Standards Board (GASB) Statement No. 34, *"Basic Financial Statements – and Management's Discussion and Analysis – for State and Local Governments"* (GASB No. 34). This statement established revised financial reporting requirements for state and local governments throughout the United States for the purpose of enhancing the understandability and usefulness of financial reports.



(1) Reporting Entity and Summary of Significant Accounting Policies, continued

D. Financial Reporting, continued

GASB No. 34 and its related GASB pronouncements provide for a revised view of financial information and restructure the format of financial information provided prior to its adoption. A statement of net position replaces the balance sheet and reports assets, liabilities, and the difference between them as net position, not equity. A statement of revenues, expenses and changes in net position replaces both the income statement and the statement of changes in retained earnings and contributed capital. GASB No. 34 also requires that the statement of cash flows be prepared using the direct method. Under the direct method, cash flows from operating activities are presented by major categories.

E. Assets, Liabilities and Net Position

1. Use of Estimates

The preparation of the basic financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, and disclosures of contingent assets and liabilities at the date of the financial statements, and the reported changes in net position during the reporting period. Actual results could differ from those estimates.

2. Cash and Investments

For the purpose of the statement of cash flows, cash and cash equivalents include highly liquid investments (including restricted assets) with a maturity of three months or less when purchased.

Investments are reported in the accompanying balance sheet at fair value, except for certain certificates of deposit and investment contracts that are reported at cost as they are not transferable and have terms that are not affected by changes in market interest rates.

Changes in fair value that occur during a fiscal year are recognized as investment income reported for that fiscal year. Investment income includes interest earnings, changes in fair value and any gains or losses realized upon the liquidation of investments.

Fair Value Measurements

Certain assets and liabilities are required to be reported at fair value. The fair value framework provides a hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements). The three levels of fair value hierarchy are described as follows:

Level 1 - Inputs to the valuation methodology are unadjusted quoted prices for identical assets or liabilities in active markets.

Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly and fair value is determined through the use of models or other valuation methodologies including:

- Quoted prices for similar assets or liabilities in active markets;
- Quoted prices for identical or similar assets or liabilities in markets that are inactive;
- Inputs other than quoted prices that are observable for the asset or liability;
- Inputs that are derived principally from or corroborated by observable market data by correlation or other means.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(1) Reporting Entity and Summary of Significant Accounting Policies, continued

E. Assets, Liabilities and Net Position, continued

Level 3 - Inputs to the valuation methodology are unobservable and significant to the fair value measurement. These unobservable input reflect the Department's own assumptions about the inputs market participants would use in pricing the asset or liability (including assumptions about risk). These unobservable inputs are developed based on the best information available in the circumstances and may include the Department's own data.

3. Accounts Receivable

Customer or trade receivables are shown net of an allowance for uncollectible accounts based on historical and management estimates. Transactions between funds that are representative of lending or borrowing arrangements outstanding at the end of the fiscal year are referred to as "interfund receivables / payables" or "advances to/from" other funds. All interfund transactions are eliminated for financial reporting.

4. Inventory

Materials and supplies inventory consists primarily of water meters, pipe and pipefittings for construction and repair to the Department's water transmission and distribution system and items necessary for maintenance at the sewer treatment facilities. Inventory is valued at cost using a weighted average method. Inventory items are charged to expense at the time that individual items are withdrawn from inventory or consumed.

Water inventory is stated at its purchase cost using the first in, first out method. Inventory is recorded when purchased and expensed at the time the inventory is consumed.

5. Prepaid Expense and Deposit

Certain payments to vendors reflect costs or deposits applicable to future accounting periods and are recorded as prepaid items in the basic financial statements.

6. Capital Assets

Capital assets acquired or constructed are capitalized at historic cost. Department policy has set the capitalization threshold for reporting capital assets at \$5,000 and a life expectancy of at least 3 years. Overhead is capitalized at the rate of 28.9% of labor and benefits, 10% of material and supplies and 2% of significant contracts. Depreciation is recorded on a straight-line basis over the estimated useful lives of the assets as follows:

- | | |
|---|----------------|
| • Source of supply plant | 8 to 50 years |
| • Disposal plant and interceptor lines | 35 to 50 years |
| • Other facilities (shops, leasehold & yards) | 5 to 25 years |
| • Tools, office equipment & communications | 4 to 20 years |
| • Computer equipment | 3 to 5 years |
| • Automotive and fleet equipment | 3 to 15 years |

7. Compensated Absences

Department policy is to permit employees to accumulate a limited amount of earned vacation and sick leave. Various negotiation groups have different sell-back and cash out options. Additionally, cash out options upon retirement or death of the employee vary based on the negotiation group. Employees' vacation and sick leave benefits are recognized as a liability of the Department.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(1) Reporting Entity and Summary of Significant Accounting Policies, continued

E. Assets, Liabilities and Net Position, continued

8. Restricted Assets and Amounts Payable from Restricted Assets

Amounts shown as restricted assets have been restricted by bond indentures or are to be used for specified purposes based on contract provisions, such as bonded debt service. Certain liabilities which are currently payable have been classified as current liabilities payable from restricted assets since assets have been restricted for their payment.

9. Pensions

For purposes of measuring the net pension liability, deferred outflows and inflows of resources related to pensions, pension expense, information about the fiduciary net position and additions to/deductions from the fiduciary net position have been determined on the same basis as they are reported by the Department. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

GASB 68 requires that the reported results must pertain to liability and asset information within certain defined timeframes. For this report, the following timeframes are used:

Valuation Date (VD)	June 30, 2014
Measurement Date (MD)	June 30, 2015
Measurement Period (MP)	June 30, 2014 to June 30, 2015

10. Deferred Outflows/Inflows

In addition to assets, the Statement of Net Position will sometimes report a separate section of deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The Department has two items that qualify for reporting in this category: the deferred outflows on pension contributions, and the deferred charges on debt refundings.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period and will not be recognized as inflow of resources (revenue) until that time. The District has one item that qualifies for reporting in this category, deferred inflow – actuarial.

11. Interfund Eliminations

The interfund eliminations column represents entries made to eliminate interfund income and expenditure transactions between the water utility fund and the sewer utility fund for the purposes of consolidated financial statements.

12. Net Position

The financial statements utilize a net position presentation. Net position is categorized as follows:

- **Net Investment in Capital Assets** – This component of net position consists of capital assets, net of accumulated depreciation and reduced by any debt outstanding against the acquisition, construction or improvement of those assets.
- **Restricted Net Position** – This component of net position consists of constraints placed on net position use through external constraints imposed by creditors, grantors, contributors, or laws or regulations of other governments or constraints imposed by law through constitutional provisions or enabling legislation.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(1) Reporting Entity and Summary of Significant Accounting Policies, continued

E. Assets, Liabilities and Net Position, continued

- **Unrestricted Net Position** – This component of net position consists of net position that does not meet the definition of *restricted* or *net investment in capital assets*.

13. Capital Contributions

Contributions in aid of construction represent cash and utility plant additions contributed to the Department by property owners or developers desiring services that require capital expenditures or capacity commitment. In accordance with Governmental Accounting Standards Board Statement No. 33, the capital contributions are recorded on the Statement of Revenues, Expenses and Changes in Net position.

14. Budgetary Policies

The Department adopts an annual budget for planning, control, and evaluation purposes. Budgetary control and evaluation are affected by comparisons of actual revenues and expenses with planned revenues and expenses for the period. Encumbrance accounting is not used to account for commitments related to outstanding contracts for construction and services.

(2) City of San Bernardino Bankruptcy

Without reserves and facing a \$45.8 million budget deficit, in July of 2012, the City determined that it was no longer able to meet its contractual obligations and declared a fiscal emergency. On August 1, 2012, the City filed a petition under Chapter 9 of the United States Bankruptcy Code in Riverside seeking to adjust its debts. On August 28, 2013, the Bankruptcy Court ruled that the City is eligible for bankruptcy protection.

Based on the California Constitution, precedents established in prior municipal bankruptcies in California, and various legal opinions provided to the Department by special legal counsel and the City Attorney's office, the Department believes that its revenues, derived from ratepayer fees, will be protected from attachment by the City's creditors. Although unlikely, it is possible that the bankruptcy court will make a different determination. The Department's arguments for the protection of its assets from the claims of the City's creditors are set forth in further detail below.

The bankruptcy case seeks the adjustment of the obligations of the City and does not extend to City funds with Federal, State or other restrictions. The Department has continued to operate and use its restricted resources for only the expenses incurred to operate the water system and sewer treatment plants. Debt obligations secured by Department revenues are treated as secured obligations and are not expected to be affected so long as the revenues of the Department are sufficient to meet debt service.

State and federal laws place protections on the revenues of the Department. Section 902(2) of the Bankruptcy Code defines special revenues as, among other things, "receipts derived from the ownership, operation, or disposition of projects or systems of the debtor that are primarily used or intended to be used primarily to provide transportation, utility, or other services, including the proceeds of borrowings to finance the projects or systems." Further, section 928 of the Bankruptcy Code states: "(a) Notwithstanding section 552 (a) of this title and subject to subsection (b) of this section, special revenues acquired by the debtor after the commencement of the case shall remain subject to any lien resulting from any security agreement entered into by the debtor before the commencement of the case"; and "(b) Any such lien on special revenues, other than municipal betterment assessments, derived from a project or system shall be subject to the necessary operating expenses of such project or system, as the case may be."

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(2) City of San Bernardino Bankruptcy, continued

Chapter 9 of the Bankruptcy Code does not have a provision for liquidation of assets of the City and distribution of the proceeds to creditors. Additionally, Chapter 9 does not prevent a debtor from borrowing additional funds while under bankruptcy protection. The Tenth Amendment of the United States Constitution and Supreme Court decisions in upholding municipal bankruptcy legislation place severe limitations upon the power of the bankruptcy court in chapter 9 cases.

In addition, at least two aspects of California law place restrictions on the use of revenue of the Department. First, under Articles XIIC and XIID of the California Constitution (enacted pursuant to the voter approved Proposition 218), money raised from municipal utility rates must only be used to fund such utility operations, and not to fund general municipal operations. Thus, when the Department charges a water delivery or consumption fee, or rates for wastewater services, and places those monies into its specially segregated Water Fund and Sewer Fund accounts, those charges are considered property-related fees and are subject to the constitutional constraints enacted pursuant to Proposition 218. This has very specific consequences for the amount of money that can be collected, as well as the use to which those funds can be put. Specifically, Cal. Const. Article XIII D section 6(b) states that:

A fee or charge shall not be extended, imposed, or increased by any agency unless it meets all of the following requirements:

- (1) Revenues derived from the fee or charge shall not exceed the funds required to provide the property related service.
- (2) Revenues derived from the fee or charge shall not be used for any purpose other than that for which the fee or charge was imposed.
- (3) The amount of a fee or charge imposed upon any parcel or person as an incident of property ownership shall not exceed the proportional cost of the service attributable to the parcel.
- ...
- (5) No fee or charge may be imposed for general governmental services including, but not limited to, police, fire, ambulance or library services, where the service is available to the public at large in substantially the same manner as it is to property owners. (Cal Const, Art. XIII D § 6.)

Put differently, use of fees for general governmental services is prohibited, fees can only be for the service provided, fees cannot exceed the cost of that service, and fees cannot exceed the proportional cost of the service attributable the payer.¹

¹ See League of California Cities, Proposition 218 Implementation Guide (2007 Ed.) at pp. 49-50; see also *Howard Jarvis Taxpayers Ass'n v. City of Roseville* (2002) 97 Cal.App.4th 637, 647-648 [interpreting Art. XIID, § 6(b) and emphasizing, "[t]he key is that the revenues derived from the fee or charge are required to provide the service, and may be used only for the service."]

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(2) City of San Bernardino Bankruptcy, continued

The second relevant aspect of state law is the City's status as a Charter City. Under California law a city charter is "the supreme law of the City," but is still subject to "conflicting provisions in the federal and state Constitutions and to preemptive state law." (*Howard Jarvis Taxpayers Assn. v. City of Roseville* (2003) 106 Cal.App.4th 1178, 1186, citing *Domar Electric, Inc. v. City of Los Angeles* (1994) 9 Cal.4th 161, 170.) The Department was created by and currently operates pursuant to Article IX of the City's Charter, and provides both retail water and sewer service pursuant to the City Charter provisions. Specifically, Article IX, Section 164 of the City Charter provides that the Water Department Board of Commissioners, and not the City Council, ". . . shall have power to control and order the expenditure of all money received from sale or use of water, for the defraying of expenses or maintenance and repairs and operation of the water system, and for any expenses for additions to the same; and for supplying the City with water for any and all purposes; *provided that all such money shall be deposited in the treasury of the City to the credit of a fund to be known as the Water Fund, and shall be kept separate and apart from other moneys of the City . . .*" (emphasis added). Consistent with the discussion above, the constitutional requirements under Proposition 218 apply to "counties, cities, cities and counties, including charter cities or counties, any special district, or other local or regional governmental entity. (Cal. Const., art. XIIC, § 1(b), emphasis added.) Courts have routinely held that "[t]here is no question that Proposition 218, as a constitutional initiative, is binding upon charter cities." (*Howard Jarvis Taxpayers Assn. v. City of Roseville* (2003) 106 Cal.App.4th 1178, 1185.) In order to provide for the safety of the Department's liquid assets, the Department established its own bank account and investment portfolio within the City treasury as required by the City Charter. Representatives of the City Treasurer's office and the Water Department are signatories to these accounts. As previously noted, the City Charter specifically grants to the Water Department Board of Commissioners the power to control and order the expenditure of these funds and limits the withdrawal of these funds for the payment of demands authenticated by the Board of Commissioners.

Accordingly, both the City Charter and the California Constitution require that the Department's special revenues collected for water-related services may only be used for expenditures related to those services. Due to these additional state law restrictions, the Department believes that the revenues of the Department (and accumulated assets since those assets were accumulated as a result of collection of revenue) can only be used for Department expenses and obligations.

On October 16, 2013, Bankruptcy Judge Meredith Jury issued an opinion on the City's eligibility for bankruptcy. "...CalPERS submits that the uncontroverted fact that the City's Water Fund had a large cash balance before and after the petition date which the City did not tap to attempt to balance its books is evidence of lack of desire to effect a plan. This argument has no legal legs. It is a matter of California constitutional law that the City may not use funds belonging to the Water Department for general fund purposes. Amendments to the Constitution enacted by Proposition 218 in 1996, which added Articles XIIC and XIID, expanded restrictions on local government revenue-raising and imposed limitations on local government use of special fees, including water and sewer fees. C.A. Const. art. XIIC and XIID. Article XIID covers water fees and prohibits the use of such fees for general governmental services, including police, fire and other services. *Bighorn Desert View Water Agency v.*

Verjil, 39 Cal. 4th 205, 216-17 (2006); *Richmond v. Shasta Cmty. Servs. Dist.*, 32 Cal. 4th 409 (2004). Thus, the City was legally prohibited by the California Constitution from using Water Department funds for general fund purposes.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT*Notes to the Basic Financial Statements, continued*

For the Year Ended June 30, 2016

**(2) City of San Bernardino Bankruptcy, continued**

"Similarly, the City could not have borrowed funds from the Water Department without incurring debt that it could not repay within one year. Article XVI, Section 18 of the Constitution prohibits the City from incurring a debt in any year that exceeds the available revenues of the City for that year without the approval of a two-thirds vote of qualified voters. C.A. Const. art. XVI, § 18. Looking at its dire financial status in July 2012, the City could not reasonably conclude that it would be able to repay to the Water Fund any loans it made within that fiscal year. The Water Fund cash was thereby out of reach to address the City's insolvency and this issue is an outlier to the Court's analysis." (Case No.: RS 6: 12-bk-28006 MJ).

(3) Cash and Investments

Cash and investments are reported in the accompanying statement of net position as follows:

	Water Utility	Sewer Utility	Total
Cash and investments	\$10,486,465	23,276,807	33,763,272
Restricted cash and cash equivalents:			
Restricted for capital-related fees	-	7,814,086	7,814,086
Restricted investments:			
Restricted for Consent Decree	22,223,052	-	22,223,052
Total Cash and Investments	<u>\$32,709,517</u>	<u>31,090,893</u>	<u>63,800,410</u>

Cash and investments at June 30, 2016 consisted of the following:

	Water Utility	Sewer Utility	Total
Cash on Hand	\$ 7,000	200	7,200
Deposits with Financial Institutions	6,403,504	10,374,732	16,778,236
Investments	26,299,013	20,715,961	47,014,974
Total Cash and Investments	<u>\$32,709,517</u>	<u>31,090,893</u>	<u>63,800,410</u>

Investments Authorized by the California Government Code and the Department's Investment Policy

The table below identifies the investment types that are authorized by the Department and Consent Decree (see note 13) in accordance with the California Government Code (or the City's investment policy, where more restrictive). The table also identifies certain provisions of the California Government Code (or the City's investment policy, where more restrictive) that addresses interest rate risk, credit risk, and concentration of credit risk. Due to its long-term nature, the Consent Decree has been explicitly exempted from maximum maturity requirements of the California Government Code, which limits maturity of most investments to five years. All other aspects of the Consent Decree investment policy are consistent with the City's investment policy.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(3) Cash and Investments, continued

Investment Type*	Maximum Maturity		Consent Decree	Maximum % of Portfolio	Maximum % of Portfolio
	Department				
US treasury	5 years		None	None	None
US agency	5 years		None	None	None
Bankers acceptances	180 days	180 days		40%	40%
Commercial paper	270 days	270 days		25%	25%
Negotiable CDs	5 years		None	30%	30%
Medium-term notes	5 years		None	30%	30%
Money market mutual funds	N/A	N/A		20%	20%
Mortgage pass through	5 years		None	20%	20%
Local Agency Investment Fund	N/A	N/A		40,000,000	40,000,000
Guaranteed investment	N/A	N/A		None	None

Investments Authorized by Debt Agreements

Investments of debt proceeds held by bond trustee are governed by provisions of the debt agreements, rather than the general provisions of the California Government Code or the City's investment policy. Investments authorized for funds held by bond trustee include, U.S. Treasury Obligations, U.S. Government Sponsored Enterprise Securities, the California Local Agency Investment Fund, Guaranteed Investment Contracts, Commercial Paper, Local Agency Bonds, Banker's Acceptance and Money Market Mutual Funds. There are no limitations on the maximum amount that can be invested in one issuer, maximum percentage allowed or the maximum maturity of an investment, except for the maturity of Banker's Acceptance which are limited to one year.

Custodial Credit Risk

Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party. The California Government Code requires that a financial institution secure deposits made by a state or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law.

The market value of the pledged securities in the collateral pool must equal at least 110% of the total amount deposited by the public agencies. California law also allows financial institutions to secure the Department's deposits by pledging first trust deed mortgage notes having a value of 150% of the secured public deposits.

For investment identified herein as held by bond trustee, the bond trustee selects the investment under the terms of the applicable trust agreement, acquires the investment, and holds the investment on behalf of the reporting government.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(3) Cash and Investments, continued

Investment in State Investment Pool

The Department is a voluntary participant in the Local Agency Investment Fund (LAIF) that is regulated by the California Government Code under the oversight of the Treasurer of the State of California. The fair value of the Department's investment in this pool is reported in the accompanying financial statements at amounts based upon the Department's pro-rata share of the fair value provided by LAIF for the entire LAIF portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by LAIF, which are recorded on an amortized cost basis. LAIF is not rated by a nationally recognized statistical rating organization, but, as stated previously, it is regulated by the California Government Code, and is therefore exempt from rating requirements.

Interest Rate Risk

Interest rate risk is the possibility that fluctuations in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value will be to changes in market interest rates. One method that the Department uses to manage its exposure to interest rate risk is by purchasing a combination of shorter term and longer term investments and by timing cash flows from maturities so that a portion of the portfolio matures or comes close to maturity evenly over time as necessary to provide requirements for cash flow and liquidity needed for operations.

Information about the sensitivity of the fair values of the Department's investments to market interest rate fluctuations is provided by the following table that shows the distribution of the Department's investments by maturity date:

Investment Type	Maturities				Total
	Less than 12 months	13-24 months	25-60 months	More than 60 months	
U.S. Agency Securities	\$1,505,308	3,551,993	5,315,477	-	10,372,778
U.S. Treasuries	-	526,479	6,079,017	-	6,605,496
Medium Term Corporate Notes	360,428	310,763	1,487,494	-	2,158,685
Asset Backed Securities	-	663,311	681,296	-	1,344,607
Commercial Paper	418,964	-	-	-	418,964
Money Market Funds	555,347	-	-	-	555,347
Local Agency Investment Fund	3,758,310	-	-	-	3,758,310
Consent Decree:					
U.S. Treasuries	-	-	7,924,189	-	7,924,189
U.S. Agency Mortgage Backed Securitie	-	-	-	1,627,183	1,627,183
U.S. Agency Collateralized Mortgage Obligations	-	144,618	138,945	1,005,704	1,289,267
U.S. Agency Securities	-	125,495	1,872,417	-	1,997,912
Commercial Paper	796,512	-	-	-	796,512
Corporate Notes	1,455,617	2,393,486	1,704,248	-	5,553,351
Certificates of Deposit	499,940	1,654,910	-	-	2,154,850
Asset Back Securities/Collateralized Mortgage Obligations	-	-	835,252	-	835,252
Money Market Funds	44,534	-	-	-	44,534
Total Investments	<u>\$9,394,960</u>	<u>9,371,055</u>	<u>26,038,335</u>	<u>2,632,887</u>	<u>47,437,237</u>

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(3) Cash and Investments, continued

Credit Risk

Generally, credit risk is the possibility that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. Presented below is the minimum rating required by (where applicable) the California Government Code, the Department's investment policy, or debt agreements, and the actual rating as of year-end for each investment type.

Investment Type	Minimum Legal Rating	Rating	Total
U.S. Agency Securities	None	AA+	\$ 10,372,778
U.S. Treasuries	Exempt	Exempt	6,605,496
Medium Term Corporate Notes	AA-	AAA	2,158,685
Asset Backed Securities	AA	AAA	1,344,607
Commercial Paper	A-1	A-1	418,964
Money Market Funds	AA+	AAA	555,347
Local Agency Investment Fund	N/R	not rated	3,758,310
Consent Decree:			
U.S. Treasuries	No Limit	Exempt	7,924,189
U.S. Agency Mortgage Backed Securities	No Limit	AA+	1,627,183
U.S. Agency Securities	No Limit	AA+	1,997,912
U.S. Agency Collateralized Mortgage Obligation	AA	AA	1,289,267
Corporate Notes	A	AAA	5,553,351
Commercial paper	A-1	A-1	796,512
Certificates of Deposit	A	A-1+	2,154,850
Asset Backed Securites/Collateralized Mortgage Obligation	AA	AAA	835,252
Money Market Funds	AA+	AA+	44,534
Total Investments			<u>\$ 47,437,237</u>

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(3) Cash and Investments, continued

Concentration of Credit Risk

Investments in any one issuer (other than for U.S. Treasury securities, mutual funds, and external investment pools) that represent 5% or more of total Department investments are as follows:

Issuer	Investment Type	Reported Amount	Percentage of Investments
Federal National Mortgage Association	U.S. Agency Securities	\$2,307,608	5%

Fair Value Measurement

The Department categorizes its fair value investments within the fair value hierarchy established by generally accepted accounting principles. The Department has the following recurring fair value measurements as of June 30, 2016:

	Fair Value Hierarchy			Total
	Level 1	Level 2	Level 3	
U.S. Agency Securities	\$ -	12,370,690	-	12,370,690
U.S. Treasuries	14,529,685	-	-	14,529,685
Medium Term Corporate Notes	-	2,158,685	-	2,158,685
Asset Backed Securities	-	1,344,607	-	1,344,607
Commercial Paper	-	1,215,476	-	1,215,476
Local Agency Investment Fund	-	3,758,310	-	3,758,310
U.S. Agency Mortgage Backed Securities	-	1,627,183	-	1,627,183
U.S. Agency Collateralized Mortgage Obligations	-	1,289,267	-	1,289,267
Corporate Notes	-	5,553,351	-	5,553,351
Asset Backed Securities/Collateralized Mortgage Obligations	-	835,252	-	835,252
Total investments	14,529,685	30,152,821	-	44,682,506
Investments not subject to fair value				2,754,731
Total				\$47,437,237

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(4) Capital Assets

Capital asset activity for the water utility for the fiscal year ended June 30, 2016:

	Balance July 1, 2015	Additions	Deletions/ Transfers	Balance June 30, 2016
Non-depreciable assets:				
Land and easements	\$ 5,654,389	-	-	5,654,389
Construction in progress	3,523,057	4,624,967	(4,215,990)	3,932,034
Total non-depreciable assets	9,177,446	4,624,967	(4,215,990)	9,586,423
Depreciable assets:				
Water rights, wells and pumping	98,085,162	1,358,790	-	99,443,952
Distribution system	146,680,635	4,423,474	-	151,104,109
Buildings, plants, and stores	3,544,632	103,058	-	3,647,690
Field and office equipment	15,591,107	555,442	(510,128)	15,636,421
Total depreciable assets	263,901,536	6,440,764	(510,128)	269,832,172
Less: accumulated depreciation				
Water rights, wells and pumping	(33,775,555)	(1,799,298)	-	(35,574,853)
Distribution system	(37,493,486)	(2,964,361)	-	(40,457,847)
Buildings, plants, and stores	(1,785,093)	(131,749)	-	(1,916,842)
Field and office equipment	(11,945,082)	(913,923)	489,612	(12,369,393)
Total accumulated depreciation	(84,999,216)	(5,809,331)	489,612	(90,318,935)
Total depreciable assets, net	178,902,320	631,433	(20,516)	179,513,237
Total capital assets, net	\$ 188,079,766	5,256,400	(4,236,506)	189,099,660

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(4) Capital Assets, continued

Capital asset activity for the sewer utility for the fiscal year ended June 30, 2016:

	Balance July 1, 2015	Adjustments	Additions	Deletions/ Transfers	Balance June 30, 2016
Non-depreciable assets:					
Land and easements	\$ 11,961,413	(206,240)	-	-	11,755,173
Construction in progress	13,933,993	-	4,177,470	(1,303,668)	16,807,795
Total non-depreciable assets	25,895,406	(206,240)	4,177,470	(1,303,668)	28,562,968
Depreciable assets:					
Pumping	3,192,218	-	429,800	-	3,622,018
Buildings, plants, and stores	130,072,212	206,240	882,955	(128,799)	131,032,608
Field and office equipment	5,866,346	-	98,895	(44,598)	5,920,643
Total depreciable assets	139,130,776	206,240	1,411,650	(173,397)	140,575,269
Less: accumulated depreciation					
Water rights, wells and pumping	(2,451,745)	-	(158,284)	-	(2,610,029)
Buildings, plants, and stores	(93,126,106)	-	(1,103,355)	128,799	(94,100,662)
Field and office equipment	(5,302,282)	-	(30,787)	44,598	(5,288,471)
Total accumulated depreciation	(100,880,133)	-	(1,292,426)	173,397	(101,999,162)
Total depreciable assets, net	38,250,643	206,240	119,224	-	38,576,107
Total capital assets, net	\$ 64,146,049	-	4,296,694	(1,303,668)	67,139,075

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(5) Operating Leases

Effective December 15, 2008, the Department took possession of leased space for administrative office and warehouse space for a term of ten years. As of October 29, 2015, the lease ownership transferred from Superior Homes LLC to Woo Sung Lim. The following is a schedule of minimum lease payments as of June 30, 2016:

Year	Water Utility	Sewer Utility	Total
2017	\$ 228,408	31,152	259,560
2018	228,408	31,152	259,560
	<u>\$ 456,816</u>	<u>62,304</u>	<u>519,120</u>

(6) Long-term Liabilities

Water Utility Fund

Changes in long-term liabilities in the water utility fund for the year ended June 30, 2016 are as follows:

	Balance July 1, 2015	Additions	Reductions	Balance June 30, 2016	Current Portion	Long-term Portion
Notes Payables:						
2002 CIEB	\$ 4,602,020	-	(594,440)	4,007,580	614,294	3,393,286
2007 CIEB	6,879,391	-	(492,777)	6,386,614	506,131	5,880,483
2012 CIEB	9,162,694	-	(435,113)	8,727,581	446,470	8,281,111
SMVMWD Note	472,422	-	(225,535)	246,887	246,887	-
Total Notes Payable	<u>21,116,527</u>	<u>-</u>	<u>(1,747,865)</u>	<u>19,368,662</u>	<u>1,813,782</u>	<u>17,554,880</u>
Compensated Absences	<u>941,889</u>	<u>929,265</u>	<u>(966,693)</u>	<u>904,461</u>	<u>723,569</u>	<u>180,892</u>
Total long term-debt, Water fund	<u>\$22,058,416</u>	<u>929,265</u>	<u>(2,714,558)</u>	<u>20,273,123</u>	<u>2,537,351</u>	<u>17,735,772</u>

2002 California Infrastructure and Economic Development Bank (CIEDB) Note Payable

In April 2002, CIEDB issued a \$10,000,000 note to the Department to provide funding for transmission mains, booster stations and a reservoir identified in the Water System Reliability Schedule of Improvements. The note was issued with an interest rate of 3.34% with interest payable semiannually on February 1 and August 1. Principal payments are due annually on February 1.

Debt service requirements on the 2002 CIEDB Note Payable are as follows:

Year	Principal	Interest	Total
2017	\$ 614,294	133,854	748,148
2018	634,812	113,336	748,148
2019	656,014	92,133	748,147
2020	677,925	70,222	748,147
2021	700,568	47,579	748,147
2022	723,967	24,181	748,148
	<u>\$ 4,007,580</u>	<u>481,305</u>	<u>4,488,885</u>

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT*Notes to the Basic Financial Statements, continued*

For the Year Ended June 30, 2016

**(6) Long-term Liabilities, continued***2007 CIEDB Note Payable*

In July 2007, CIEDB issued a \$10,000,000 note to the Department to provide funding for booster stations and transmission mains in the Verdemon area. The note was issued with an interest rate of 2.71% with interest payable semiannually on February 1 and August 1. Principal payments are due annually on August 1.

Debt service requirements on the 2007 CIEDB Note Payable are as follows:

Year	Principal	Interest	Total
2017	\$ 506,131	166,219	672,350
2018	519,847	152,317	672,164
2019	533,935	138,038	671,973
2020	548,405	123,373	671,778
2021	563,266	108,310	671,576
2022-2026	3,053,743	300,920	3,354,663
2027	661,287	8,960	670,247
	<u>\$ 6,386,614</u>	<u>998,137</u>	<u>7,384,751</u>

2012 CIEDB Note Payable

In May 2012, CIEDB issued a \$10,000,000 note to the Department to provide funding for the construction of the 12 million gallon Ogden Reservoir and certain pipeline improvements. The note was issued with an interest rate of 2.61% with interest payable semiannually on February 1 and August 1. Principal payments are due annually on August 1.

Debt service requirements on the 2012 CIEDB Note Payable are as follows:

Year	Principal	Interest	Total
2017	\$ 446,470	221,963	668,433
2018	458,123	210,158	668,281
2019	470,080	198,045	668,125
2020	482,349	185,616	667,965
2021	494,938	172,863	667,801
2022-2026	2,675,336	661,050	3,336,386
2027-2031	3,043,174	288,412	3,331,586
2032	657,111	8,575	665,686
	<u>\$ 8,727,581</u>	<u>1,946,682</u>	<u>10,674,263</u>

SBVMWD Note Payable

In July 2012, the Department closed escrow on the purchase of real property from the San Bernardino Valley Municipal Water District (SBVMWD), which included a down payment of \$1,000,000 and a promissory note of \$1,117,500 to be paid in sixty (60) monthly installments due on or before the 1st of each month.

Debt service requirements on the SBVMWD Note Payable are as follows:

Year	Principal	Interest	Total
2017	<u>\$ 246,887</u>	<u>1,443</u>	<u>248,330</u>

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(6) Long-term Liabilities, continued

Debt Service Coverage

The Water Utility Fund is required to maintain net revenues adequate to cover 110% of annual debt service. Gross revenue is defined as Operating Revenue combined with non-operating revenue. Debt service coverage for the Water Utility Fund for the year ended June 30, 2016 was as follows:

Gross revenue	\$ 30,310,800
Operating expenses	35,883,023
Less: depreciation expense	<u>(5,809,331)</u>
Net operating expenses	<u>30,073,692</u>
Net Non-Operating Income	2,615,915
Net revenues	<u>\$ 2,853,023</u>
Annual debt service	<u>\$ 2,318,805</u>
Actual coverage ratio	<u>1.23</u>

Sewer Utility Fund

Changes in long-term liabilities in the sewer utility fund for the year ended June 30, 2016 are as follows:

	Balance July 1, 2015	Additions	Reductions	Balance June 30, 2016	Current Portion	Long-term Portion
Notes Payables:						
State Revolving Fund	\$ 1,709,710	-	(1,709,710)	-	-	-
Total Notes Payable	<u>1,709,710</u>	<u>-</u>	<u>(1,709,710)</u>	<u>-</u>	<u>-</u>	<u>-</u>
Certificates of Participation:						
1998 Certificates of Participation	6,375,000	-	(6,375,000)	-	-	-
Less: unamortized discounts	<u>(28,692)</u>	<u>-</u>	<u>28,692</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total Certificates of Participation	<u>6,346,308</u>	<u>-</u>	<u>(6,346,308)</u>	<u>-</u>	<u>-</u>	<u>-</u>
SBVMWD Loan	-	1,200,000	-	1,200,000	300,000	900,000
Compensated Absences	<u>284,242</u>	<u>581,434</u>	<u>(537,857)</u>	<u>327,819</u>	<u>262,255</u>	<u>65,564</u>
Total long term-debt, Sewer fund	<u>\$ 8,340,260</u>	<u>1,781,434</u>	<u>(8,593,875)</u>	<u>1,527,819</u>	<u>562,255</u>	<u>965,564</u>

State Revolving Fund Note Payable

The State Water Resources Control Board issued a note to Santa Ana Watershed Authority to provide funding for the Santa Ana Watershed Authority providing funding for the San Bernardino/Colton Rapid Infiltration Extraction (RIX) project in the amount of \$25,978,599. In April 2001, the agreement was amended to transfer the note obligation to the successors in interest being the City of San Bernardino Board of Water Commissioners and the City of Colton. The note was paid off during the fiscal year ended June 30, 2016.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(6) Long-term Liabilities, continued

1998 Certificates of Participation

In 1998, the sewer treatment utility issued \$36,230,000 in Certificates of Participation to advance refund the 1992 Sewer Certificates of Participation and fund additional capital improvements. The 1992 Certificates originally provided for the construction of certain capital improvements. The proceeds of the 1998 Certificates were invested and used to pay interest on the 1998 issue until February 1, 2001, when the 1992 Certificates were called at a prepayment premium of two percent. The Department has paid the installment payments on the 1998 Certificates from the net revenues of the sewer treatment system. The Certificates of Participation were paid off during the fiscal year ended June 30, 2016.

SBVMWD Loan

In December 2015, the Department entered into an agreement loan of \$1,200,000 with the San Bernardino Valley Municipal Water District (SBVMWD) for UV System Rehabilitation project improvements to the Rapid Infiltration and Extraction (RIX) facility owned by the City of Colton and the Department.

(7) Pension Plan

The Department is considered to be part of the City of San Bernardino PERS pension plan, therefore all related information included in this note refers to the City as a whole unless specifically indicating otherwise. All qualified permanent and probationary employees are eligible to participate in the Department's Miscellaneous Plan, an agent multiple-employer defined benefit pension plan administered by the California Public Employees' Retirement System (CalPERS), which acts as a common investment and administrative agent for its participating member employers. Benefit provisions under the Plan are established by State statute and Local Government resolution. CalPERS issues publicly available reports that include a full description of the pension plans regarding benefit provisions, assumptions and membership information that can be found on the CalPERS website. Additional disclosures and required supplementary information regarding the City's plan can be found in the City's audited financial statements.

Benefits provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of credited service, equal to one year of full time employment. The Plans' provisions and benefits in effect at June 30, 2016, are summarized as follows:

	Miscellaneous	
	Prior to January 1, 2013	On or after January 1, 2013
Hire date		
Benefit formula	2.7% @ 55	2% @ 60
Benefit vesting schedule	5 years service	5 years of service
Benefit payments	monthly for life	monthly for life
Retirement age	50-55	52-67
Monthly benefits, as a % of eligible compensation	2.0% to 2.7%	1.0% to 2.5%
Required employee contribution rates	8%	8%
Required employer contribution rates	22.024%	22.024%

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(7) Pension Plan, continued

Employees Covered

As of June 30, 2014, the following employees were covered by the benefit terms of the Plan:

	City-wide	Department
Inactive employees or beneficiaries currently receiving benefits	1,304	123
Inactive employees entitled to but not yet receiving benefits	855	-
Active employees	765	246
Total	2,924	369

Contribution Description

Section 20814(c) of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through CalPERS' annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. Employer contribution rates may change if plan contracts are amended. It is the responsibility of the employer to make necessary accounting adjustments to reflect the impact due to any Employer Paid Member Contributions or situations where members are paying a portion of the employer contribution.

Actuarial Methods and Assumptions used to determine Total Pension Liability

For the measurement period ended June 30, 2015 (the measurement date), the total pension liability was determined by rolling forward the June 30, 2014 total pension liability. The June 30, 2014 and the June 30, 2015 total pension liabilities were based on the following actuarial methods and assumptions:

Actuarial Cost Method	Entry Age Normal in accordance with the requirements of GASB Statement No. 68
Actuarial Assumptions	
Discount Rate	7.65%
Inflation	2.75%
Salary Increases	Varies by Entry Age and Service
Investment Rate of Return	7.50% Net of Pension Plan Investment and Administrative Expenses: includes Inflation
Mortality Rate Table ¹	Derived using CalPERS' Membership Data for all funds
Post Retirement Benefit Increase	Contract COLA up to 2.75% until Purchasing Power applies, 2.75% thereafter

¹ The mortality table used was developed based on CalPERS' specific data. The table includes 20 years of mortality improvements using Society of Actuaries Scale BB. For more details on this table, please refer to the 2014 experience study report.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(7) Pension Plan, continued

All other actuarial assumptions used in the June 30, 2014 valuation were based on the results of an actuarial experience study for the period from 1997 to 2011, including updates to salary increase, mortality and retirement rates. The Experience Study report can be obtained at the CalPERS website under Forms and Publications.

Changes of Assumptions

GASB 68, paragraph 68 states that the long long-term expected rate of return should be determined net of pension plan investment expense but without reduction for pension plan administrative expense. The discount rate of 7.50 percent used for the June 30, 2014 measurement date was net of administrative expenses. The discount rate of 7.65 percent used for the June 30, 2015 measurement date is without reduction of pension plan administrative expense.

Discount Rate

The discount rate used to measure the total pension liability was 7.65 percent. To determine whether the municipal bond rate should be used in the calculation of a discount rate for each plan, CalPERS stress tested plans that would most likely result in a discount rate that would be different from the actuarially assumed discount rate. Based on the testing of the plans, the test revealed that the assets would not run out. Therefore, the current 7.65 percent discount rate is appropriate and the use of the municipal bond rate calculation is not deemed necessary. The long-term expected discount rate of 7.65 percent is applied to all plans in the Public Employees Retirement Fund. The stress test results are presented in a detailed report called "GASB Crossover Testing Report" that can be obtained on CalPERS' website under the GASB 68 section.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, staff took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the funds' asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(7) Pension Plan, continued

The table below reflects long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. These rates of return are net of administrative expenses.

Asset Class	New Strategic Allocation	Real Return Years 1 - 10 ¹	Real Return Years 11+ ²
Global Equity	51.0%	5.25%	5.71%
Global Fixed Income	19.0	0.99	2.43
Inflation Sensitive	6.0	0.45	3.36
Private Equity	10.0	6.83	6.95
Real Estate	10.0	4.50	5.13
Infrastructure and Forestland	2.0	4.50	5.09
Liquidity	2.0	(0.55)	(1.05)

¹An expected inflation of 2.5% used for this period

²An expected inflation of 3.0% used for this period

Pension Plan Fiduciary Net Position

The plan fiduciary net position disclosed in the GASB 68 accounting valuation report may differ from the plan assets reported in the funding actuarial valuation report due to several reasons. First, for the accounting valuations, CalPERS must keep items such as deficiency reserves, fiduciary self-insurance and OPEB expense included as assets. These amounts are excluded for rate setting purposes in the funding actuarial valuation. In addition, differences may result from early Comprehensive Annual Financial Report closing and final reconciled reserves.

Changes in Net Pension Liability

The following table shows the Plan's proportionate share of the net pension liability of the City's plan over the measurement period:

	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (c) = (a) - (b)
Balance at: 6/30/2014 (VD)	\$ 182,054,201	\$ 141,121,803	\$ 40,932,398
Balance at: 6/30/2015 (MD)	184,064,118	139,146,255	44,917,863
Net Changes during 2014-15	2,009,917	(1,975,548)	3,985,465

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of the Plan as of the Measurement Date, calculated using the discount rate of 7.50 percent, as well as what the net pension liability would be if it were calculated using a discount rate that is 1 percentage-point lower (6.50 percent) or 1 percentage-point higher (8.50 percent) than the current rate:

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT*Notes to the Basic Financial Statements, continued*

For the Year Ended June 30, 2016

**(7) Pension Plan, continued**

	Discount Rate – 1% (6.50%)	Current Discount Rate (7.50%)	Discount Rate + 1% (8.50%)
Plan's Net Pension Liability – Department Allocation (36%)	\$ 68,746,040	\$ 44,917,863	\$ 25,222,701

Subsequent Events

There were no subsequent events that would materially affect the results presented in this disclosure.

Recognition of Gains and Losses

Under GASB 68, gains and losses related to changes in total pension liability and fiduciary net position are recognized in pension expense systematically over time.

The first amortized amounts are recognized in pension expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to pensions and are to be recognized in future pension expense.

The amortization period differs depending on the source of the gain or loss:

Difference between projected and actual earnings	5 year straight-line amortization
All other amounts	Straight-line amortization over the average expected remaining service lives of all members that are provided with benefits (active, inactive, and retired) as of the beginning of the measurement period.

The expected average remaining service lifetime (EARSL) is calculated by dividing the total future service years by the total number of plan participants (active, inactive, and retired).

The EARSL for the Plan for the 2014-15 measurement period is 2.4 years, which was obtained by dividing the total service years of 6,904 (the sum of remaining service lifetimes of the active employees) by 2,924 (the total number of participants: active, inactive, and retired). Note that inactive employees and retirees have remaining service lifetimes equal to 0. Also note that total future service is based on the members' probability of decrementing due to an event other than receiving a cash refund.

Pension Expense and Deferred Outflows and Deferred Inflows of Resources Related to Pensions

For the measurement period ending June 30, 2015 (the measurement date), the Department recognized a pension expense of \$1,414,171 for the Plan.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(7) Pension Plan, continued

As of June 30, 2016, the Department reports other amounts for the Plan as deferred outflow and deferred inflow of resources related to pensions as follows:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$3,607,951	\$0
Differences between Expected and Actual Experience	0	(971,986)
Changes of Assumptions	0	(1,845,803)
Net Difference between Projected and Actual Earnings on Pension Plan Investments	0	(1,282,976)
Total	\$3,607,951	\$(4,100,765)

The amounts above are net inflows and outflows recognized in the 2014-15 measurement period expense.

\$3,607,951 reported as deferred outflows of resources related to employer contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2017. That and other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized as pension expense as follows:

Measurement period Ended June 30:	Deferred Outflows/(Inflows) of Resources
2016	(2,936,653)
2017	(1,729,028)
2018	(923,945)
2019	1,488,861
2020	0
2021	0

(8) Other Post-Employment Benefits

Plan Description

The Department provides health benefits to all qualifying retirees and their spouses in accordance with Memorandums of Understanding under various labor agreements.

Eligibility

Employees are eligible for retiree health benefits if they retire from the Department on or after age 50 with at least 10, 12 or 15 years of service, depending on bargaining unit, and are eligible for a PERS pension. The latest actuarial valuation of the plan occurred June 30, 2014. Membership consists of the following:

Retirees and beneficiaries receiving benefits	123
Active plan members	246
Total plan members	<u>369</u>

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT*Notes to the Basic Financial Statements, continued*

For the Year Ended June 30, 2016

**(8) Other Post-Employment Benefits*****Funding Policy***

The contribution requirements of plan members and the Department are established and may be amended by the Board. The required contribution is based on projected pay-as-you-go financing requirements, with an additional amount to prefund benefits as may be determined annually by the Board. The Department has established an irrevocable trust to which pre-funding contributions are made. For fiscal year 2016, the Department has funded \$2,401,131 for the current year. The Department pays up to the entire cost of health benefits for eligible retirees and their spouses, subject to the City's vesting schedule.

Annual OPEB Cost and Net OPEB Obligation

The Department's annual other post-employment benefit (OPEB) cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of GASB Statement 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years. The following table shows the components of the Department's annual OPEB cost for the year, the amount actually contributed to the plan, and changes in the Department's net OPEB obligation:

Actual required contribution (ARC)	\$2,794,000
Interest on new OPEB obligation	22,000
Amortization of net OPEB obligation	(31,000)
Annual OPEB cost (expense)	2,785,000
Contributions made	(2,401,131)
Increase in net OPEB obligation	383,869
Net OPEB obligation - beginning of year	795,221
Net OPEB obligation - end of year	<u>\$1,179,090</u>

The Department's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for 2014 and the two preceding years were as follows:

Year Ended	Annual OPEB Cost	Paid Contribution	Percentage of Annual OPEB Cost Contributed	OPEB Obligation
6/30/2014	\$ 2,438,000	3,872,869	159%	352,510
6/30/2015	2,699,032	2,256,321	84%	795,221
6/30/2016	2,785,000	2,401,131	86%	1,179,090

Funded Status and Funding Progress

As of June 30, 2014, the most recent actuarial valuation date, the plan was 38.2% funded. The actuarial accrued liability for benefits was \$35,012,000, the actuarial value of assets was \$13,380,000 and the unfunded actuarial accrued liability (UAAL) was \$21,632,000. The covered payroll (annual payroll of active employees covered by the plan) was \$15,531,000 and the ratio of the UAAL to the covered payroll was 139.3%.

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(8) Other Post-Employment Benefits, continued

are made about the future. The schedule of funding progress presents multi-year trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the June 30, 2014, actuarial valuation, the entry age actuarial cost method was used. The actuarial assumptions included a rate of return of 6.25% and annual healthcare cost trend rates of 7.5% initially, reduced by increments to an ultimate rate of 5% in 2021. Both rates included a 3% inflation assumption. The actuarial value of assets was determined using techniques that spread the effects of short-term volatility in the market value of investments over a five-year period. The UAAL is being amortized as a level percentage of projected payroll on a closed basis. The remaining amortization period at June 30, 2015, was 18 years.

Schedule of Funding Progress

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a % of Covered Payroll (b-a)/c
6/30/2010	\$ -	\$ 28,676,000	\$ 28,676,000	0.0%	\$ 12,619,000	227.2%
6/30/2012	8,556,000	28,831,000	20,275,000	29.7%	14,765,000	137.3%
6/30/2014	13,380,000	35,012,000	21,632,000	38.2%	15,531,000	139.3%

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(9) Related Party Transactions

The following is a summary of transactions and balances with the City of San Bernardino and its various Departments as of and for the year ended June 30, 2016.

Receipts	Water Utility	Sewer Utility	Total
City of San Bernardino:			
Revenue from Water Charges	\$ 983,387	-	983,387
Revenue from Sewer Charges	-	64,221	64,221
Revenue from Geothermal Charges	21,551	-	21,551
Billing & Collection Charges - Refuse	270,000	-	270,000
Billing & Collection Charges - Storm Drain	4,602	-	4,602
Billing & Collection Charges - Sewer Collection	63,000	-	63,000
Cost Reimbursement	69,400	-	69,400
Miscellaneous	-	600	600
Total receipts from related parties	<u>\$1,411,940</u>	<u>64,821</u>	<u>1,476,761</u>

Payments	Water Utility	Sewer Utility	Total
City of San Bernardino:			
Worker's Compensation (Admin. Charges)	\$ 241,302	64,089	305,391
Printing Services	698	1,196	1,894
Postage	26,414	-	26,414
Refuse Disposal Service	11,208	-	11,208
Consulting Services	3,158,832	-	3,158,832
Franchise Fee	-	107,784	107,784
Permits	87,760	7,203	94,963
Cost Reimbursement	9,488	2,646	12,134
Total payments to related parties	<u>\$3,535,702</u>	<u>182,918</u>	<u>3,718,620</u>

Receivables	Water Utility	Sewer Utility	Total
City of San Bernardino:			
Related party receivable	\$ 842,909	39,356	882,265
Accounts receivable, net	4,683	300	4,983
Due from other entities	29,929	113,651	143,580
Total receivable from related parties	<u>\$ 877,521</u>	<u>153,307</u>	<u>1,030,828</u>

Payables	Water Utility	Sewer Utility	Total
City of San Bernardino:			
Related party payable	\$1,570,911	721,511	2,292,422
Accounts payable	18,109	-	18,109
Claims payable	1,048,326	246,180	1,294,506
Total payable to related parties	<u>\$2,637,346</u>	<u>967,691</u>	<u>3,605,037</u>

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(10) Joint Ventures

Colton / San Bernardino Regional Tertiary Treatment and Water Reclamation Authority

On August 2, 1994, the City of San Bernardino, through the Department formed a joint powers authority with the City of Colton to construct, operate, use and maintain tertiary wastewater treatment, disposal and water reclamations systems, including the Regional Rapid Infiltration and Extraction Facility (RIX). This authority is governed by a separate board consisting of four members; two appointed by the City of San Bernardino through the Department's BOWC and two appointed by the City Council of the City of Colton. Construction of RIX was administered by the Santa Ana Watershed Project Authority and was substantially completed during 1996. Administration and operation was turned over at that time. The cities of San Bernardino and Colton each have a measurable equity interest in the net position of RIX in proportion to its contributions, which are based on an 80% / 20% split, respectively. Substantially all of the assets of RIX are in the form of capital assets. Annual revenues (in the form of contributions from the two member cities) are equal to annual expenses. The Department's equity interest in this joint venture has been reported as an investment in joint venture in the accompanying statement of net position. The RIX complete financial statements may be obtained at City of San Bernardino Municipal Water Department at 444 W. Rialto Avenue San Bernardino, CA 92418.

San Bernardino Public Safety Authority

On April 1, 1968, the City of San Bernardino and the County of San Bernardino formed the San Bernardino Public Safety Authority (PSA), a joint powers authority, as a financing vehicle to construct public safety buildings and improvements to the wastewater treatment plant. In accordance with the terms of an installment purchase agreement, title to the capital assets financed through the PSA were recognized as capital assets of the City at the inception of the installment purchase agreement between the City and the PSA. The City's remaining interest in the joint venture is in the form of cash and investments held by the PSA for debt service related activity. The Department's equity interest in these assets has been recognized in the accompanying statement of net position as an investment in joint venture.

West End Water Development, Treatment and Conservation Joint Powers Authority

On August 15, 1990, the City of San Bernardino joined the West End Water Development, Treatment and Conservation Joint Powers Authority (WEJPA) as a financing vehicle for construction of water facilities. A three-member board consisting of one representative from each agency's governing body governs the WEJPA. This joint venture was formed to provide a financing vehicle for the three member agencies. This joint venture is currently inactive.

(11) Commitments and Contingencies

Risk Management

Risk management activities are recorded in both utility funds. Significant losses are covered by insurance for all major events except workers' compensation, for which the Department retains risk of loss in conjunction with the City of San Bernardino's risk management program for workers compensation. Settlement amounts have not exceeded insurance coverage for the current year or the prior three years. Insurance coverage has been increased over the past several years.

The Department records an estimated liability for workers' compensation. Claims liabilities are based on estimates of the ultimate cost of reported claims and an estimate for claims incurred but not reported based upon historical experience. Workers' compensation claims liability is not discounted.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT*Notes to the Basic Financial Statements, continued*

For the Year Ended June 30, 2016

**(11) Commitments and Contingencies, continued**

The following are the changes in approximate aggregate liabilities for the year ended June 30, 2015 and June 30, 2016. During the past three fiscal (claims) years, the Department had no settlements or judgments that exceeded pooled or insured coverage. There was also no significant reductions in pooled or insured liability coverage in fiscal year 2016.

Claims Liabilities	Water Utility	Sewer Utility	Total
Balance, June 30, 2014	\$ 731,496	268,107	999,603
Claims and changes in estimates	835,698	177,237	1,012,935
Claims payments	(353,655)	(205,671)	(559,326)
Balance, June 30, 2015	1,213,539	239,673	1,453,212
Claims and changes in estimates	119,427	81,607	201,034
Claims payments	(284,640)	(75,100)	(359,740)
Balance, June 30, 2016	<u>\$ 1,048,326</u>	<u>246,180</u>	<u>1,294,506</u>

Litigation

In the ordinary course of operations, the Department is subject to claims and litigation from outside parties. After consultation with legal counsel, the Department believes the ultimate outcome of such matters, if any, will not materially affect its financial condition.

(12) Federal and State Grants

Grant funds received by the Department are subject to audit by the grantor agencies. Such audit could lead to requests for reimbursements to the grantor agencies for expenditures disallowed under terms of the grant. Management of the Department believes that such disallowances, if any, would not be significant. The Department produces a Single Audit that details the use of grant and Consent Decree funds (see note 13 for information on the Consent Decree).

(13) Subsequent Events

On November 16, 2016, the Department issued Series 2016 Water Revenue Bond in the amount of \$48,225,000. The proceeds of the 2016 Bonds will be used to (i) finance the acquisition and construction of certain water system capital improvements (the "Project") of the Department; (ii) refund outstanding obligations of the City of San Bernardino, California (the "City") relating to the Department; (iii) purchase a Municipal Bond Debt Service Reserve Insurance Policy in satisfaction of the Reserve Requirement (each as defined herein) for the 2016 Bonds; and (iv) pay the costs of issuance of the 2016 Bonds.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(13) Consent Decree

In 1996, the City of San Bernardino filed a complaint against the United States of America, Department of the Army to recover damages, response costs and other available remedies relating to contamination alleged to have originated at a World War II army installation known as Camp Ono. In March 2005, the United States District Court, Central Division entered judgment, in the form of a consent decree, in the matter of City of San Bernardino v. United States of America. The Consent Decree settles the City's and the State's claims arising from the groundwater contamination allegedly caused by the Army. The Consent Decree contains a number of provisions obligating the City (through the Department) to operate and maintain the Newmark Groundwater Superfund Site (Site). The Site consists of two operable units, the Newmark Operable Unit and the Muscoy Operable Unit. The Newmark Operable Unit was declared operational and functional in 1998. The Muscoy Operable unit was declared operational and functional in 2007.

The Consent Decree provided for a payment of \$69 million from the Army to the City for performance of the work outlined in the Consent Decree. Upon acceptance of the Consent Decree, the Department received title to all facilities constructed by the United States Environmental Protection Agency (EPA) of the Site and agreed to operate and maintain the groundwater extraction and treatment system for a period of 50 years. The \$69 million payment consisted of \$59 million for operations and maintenance and \$10 million for the construction of certain capital facilities that would be required in the future; the funds are subject to strict limitations, contained in the Consent Decree, as to how the money may be spent.

Pursuant to the Consent Decree, \$10 million, including interest earned, has been set aside to be used only for (i) funding construction of treatment and directly related transmission systems that expand the Department's capacity to deliver potable water and (ii) funding work performed by the Department to complete construction of the Muscoy Operable Unit extraction system. These capital facility funds may not be used for costs incurred to operate, maintain, repair or retrofit components of the site extraction of treatment systems constructed by EPA.

In March 2006, the Department entered into a Guaranteed Investment Contract with AIG Match Funding Corporation. The Department invested \$16,482,039 of excess Consent Decree funds into an interest bearing Escrow Fund investment with an interest rate of 4.95% per annum. These funds were invested to pay costs associated with the water facilities defined in the Consent Decree for years 2035-2056. An additional \$50 million was used to purchase a blended insurance policy to provide a financial vehicle that provides cost gap coverage for the first 30 years of expenses.

The terms of the Guaranteed Investment Contract only provided the Department with the position of a secured creditor with respect to an AIG bankruptcy. As concerns arose regarding AIG's financial credibility, in October 2009, the Department negotiated and accepted a "payout" in the amount of \$18,661,876 which represented the principal and accrued interest as of that date. These funds are currently invested in a diversified portfolio managed by PFM Asset Management and present in more detail in note 3.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

Notes to the Basic Financial Statements, continued

For the Year Ended June 30, 2016



(14) Net Position

Net position at June 30, 2016, consisted of the following:

	Water Utility	Sewer Utility	Total
Net investment in capital assets:			
Non-depreciable assets	\$ 9,586,423	28,562,968	38,149,391
Depreciable assets	269,832,172	140,575,269	410,407,441
Accumulated Depreciation and amortization	(90,318,935)	(101,999,162)	(192,318,097)
Less: related debt			
Notes payable, current portion	1,813,782	300,000	2,113,782
Notes payable, noncurrent portion	17,554,880	900,000	18,454,880
Total net investment in capital assets	169,730,998	65,939,075	235,670,073
Restricted for capital-related fees:			
Cash and cash equivalents, restricted for capital-related fees	-	7,814,086	7,814,086
Unrestricted:			
Designated for operating reserve	-	2,309,354	2,309,354
Designated for rate stabilization reserve	-	2,679,273	2,679,273
Designated for emergency replacement reserve	-	1,924,381	1,924,381
Designated for capital replacement reserve	-	9,407,667	9,407,667
Undesignated	(17,407,765)	9,252,054	(8,155,711)
Total unrestricted	(17,407,765)	25,572,729	8,164,964
Total net position	\$ 152,323,233	\$ 99,325,890	\$ 251,649,123

PAGE INTENTIONALLY LEFT BLANK

STATISTICAL SECTION

(Unaudited)

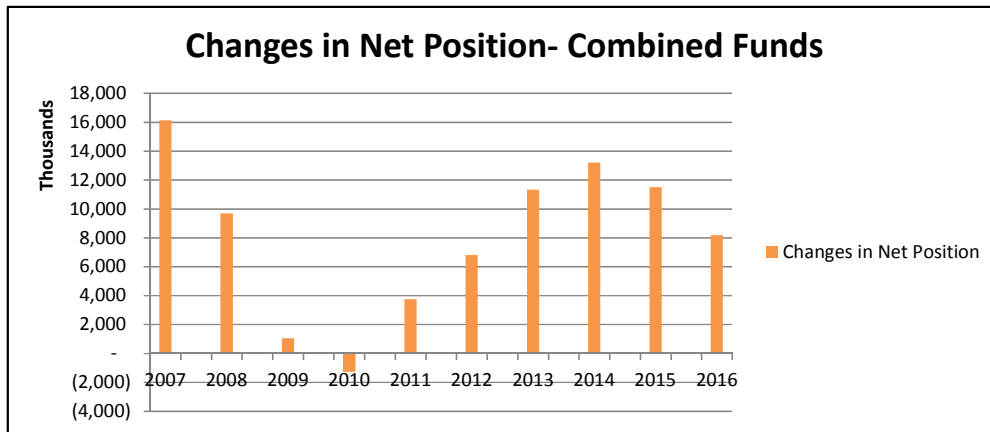
FINANCIAL TRENDS

These schedules contain trend information to help the reader understand how the Department's financial performance and well-being have changed over time.

City of San Bernardino Municipal Water Department
Changes in Net Position
Last Ten Fiscal Years

Fiscal Year Ended	Total Operating Revenue	Total Operating Expense	Operating Income	Total Non-Operating Income (Expense)	Total Contributed Capital	Changes in Net Position
6/30/2007	47,914,999	48,791,026	(876,027)	2,106,963	14,904,830	16,135,766
6/30/2008	46,757,411	54,172,974	(7,415,563)	3,838,588	13,263,336	9,686,361
6/30/2009	47,171,798	54,044,608	(6,872,810)	2,717,707	5,197,854	1,042,751
6/30/2010	47,808,997	57,965,395	(10,156,398)	1,375,536	7,510,777	(1,270,085)
6/30/2011	54,280,835	56,328,523	(2,047,688)	1,408,498	4,390,162	3,750,972
6/30/2012	60,756,697	58,971,535	1,785,162	1,974,266	3,055,921	6,815,349
6/30/2013	61,883,615	57,327,537	4,556,078	1,861,758	4,896,921	11,314,757
6/30/2014	62,292,428	57,965,395	4,327,033	1,375,536	7,510,777	13,213,346
6/30/2015	57,805,304	55,074,661	2,730,643	3,801,830	4,977,945	11,510,418
6/30/2016	55,376,650	53,529,824	1,846,826	2,059,111	4,271,325	8,177,262

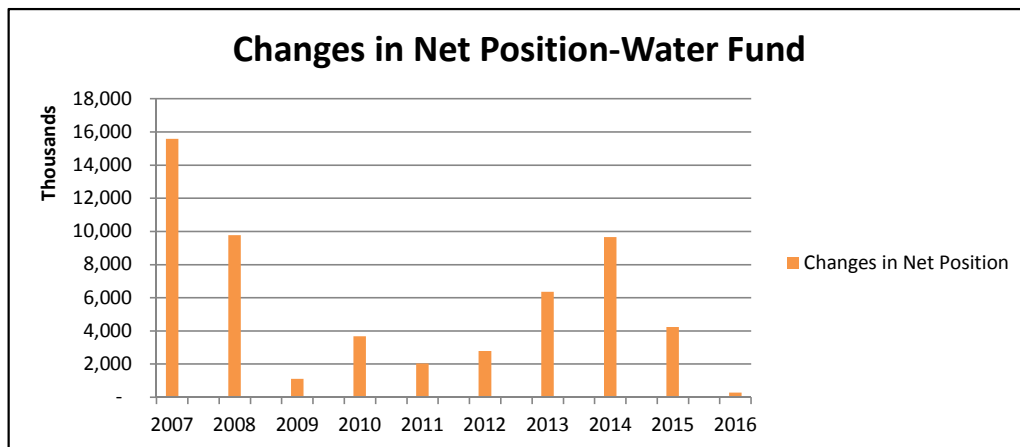
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Water Fund
Changes in Net Position
Last Ten Fiscal Years

Fiscal Year Ended	Total Operating Revenue	Total Operating Expense	Operating Income	Total Non-Operating Income (Expense)	Total Contributed Capital	Changes in Net Position
6/30/2007	28,232,366	28,069,392	162,974	3,487,628	11,931,117	15,581,719
6/30/2008	27,337,093	32,453,101	(5,116,008)	3,479,605	11,397,947	9,761,544
6/30/2009	27,258,954	32,934,974	(5,676,020)	2,853,518	3,919,197	1,096,695
6/30/2010	27,688,694	31,953,080	(4,264,386)	2,101,540	5,829,803	3,666,957
6/30/2011	33,027,707	35,811,915	(2,784,208)	2,025,029	2,782,168	2,022,989
6/30/2012	37,106,217	39,155,830	(2,049,613)	2,436,449	2,384,710	2,771,546
6/30/2013	37,868,846	37,430,224	438,622	2,492,448	3,421,521	6,352,591
6/30/2014	36,671,903	36,041,616	630,287	2,504,705	6,521,601	9,656,593
6/30/2015	33,121,128	35,504,582	(2,383,454)	2,702,953	3,905,104	4,224,603
6/30/2016	30,001,871	34,834,362	(4,832,491)	2,283,230	2,812,192	262,931

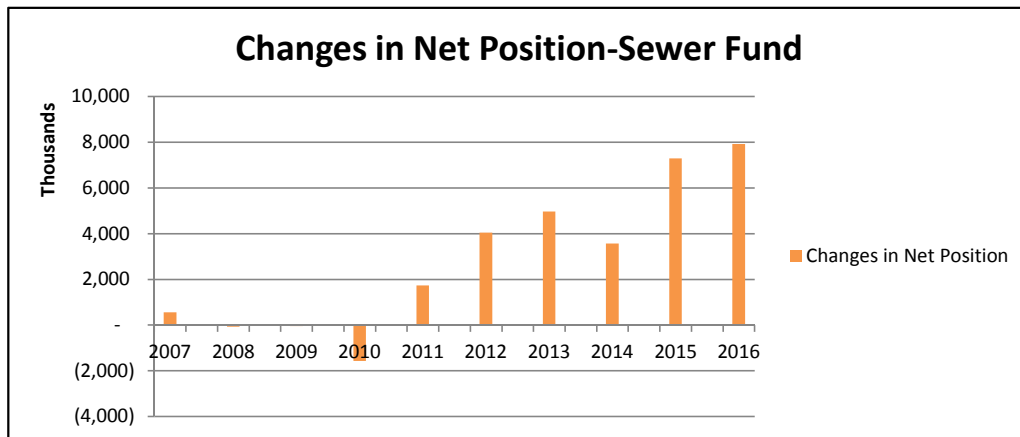
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Sewer Fund
Changes in Net Position
Last Ten Fiscal Years

Fiscal Year Ended	Total Operating Revenue	Total Operating Expense	Operating Income	Total Non-Operating Income (Expense)	Total Contributed Capital	Changes in Net Position
6/30/2007	21,002,484	22,041,485	(1,039,001)	(1,380,665)	2,973,713	554,047
6/30/2008	20,847,984	23,147,539	(2,299,555)	358,983	1,865,389	(75,183)
6/30/2009	21,208,021	22,404,811	(1,196,790)	(135,811)	1,278,657	(53,944)
6/30/2010	22,424,943	24,474,747	(2,049,804)	(19,598)	495,768	(1,573,634)
6/30/2011	23,433,833	22,697,313	736,520	(616,531)	1,607,994	1,727,983
6/30/2012	25,888,729	22,053,954	3,834,775	(462,183)	671,211	4,043,803
6/30/2013	26,414,653	22,297,197	4,117,456	(630,690)	1,475,400	4,962,166
6/30/2014	25,670,774	21,974,028	3,696,746	(1,129,169)	989,176	3,556,753
6/30/2015	24,734,425	19,620,328	5,114,097	1,098,877	1,072,841	7,285,815
6/30/2016	25,410,740	18,731,423	6,679,317	(224,119)	1,459,133	7,914,331

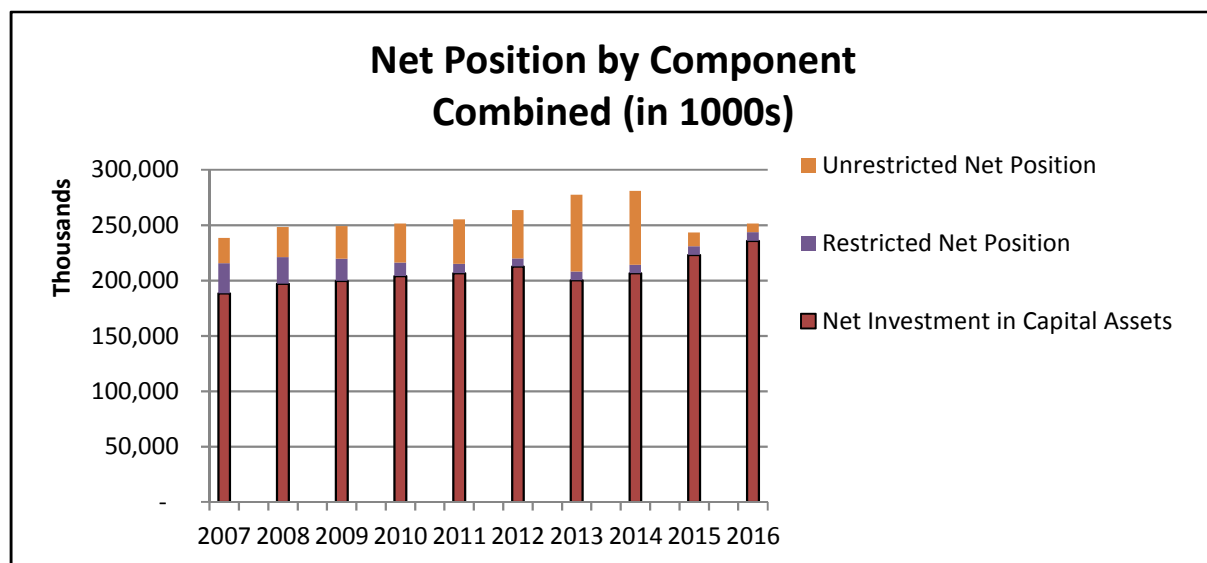
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Net Position by Component
Last Ten Fiscal Years

Fiscal Year Ended	Net Investment in Capital Assets	Restricted Net Position	Unrestricted Net Position	Total Net Position
6/30/2007	188,196,495	27,280,333	22,890,450	238,367,278
6/30/2008	196,892,664	24,205,033	26,955,942	248,053,639
6/30/2009	199,628,149	19,831,726	29,636,515	249,096,390
6/30/2010	204,066,502	11,992,059	35,131,152	251,189,713
6/30/2011	206,520,977	8,276,462	40,143,246	254,940,685
6/30/2012	212,490,593	7,389,246	43,545,621	263,425,460
6/30/2013	200,072,942	7,799,773	69,315,171	277,187,886
6/30/2014	206,663,567	7,515,658	66,524,589	280,703,814
6/30/2015	223,053,269	7,633,049	12,510,969	243,197,287
6/30/2016	235,670,073	7,814,086	7,890,390	251,374,549

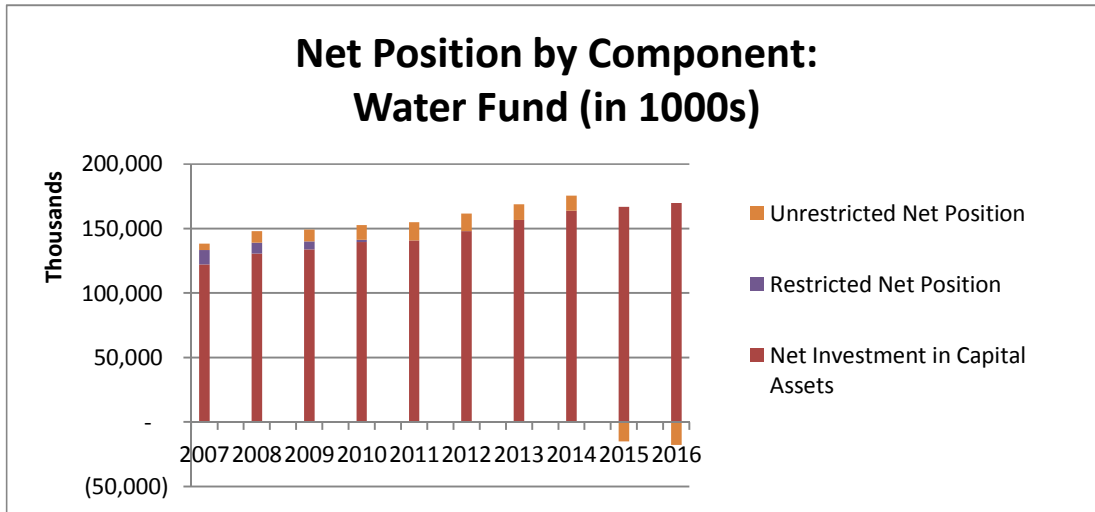
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Net Position by Component-Water Fund
Last Ten Fiscal Years

Fiscal Year Ended	Net Investment in Capital Assets	Restricted Net Position	Unrestricted Net Position	Total Net Position
6/30/2007	122,080,723	11,294,440	4,927,609	138,302,772
6/30/2008	130,610,364	8,406,696	9,047,256	148,064,316
6/30/2009	133,834,066	6,328,449	8,998,496	149,161,011
6/30/2010	139,688,690	1,528,434	11,610,844	152,827,968
6/30/2011	140,912,873	-	13,938,084	154,850,957
6/30/2012	148,063,104	41,320	13,658,195	161,762,619
6/30/2013	156,758,127	-	12,133,904	168,892,031
6/30/2014	163,797,283	-	11,728,071	175,525,354
6/30/2015	166,963,238	-	(15,152,937)	151,810,301
6/30/2016	169,730,998	-	(17,657,766)	152,073,232

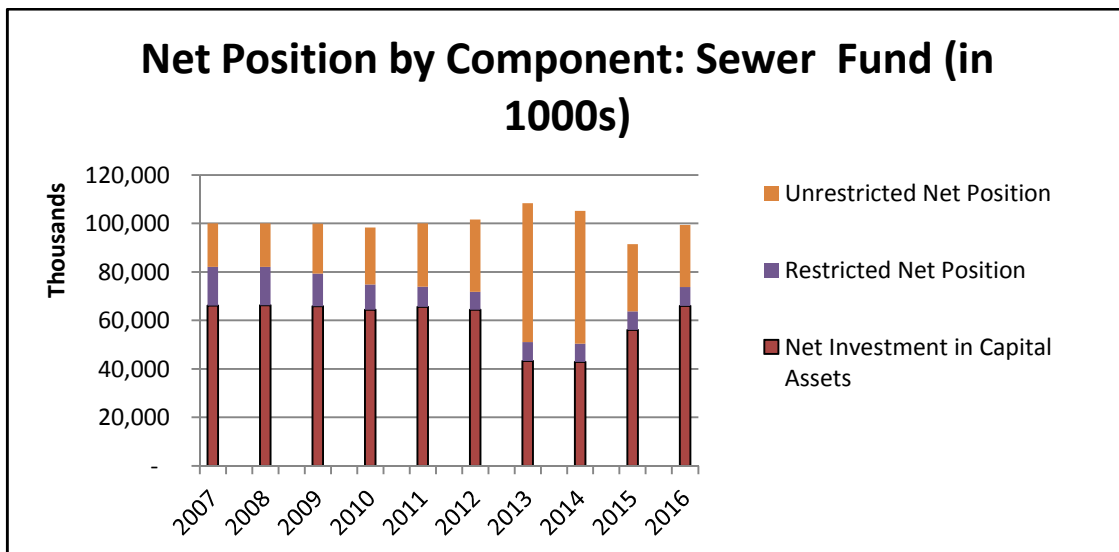
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Net Position By Component-Sewer Fund
Last Ten Fiscal Years

Fiscal Year Ended	Net Investment in Capital Assets	Restricted Net Position	Unrestricted Net Position	Total Net Position
6/30/2007	66,115,772	15,985,893	17,962,841	100,064,506
6/30/2008	66,282,300	15,798,337	17,908,686	99,989,323
6/30/2009	65,794,083	13,503,277	20,638,019	99,935,379
6/30/2010	64,377,812	10,463,625	23,520,308	98,361,745
6/30/2011	65,608,104	8,276,462	26,205,162	100,089,728
6/30/2012	64,427,489	7,347,926	29,887,426	101,662,841
6/30/2013	43,314,815	7,799,733	57,181,267	108,295,815
6/30/2014	42,866,284	7,515,658	54,796,518	105,178,460
6/30/2015	56,090,031	7,633,049	27,663,906	91,386,986
6/30/2016	65,939,075	7,814,086	25,548,156	99,301,317

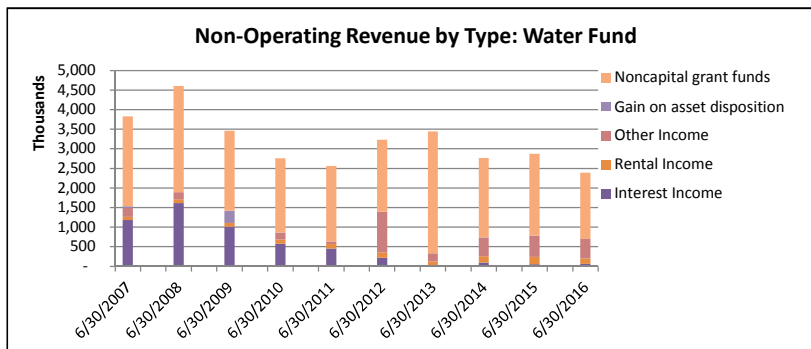
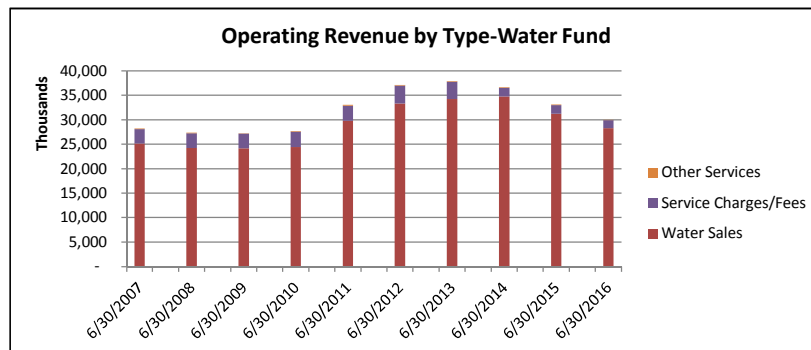
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Water Fund Revenue by Type
Last Ten Fiscal Years

Fiscal Year Ended	Water Sales	Service Charges/Fees	Other Services	Total Operating Revenue	Interest Income	Rental Income	Other Income	Gain on asset disposition	Noncapital grant funds	Total Non Operating Income
6/30/2007	25,136,912	2,929,446	166,008	28,232,366	1,180,789	82,944	227,509	37,377	2,300,151	3,828,770
6/30/2008	24,194,275	3,005,938	136,880	27,337,093	1,613,192	95,818	178,348	-	2,715,957	4,603,315
6/30/2009	24,147,627	2,991,468	119,859	27,258,954	1,008,607	101,130	-	309,708	2,043,889	3,463,334
6/30/2010	24,436,854	3,118,571	133,269	27,688,694	578,912	98,638	175,782	8,988	1,894,624	2,756,944
6/30/2011	29,782,786	3,101,431	143,489	33,027,707	451,927	117,454	59,960	-	1,928,999	2,558,340
6/30/2012	33,315,084	3,665,354	125,779	37,106,217	219,027	133,400	1,041,667	-	1,838,223	3,232,317
6/30/2013	34,252,357	3,476,061	140,429	37,868,846	-	122,826	211,032	-	3,110,201	3,444,059
6/30/2014	34,777,112	1,754,614	140,176	36,671,903	93,428	160,089	478,512	4,446	2,030,066	2,766,541
6/30/2015	31,217,534	1,789,654	113,940	33,121,128	54,786	181,809	545,840	-	2,089,637	2,872,072
6/30/2016	28,293,790	1,604,472	103,609	30,001,871	63,566	134,845	495,298	-	1,696,219	2,389,928

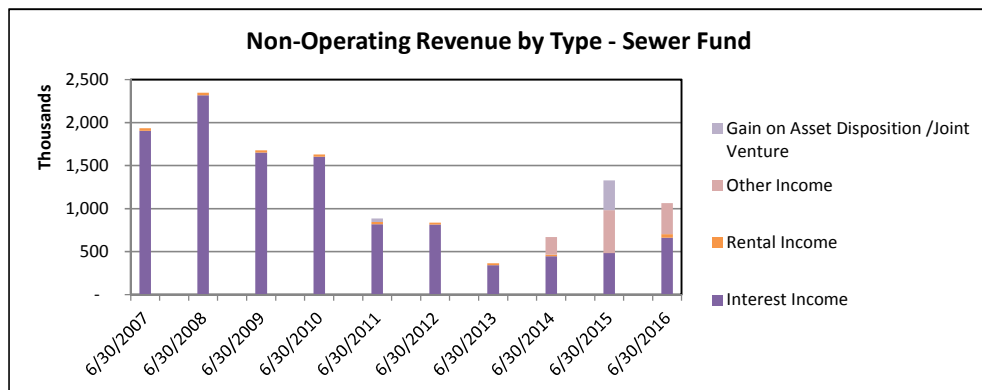
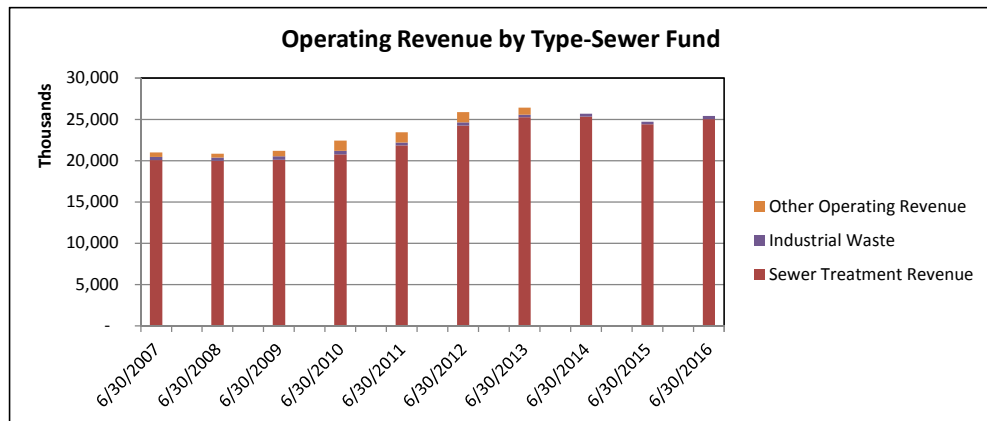
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Sewer Fund Revenue by Type
Last Ten Fiscal Years

Fiscal Year Ended	Sewer Treatment Revenue	Industrial Waste	Other Operating Revenue	Total Operating Revenue	Interest Income	Rental Income	Other Income	Gain on Asset Disposition /Joint Venture	Total Non Operating Income
6/30/2007	20,083,001	390,328	529,155	21,002,484	1,906,369	29,101	-	-	1,935,470
6/30/2008	20,009,959	372,631	465,394	20,847,984	2,319,570	29,425	-	-	2,348,995
6/30/2009	20,124,192	406,686	677,142	21,208,021	1,652,562	26,826	-	-	1,679,388
6/30/2010	20,771,749	431,300	1,221,894	22,424,942	1,603,840	26,303	-	-	1,630,143
6/30/2011	21,833,085	379,316	1,221,431	23,433,833	817,740	23,517	-	41,609	882,866
6/30/2012	24,250,417	376,550	1,261,762	25,888,729	812,885	21,907	-	-	834,792
6/30/2013	25,261,792	296,153	856,708	26,414,654	340,689	22,574	-	-	363,263
6/30/2014	25,350,988	319,786	-	25,670,774	443,836	20,669	202,078	-	666,583
6/30/2015	24,399,415	335,010	-	24,734,425	481,211	700	498,247	345,884	1,326,042
6/30/2016	25,039,569	380,171	-	25,419,740	658,456	41,498	359,800	-	1,059,754

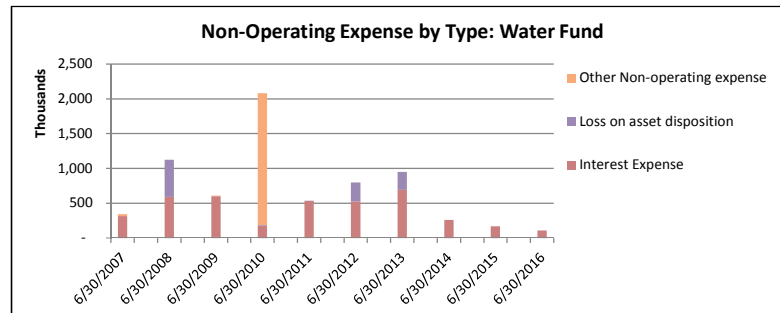
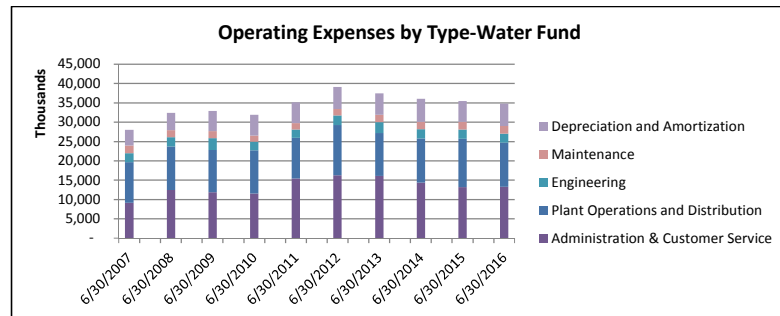
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Water Fund Expenses by Type
Last Ten Fiscal Years

Fiscal Year Ended	Administration & Customer Service	Plant Operations and Distribution	Engineering	Maintenance	Depreciation and Amortization	Total Operating Expense	Interest Expense	Loss on asset disposition	Other Non-operating expense	Total Non-Operating Expense
6/30/2007	9,142,746	10,532,739	2,334,538	1,994,341	4,065,028	28,069,392	313,450	-	27,692	341,142
6/30/2008	12,493,276	11,250,830	2,405,221	1,813,310	4,490,464	32,453,101	592,182	531,528	-	1,123,710
6/30/2009	11,901,700	10,908,332	3,046,765	1,853,244	5,224,933	32,934,974	601,795	-	8,021	609,816
6/30/2010	11,552,062	11,209,298	2,204,374	1,577,642	5,409,704	31,953,080	175,782	8,988	1,894,624	2,079,394
6/30/2011	15,489,152	10,440,753	2,220,956	1,634,919	5,396,135	35,181,915	531,839	1,472	-	533,311
6/30/2012	16,304,830	12,959,507	2,492,056	1,628,764	5,770,673	39,155,830	526,915	268,953	-	795,868
6/30/2013	16,149,788	11,073,338	2,813,459	1,888,236	5,505,403	37,430,224	689,665	261,946	-	951,611
6/30/2014	14,410,400	11,395,305	2,426,717	1,837,556	5,971,638	36,041,616	261,836	-	-	261,836
6/30/2015	13,244,552	12,467,017	2,439,170	1,988,719	5,365,124	35,504,582	169,119	-	-	169,119
6/30/2016	13,313,085	11,406,861	2,326,551	1,978,534	5,809,331	34,834,362	106,698	-	-	106,698

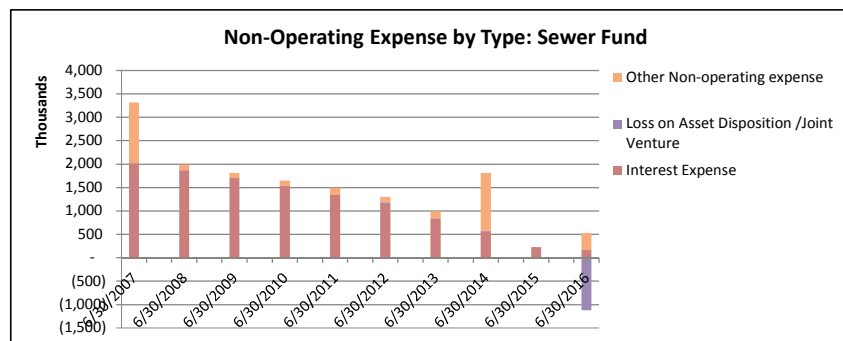
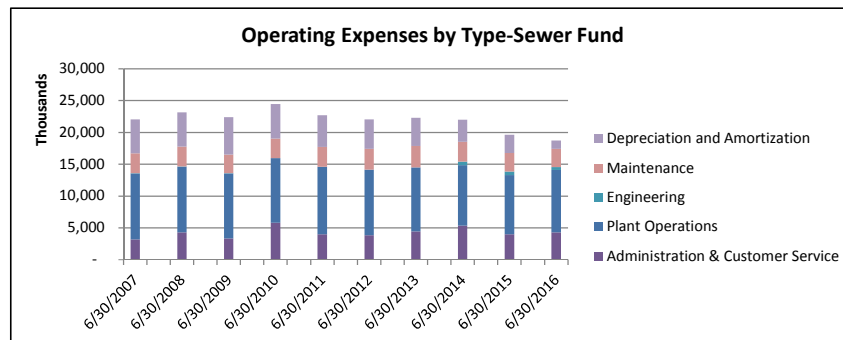
Source: Department's annual reports



City of San Bernardino Municipal Water Department
Sewer Fund Expenses by Type
Last Ten Fiscal Years

Fiscal Year Ended	Administration & Customer Service	Plant Operations	Engineering	Maintenance	Depreciation and Amortization	Total Operating Expense	Interest Expense	Loss on Asset Disposition /Joint Venture	Other Non-operating expense	Total Non-Operating Expense
6/30/2007	3,180,710	10,388,472	45,794	3,088,137	5,338,372	22,041,485	2,021,326	2,037	1,292,772	3,316,135
6/30/2008	4,318,939	10,293,707	32,336	3,138,509	5,364,048	23,147,539	1,868,033	3,784	118,195	1,990,012
6/30/2009	3,334,540	10,237,490	16,278	2,928,189	5,888,314	22,404,811	1,701,371	3,736	110,092	1,815,199
6/30/2010	5,807,692	10,170,647	-	3,059,780	5,436,628	24,474,747	1,529,650	2,142	117,949	1,649,741
6/30/2011	3,989,616	10,627,225	-	3,108,701	4,971,771	22,697,313	1,343,649	-	155,748	1,499,397
6/30/2012	3,823,627	10,328,073	-	3,257,127	4,645,127	22,053,954	1,147,810	34,114	118,051	1,299,975
6/30/2013	4,454,713	10,040,895	-	3,392,868	4,408,721	22,297,197	828,129	11,644	154,180	993,953
6/30/2014	5,345,726	9,528,218	527,294	3,146,275	3,426,515	21,974,028	557,049	16,244	1,238,703	1,811,996
6/30/2015	4,016,198	9,292,501	534,226	2,906,853	2,870,550	19,620,328	227,165	-	-	227,165
6/30/2016	4,299,808	9,800,283	464,554	2,874,352	1,292,426	18,731,423	167,795	(1,116,087)	359,800	(588,492)

Source: Department's annual reports



DEBT CAPACITY INFORMATION

These schedules contain information to help the reader assess the affordability of the Department's current level of outstanding debt and ability to issue debt in the future.

City of San Bernardino Municipal Water Department
Water Fund Debt Service Coverage
Last Ten Fiscal Years

Fiscal Year Ended	Total Operating Revenue	Net Operating Expenses (Excluding Depreciation)	Net Operating Income (Loss)	Net Non- Operating Income/ (Expense)	Amount Available for Debt Service	Principal	Interest	Total Debt Service	Coverage Ratio
6/30/2007	28,232,366	24,004,364	4,228,002	3,487,628	7,715,630	523,644	582,772	1,106,416	6.97
6/30/2008	27,337,093	27,962,637	(625,544)	3,479,605	2,854,061	541,079	485,626	1,026,705	2.78
6/30/2009	27,258,954	27,710,041	(451,087)	2,853,518	2,402,431	559,106	603,368	1,162,474	2.07
6/30/2010	27,688,694	26,543,376	1,145,318	2,101,540	3,246,858	956,106	667,146	1,623,252	2.00
6/30/2011	33,027,707	29,785,780	3,241,927	2,025,029	5,266,956	1,352,148	548,318	1,900,466	2.77
6/30/2012	37,106,217	33,385,157	3,721,060	2,436,449	6,157,509	974,027	505,819	1,479,846	4.16
6/30/2013	37,868,846	31,924,821	5,944,025	2,492,448	8,436,473	1,227,491	547,616	1,775,107	4.75
6/30/2014	36,671,903	30,069,978	6,601,925	2,504,705	9,106,630	1,658,265	660,854	2,319,119	3.93
6/30/2015	33,121,128	30,139,458	2,981,670	2,702,953	5,684,623	1,748,054	570,434	2,318,488	2.45
6/30/2016	30,001,871	29,025,031	976,840	2,283,230	3,260,070	1,813,594	523,274	2,336,868	1.40

Source: Department's annual reports

City of San Bernardino Municipal Water Department
Sewer Fund Debt Service Coverage
Last Ten Fiscal Years

Fiscal Year Ended	Total Operating Revenue	Net Operating Expenses (Excluding Depreciation)	Net Operating Income (Loss)	Net Non-Operating Income/ (Expense)	Amount Available for Debt Service	Principal	Interest	Total Debt Service	Coverage Ratio
6/30/2007	21,002,484	16,703,113	4,299,371	(1,380,665)	2,918,706	3,761,442	2,003,864	5,765,306	0.51
6/30/2008	20,847,984	17,783,491	3,064,493	358,983	3,423,476	3,823,275	1,855,515	5,678,790	0.60
6/30/2009	21,208,021	16,516,497	4,691,524	(135,811)	4,555,713	4,197,317	1,687,518	5,884,835	0.77
6/30/2010	22,424,942	19,038,119	3,386,823	(19,598)	3,367,225	4,181,342	1,635,707	5,817,049	0.58
6/30/2011	23,433,833	17,725,542	5,708,291	(616,531)	5,091,760	2,130,378	3,706,195	5,836,573	0.87
6/30/2012	25,888,729	17,408,827	8,479,902	(462,183)	8,017,719	4,417,731	1,166,496	5,584,227	1.44
6/30/2013	26,414,654	17,888,476	8,526,178	(630,690)	7,895,488	4,724,227	757,010	5,481,237	1.44
6/30/2014	25,670,774	18,547,513	7,123,261	(1,129,169)	5,994,092	4,424,090	747,460	5,171,550	1.16
6/30/2015	24,734,425	16,749,778	7,984,647	1,098,877	9,083,524	4,629,425	568,888	5,198,313	1.75
6/30/2016	25,410,740	17,438,997	7,971,743	(224,119)	7,747,624	300,000	-	300,000	25.83

Source: Department's annual reports

DEMOGRAPHIC AND ECONOMIC INFORMATION

These schedules offer demographic and economic indicators to help the reader understand the environment within which the Department's financial activities take place.

City of San Bernardino Municipal Water Department
Demographic Statistics
Last Ten Fiscal Years

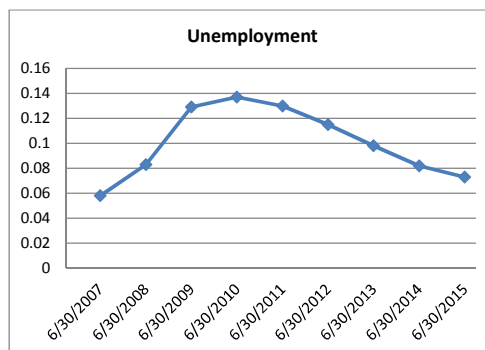
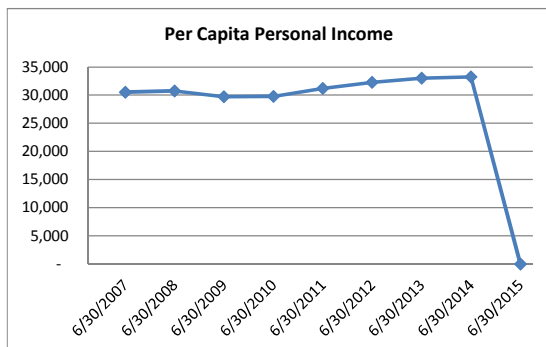
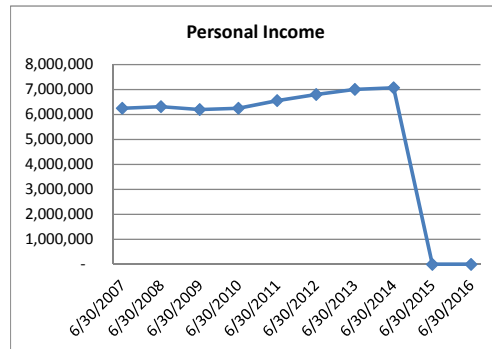
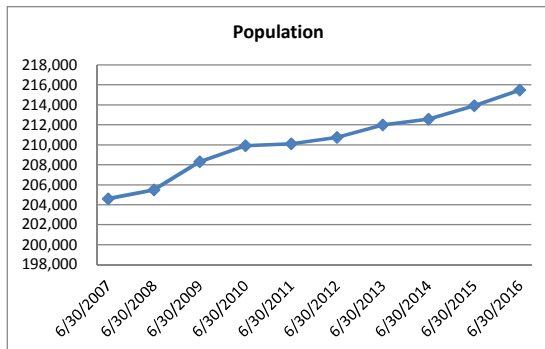
Fiscal Year Ended	Estimated Population (1)	Personal Income (In Thousands)	Per Capita Personal Income (2)	Unemployment Rate (3)
6/30/2007	204,620	6,248,072	30,535	5.80%
6/30/2008	205,493	6,318,704	30,749	8.30%
6/30/2009	208,318	6,198,919	29,757	12.90%
6/30/2010	209,924	6,256,785	29,805	13.70%
6/30/2011	210,108	6,559,152	31,218	13.00%
6/30/2012	210,753	6,807,533	32,301	11.50%
6/30/2013	211,994	7,001,102	33,025	9.80%
6/30/2014	212,584	7,070,119	33,258	8.20%
6/30/2015	213,933	n/a	n/a	7.30%
6/30/2016	215,491	n/a	n/a	5.40%

(1) California Department of Finance

(2) U.S. Department of Commerce, Bureau of Economic Analysis for 2006-2013 (Riverside-San Bernardino MSA)

(3) State of California, Economic Development Department; City of San Bernardino Economic Development Dept

* Most recent complete year available. Information for 2015 and 2016 was unavailable.



City of San Bernardino Municipal Water Department
Major Employers
Current Year and Ten Years Ago

<u>Employer</u>	<u>Fiscal Year 2016</u>		<u>Fiscal Year 2007*</u>	
	<u>Ranking</u>	<u>Number of Employees</u>	<u>Ranking</u>	<u>Number of Employees</u>
Stater Brothers	1	18,000		
County of San Bernardino	2	17,395	9	1000+
San Bernardino City Unified School District	3	12,629	7	1000+
California State University, San Bernardino	4	3,012	1	1000+
Saint Bernardine Medical Center	5	1,400		
Community Hospital of San Bernardino	6	1,200	4	1000+
City of San Bernardino	7	1,067	3	1000+
San Bernardino Community College District	8	862	8	1000+
The Sun Newspaper	9	526		
Blood Bank of San Bernardino	10	340		
State of California, Department of Transportation			2	1000+
Corona Regional Medical Center			5	1000+
Renzenberger, Inc.			6	1000+
San Bernardino Valley College			10	1000+

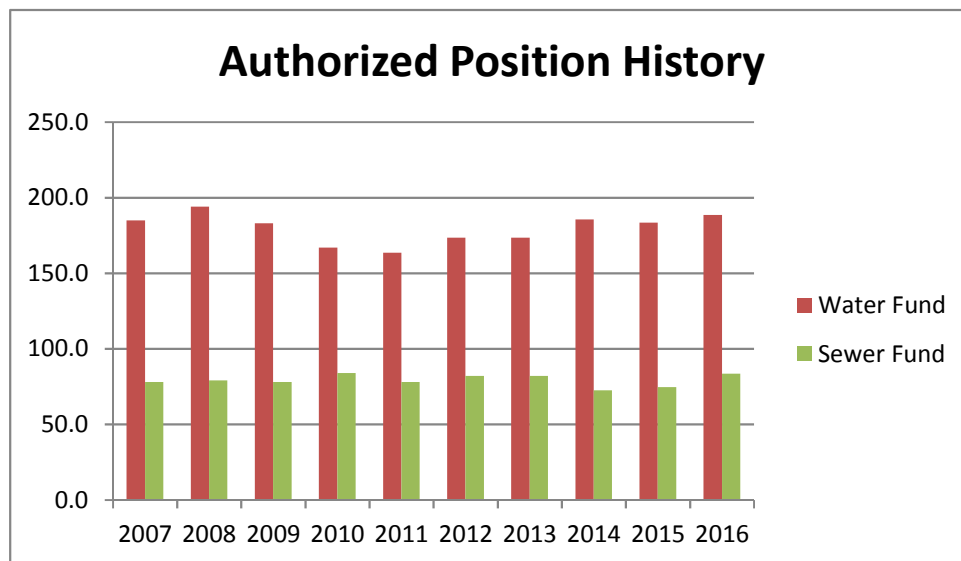
* Actual employment figures not available

Source: City of San Bernardino Economic Development Department and City's Annual Financial Report

City of San Bernardino Municipal Water Department
Authorized Positions History
Last Ten Fiscal Years

Year End	Water Fund	Sewer Fund	Total
2007	185.0	78.0	263.0
2008	194.0	79.0	273.0
2009	183.0	78.0	261.0
2010	167.0	84.0	251.0
2011	163.5	78.0	241.5
2012	173.5	82.0	255.5
2013	173.5	82.0	255.5
2014	185.5	72.5	258.0
2015	183.5	74.5	258.0
2016	188.5	83.5	272.0

Source: Department's records



REVENUE CAPACITY

These schedules contain information to help the reader assess the Department's significant revenue sources.

City of San Bernardino Municipal Water Department
Water Rates: Minimum Monthly Charge
Last Ten Fiscal Years

	(\$/month)											
Effective Date	1/2"	5/8"	3/4"	1"	1-1/2"	2"	3"	4"	6"	8"	10"	12"
7/1/2007	*	8.59	11.47	13.71	24.6	34.36	58.43	99.19	178.57	267.84	334.8	401.82
7/1/2008	*	8.88	11.84	14.16	25.41	35.49	60.35	102.46	184.47	276.67	345.84	415.08
7/1/2009	*	8.88	11.84	14.16	25.41	35.49	60.35	102.46	184.47	276.67	345.84	415.08
2/1/2010	10.55	10.55	13.00	17.90	30.15	44.85	79.15	128.15	250.70	397.75	569.30	*
1/1/2011	12.20	12.20	15.15	21.00	35.75	53.45	94.75	153.70	301.15	478.10	684.55	*
1/1/2012	12.90	12.90	16.15	22.60	38.80	58.20	103.50	168.20	330.00	524.15	750.65	*
7/1/2013	12.90	12.90	16.15	22.60	38.80	58.20	103.50	168.20	330.00	524.15	750.65	*
7/1/2014	12.90	12.90	16.15	22.60	38.80	58.20	103.50	168.20	330.00	524.15	750.65	*
7/1/2015	12.90	12.90	16.15	22.60	38.80	58.20	103.50	168.20	330.00	524.15	750.65	*
10/1/2016	16.09	16.09	20.15	28.19	48.40	72.60	129.12	197.36	411.68	653.88	936.44	*

* Information not reported

All water usage, except municipal, will be billed at the rate of \$0.94 and \$0.97 per 100 cubic feet effective July 1, 2007 and July 1, 2008, respectively, with no minimum allowance.

Source: Department's Records

City of San Bernardino Municipal Water Department
Water Connections and Revenues by User Type
Last Ten Fiscal Years

User Type	2016		2015		2014		2013	
	Connections	Revenue	Connections	Revenue	Connections	Revenue	Connections	Revenue
Single family	35,729	\$ 15,688,749	35,695	\$ 16,775,834	35,012	\$ 18,583,708	34,913	\$ 18,741,773
Multiple family	2,873	4,225,832	2,869	4,349,601	2,824	4,591,290	2,820	4,704,384
Commercial	3,092	4,913,942	3,097	6,332,882	3,085	6,566,344	3,082	6,800,310
Landscape	1,129	3,203,907	1,130	3,079,610	1,140	3,616,135	1,104	3,591,678
Other	1,905	677,180	1,791	679,606	1,703	913,810	1,663	599,210
Total all users	44,728	\$ 28,709,610	44,582	\$ 31,217,533	43,764	\$ 34,271,287	43,582	\$ 34,437,355
	2012		2011		2010		2009	
	Connections	Revenue	Connections	Revenue	Connections	Revenue	Connections	Revenue
Single family	34,716	\$ 18,094,052	34,695	\$ 15,665,580	34,542	\$ 13,899,599	34,418	\$ 13,943,441
Multiple family	2,801	4,510,962	2,806	4,025,079	2,799	3,442,271	2,801	3,547,811
Commercial	3,117	5,790,427	3,117	4,678,003	3,127	3,826,613	3,126	3,867,923
Landscape	1,151	3,321,846	1,149	2,745,990	1,158	2,367,514	1,173	2,454,044
Other	1,626	1,597,791	1,571	701,296	1,553	900,840	1,545	1,094,364
Total all users	43,411	\$ 33,315,078	43,338	\$ 27,815,948	43,179	\$ 24,436,837	43,063	\$ 24,907,583
	2008		2007					
	Connections	Revenue	Connections	Revenue				
Single family	34,316	\$ 13,419,093	34,842	\$ 13,794,954				
Multiple family	2,834	3,419,696	2,913	3,536,202				
Commercial	4,003	5,765,993	3,954	5,807,406				
Landscape	-	-	-	-				
Other	1,820	1,518,693	1,755	1,795,878				
Total all users	42,973	\$ 24,123,475	43,464	\$ 24,934,440				

Source: Department's records

City of San Bernardino Municipal Water Department
Water Rates: Elevation Charges \$ per HCF
Last Ten Fiscal Years

Effective Date	Zone 1	Zone 2	Zone 3	Zone 4	Zone 5	Zone 6
07/01/07	0.00	0.06	0.14	0.21	0.12	0.12
07/01/08	0.00	0.06	0.15	0.21	0.13	0.13
07/01/09	0.00	0.06	0.15	0.21	0.13	0.13
07/01/10	0.09	0.17	0.15	0.12	0.21	0.21
07/01/11	0.10	0.18	0.16	0.13	0.22	0.22
07/01/12	0.11	0.19	0.17	0.14	0.23	0.23
07/01/13	0.11	0.19	0.17	0.14	0.23	0.23
07/01/14	0.11	0.19	0.17	0.14	0.23	0.23
07/01/15	0.11	0.19	0.17	0.14	0.23	0.23
10/01/16	0.11	0.19	0.17	0.14	0.23	0.23

City of San Bernardino Municipal Water Department
Top Ten Water Customers
Fiscal Year 2016

Customer-2016

City of San Bernardino	\$ 742,984
SBCUSD	702,383
Cott Beverages	319,619
Housing Authority	213,981
California State University	185,267
W. Dean Weidner	135,168
County of San Bernardino	134,195
Pama Management Company	115,364
Hines	112,556
St. Bernardine Hospital	108,558
Top Ten Customers Total	<u>\$ 2,770,075</u>
Total Water Revenue	<u><u>\$ 28,293,790</u></u>
Top Ten Customers Percent of Total	<u>9.79%</u>

Note: Data not available for the fiscal period ended
nine years prior.

City of San Bernardino Municipal Water Department
Sewage Treatment Rate History
Fiscal Years 1996 through 2016

	1996-2004	7/1/2004	1/1/2009	1/1/2010	2/1/2011	1/1/2012	10/1/2015	7/1/2016
<u>Residential (monthly per EDU)</u>	no change	14.50	15.25	16.00	17.00	18.50	20.65	22.38
<u>Commercial:</u>								
Commodity Charge (per HCF):								
Multi-family, mobile home parks	no change	0.83	0.90	0.95	1.10	1.25	1.36	1.48
Retail, commercial, light industrial	no change	1.70	1.80	1.90	2.00	2.10	2.28	2.47
Auto repair, car wash	no change	1.17	1.25	1.30	1.30	1.30	1.41	1.53
Offices, motels (w/o restaurants)	no change	1.32	1.40	1.50	1.50	1.50	1.63	1.77
Restaurants, hotels	no change	1.84	1.90	2.00	2.35	2.70	2.93	3.18
Laundromats	no change	1.15	1.25	1.30	1.40	1.50	1.63	1.77
Hospitals, convalescent homes	no change	0.84	0.90	0.95	1.15	1.35	1.46	1.58
Schools, churches, nursery schools	no change	0.62	0.65	0.70	0.90	1.10	1.19	1.29
<u>Industrial:</u>								
Discharge Flow (per million gallons)	no change	816.10	860.00	900.00	900.00	900.00	977.00	1,060.00
Biological Oxygen demand (per 1,000 lbs)	no change	264.91	280.00	292.00	330.00	360.00	391.00	424.00
Suspended Solids (per 1,000 lbs)	no change	577.41	610.00	640.00	640.00	640.00	694.00	753.00

Source: Department's records

City of San Bernardino Municipal Water Department
Sewage Treatment Connections and Revenue by User Type
Last Ten Fiscal Years

User Type	2016		2015		2014		2013	
	Connections	Revenue	Connections	Revenue	Connections	Revenue	Connections	Revenue
San Bernardino Residential	32,889	\$8,746,617	32,874	\$8,056,827	32,537	\$8,111,634	32,563	\$7,922,936
San Bernardino Nonresidential	5,377	7,125,053	5,344	7,240,533	5,410	8,033,072	5,447	8,332,214
East Valley Residential	18,477	4,008,039	18,480	4,093,625	18,404	4,149,836	18,925	4,188,434
East Valley Nonresidential	1,060	2,825,971	1,051	2,571,813	1,115	2,725,075	1,126	2,434,118
Loma Linda Residential	5,948	1,008,071	5,040	997,242	4,656	991,387	4,663	1,063,124
Loma Linda Nonresidential	591	1,308,474	588	1,294,612	592	1,330,102	585	1,549,643
Total all users	64,342	\$25,022,225	63,377	\$24,254,652	62,714	\$25,341,106	63,309	\$25,490,469

	2012		2011		2010		2009	
	Connections	Revenue	Connections	Revenue	Connections	Revenue	Connections	Revenue
San Bernardino Residential	32,571	\$7,650,142	32,447	\$7,053,263	32,307	\$6,670,859	32,050	\$6,288,804
San Bernardino Nonresidential	5,412	7,877,416	5,416	7,131,988	5,196	6,699,228	5,434	6,625,012
East Valley Residential	18,813	4,019,127	18,700	3,645,721	18,157	3,348,238	17,986	3,285,452
East Valley Nonresidential	1,128	2,492,375	1,138	2,070,233	1,132	2,185,072	1,146	2,139,543
Loma Linda Residential	4,443	933,648	4,648	870,734	4,688	839,451	4,692	781,159
Loma Linda Nonresidential	589	1,258,747	584	1,048,402	588	1,016,088	559	984,117
Total all users	62,956	\$24,231,455	62,933	\$21,820,341	62,068	\$20,758,936	61,867	\$20,104,087

	2008		2007	
	Connections	Revenue	Connections	Revenue
San Bernardino Residential	32,058	6,197,816	32,367	6,238,570
San Bernardino Nonresidential	5,491	6,570,125	5,528	6,654,231
East Valley Residential	17,956	3,221,455	18,085	3,231,282
East Valley Nonresidential	1,159	2,213,946	1,160	2,252,260
Loma Linda Residential	4,407	767,075	4,567	728,111
Loma Linda Nonresidential	576	1,011,795	584	950,227
Total all users	61,647	\$19,982,212	62,291	\$20,054,681

Source: Department's records

City of San Bernardino Municipal Water Department
Top Ten Sewage Treatment Customers
Fiscal Year 2016

Customers -2016

SBCUSD	\$ 260,086
Housing Authority	236,323
County of San Bernardino	186,730
Pama Management Company	134,567
St. Bernardine Hospital/CHW	131,408
City of San Bernardino	91,303
243 North Meridian LLC	80,887
Lido Condominiums	75,172
W Dean Weidner	72,205
Baghdady, Henry	70,226
Top Ten Customers Total	<u>\$ 1,338,907</u>
Total Sewer Revenue	<u><u>\$ 25,030,568</u></u>
Top Ten Customers Percent of Total	<u>5.35%</u>

Source: Department's records

Note: Data not available for the fiscal period ended nine years prior.

APPENDIX C

SUMMARY OF PRINCIPAL LEGAL DOCUMENTS

The following summary discussion of selected provisions of the Indenture and the Installment Purchase Agreement are made subject to all of the provisions of such documents. This summary discussion does not purport to be a complete statement of said provisions and prospective purchasers of the Bonds are referred to the complete texts of said documents, copies of which are available upon request sent to the Trustee.

DEFINITIONS

“Act” means Article 1 through 4 (commencing with Section 6500) of Chapter 5, Division 7, Title 1 of the Government Code of the State, as in existence on the Delivery Date or as thereafter amended from time to time.

“Additional Bonds” means all bonds of the Authority authorized by and at any time Outstanding pursuant to the Indenture and executed, issued and delivered in accordance with the Indenture.

“Additional Obligations” shall have the meaning ascribed thereto in the Installment Purchase Agreement.

“Additional Purchase Payments” means the payments so designated and required to be made by the City pursuant to the Installment Purchase Agreement.

“Adjustment” means:

(i) adjustments to Net Revenues due to changes in fees, charges or taxes which have been adopted prior to the date of issuance of the Bonds or date of the Contract, as the case may be;

(ii) adjustments to Net Revenues due to customers added to the Enterprise prior to the date of issuance of the Bonds or date of the Contract, as the case may be;

(iii) additions to Net Revenues that are expected to result from the connection of existing residences or businesses to the Enterprise within one year following completion of any project to be funded from the proceeds resulting from such Contract or Bonds; and

(iv) the estimated change in Net Revenues which will result from services provided under any long-term guaranteed contract for service entered into prior to the date of issuance of the Bonds or date of the Contract, as the case may be.

“Additional Project” means any capital improvements to the Enterprise to be financed with the proceeds of Additional Bonds, as designated by the City in a Supplemental Indenture.

“Authority” means the California Municipal Finance Authority, a joint powers authority duly organized and existing under the Joint Exercise of Powers Agreement, dated as of January 1, 2004, and under the Act, and its successors.

“Authorized Authority Representative” means the Executive Director of the Authority or any other person or persons designated by the Executive Director or Board of Directors of the Authority and

authorized to act on behalf of the Authority by a Written Request signed by the Executive Director of the Authority or by a certified resolution adopted by the Board and delivered to the Trustee.

“Authorized City Representative” means the General Manager of the Department, the Finance Director of the Department and any other person or persons designated by the General Manager or Board of Water Commissioners of the Department and authorized to act on behalf of the City by a Written Request signed by the General Manager or by a certified resolution adopted by the Board of Water Commissioners and delivered to the Trustee.

“Authorized Denominations” means, with respect to the 2016 Bonds, \$5,000 and any integral multiple thereof.

“Authorized Officer of the Trustee” means and includes the chairman of the board of directors, the president, every vice president, every assistant vice president, every trust officer and every officer and assistant officer of the Trustee.

“Beneficial Owner” shall have the meaning set forth in the Indenture.

“Board” means the Board of Directors of the Authority.

“Bond Counsel” means (a) Norton Rose Fulbright US LLP or (b) any other attorney or firm of attorneys appointed by or acceptable to the City of nationally recognized experience in the issuance of obligations the interest on which is excludable from gross income for federal income tax purposes under the Code.

“Bond Register” means the records of the Trustee for the registration and transfer of Bonds, as described in the Indenture.

“Bonds” means all revenue bonds or notes or other obligations of the City authorized, executed, issued and delivered by the City, or any revenue bonds or notes or other obligations payable from revenues generated by any Contract, in each case the payments of which are on a parity with the 2016 Purchase Payments and which are secured by a parity pledge of and lien on the Net Revenues.

“Business Day” means a day of the year, other than a Saturday or Sunday, on which banks in New York, New York, Los Angeles, California and San Francisco, California, are not required or authorized to remain closed and on which the New York Stock Exchange is not closed.

“Capital Appreciation Bonds” means any Bonds described as such when issued.

“Capital Appreciation Certificates” means any certificates of participation in Installment Payments described as such when executed and delivered.

“Certification of the City” means a written statement signed by the General Manager of the Department or any designee thereof certifying the accuracy of the statements contained therein.

“Continuing Disclosure Agreement” means the Continuing Disclosure Agreement between the City and Urban Futures, Inc. dated the date of issuance of the 2016 Bonds, as originally executed and as it may be amended from time to time in accordance with the terms thereof.

“Certificate of the Authority” means a certificate in writing signed by an Authorized Authority Representative.

“Certificates” means any certificates of participation representing interests in payments to be made by the City executed and delivered by a trustee under and pursuant to a trust agreement.

“Charter” means the Charter of the City.

“City” means the City of San Bernardino, California, a charter city and municipal corporation organized and existing under the laws of the State, and includes where applicable the Department.

“Code” means the Internal Revenue Code of 1986 and the regulations of the United States Department of the Treasury issued thereunder, and in this regard reference to any particular section of the Code shall include reference to all successors to such section of the Code.

“Common Reserve Account” means the account of that name established in the Reserve Fund to secure the Common Reserve Series.

“Common Reserve Series” means those Series of Bonds secured by the Common Reserve Account as provided in the Indenture for the 2016 Bonds and in the Supplemental Indenture providing for each such other Series.

“Contract” means the Installment Purchase Agreement and any amendments and supplements thereto, and all contracts of the City authorized and executed by the City, the Installment Payments under which are payable on a parity with the 2016 Purchase Payments and which are secured by a parity pledge and lien on the Net Revenues, but excluding contracts entered into for operation and maintenance of the Enterprise.

“Corporate Trust Office” or **“Trust Office”** means the principal corporate trust office of the Trustee in Los Angeles, California, except that with respect to presentation of Bonds for payment or for registration of transfer and exchange, such term shall mean the office or agency of the Trustee at which, at any particular time, its corporate trust agency business shall be conducted or such other offices as may be specified to the Authority by the Trustee in writing.

“Costs of Issuance” means all costs or expenses paid or incurred in connection with the preparation, authorization, issuance, sale and delivery of the Bonds, including but not limited to all compensation, fees and expenses (including but not limited to fees and expenses for legal counsel) of the Authority and the Trustee, compensation to any financial consultants or underwriters, legal fees and expenses, fees and costs for any guaranty, surety bond, letter of credit or other credit facility, filing and recording costs, rating agency fees, costs of preparation and reproduction of documents, word processing costs, special counsel and other legal fees and expenses, accounting fees, expenses incurred by the City or the Authority in connection with qualification or registration, or determining the exemption from registration or qualification of the Bonds under the “Blue Sky” laws of any jurisdiction, and fees payable to any other consultants or experts retained in connection with such preparation, authorization, issuance, sale and delivery, and costs of printing.

“Current Revenues.” means all income, rents, rates, fees, charges, and other moneys derived from the ownership or operation of the Enterprise, including, without limiting the generality of the foregoing, (i) all income, rents, rates, fees, charges (including standby, capacity and connection charges) or other moneys derived by the City from the treatment of wastewater or other services, facilities and commodities or byproducts sold, furnished or supplied through the facilities of or in the conduct or operation of the business of the Enterprise, and including, without limitation, all earnings and income derived from the investment of all such money and derived from the investment of all money in the Sewer Fund and investment earnings on the operating reserves to the extent that the use of such earnings is

limited to the Enterprise by or pursuant to law; (ii) the proceeds derived by the City directly or indirectly from the lease of a part of the Enterprise; (iii) any amount received from the levy or collection of taxes which are solely available and are earmarked for the support of the operation of the Enterprise; and (iv) all proceeds of insurance covering business interruption loss relating to the Enterprise. Notwithstanding the foregoing, Current Revenues shall not include: (a) in all cases, customers' deposits or any other deposits or advances subject to refund until such deposits or advances have become the property of the City; (b) any advances or contributions in aid of construction; (c) amounts paid to developers, or to reimburse developers, for capital improvements to the Enterprise; (d) revenues attributable to the wastewater collection system relating to the Enterprise; and (e) the proceeds of borrowings.

“Debt Service” means for any Fiscal Year, the sum of (1) the interest paid or payable during such Fiscal Year on all outstanding Bonds, assuming that all outstanding serial Bonds are retired as scheduled and that all outstanding term Bonds are prepaid or paid from sinking fund payments as scheduled (except to the extent that such interest is to be paid from the proceeds of sale of any Bonds), (2) those portions of the principal amount of all outstanding serial Bonds maturing in such Fiscal Year, and (3) those portions of the principal amount of all outstanding term Bonds required to be prepaid or paid in such Fiscal Year; provided, that (a) if any of such Bonds are Capital Appreciation Bonds or if the Installment Payments due under any of such Contracts are evidenced by Capital Appreciation Certificates, then the Accreted Value amount shall be deemed a principal payment and interest that is compounded and paid as Accreted Value shall be deemed due on the scheduled redemption or payment date of such Capital Appreciation Bond or Capital Appreciation Certificate, (b) if any of such Bonds or if the Installment Payments due under any such Contracts bear interest payable pursuant to a variable interest rate formula, the interest rate on such Bonds or such Contracts for periods when the actual interest rate cannot yet be determined, shall be assumed to be equal to the current SIFMA Index Rate plus 2.0%, and (c) if 20% or more of the original principal of such Bonds or the Installment Payments due under such Contracts is not due until the final stated maturity of such Bonds or the Installment Payments due under such Contracts is not due until the final stated maturity of such Bonds or the Installment Payments due under such Contracts, such principal may, at the option of the City, be treated as if it were due based upon a level amortization of such principal over the term of such Bonds or Installment Payments, provided that the full amount of such principal shall be included in the calculation of Debt Service in the event the date of calculation is within 12 months of the actual maturity date of such Bonds or Installment Payment due under such Contract.

“Defeasance Securities” means:

- A. U.S. Treasury Certificates, Notes and Bonds (including State and Local Government Series – “SLGs”).
- B. Direct obligations of the Treasury which have been stripped by the Treasury itself, CATS, TIGRS and similar securities.
- C. Resolution Funding Corp. (REFCORP) Only the interest component of REFCORP strips which have been stripped by request to the Federal Reserve Bank of New York in book entry form are acceptable.
- D. Pre-refunded municipal bonds rated “Aaa” by Moody's and “AAA” by S&P. If however, the issue is only rated by S&P (i.e., there is no Moody's rating), then the pre-refunded bonds must have been pre-refunded with cash, direct U.S. or U.S. guaranteed obligations, or AAA rated pre-refunded municipals to satisfy this condition.
- E. Obligations issued by federal agencies including, but not limited to, the following agencies, which are backed by the full faith and credit of the U.S.:
 1. U.S. Export-Import Bank (Eximbank)

- Direct obligations or fully guaranteed certificates of beneficial ownership
- 2. Farmers Home Administration (FmHA)
Certificates of beneficial ownership
- 3. Federal Financing Bank
- 4. General Services Administration
Participation certificates
- 5. U.S. Maritime Administration
Guaranteed Title XI financing
- 6. U.S. Department of Housing and Urban Development (HUD)
Project Notes
Local Authority Bonds
New Communities Debentures - U.S. government guaranteed debentures
U.S. Public Housing Notes and Bonds - U.S. government guaranteed public housing notes and bonds

“Delivery Date” means December 28, 2016, being the date of delivery of the 2016 Bonds to the original purchasers thereof.

“Department” means the City of San Bernardino Municipal Water Department.

“Depository” means (a) initially, DTC, and (b) any other Securities Depository acting as Depository pursuant to the Indenture.

“Enterprise” means the entire sewer utility (including all buildings, systems, plants, works, facilities, properties and improvements owned, controlled or operated by the City, used for or useful in the collection and treatment of wastewater) of the City as such utility now exists, together with all improvements and extensions to said system later constructed or acquired, and including buildings and facilities for administration and/or customer service used jointly with the City’s water utility.

“Fiscal Year” means the period beginning on July 1 of each year and ending on the last day of June of the next succeeding year, or any other twelve-month period selected and designated as the official Fiscal Year of the City.

“Fitch” means Fitch Inc., its successors and assigns or, if such entity shall be dissolved or liquidated or shall no longer perform the functions of a statistical rating organization, any other nationally recognized securities rating agency designated by the City, with notice to the Trustee.

“Government Obligations” means direct obligations of the United States of America and securities fully and unconditionally guaranteed by the United States of America, including obligations issued or held in book-entry form on the books of the U.S. Department of the Treasury; provided, that the full faith and credit of the United States of America must be pledged to any such direct obligation or guarantee.

“Indenture” means the Indenture of Trust, dated as of December 1, 2016, between the Authority and the Trustee, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Indenture pursuant to the provisions thereof.

“Independent Certified Public Accountant” means any firm of certified public accountants appointed by the City, each of whom is independent of the City and the Authority pursuant to the Statement on Auditing Standards No. 1 of the American Institute of Certified Public Accountants.

“Independent Counsel” means an attorney duly admitted to the practice of law before the highest court of the state in which such attorney maintains an office and who is not an employee of the Authority, the City or the Trustee.

“Independent Financial Consultant” means financial consultant or firm of such consultants appointed by the City, and who, or each of whom:

- (1) is in fact independent and not under domination of the City or the Authority;
- (2) does not have any substantial interest, direct or indirect, with the City or the Authority; and
- (3) is not connected with the City or the Authority as an officer or employee thereof, but who may be regularly retained to make reports thereto.

“Information Services” means the Electronic Municipal Market Access System (referred to as “EMMA”), a facility of the Municipal Securities Rulemaking Board, at <http://emma.msrb.org>; provided, however, in accordance with then current guidelines of the Securities and Exchange Commission, Information Services shall mean such other organizations providing information with respect to called bonds as the City may designate in a Written Request of the City delivered to the Trustee.

“Installment Payments; 2016 Purchase Payments.” The term “Installment Payments” means the installment payments, lease payments or other payments of interest and principal scheduled to be paid by the City under and pursuant to the Contracts. The term “2016 Purchase Payments” means the Installment Payments scheduled to be paid by the City under and pursuant to the Installment Purchase Agreement.

“Installment Purchase Agreement” means that certain Installment Purchase Agreement, dated as of December 1, 2016, by and between the City and the Authority, as amended or supplemented from time to time.

“Insurance Policy” means the insurance policy issued by the Insurer guaranteeing the scheduled payment of principal of and interest on the 2016 Bonds when due.

“Insurer” or **“AGM”** means Assured Guaranty Municipal Corp., a New York stock insurance company, or any successor thereto or assignee thereof.

“Interest Component” means any Purchase Payment, or portion thereof, which is designated and paid as interest pursuant to the terms of the Installment Purchase Agreement or any Related Contract, as applicable.

“Interest Payment Date” with respect to the Installment Purchase Agreement and the 2016 Bonds, means February 1 and August 1 in each year, beginning February 1, 2017, and continuing thereafter so long as any 2016 Bonds remain outstanding.

“Maximum Annual Debt Service” means, at any point in time, the maximum amount of Debt Service in the then current or any future Fiscal Year, as calculated by the City.

“Moody’s” means Moody’s Investors Service, Inc., its successors and assigns or, if such entity shall be dissolved or liquidated for shall no longer perform the functions of a statistical rating organization, any other nationally recognized securities rating agency designated by the City, with notice to the Trustee.

“Net Revenues” means, for any Fiscal Year, the Revenues for such Fiscal Year less the Operation and Maintenance Costs for such Fiscal Year.

“Operation and Maintenance Costs” means costs spent or incurred for maintenance and operation of the Enterprise calculated in accordance with generally accepted accounting principles, including (among other things) the reasonable expenses of management and repair and other expenses necessary to maintain and preserve the Enterprise in good repair and working order, and including administrative costs of the City that are charged directly or apportioned to the Enterprise, including but not limited to salaries and wages of employees, payments to the Public Employees Retirement System or any other pension system or plan, payments for post-retirement healthcare benefits, overhead, insurance, taxes (if any), fees of auditors, accountants, attorneys, consultants or engineers and insurance premiums, and including all other reasonable and necessary costs of the City or charges (other than Debt Service payments) required to be paid by it to comply with the terms of the 2016 Bonds or of the Installment Purchase Agreement or any Contract or of any resolution or indenture authorizing the issuance of any Bonds or of such Bonds, but excluding in all cases depreciation, replacement and obsolescence charges or reserves therefor and amortization of intangibles or other bookkeeping entries of a similar nature.

“Outstanding,” when used as of any particular time with reference to Bonds, means all Bonds theretofore executed, issued and delivered by the Authority under the Indenture except (a) Bonds theretofore cancelled by the Trustee or surrendered to the Trustee for cancellation, (b) Bonds paid or deemed to have been paid within the meaning of the section on Discharge of Indenture, and (c) Bonds in lieu of or in substitution for which other Bonds shall have been executed, issued and delivered pursuant to the Indenture or any Supplemental Indenture.

“Owner,” when used with respect to any Bond, means the person in whose name the ownership of such Bond shall be registered on the Registration Books.

“Pending Bankruptcy Case” means the City’s bankruptcy case under Chapter 9 of the U.S. Bankruptcy Code pending as of the Delivery Date (Case No. 6:12-bk-28006-MJ).

“Permitted Investments” means any of the following, to the extent permitted by the laws of the State:

- A. Direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury, and CATS and TIGRS) or obligations the principal of and interest on which are unconditionally guaranteed by the United States of America.
- B. Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following federal agencies and provided such obligations are backed by the full faith and credit of the United States of America (stripped securities are only permitted if they have been stripped by the agency itself):
 - 1. U.S. Export-Import Bank (Eximbank)
Direct obligations or fully guaranteed certificates of beneficial ownership
 - 2. Farmers Home Administration (FmHA)
Certificates of beneficial ownership

3. Federal Financing Bank
 4. Federal Housing Administration Debentures (FHA)
 5. General Services Administration
Participation certificates
 6. Government National Mortgage Association (GNMA or “Ginnie Mae”)
GNMA - guaranteed mortgage-backed bonds
GNMA - guaranteed pass-through obligations
 7. U.S. Maritime Administration
Guaranteed Title XI financing
 8. U.S. Department of Housing and Urban Development (HUD)
Project Notes
Local Authority Bonds
New Communities Debentures - U.S. government guaranteed debentures
U.S. Public Housing Notes and Bonds - U.S. government guaranteed public housing
notes and bonds
- C. Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following non-full faith and credit U.S. government agencies (stripped securities are only permitted if they have been stripped by the agency itself):
1. Federal Home Loan Bank System
Senior debt obligations
 2. Federal Home Loan Mortgage Corporation (FHLMC or “Freddie Mac”)
Participation Certificates
Senior debt obligations
 3. Federal National Mortgage Association (FNMA or “Fannie Mae”)
Mortgage-backed securities and senior debt obligations
 4. Student Loan Marketing Association (SLMA or “Sallie Mae”)
Senior debt obligations
 5. Resolution Funding Corp. (REFCORP) obligations
 6. Farm Credit System
Consolidated systemwide bonds and notes
- D. Money market funds registered under the Investment Company Act of 1940, whose shares are registered under the Securities Act of 1933, and having a rating by S&P of “AAAm-G,” “AAAm” or “AAm” or a rating by Moody’s of “Aaa,” “Aa1” or “Aa2,” including funds for which the Trustee, its parent holding company, if any, or any affiliates or subsidiaries of the Trustee or such holding company provides investment advisory or other management services.
- E. Unsecured certificates of deposit, time deposits, and bankers’ acceptances (having maturities of not more than 365 days) of any bank the short-term obligations of which are rated “A-1+” or better by S&P and “Prime-1” by Moody’s.
- F. Certificates of deposit, savings accounts, deposit accounts or money market deposits which are fully insured by FDIC, including BIF and SAIF, which may be from or with the Trustee, its parent holding company and their affiliates.
- G. Investment Agreements, including GIC’s, Forward Purchase Agreements and Put Agreements, with providers (or guarantors thereof) rated at the time of investment “Aa3” or better by Moody’s or “AA-” or better by S&P.

- H. Commercial paper rated, at the time of purchase, “Prime - 1” by Moody's and “A-1” or better by S&P.
- I. Bonds or notes issued by any state or municipality which are rated by Moody's and S&P in one of the two highest rating categories assigned by such agencies.
- J. Federal funds or bankers acceptances with a maximum term of one year of any bank which has an unsecured, uninsured and unguaranteed obligation rating of “Prime - 1” or “A3” or better by Moody's and “A-1” or “A” or better by S&P including the Trustee, its parent holding company and their affiliates.
- K. Repurchase Agreements which satisfy the following criteria:
 Repurchase Agreements provide for the transfer of securities from a dealer bank or securities firm (seller/borrower) to a municipal entity (buyer/lender), and the transfer of cash from a municipal entity to the dealer bank or securities firm with an agreement that the dealer bank or securities firm will repay the cash plus a yield to the municipal entity in exchange for the securities at a specified date.
 - 1. Repos must be between the municipal entity and a dealer bank or securities firm.
 - a. Primary dealers on the Federal Reserve reporting dealer list which are rated “A” or better by S&P and Moody's, or
 - b. Banks rated “A” or better by S&P or “A2” or better by Moody's.
 - 2. The written repo contract must include the following:
 - a. Securities which are acceptable for transfer are:
 - (1) Direct U.S. governments, or
 - (2) Federal agencies backed by the full faith and credit of the U.S. government (and FNMA & FHLMC).
 - b. The term of the repo may be up to 365 days.
 - c. The term of the repo may exceed 365 days so long as the final maturity does not exceed the final maturity on the Bonds and the funds are available at par for reasons under the Indenture of Trust.
 - d. The collateral must be delivered to the municipal entity, trustee (if trustee is not supplying the collateral) or third party acting as agent for the trustee (if the trustee is supplying the collateral) before/simultaneous with payment (perfection by possession of certificated securities).
 - e. Valuation of Collateral
 - (l) The securities must be valued weekly, marked-to-market at current market price plus accrued interest.
 - (a) The value of collateral must be equal to 104% of the amount of cash transferred by the municipal entity to the dealer bank or security firm under the repo plus accrued interest. If the value of securities held as collateral slips below 104% of the value of the cash transferred by municipality, then additional cash and/or acceptable securities must be transferred. If, however, the securities used as collateral are FNMA or FHLMC, then the value of collateral must equal 105%.
- L. Local Agency Investment Fund of the State of California (“LAIF”), created pursuant to Section 16429.1 of the California Government Code.
- M. Investment Trust of California, doing business as Cal Trust.

“Policy Costs” means repayments of any draw under a Reserve Account Credit Facility and any expenses related thereto and any accrued interest.

“Principal Component” means any Purchase Payment, or portion thereof, which is designated and paid as principal pursuant to the terms of the Installment Purchase Agreement or any Related Contract, as applicable.

“Principal Payment Date” means, with respect to the 2016 Bonds, August 1 of each year beginning August 1, 2017 and ending on August 1, 2046.

“Project Costs” means the costs or expenses paid or incurred by the City in connection with the acquisition of the 2016 Project or any Additional Project.

“Project Revenues” means all amounts paid by the City pursuant to the Installment Purchase Agreement and pursuant to the corresponding provisions of any Related Contract securing Bonds and Additional Bonds issued under the Indenture.

“Purchase Payments” means the 2016 Purchase Payments and any payments by the City under a Related Contract designated for the payment of debt service on Additional Bonds.

“Purchase Price” means the principal amount plus interest thereon owed by the City to the Authority under the terms of the Installment Purchase Agreement.

“Rate Stabilization Fund” means the fund by that name established pursuant to the Installment Purchase Agreement.

“Rating Agency” means any of S&P, Moody’s or Fitch, or any other nationally recognized securities rating agency designated by the City, with notice to the Trustee.

“Record Date” for the 2016 Bonds means, with respect to any Interest Payment Date, the fifteenth (15th) calendar day of the month immediately preceding such Interest Payment Date, whether or not such day is a Business Day.

“Registration Books” means the records maintained by the Trustee pursuant to the Indenture for the registration and transfer of ownership of the Bonds.

“Related Contract” means any Contract relating to one or more Series of Additional Bonds as designated by the City therein.

“Reserve Account Credit Facility” means a letter of credit, insurance policy, surety bond, other credit facility provided to the Trustee by a bank, insurance company or other financial institution whose senior unsecured debt obligations are, or whose claims-paying ability is, at the time of the delivery of such Reserve Account Credit Facility, rated in one of the top two rating categories (without giving effect to any numerical or other modifiers) by any Rating Agency, which provides for payment when due, in accordance with the terms thereof, of the principal or redemption price of and/or interest on one or more Series of Bonds.

“Reserve Account” means each account of that name within the Reserve Fund established pursuant to the Indenture, which account may secure one or more Series of Bonds as provided in the Indenture or in a Supplemental Indenture providing for the creation thereof.

“Reserve Fund” means the fund of that name established pursuant to the Indenture.

“Reserve Requirement” means, (a) with respect to the Common Reserve Series, the least of (i) 10% of the issue price of the Common Reserve Series, (ii) the Maximum Annual Debt Service on the Common Reserve Series, and (iii) 125% of the average annual debt service on the Common Reserve Series, and (b) with respect to any other Series of Bonds, such amount as shall be specified in the Supplemental Indenture authorizing the issuance of such Series of Bonds.

“Reserve Policy” means the Municipal Bond Debt Service Reserve Insurance Policy issued by the Insurer and deposited into the Reserve Fund.

“Revenues” means Current Revenues plus transfers to the Sewer Fund from amounts on deposit in the Rate Stabilization Fund, but only as and to the extent specified in the Installment Purchase Agreement, less amounts transferred to the Rate Stabilization Fund (other than the initial deposit therein).

“S&P” means S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC business, its successors and assigns or, if such entity shall be dissolved or liquidated or shall no longer perform the functions of a statistical rating organization, any other nationally recognized securities rating agency designated by the City, with notice to the Trustee.

“Securities Depositories” means DTC and its successors and assigns or if (i) the then Securities Depository resigns from its functions as depository of the Bonds or (ii) the Authority discontinues use of the then Securities Depository pursuant to the Indenture, any other securities depository which agrees to follow the procedures required to be followed by a securities depository in connection with the Bonds and which the Authority may designate in a Written Request (at the direction of the City) delivered to the Trustee.

“Serial Bonds” means Bonds for which no sinking fund payments are provided.

“Series” shall mean all Bonds designated by descriptive title or otherwise as a series and prepared and issued in a simultaneous transaction, and any Bonds thereafter prepared and issued in lieu of or in exchange or substitution for such Bonds, pursuant to the provisions of the Indenture, regardless of variations in maturity, interest rate or other provisions.

“Sewer Fund” means the fund by that name established pursuant to Section 603 of the Charter.

“SIFMA Index Rate” means the SIFMA Municipal Swap Index calculated and published by Bloomberg as of the date of any calculation of Debt Service (or, if the SIFMA Municipal Swap Index ceases to be published, any comparable nationally recognized tax-exempt debt index specified by the City).

“Special Facility Obligations” means any revenue bonds, notes, bond anticipation notes, commercial paper or other evidences of indebtedness for borrowed money issued or incurred by the City to finance a Special Facility, the principal of, premium, if any, and interest on which are payable from and secured by Special Facility Revenues derived from such Special Facility, and not from or by Net Revenues.

“Special Facility Revenues” means the revenues earned by the City from or with respect to a Special Facility and which are designated as such by the City, including but not limited to contractual payments to the City under a loan agreement, lease agreement or other written agreement with respect to

the Special Facility by and between the City and the person, firm, corporation or other entity, either public or private, as shall operate, occupy or otherwise use the Special Facility.

“State” means the State of California.

“Supplemental Indenture” means any indenture, agreement or other instrument duly executed by the Authority and the Trustee in accordance with the Indenture.

“Tax Certificate” shall mean the *Tax Certificate as to Arbitrage and the Provisions of Sections 103 and 141-150 of the Internal Revenue Code of 1986* relating to the 2016 Bonds, executed and delivered by the Authority and the City on the Delivery Date, as amended or supplemented from time to time.

“Term Bonds” means Bonds which are payable on or before their specified maturity dates from sinking fund payments established for that purpose and calculated to retire such Bonds on or before their specified maturity dates.

“Treasury Regulations” means temporary and permanent regulations promulgated under or with respect to section 103 and sections 141 through 150, inclusive, of the Code.

“Trustee” means U.S. Bank National Association and its successors and assigns, and any other corporation or association which may at any time be substituted in its place as provided in the Indenture.

“Unassigned Rights” means the rights of the Authority under sections relating to Additional Purchase Payments, Protection of Security Rights of the Authority, Partial Invalidity, Claims and Warranties, Indemnification of the Authority and Amendments in the Installment Purchase Agreement.

“Written Request” means a written instrument signed by an Authorized City Representative or an Authorized Authority Representative, as the case may be.

“2016 Bonds” means the \$34,445,000 aggregate principal amount of the California Municipal Finance Authority Sewer Treatment Revenue Bonds, Series 2016 (City of San Bernardino Sewer Facilities Project) authorized by and at any time outstanding pursuant to the Act and the Indenture.

“2016 Sewer Project” means the components of the Enterprise to be financed with the net proceeds of the 2016 Bonds, as described in the Installment Purchase Agreement.

“2016 Purchase Payments” means the payments so designated in the Installment Purchase Agreement.

INDENTURE

Terms and Conditions of the 2016 Bonds.

Execution of 2016 Bonds. The 2016 Bonds shall be signed in the name and on behalf of the Authority with the manual or facsimile signature of its Chairman, Vice Chairman or Treasurer and attested with the manual or facsimile signature of its Secretary or any assistant duly appointed by the Board, and shall be delivered to the Trustee for authentication by it. In case any officer of the Authority who shall have signed any of the 2016 Bonds shall cease to be such officer before the 2016 Bonds so signed shall have been authenticated or delivered by the Trustee or issued by the Authority, such 2016 Bonds may nevertheless be authenticated, delivered and issued and, upon such authentication, delivery and issue, shall be as binding upon the Authority as though the individual who signed the same had continued to be such officer of the Authority. Also, any 2016 Bond may be signed on behalf of the Authority by any individual who on the actual date of the execution of such 2016 Bond shall be the proper officer although on the nominal date of such 2016 Bond such individual shall not have been such officer.

Only such of the 2016 Bonds as shall bear thereon a certificate of authentication in the form set forth in Exhibit A manually executed by the Trustee shall be valid or obligatory for any purpose or entitled to the benefits of the Indenture, and such certificate of the Trustee shall be conclusive evidence that the 2016 Bonds so authenticated have been duly authenticated and delivered under the Indenture and are entitled to the benefits of the Indenture.

Transfer of 2016 Bonds. Any 2016 Bond may, in accordance with its terms, be transferred, upon the Registration Books, by the person in whose name it is registered, in person or by his attorney duly authorized in writing, upon surrender of such 2016 Bond for cancellation at the Corporate Trust Office of the Trustee, accompanied by delivery of a written instrument of transfer in a form approved by the Trustee, duly executed by the registered owner or his duly authorized attorney. No service charge shall be made for any transfer of 2016 Bonds, but the Trustee shall require the Owner requesting such transfer to pay any tax or other governmental charge required to be paid with respect to such transfer. The cost of printing 2016 Bonds and any services rendered or expenses incurred by the Trustee in connection with any transfer shall be paid by the City. Whenever any 2016 Bond or 2016 Bonds shall be surrendered for transfer, the Authority shall execute and the Trustee shall authenticate and deliver to the transferee a new 2016 Bond or 2016 Bonds of Authorized Denomination or Denominations of like tenor, maturity and aggregate principal amount.

Exchange of 2016 Bonds. The 2016 Bonds may be exchanged upon surrender thereof at the Corporate Trust Office of the Trustee for an equal aggregate principal amount of 2016 Bonds of other authorized denominations and of the same tenor and maturity. No service charge shall be made for any exchange of 2016 Bonds, but the Trustee shall require the Owner requesting such exchange to pay any tax or other governmental charge required to be paid with respect to such transfer. The cost of printing 2016 Bonds and any services rendered or expenses incurred by the Trustee in connection with any exchange shall be paid by the City.

Registration Books. The Trustee will keep or cause to be kept at its Corporate Trust Office sufficient records for the ownership, registration, transfer, and exchange of the 2016 Bonds, which shall at all reasonable times during regular business hours be open to inspection by the Authority, the City and its designated agent or any owner or his agent duly authorized in writing with reasonable prior notice; and, upon presentation for such purpose, the Trustee shall, under such reasonable regulations as it may prescribe, register or transfer or cause to be registered or transferred, on said records, 2016 Bonds as provided in the Indenture.

2016 Bonds Mutilated, Lost, Destroyed or Stolen. If any 2016 Bond shall become mutilated, the Authority, at the expense of the Owner of said 2016 Bond, shall execute, and the Trustee shall thereupon authenticate and deliver, a new 2016 Bond of like Series, tenor and authorized denomination in exchange and substitution for the 2016 Bond so mutilated, but only upon surrender to the Trustee at the Corporate Trust Office of the 2016 Bond so mutilated. Every mutilated 2016 Bond so surrendered to the Trustee shall be cancelled by it and destroyed. If any 2016 Bond issued under the Indenture shall be lost, destroyed or stolen, evidence of such loss, destruction or theft may be submitted to the Trustee and, if such evidence be satisfactory to the Trustee and indemnity satisfactory to the Trustee shall be given, the Authority, at the expense of the 2016 Bond Owner, shall execute, and the Trustee shall thereupon authenticate and deliver, a new 2016 Bond of like tenor in lieu of and in substitution for the 2016 Bond so lost, destroyed or stolen (or if any such 2016 Bond shall have matured, instead of issuing a substitute 2016 Bond the Trustee may pay the same without surrender thereof upon receipt of indemnity satisfactory to the Trustee). The Trustee may require payment of a reasonable fee for each new 2016 Bond issued under this section and of the expenses which may be incurred by the Authority and the Trustee. Any 2016 Bond issued under the provisions of this section in lieu of any 2016 Bond alleged to be lost, destroyed or stolen shall constitute an original contractual obligation on the part of the Authority whether or not the 2016 Bond alleged to be lost, destroyed or stolen be at any time enforceable by anyone, and shall be equally and proportionately entitled to the benefits of the Indenture with all other 2016 Bonds secured by the Indenture.

Temporary 2016 Bonds.

(a) Until definitive 2016 Bonds are prepared, the Authority may sign and may direct the Trustee to authenticate, in the same manner as is provided in this section, in lieu of definitive 2016 Bonds, one or more temporary 2016 Bonds substantially of the tenor of the definitive 2016 Bonds in lieu of which such temporary 2016 Bond or 2016 Bonds are issued, in denominations authorized under the Indenture, so long as no such 2016 Bond shall have its principal becoming payable in more than one year, and with such omissions, insertions and variations as may be appropriate to temporary 2016 Bonds. At the expense of the Authority, the Authority shall prepare and execute and the Trustee shall authenticate and, upon the surrender of such temporary 2016 Bonds and the cancellation of such surrendered temporary 2016 Bonds, the Trustee shall without charge to the Owner thereof, in exchange therefor, deliver definitive 2016 Bonds, of the same principal amount, series and maturity as the temporary 2016 Bonds surrendered. Until so exchanged, the temporary 2016 Bonds shall in all respects be entitled to the same benefits and security as definitive 2016 Bonds issued pursuant to the Indenture.

(b) If the Authority shall request the issuance of temporary 2016 Bonds in more than one denomination, the Owner of any temporary 2016 Bond or 2016 Bonds may, at his option, surrender the same to the Trustee in exchange for another temporary 2016 Bond or 2016 Bonds of like principal amount, series and maturity of any other authorized denomination or denominations, and thereupon the Trustee shall issue, in exchange for the temporary 2016 Bond or 2016 Bonds so surrendered and upon payment of any taxes, fees and charges provided for in the Indenture, a temporary 2016 Bond or 2016 Bonds of like aggregate principal amount, series and maturity in such other authorized denomination or denominations as shall be requested by such owner.

(c) All temporary 2016 Bonds surrendered in exchange either for another temporary 2016 Bond or 2016 Bonds or for a definitive 2016 Bond or 2016 Bonds shall be forthwith cancelled by the Trustee and destroyed, and the Trustee shall certify in writing as to their destruction.

Issuance of Additional Bonds

Conditions for the Issuance of Additional Bonds. The Authority may at any time issue Additional Bonds payable from Project Revenues as provided in the Indenture and secured by a pledge of and charge and lien upon Project Revenues as provided in the Indenture equal to the pledge, charge and lien securing the Outstanding Bonds theretofore issued under the Indenture, but only subject to the following specific conditions, which are made conditions precedent to the issuance of any such Additional Bonds:

(a) The Authority shall be in compliance with all agreements and covenants contained in the Indenture and shall not be in default under the Indenture.

(b) The issuance of such Additional Bonds shall have been authorized pursuant to the Act and shall have been provided for by a Supplemental Indenture which shall specify the following:

- (i) The purpose for which such Additional Bonds are to be issued; provided that such Additional Bonds shall be applied solely for (i) the purpose of financing the completion of the 2016 Project or financing an Additional Project, including payment of all costs incidental to or connected with such financing, and/or (ii) the purpose of refunding any Bonds then Outstanding, or any Contract, or any other obligation of the City relating to the Enterprise as the City may determine, including payment of all costs incidental to or connected with such refunding;
- (ii) The authorized principal amount and designation of such Additional Bonds;
- (iii) The date and the maturity dates of and the sinking fund payment dates, if any, for such Additional Bonds, which maturity dates and sinking fund payment date shall be on August 1 of the years specified;
- (iv) The interest rates payable on such Additional Bonds, which shall be fixed rates of interest, payable on February 1 and August 1, and the first interest payment date for such Additional Bonds;
- (v) The denomination or denominations of and method of numbering such Additional Bonds;
- (vi) The redemption premiums, if any, and the redemption terms, if any, of such Additional Bonds;
- (vii) Whether such Additional Bonds are a Common Reserve Series and, if not, the Reserve Requirement for such Additional Bonds or whether such Additional Bonds are not secured by any reserve fund;
- (viii) Whether interest on such Additional Bonds shall be excluded from the gross income of the Owners thereof for federal income tax purposes, and if so, the related tax covenants of the Authority and the City;
- (ix) The allocation of the proceeds of sale of such Additional Bonds;
- (x) The forms of such Additional Bonds; and

- (xi) Such other provisions (including the requirements of a book-entry bond registration system, if any) as are necessary or appropriate and not inconsistent with the Indenture.

(c) The provisions of the Installment Purchase Agreement shall have been satisfied and either (1) the Installment Purchase Agreement shall have been amended so as to modify the 2016 Purchase Payments payable by the City thereunder by an amount at least sufficient to pay the interest on and principal of such Additional Bonds as the same become due or (2) the City shall have entered into a Related Contract providing for the City to make Purchase Payments in amounts sufficient to pay the interest on and principal of such Additional Bonds, and in each case such amendment or such Related Contract shall be consistent with the Installment Purchase Agreement.

(d) Immediately following the issuance of such Additional Bonds, the amount on deposit in each Reserve Account shall be at least equal to the Reserve Requirement for the applicable Series of Bonds.

(e) There shall be no uncured default in the payment of Policy Costs due under any Reserve Account Credit Facility.

Nothing contained in the Indenture shall limit the issuance of any bonds of the Authority payable from Project Revenues and secured by a pledge of and charge and lien upon Project Revenues if after the issuance and delivery of such bonds none of the Bonds theretofore issued under the Indenture will be Outstanding.

Procedure for the Issuance of Additional Bonds. At any time after the sale of any Additional Bonds in accordance with the Act, the Authority shall execute such Additional Bonds for issuance under the Indenture and shall deliver them to the Trustee, and thereupon such Additional Bonds shall be delivered by the Trustee to the purchaser thereof upon the Written Request of the Authority (at the direction of the City), but only upon receipt by the Trustee of the following documents or money or securities, all of such documents dated or certified, as the case may be, as of the date of delivery of such Additional Bonds by the Trustee:

(a) A certified copy of the Supplemental Indenture authorizing the issuance of such Additional Bonds;

(b) A Written Request of the Authority (at the direction of the City) as to the authentication and delivery of such Additional Bonds;

(c) An opinion of Bond Counsel to the effect that (1) the Authority has the right and power under the Act to execute and deliver the Supplemental Indenture and the Supplemental Indenture has been duly and lawfully executed and delivered by the Authority, is in full force and effect and is valid and binding upon the Authority and no other authorization for the execution and delivery of the Indenture is required, (2) the Indenture as supplemented by the Supplemental Indenture creates the valid pledge of and charge and lien upon the Project Revenues which it purports to create as provided therein, subject to the application thereof to the purposes and on the conditions permitted under the Indenture, and (3) such Additional Bonds are valid and binding limited obligations of the Authority entitled to the benefits of the Act and of the Indenture, and such Additional Bonds have been duly and validly issued in accordance with the Act and with the Indenture;

(d) A Certificate of the Authority containing such statements as may be reasonably necessary to show compliance with the conditions for the issuance of such Additional Bonds contained in the Indenture; and

(e) Such further documents, money or securities as are required by the provisions of the Supplemental Indenture providing for the issuance of such Additional Bonds.

Project Revenues; Flow of Funds

Pledge of Project Revenues; Assignment of Rights. The Bonds shall be secured by a pledge (which shall be effected in the manner and to the extent provided in the Indenture), charge and lien upon Project Revenues and a pledge of all of the moneys in the Purchase Payment Account, including all amounts derived from the investment of such moneys. The Bonds are also secured by (i) all moneys deposited and held from time to time by the Trustee in the funds and accounts established under the Indenture; and (ii) income and gains with respect to the investment of amounts on deposit in the funds and accounts established under the Indenture, except as otherwise provided in the Indenture. The Bonds shall be equally secured by a pledge of, charge and lien upon, the Project Revenues and such moneys without priority for number, date of Bonds, date of execution or date of delivery; and the payment of the interest on and principal of the Bonds shall be and are secured by an exclusive pledge, charge and lien upon the Project Revenues and such moneys, except as otherwise provided in the Indenture. So long as any of the Bonds are Outstanding, the Project Revenues and such moneys shall not be used for any other purpose; except that out of the Project Revenues and such moneys there may be apportioned such sums, for such purposes, as are expressly permitted by the Indenture.

The Authority transfers in trust and assigns to the Trustee, for the benefit of the Owners from time to time of the Bonds, all of the Project Revenues and all of the right, title and interest of the Authority in and to the Installment Purchase Agreement (other than the Unassigned Rights). The Trustee accepts such assignment and transfer; provided, however, that such assignment shall not confer any rights nor impose any duties, obligations or responsibilities upon the Trustee beyond those expressly provided in the Indenture. The Trustee shall be entitled to and shall receive all of the Purchase Payments, and any Purchase Payments collected or received by the Authority shall be deemed to be held, and to have been collected or received, by the Authority as the agent of the Trustee and shall forthwith be paid by the Authority to the Trustee. The Trustee also shall be entitled to and, subject to the provisions of the Indenture, shall take all steps, actions and proceedings reasonably necessary in its judgment to enforce, either jointly with the Authority or separately, all the rights of the Authority and all of the obligations of the City under the Installment Purchase Agreement and any Related Contract.

Establishment of Project Revenues Trust Fund. There is established with the Trustee a special trust fund for the Bonds, which special trust fund shall be designated as the "Project Revenues Trust Fund." The Trustee shall keep the Project Revenues Trust Fund separate and apart from all other funds and moneys held by it. Within the Project Revenues Trust Fund, there are established the following funds: the Purchase Payment Fund, the Costs of Issuance Fund and the Acquisition Fund.

Purchase Payment Fund.

- (a) The Trustee shall deposit in the Purchase Payment Fund the following:
- (i) when received, 2016 Purchase Payments made by the City;
 - (ii) when received, Purchase Payments made by the City pursuant to any Related Contract;

- (iii) when received, moneys transferred from the Costs of Issuance Fund;
- (iv) when received, moneys transferred from the Acquisition Fund; and
- (v) all other moneys received by the Trustee under and pursuant to the provisions of the Installment Purchase Agreement or any Related Contract which are required to be or which are accompanied by directions that such moneys are to be paid into the Purchase Payment Fund.

(b) The Trustee shall withdraw moneys from the Purchase Payment Fund at such times and in such amounts as are necessary to make payments of principal, interest or premium, if any, with respect to the Bonds.

(c) If, on the day after any Installment Payment Date (i) all transfers have been made pursuant to the Indenture, and (ii) there are moneys on deposit in the Purchase Payment Fund, then the Trustee shall (A) at the Written Request of the Authority (at the direction of the City), transfer such funds to the City or (B) apply such funds to reduce the next succeeding Purchase Payment payable by the City.

Reserve Fund.

(a) The Reserve Fund and the Reserve Accounts therein shall be held and administered by the Trustee, and shall be used solely for the purpose of paying the Bonds secured by the Reserve Accounts in the manner provided in the Indenture.

(b) The Indenture establishes the Common Reserve Account and may establish one or more additional accounts in the Reserve Fund (each, a "Reserve Account"), each of which may secure one or more Series of Bonds pursuant to the Indenture and to the Supplemental Indenture authorizing the issuance thereof. The 2016 Bonds shall be a Common Reserve Series. Promptly upon receipt thereof the Trustee shall deposit in each Reserve Account proceeds of sale of each Series of Bonds to be secured thereby or Reserve Account Credit Facility or Facilities, or any combination of the foregoing, in such amount as shall be necessary to bring the amount on deposit therein to the Reserve Requirement for such Series of Bonds. The amount available to be drawn under any Reserve Account Credit Facility deposited in the Common Reserve Account shall be deemed an amount on deposit in the Common Reserve Account for Reserve Requirement purposes, regardless of whether such Reserve Account Credit Facility is limited by its terms to the payment of debt service on a specific Series of Bonds.

(c) Each Reserve Account shall thereafter be maintained at all times at the respective Reserve Requirements of the Bonds secured by such Reserve Account by additional deposits into such Reserve Account from the Purchase Payment Fund as provided in the Indenture. Each Reserve Account shall be replenished in the following priority: first, to make all payments required under all reimbursement agreements with the providers of Reserve Account Credit Facilities credited to such Reserve Account (and if there is not sufficient money on deposit in such Reserve Account to make all such payments, then on a pro rata basis to each provider); and second, after all such payments are made in full, the amount necessary to make the money and Reserve Account Credit Facility or Facilities or any combination of the foregoing deposited in or credited to such Reserve Account equal to the aggregate Reserve Requirements of the Bonds secured by such Reserve Account. If at any time there is not sufficient money to make all of the foregoing payments, such payments shall be made to the extent of available money into each Reserve Account in the same ratio as the principal amount of the Outstanding Bonds secured thereby bears to the aggregate principal amount of all Outstanding Bonds secured by the Reserve Fund. The Trustee shall deposit the Reserve Policy in the Common Reserve Account. With

respect to the 2016 Bonds, the Reserve Requirement is satisfied by the deposit of the Reserve Policy in the Common Reserve Account.

(d) In the event of a deficiency in the Purchase Payment Fund for Bonds secured by a Reserve Account, the Trustee shall make up such deficiency from such Reserve Account in the following priority: first, by the withdrawal of cash held therein; second, by the sale or redemption of Permitted Investments held therein; and third, from draws upon the Reserve Account Credit Facility or Facilities credited thereto, on a pro rata basis, in sufficient amounts to make up such deficiency; provided, however, that with respect to the Common Reserve Account, if any Reserve Account Credit Facility deposited therein is limited by its terms to the payment of debt service on a specific Series of Bonds, then the Trustee shall draw upon such Reserve Account Credit Facility to make up any deficiency in the Purchase Payment Fund specifically relating to such Series of Bonds prior to withdrawing cash or selling or redeeming Permitted Investments to make up such deficiency. All such draws shall be made at such times and under such conditions as provided in such Reserve Account Credit Facility or Facilities.

(e) At the option of the Authority (at the direction of the City), amounts on deposit in a Reserve Account may be substituted at any time, in whole or in part, by the deposit with the Trustee of a Reserve Account Credit Facility or Facilities in a stated amount equal to the amounts so substituted. Any amounts released from a Reserve Account as a result of such substitution shall be transferred to the City and applied for any lawful purpose of the City, consistent with the Tax Certificate.

(f) Subject to paragraph (g) below, each Reserve Account may be drawn upon for the sole purpose of paying the principal and redemption price of and interest on the Series of Bonds secured by such Reserve Account. Money set aside from time to time with the Trustee for the payment of such principal, redemption price, or interest shall be held in trust equally and ratably for the relevant Holders.

(g) If at any time no event of default has occurred and is continuing and the amount on deposit in a Reserve Account is greater than the applicable Reserve Requirement, the Trustee shall, upon receipt of a Written Request of the Authority (at the direction of the City), withdraw such excess and apply such amount as directed in such Written Request of the Authority, consistent with the Tax Certificate.

(h) If the Trustee receives any amounts from the City consisting of Additional Purchase Payments to pay Policy Costs, the Trustee shall forthwith apply such amounts to pay such Policy Costs as and when the same shall become due and payable.

Costs of Issuance Fund.

(a) The Trustee shall deposit in the Costs of Issuance Fund on the Delivery Date, from the proceeds of the sale of the 2016 Bonds, the amount set forth with respect to the Costs of Issuance Fund. The Trustee shall also deposit in the Costs of Issuance Fund from the proceeds of any Additional Bonds, the amounts set forth in any Supplemental Indenture providing for the issuance of such Additional Bonds.

(b) Costs of Issuance shall be paid from amounts on deposit in the Costs of Issuance Fund. The Trustee shall make such payments in the amounts, at the times, in the manner, and on the other terms and conditions set forth in the Indenture. No such payment shall be made until the Trustee shall have received a requisition, in substantially the form attached to the Indenture, signed by an Authorized City Representative stating with respect to each payment to be made: (1) the sequential requisition number, (2) the name and address of the person, firm, corporation or agency to which payment is due or has been made, (3) the amount to be paid, (4) identification of the item to which such payment is to be applied, and (5) that each obligation mentioned therein is a proper charge against the Costs of Issuance Fund and has

not been the basis of any previous withdrawal from the Costs of Issuance Fund. In addition, each requisition shall have attached a copy of each invoice, statement or other billing documentation for which payment is claimed. Each such requisition shall be sufficient evidence to the Trustee of the facts stated therein and the Trustee shall have no duty to confirm the accuracy of such facts. Upon the determination of the City that all Costs of Issuance for the 2016 Bonds or any Series of Additional Bonds, as applicable, have been paid in full, any amount then remaining in the Costs of Issuance Fund shall be transferred by the Trustee to the Purchase Payment Fund, in accordance with a Written Request of the City.

Acquisition Fund. There is established with the Trustee a special trust fund for the Bonds designated as the "Acquisition Fund." The Trustee shall keep the Acquisition Fund separate and apart from all other funds and moneys held by it. The Trustee shall pay Project Costs from amounts on deposit in the Acquisition Fund. The Trustee shall make such payments in the amounts, at the times, in the manner, and on the other terms and conditions set forth in the Indenture. No such payment shall be made until the Trustee shall have received a requisition, in substantially the form attached to the Indenture, signed by an Authorized City Representative stating with respect to each payment to be made: (1) the sequential requisition number, (2) the name and address of the person, firm, corporation or agency to which payment is due or has been made, (3) the amount to be paid, (4) identification of the item to which such payment is to be applied, and (5) that each obligation mentioned therein is a proper charge against the Acquisition Fund and has not been the basis of any previous withdrawal from the Acquisition Fund. Each such requisition shall be sufficient evidence to the Trustee of the facts stated therein and the Trustee shall have no duty to confirm the accuracy of such facts. Upon the City's determination that all Project Costs to be funded with proceeds of the 2016 Bonds or any Series of Additional Bonds, as applicable, have been paid in full, any amount then remaining in the Acquisition Fund shall be transferred by the Trustee to the Purchase Payment Fund, in accordance with a Written Request of the City.

Deposits of Money. All moneys held by or deposited with the Trustee under the provisions of the Indenture shall be held in trust and applied only in accordance with the provisions of the Indenture, and the funds and accounts established by the Indenture shall be a trust fund for the purposes thereof. All moneys deposited with the Trustee shall be credited to the particular account to which such moneys belong.

Investments.

(a) All moneys in any of the funds or accounts established with the Trustee pursuant to the Indenture shall be invested by the Trustee solely in Permitted Investments pursuant to the Written Request of the Authority (at the direction of the City) given to the Trustee in advance of the making of such investments and promptly confirmed in writing, as to any such direction given by facsimile. Each such Written Request shall contain the representation of the Authority that the investments identified therein constitute Permitted Investments under the Indenture. In the absence of any such direction from the Authority, the Trustee shall invest any such moneys in clause (D) of the definition of Permitted Investments. Obligations purchased as an investment of moneys in any fund shall be deemed to be part of such fund or account.

(b) All interest or gain derived from the investment of amounts in any of the funds or accounts established under the Indenture shall be deposited in the fund or account from which such investment was made. For purposes of acquiring any investments under the Indenture, the Trustee may commingle funds held by it under the Indenture upon the Written Request of the Authority (at the direction of the City). The Trustee may (but shall not be obligated to) act as principal or agent in the acquisition of any investment. The Trustee shall incur no liability for losses arising from any investments made pursuant to this section.

(c) Moneys in the Purchase Payment Account shall be invested and reinvested by the Trustee to the fullest extent practicable in Permitted Investments which mature not later than such times as shall be necessary to provide moneys when needed for payments to be made from such accounts and in any event not later than the final maturity of the Bonds. The Trustee shall make all such investments of moneys held by it in accordance with instructions, confirmed in writing, received from an Authorized Authority Representative (at the direction of the City).

(d) Nothing in the Indenture shall prevent any Government Obligations acquired as investments of funds held under the Indenture from being issued or held in book-entry form on the books of the Department of the Treasury of the United States of America.

(e) Except as otherwise provided in the Indenture, the Trustee shall sell or present for prepayment or transfer as provided in the next sentence any obligation so purchased as an investment whenever it shall be requested in writing by an Authorized City Representative to do so or whenever it shall be necessary in order to provide moneys to meet any payment or transfer from any account held by it. In lieu of such sale or presentment for prepayment, the Trustee may, in making the payment or transfer from any account mentioned in the preceding sentence, transfer such investment obligations or interest appertaining thereto at its acquisition cost if such investment obligations shall mature or be collectable at or prior to the time the proceeds thereof shall be needed and such transfer of investment obligations may be made in book-entry form. The Trustee shall not be liable or responsible for making any such investment in the manner provided above or for any loss resulting from any such investment. The Trustee shall hold all investments in its name as trustee.

(f) The Authority (and the City by its execution of the Installment Purchase Agreement) acknowledges that to the extent regulations of the Comptroller of the Currency or other applicable regulatory entity grant the City or Authority the right to receive brokerage confirmations of security transactions as they occur, the City and Authority specifically waive receipt of such confirmations to the extent permitted by law. The Trustee will furnish the City and Authority periodic cash transaction statements which include detail for all investment transactions made by the Trustee under the Indenture. The Trustee or its affiliate may act as principal or agent in the acquisition or disposition of any investment in accordance with the Indenture and shall be entitled to its customary charges therefor.

(g) Any investment of moneys in any fund established under the Indenture may be purchased from or through, or sold to, the Trustee or any affiliate of the Trustee, and any such investment made through the purchase of shares in a fund described in the definition of Permitted Investments may be in a fund for which the Trustee or an affiliate of the Trustee serves as investment manager, administrator, shareholder servicing agent, and/or custodian or subcustodian, notwithstanding that (i) the Trustee or an affiliate of the Trustee received fees from such funds for services rendered, (ii) the Trustee charges and collects fees for services rendered pursuant to the Indenture, which fees are separate from the fees received from such funds, and (iii) services performed for such funds and pursuant to the Indenture may at times duplicate those provided to such funds by the Trustee or its affiliates.

Valuation and Disposition of Investments. For the purpose of determining the amount in any fund or account established under the Indenture, the value of investments credited to such fund or account shall be calculated at the par amount thereof, or any other valuation established by prior agreement between the Authority and the Trustee. Obligations purchased as an investment of moneys in any account created under the provisions of the Indenture shall be deemed at all times to be a part of such account or subaccount and any profit realized from the liquidation of such investment and any income or interest received on account of such investment shall be credited to, and any loss resulting from the liquidation of such investment shall be charged to, such account.

Covenants of the Authority

Punctual Payment. The Authority shall punctually pay or cause to be paid the principal, interest and premium (if any) to become due in respect of all the Bonds, in strict conformity with the terms of the Bonds and of the Indenture, according to the true intent and meaning thereof, but only out of Project Revenues and the funds and accounts pledged for such payment as provided in the Indenture.

Extension of Payment of Bonds. Neither the Authority nor the Trustee shall directly or indirectly extend or assent to the extension of the payment dates of any of the Purchase Payments, the maturity of any of the Bonds or the time of payment of any claims for interest by the purchase of such Bonds or by any other arrangement, and in case the maturity of any of the Bonds or the time of payment of any such claims for interest shall be extended, such Bonds or claims for interest shall not be entitled, in case of any default under the Indenture, to the benefits of the Indenture, except subject to the prior payment in full of the principal of all of the Bonds then Outstanding and of all claims for interest thereon which shall not have been so extended. Nothing in this section shall be deemed to limit the right of the Authority to issue Bonds for the purpose of refunding any Outstanding Bonds, and such issuance shall not be deemed to constitute an extension of maturity of the Bonds.

Against Encumbrances. The Authority shall not create, or permit the creation of, any pledge, lien, charge or other encumbrance upon the Project Revenues and the funds and accounts pledged or assigned under the Indenture while any of the Bonds are Outstanding, except the pledge and assignment created by the Indenture. Subject to this limitation, the Authority expressly reserves the right to enter into one or more other indentures for any of its corporate purposes, including other programs under the Act, and reserves the right to issue other obligations for such purposes.

Power to Issue Bonds and Make Pledge and Assignment. The Authority is duly authorized pursuant to law to issue the Bonds and to enter into the Indenture and to pledge and assign the Purchase Payments, the Installment Purchase Agreement, any Related Contract and other assets purported to be pledged and assigned, respectively, under the Indenture in the manner and to the extent provided in the Indenture. The Bonds and the provisions of the Indenture are and will be the legal, valid and binding special obligations of the Authority in accordance with their terms, and the Authority and the Trustee shall at all times, to the extent permitted by law, defend, preserve and protect said pledge and assignment of Purchase Payment and other assets and all the rights of the Bond Owners under the Indenture against all claims and demand of all persons whomsoever.

Accounting Records and Financial Statements. The Trustee shall at all times keep, or cause to be kept, proper books of record and account, prepared in accordance with industry standards, in which complete and accurate entries shall be made of all transactions made by the Trustee relating to the proceeds of Bonds, the Purchase Payments and all funds and accounts established pursuant to the Indenture. Such books of record and account shall be available for inspection by the Authority and the City, during regular business hours with reasonable prior notice.

Tax Covenants. The Authority shall not use, permit the use of, or omit to use Gross Proceeds or any other amounts (or any property the acquisition, construction or improvement of which is to be financed directly or indirectly with Gross Proceeds) in a manner that if made or omitted, respectively, would cause the interest on any of the 2016 Bonds to fail to be excluded pursuant to section 103 of the Code from the gross income of the owner thereof for federal income tax purposes. Without limiting the generality of the foregoing, unless and until the Authority receives a written opinion of Bond Counsel to the effect that failure to comply with such covenant will not adversely affect the exclusion from gross income of interest on any 2016 Bond, the Authority shall comply with each of the specific covenants in the Indenture.

Further Assurances. The Authority will adopt, make, execute and deliver or cause to be executed and delivered any and all other and further documents, resolutions, instruments and assurances and promptly do or cause to be done all such other and further things as may be necessary or reasonably required to carry out the purposes or intentions or to facilitate the performance of the Indenture, and for preserving and protecting the rights and interests of the Owners.

Amendment of Installment Purchase Agreement and Related Contracts. The Authority shall not consent to the amendment, alteration or modification, in whole or in part, of the Installment Purchase Agreement or any Related Contract except (a) to the extent such amendment, alteration or modification shall cure an ambiguity, supply an omission, or cure or correct a defect or inconsistent provision therein, (b) to the extent such amendment, alteration or modification shall insert such provisions clarifying matters or questions arising thereunder as are necessary or desirable and are not contrary to or inconsistent with the Indenture, (c) if, in the opinion in writing of Bond Counsel addressed to the Trustee, such amendment, alteration or modification does not materially adversely affect the rights of the Owners of the Bonds, or (d) with the written consent of the Owners of a majority in aggregate principal amount of the Bonds then Outstanding, exclusive of issuer-owned or City-owned Bonds. Any such written consent shall be obtained in the manner provided in the Indenture for amendments to the Indenture. No such amendment, alteration or modification shall be effective unless and until there shall have been filed with the Trustee an opinion in writing of Bond Counsel addressed to the Trustee stating that such amendment, alteration or modification has been duly and lawfully entered into by the parties thereto, is authorized or permitted by the Indenture and is valid and binding upon the parties thereto in accordance with its terms. For purposes of the Indenture, no change to or revision of Exhibit A of the Installment Purchase Agreement made pursuant to the Installment Purchase Agreement shall constitute an amendment, alteration or modification of the Installment Purchase Agreement.

Enforcement of Installment Purchase Agreement and Related Contracts. The Trustee, as assignee of the Authority's rights pursuant to the Indenture, shall promptly collect all amounts due from the City pursuant to the Installment Purchase Agreement and any Related Contract and, subject to the provisions of the Indenture, shall diligently enforce, and take all steps, actions and proceedings reasonably necessary for the enforcement of all the rights of the Authority thereunder and for the enforcement of all the obligations of the City thereunder.

Modification and Amendment of the Indenture

Amendment. The Indenture and the rights and obligations of the Authority, of the Owners of the Bonds and of the Trustee may be modified or amended at any time by a Supplemental Indenture which shall become binding upon its execution and delivery by the Authority (solely at the request of the City) and the Trustee, without consent of any Bond Owners, to the extent permitted by law but only:

- (a) to provide for the issuance of one or more Series of Additional Bonds pursuant to the Indenture;
- (b) to add to the covenants and agreements of the Authority contained in the Indenture, other covenants and agreements to be observed, to pledge or assign additional security for the Bonds, or to surrender any right or power in the Indenture reserved to or conferred upon the Authority;
- (c) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in any other respect whatsoever, as the Authority may deem necessary or desirable;

(d) to modify, amend or supplement the Indenture in such manner as to permit the qualification of the Indenture under the Trust Indenture Act of 1939, as amended, or any similar federal statute in effect after the date of the Indenture, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute;

(e) to amend any provision of the Indenture relating to the Code, to any extent whatsoever but only if and to the extent such amendment will not adversely affect the exclusion from gross income of interest on any of the Bonds under the Code, in the opinion of Bond Counsel; or

(f) if, in the written opinion of Bond Counsel, such amendment or modification does not materially adversely affect the rights of the Owners of the Bonds.

Except as set forth in the preceding paragraph of this section, the Indenture and the rights and obligations of the Authority and of the Owners of the Bonds may only be modified or amended at any time by a Supplemental Indenture which shall become binding when the written consents of the Owners of a majority in aggregate principal amount of the Bonds then Outstanding are filed with the Trustee. No such modification or amendment shall (a) extend the maturity of or reduce the interest rate on any Bond or otherwise alter or impair the obligation of the Authority to pay the principal, interest or premium (if any) at the time and place and at the rate and in the currency provided therein of any Bond without the express written consent of the Owner of such Bond, (b) reduce the percentage of Bonds required for the written consent to any such amendment or modification, or (c) without its written consent thereto, modify any of the rights or obligations of the Trustee.

Whenever a modification or amendment requires the consent of the Owners and the Trustee, the Authority may at any time enter into a Supplemental Indenture making a modification or amendment permitted by the provisions of this section to take effect when and as provided in this section. A copy of such supplemental Indenture (or brief summary thereof or reference thereto in form approved by the Trustee), together with a request to owners for their consent thereto in form satisfactory to the Trustee, shall be mailed by the Trustee to the Owners (but failure to mail such copy and request shall not affect the validity of the supplemental Indenture when consented to as in this section provided). Such Supplemental Indenture shall not be effective unless and until (a) there shall have been filed with the Trustee (i) the written consents of Owners of the percentages of outstanding Bonds specified in this section and (ii) an opinion of Bond Counsel stating that such Supplemental Indenture has been duly and lawfully entered into by the parties thereto and filed with the Authority, the City and the Trustee in accordance with the provisions of the Indenture, is authorized or permitted by the Indenture, and is valid and binding upon the parties thereto in accordance with its terms. Each such consent shall be effective only if accompanied by proof of the Owner, at the date of such consent, of the Bonds with respect to which such consent is given, which proof shall be such as is permitted the Indenture. A certificate or certificates executed by the Trustee and filed with the City and the Authority stating that it has examined such proof and that such proof is sufficient in accordance with the Indenture shall be conclusive that the consents have been given by the owners of the Bonds described in such certificate or certificates of the Trustee. Any such consent shall be binding upon the Owner of the Bonds giving such consent and, anything in the Indenture to the contrary notwithstanding, upon any subsequent Owner of such Bonds and of any Bonds issued in exchange therefor (whether or not such subsequent Owner thereof has notice thereof). At any time after the Owners of the required percentages of Bonds shall have filed their consents to the Supplemental Indenture, the Trustee shall make and file with the Authority and the City a written statement that the Owners of such required percentages of Bonds have filed such consents. Such written statements shall be conclusive that such consents have been so filed. At any time thereafter, a notice stating in substance that the Supplemental Indenture (which may be referred to as a Supplemental Indenture entered into by the parties thereto on a stated date, a copy of which is on file with the Trustee) has been consented to by the Owners of the required percentages of Bonds and will be effective as provided in this section, shall be

given to owners by the Trustee at the expense of the Authority by mailing such notice to Owners (but failure to mail such notice shall not prevent such Supplemental Indenture from becoming effective and binding as in this section provided). The Trustee shall file with the Authority and the City proof of the mailing of such notice. A record, consisting of the certificates or statements required or permitted by this section to be made by the Trustee, shall be proof of the matters therein stated. Such Supplemental Indenture making such amendment or modification shall be deemed conclusively binding upon the Authority, the City and the Trustee and the Owners of all Bonds at the expiration of forty (40) days after the filing by the Trustee of the proof of the mailing of such last mentioned notice, except in the event of a final decree of a court of competent jurisdiction setting aside such Supplemental Indenture in a legal action or equitable proceeding for such purpose commenced within such forty (40) day period; provided, however, that the Trustee, the Authority and the city during such forty (40) day period and any such further period during which any such action or proceeding may be pending shall be entitled in their absolute discretion to take such action, or to refrain from taking such action, with respect to such Supplemental Indenture as they may deem expedient.

Effect of Supplemental Indenture. From and after the time any Supplemental Indenture becomes effective pursuant to this section, the Indenture shall be deemed to be modified and amended in accordance therewith, the respective rights, duties and obligations of the parties to the Indenture or thereto and all Owners of Outstanding Bonds, as the case may be, shall thereafter be determined, exercised and enforced under the Indenture subject in all respects to such modification and amendment, and all the terms and conditions of any Supplemental Indenture shall be deemed to be part of the terms and conditions of the Indenture for any and all purposes.

Endorsement or Replacement of Bonds After Amendment. After the effective date of any action taken as provided in the Indenture, the Authority may determine that the Bonds shall bear a notation, by endorsement in form approved by the Authority, as to such action, and in that case upon demand of the Owner of any Bond Outstanding at such effective date and presentation of his Bond for the purpose at the Corporate Trust Office of the Trustee, a suitable notation as to such action shall be made on such Bond. If the Authority shall so determine, new Bonds so modified as, in the opinion of the Authority, shall be necessary to conform to such action shall be prepared and executed, and in that case upon demand of the Owner of any Bond Outstanding at such effective date such new Bonds shall be exchanged at the Corporate Trust Office of the Trustee, without cost to each Bond Owner, for Bonds then outstanding, upon surrender of such Outstanding Bonds.

Amendment by Mutual Consent. The provisions of this section shall not prevent any Bond Owner from accepting any amendment as to the particular Bond held by him, provided that due notation thereof is made on such Bond and the Insurer consent thereto. The Insurer shall have the right to consent to any amendment to the Indenture to the extent provided in the Indenture.

Events of Default and Remedies

Events of Default. The following events shall be Events of Default under the Indenture:

- (a) Default in the due and punctual payment of the principal of any Bond when and as the same shall become due and payable.
- (b) Default in the due and punctual payment of any installment of interest on any Bond when and as such interest installment shall become due and payable.
- (c) Failure by the Authority to observe and perform any of the covenants, agreements or conditions on its part in the Indenture or in the Bonds, other than as referred to in the preceding clauses

(a) and (b), for a period of sixty (60) days, after written notice, specifying such failure and requesting that it be remedied has been given to the Authority, by the Trustee; provided, however, that if in the reasonable opinion of the Authority the failure stated in such notice can be corrected, but not within such sixty (60) day period, such failure shall not constitute an Event of Default if corrective action is instituted by the Authority within such sixty (60) day period and diligently pursued until such failure is corrected.

(d) The filing by the Authority of a petition or answer seeking reorganization or arrangement under the federal bankruptcy laws or any other applicable law of the United States of America, or if a court of competent jurisdiction shall approve a petition filed with or without the consent of the Authority seeking reorganization under the federal bankruptcy laws or any other applicable law of the United States of America, or if, under the provisions of any other law for the relief or aid of debtors, any court of competent jurisdiction shall assume custody or control of the Authority or of the whole or any substantial part of its property.

(e) The occurrence of any Event of Default under the Installment Purchase Agreement or any Related Contract.

Remedies Upon Event of Default. If any Event of Default shall occur, then, and in each and every such case during the continuance of such Event of Default, the Trustee may, and at the written direction of the owners of a majority in aggregate principal amount of the Bonds at the time Outstanding), and upon being indemnified to the Trustee's satisfaction, shall, upon notice in writing to the Authority and the City, pursue any available remedy at law or in equity to enforce the payment of the principal of and interest and premium (if any) on the Bonds, and to enforce any rights of the Trustee under or with respect to the Indenture; provided, that, such remedies shall not include any remedy of acceleration.

If an Event of Default shall have occurred and be continuing and if requested so to do by the owners of a majority in aggregate principal amount of Outstanding Bonds and indemnified as provided in the Indenture, the Trustee shall be obligated to exercise such one or more of the rights and powers conferred by this section, as the Trustee, being advised by counsel, shall deem most expedient in the interests of the Bond Owners.

No remedy by the terms of the Indenture conferred upon or reserved to the Trustee (or to the Bond Owners) is intended to be exclusive of any other remedy, but each and every such remedy shall be cumulative and shall be in addition to any other remedy given to the Trustee or to the Bond Owners under the Indenture or now or thereafter existing at law or in equity.

No delay or omission to exercise any right or power occurring upon any Event of Default shall impair any such right or power or shall be construed to be a waiver of any such Event of Default or acquiescence therein; such right or power may be exercised from time to time as often as may be deemed expedient.

Application of Project Revenues and Other Funds After Default. All amounts received by the Trustee pursuant to any right given or action taken by the Trustee under the provisions of the Indenture or held in any fund or account established by the Indenture shall be applied by the Trustee in the following order upon presentation of the several Bonds, and the stamping thereon of the amount of the payment if only partially paid, or upon the surrender thereof if fully paid:

First, to the payment of the fees, costs and expenses of the Trustee in declaring such Event of Default and in carrying out the provisions of this section and incurred in and about the performance of its powers and duties under the Indenture, including reasonable compensation to its agents, attorneys and counsel; and

Second, to the payment of the whole amount of interest on and principal of the Bonds then due and unpaid, with interest on overdue installments of principal and interest to the extent permitted by law at the net effective rate of interest then borne by the Outstanding Bonds; provided, however, that in the event such amounts shall be insufficient to pay in full the full amount of such interest and principal, then such amounts shall be applied in the following order of priority:

(a) first, to the payment of all installments of interest on the Bonds then due and unpaid, on a pro rata basis in the event that the available amounts are insufficient to pay all such interest in full,

(b) second, to the payment of principal of the Bonds then due and payable, on a pro rata basis in the event that the available amounts are insufficient to pay all such principal in full, and

(c) third, to the payment of interest on overdue installments of principal and interest, on a pro rata basis in the event that the available amounts are insufficient to pay all such interest in full.

Power of Trustee to Control Proceedings. In the event that the Trustee, upon the happening of an Event of Default, shall have taken any action, by judicial proceedings or otherwise, pursuant to its duties under the Indenture, whether upon its own discretion or upon the request of the owners of at least a majority in aggregate principal amount of the Bonds then Outstanding, it shall have full power, in the exercise of its discretion for the best interests of the Owners of the Bonds, with respect to the continuance, discontinuance, withdrawal, compromise, settlement or other disposal of such action; provided, however, that the Trustee shall not, unless there no longer continues an Event of Default, discontinue, withdraw, compromise or settle, or otherwise dispose of any litigation pending at law or in equity, if at the time there has been filed with it a written request signed by the Owners of a majority in aggregate principal amount of the Outstanding Bonds under the Indenture opposing such discontinuance, withdrawal, compromise, settlement or other disposal of such litigation. Any suit, action or proceeding which any owner of Bonds shall have the right to bring to enforce any right or remedy under the Indenture may be brought by the Trustee for the equal benefit and protection of all owners of Bonds similarly situated and the Trustee is appointed (and the successive respective Owners of the Bonds issued under the Indenture, by taking and holding the same, shall be conclusively deemed so to have appointed it) the true and lawful attorney-in-fact of the respective Owners of the Bonds for the purpose of bringing any such suit, action or proceeding and to do and perform any and all acts and things for and on behalf of the respective owners of the Bonds as a class or classes, as may be necessary or advisable in the opinion of the Trustee as such attorney-in-fact.

Appointment of Receivers. Upon the occurrence of an Event of Default under the Indenture, and upon the filing of a suit or other commencement of judicial proceedings to enforce the rights of the Trustee and of the Bond Owners under the Indenture, the Trustee shall be entitled, as a matter of right, to the appointment of a receiver or receivers of the Project Revenues and other amounts pledged under the Indenture, pending such proceedings, with such powers as the court making such appointment shall confer.

Non-Waiver. Nothing in this section or in any other provision of the Indenture, or in the Bonds, shall affect or impair the obligation of the Authority, which is absolute and unconditional, to pay the interest on and principal of the Bonds to the respective Owners of the Bonds at the respective dates of maturity, as provided in the Indenture, out of the Project Revenues and other moneys pledged in the Indenture for such payment.

A waiver of any default or breach of duty or contract by the Trustee or any Bond Owner shall not affect any subsequent default or breach of duty or contract, or impair any rights or remedies on any such subsequent default or breach. No delay or omission of the Trustee or any Owner of any of the Bonds to

exercise any right or power accruing upon any default shall impair any such right or power or shall be construed to be a waiver of any such default or an acquiescence therein; and every power and remedy conferred upon the Trustee or Bond Owners by the Act or by this section may be enforced and exercised from time to time and as often as shall be deemed expedient by the Trustee or the Bond Owners, as the case may be.

Rights and Remedies of Bond Owners. No Owner of any Bond issued under the Indenture shall have the right to institute any suit, action or proceeding at law or in equity, for any remedy under or upon the Indenture, the Installment Purchase Agreement or the Bonds, unless (a) such Owner shall have previously given to the Trustee written notice of the occurrence of an Event of Default; (b) the Owners of a majority in aggregate principal amount of all the Bonds then Outstanding shall have made written request upon the Trustee to exercise the powers granted in the Indenture or to institute such action, suit or proceeding in its own name; (c) said owners shall have tendered to the Trustee indemnity reasonably acceptable to the Trustee against the costs, expenses and liabilities to be incurred in compliance with such request; (d) the Trustee shall have refused or omitted to comply with such request for a period of sixty (60) days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee; and (e) no direction inconsistent with such written request has been given to the Trustee during such sixty (60) day period by the Owners of a majority in aggregate principal amount of the Bonds then Outstanding.

Such notification, request, tender of indemnity and refusal and omission are declared, in every case, to be conditions precedent to the exercise by any Owner of Bonds of any remedy under the Indenture; it being understood and intended that no one or more Owners of Bonds shall have any right in any manner whatever by his or their action to enforce any right under the Indenture, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any provision of the Indenture shall be instituted, had and maintained in the manner provided in the Indenture and for the equal benefit of all Owners of the outstanding Bonds.

The right of any Owner of any Bond to receive payment of the principal of and interest and premium (if any) on such Bond as provided in the Indenture or to institute suit for the enforcement of any such payment, shall not be impaired or affected without the written consent of such Owner, notwithstanding the foregoing provisions of this section or any other provision of the Indenture. The exercise of all remedies under this section shall be subject to the rights of the Insurer under the Bond Insurance provisions under the Indenture.

Termination of Proceedings. In case the Trustee shall have proceeded to enforce any right under the Indenture by the appointment of a receiver or otherwise, and such proceedings shall have been discontinued or abandoned for any reason, or shall have been determined adversely, then and in every such case, the Authority, the Trustee and the Bond Owners shall be restored to their former positions and rights under the Indenture, respectively, with regard to the property subject to the Indenture, and all rights, remedies and powers of the Trustee shall continue as if no such proceedings had been taken.

Bond Insurance Provisions

Insurer as Sole Holder of Bonds. The Insurer shall be deemed to be the sole Owner of the 2016 Bonds for the purpose of exercising any voting right or privilege or giving any consent or direction or taking any other action that the Owners of the 2016 Bonds are entitled to take pursuant to the Indenture pertaining to (i) defaults and remedies and (ii) the duties and obligations of the Trustee. In furtherance thereof and as a term of the Indenture and each 2016 Bond, the Trustee and each Owner of the 2016 Bonds appoint the Insurer as their agent and attorney-in-fact with respect to the 2016 Bonds and agree that the Insurer may at any time during the continuation of any proceeding by or against the Authority

under the United States Bankruptcy Code or any other applicable bankruptcy, insolvency, receivership, rehabilitation or similar law (an “Insolvency Proceeding”) direct all matters relating to such Insolvency Proceeding, including without limitation, (A) all matters relating to any claim or enforcement proceeding in connection with an Insolvency Proceeding (a “Claim”), (B) the direction of any appeal of any order relating to any Claim, (C) the posting of any surety, supersedeas or performance bond pending any such appeal, and (D) the right to vote to accept or reject any plan of adjustment. In addition, the Trustee and each Owner of the 2016 Bonds delegate and assign to the Insurer, to the fullest extent permitted by law, the rights of the Trustee and each Owner of the 2016 Bonds with respect to the 2016 Bonds in the conduct of any Insolvency Proceeding, including, without limitation, all rights of any party to an adversary proceeding or action with respect to any court order issued in connection with any such Insolvency Proceeding.

Covenant Default Period. Notwithstanding anything to the contrary stated in the Indenture, no grace period for a covenant default under the Indenture shall exceed thirty (30) days or be extended for more than sixty (60) days, without the prior written consent of the Insurer. No grace period shall be permitted for payment defaults under the Indenture.

Insurer as Third Party Beneficiary. The Insurer is explicitly recognized as being a third party beneficiary under the Indenture and may enforce any such right, remedy or claim conferred, given or granted under the Indenture.

Selection of Bonds for Redemption. Upon the occurrence of an extraordinary optional, special or extraordinary mandatory redemption in part, the selection of the 2016 Bonds to be redeemed shall be subject to the approval of the Insurer. The exercise of any provision of the Indenture which permits the purchase of the 2016 Bonds in lieu of redemption shall require the prior written approval of the Insurer if any 2016 Bond so purchased is not cancelled upon purchase.

Insurer Consent to Amendments. Any amendment, supplement, modification to, or waiver of, the Indenture, or any other transaction document, including any underlying security agreement (each a “Related Document”), that requires the consent of Owners or adversely affects the rights and interests of the Insurer shall be subject to the prior written consent of the Insurer.

Acquisition Fund. Unless the Insurer otherwise directs, upon the occurrence and continuance of an Event of Default or an event which with notice or lapse of time would constitute an Event of Default, amounts on deposit in the Acquisition Fund shall not be disbursed, but shall instead be applied to the payment of debt service or redemption price of the 2016 Bonds.

Insurer’s Right to Direct Actions. The rights granted to the Insurer under the Indenture to request, consent to or direct any action are rights granted to the Insurer in consideration of its issuance of the Insurance Policy. Any exercise by the Insurer of such rights is merely an exercise of the Insurer’s contractual rights and shall not be construed or deemed to be taken for the benefit, or on behalf, of the Owners and such action does not evidence any position of the Insurer, affirmative or negative, as to whether the consent of the Owners or any other person is required in addition to the consent of the Insurer.

Defeasance Securities. So long as the Insurance Policy is in effect, Defeasance Obligations shall mean only (1) cash, (2) non-callable direct obligations of the United States of America (“Treasuries”), (3) evidences of ownership of proportionate interests in future interest and principal payments on Treasuries held by a bank or trust company as custodian, under which the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor and the underlying Treasuries are not available to any person claiming through the custodian or to whom the custodian may

be obligated, (4) subject to the prior written consent of the Insurer, pre-refunded municipal obligations rated “AAA” and “Aaa” by S&P and Moody’s, respectively, or (5) subject to the prior written consent of the Insurer, securities eligible for “AAA” defeasance under then-existing criteria of S&P or any combination thereof, shall be used to effect defeasance of the 2016 Bonds unless the Insurer otherwise approves. To accomplish defeasance of the 2016 Bonds, the Authority shall cause to be delivered (i) a report of an independent firm of nationally recognized certified public accountants or such other accountant as shall be acceptable to the Insurer (“Accountant”) verifying the sufficiency of the escrow established to pay the in full on the maturity or redemption date (“Verification”), (ii) an escrow deposit agreement or other written instructions to the Trustee (which shall be acceptable in form and substance to the Insurer) (iii) an opinion of nationally recognized bond counsel to the effect that the 2016 Bonds are no longer “Outstanding” under the Indenture and (iv) a certificate of discharge of the Trustee with respect to the 2016 Bonds; each Verification and defeasance opinion shall be acceptable in form and substance, and addressed, to the Authority, Trustee and Insurer. The Insurer shall be provided with final drafts of the above-referenced documentation not less than five Business Days prior to the funding of the escrow. 2016 Bonds shall be deemed “Outstanding” under the Indenture unless and until they are in fact paid and retired or the above criteria are met.

Amounts Paid by Insurer. Amounts paid by the Insurer under the Insurance Policy shall not be deemed paid for purposes of the Indenture and the 2016 Bonds relating to such payments shall remain Outstanding and continue to be due and owing until paid by the Authority in accordance with the Indenture. The Indenture shall not be discharged unless all amounts due or to become due to the Insurer have been paid in full or duly provided for.

Action to Preserve Pledge. Each of the Authority and Trustee (to the extent directed in writing) covenant and agree to take such action (including, as applicable, filing of UCC financing statements with regard to the Authority and continuations thereof) as is necessary from time to time to preserve the priority of the pledge of Project Revenues pursuant to applicable law.

Claims Upon the Insurance Policy and Payments by and to Insurer. If, on the third Business Day prior to the related scheduled interest payment date or principal payment date (“Payment Date”) there is not on deposit with the Trustee, after making all transfers and deposits required under the Indenture, moneys sufficient to pay the principal of and interest on the 2016 Bonds due on such Payment Date, the Trustee shall give notice to the Insurer and to its designated agent (if any) (the “Insurer’s Fiscal Agent”) by telephone or teletype of the amount of such deficiency by 12:00 noon, New York City time, on such Business Day. If, on the second Business Day prior to the related Payment Date, there continues to be a deficiency in the amount available to pay the principal of and interest on the 2016 Bonds due on such Payment Date, the Trustee shall make a claim under the Insurance Policy and give notice to the Insurer and the Insurer’s Fiscal Agent (if any) by telephone of the amount of such deficiency, and the allocation of such deficiency between the amount required to pay interest on the 2016 Bonds and the amount required to pay principal of the 2016 Bonds, confirmed in writing to the Insurer and the Insurer’s Fiscal Agent by 12:00 noon, New York City time, on such second Business Day by filling in the form of Notice of Claim and Certificate delivered with the Insurance Policy.

The Trustee shall designate any portion of payment of principal on the 2016 Bonds paid by the Insurer, whether by virtue of mandatory sinking fund redemption, maturity or other advancement of maturity, on its books as a reduction in the principal amount of Bonds registered to the then current Owner, whether DTC or its nominee or otherwise, and shall issue a replacement Bond to the Insurer, registered in the name of Assured Guaranty Municipal Corp., in a principal amount equal to the amount of principal so paid (without regard to authorized denominations); provided that the Trustee’s failure to so designate any payment or issue any replacement Bond shall have no effect on the amount of principal or interest payable by the Authority on any Bond or the subrogation rights of the Insurer.

The Trustee shall keep a complete and accurate record of all funds deposited by the Insurer into the Policy Payments Account (defined below) and the allocation of such funds to payment of interest on and principal of any Bond. The Insurer shall have the right to inspect such records at reasonable times upon reasonable notice to the Trustee.

Upon payment of a claim under the Insurance Policy, the Trustee shall establish a separate special purpose trust account for the benefit of Owners referred to in the Indenture as the "Policy Payments Account" and over which the Trustee shall have exclusive control and sole right of withdrawal. The Trustee shall receive any amount paid under the Insurance Policy in trust on behalf of Owners and shall deposit any such amount in the Policy Payments Account and distribute such amount only for purposes of making the payments for which a claim was made. Such amounts shall be disbursed by the Trustee to Owners in the same manner as principal and interest payments are to be made with respect to the 2016 Bonds under the sections thereof regarding payment of Bonds. It shall not be necessary for such payments to be made by checks or wire transfers separate from the check or wire transfer used to pay debt service with other funds available to make such payments. Notwithstanding anything in the Indenture to the contrary, the Authority agrees to pay to the Insurer solely from Project Revenues, (i) an amount equal to the total of all amounts paid by the Insurer under the Insurance Policy (the "Insurer Advances"); and (ii) an amount equal to the interest on such Insurer Advances from the date paid by the Insurer until payment thereof in full, payable to the Insurer at the Late Payment Rate per annum (collectively, the "Insurer Reimbursement Amounts"). "Late Payment Rate" means the lesser of (a) the greater of (i) the per annum rate of interest, publicly announced from time to time by JPMorgan Chase Bank at its principal office in The City of New York, as its prime or base lending rate (any change in such rate of interest to be effective on the date such change is announced by JPMorgan Chase Bank) plus 3%, and (ii) the then applicable highest rate of interest on the 2016 Bonds and (b) the maximum rate permissible under applicable usury or similar laws limiting interest rates. The Late Payment Rate shall be computed on the basis of the actual number of days elapsed over a year of 360 days. The Authority covenants and agrees that the Insurer Reimbursement Amounts are secured by a lien on and pledge of the Project Revenues and payable from such Project Revenues on a parity with debt service due on the 2016 Bonds.

Funds held in the Policy Payments Account shall not be invested by the Trustee and may not be applied to satisfy any costs, expenses or liabilities of the Trustee. Any funds remaining in the Policy Payments Account following a 2016 Bond Payment Date shall promptly be remitted to the Insurer.

The Authority shall take all actions required by the Dissolution Act to ensure that all Insurer Reimbursement Amounts (including any amounts due the Insurer pursuant to item (m) below) are paid to the Insurer when due, including the submission of Recognized Obligation Payment Schedules providing for Insurer Reimbursement Amounts and such other amounts.

Subrogation of Rights. The Insurer shall, to the extent it makes any payment of principal of or interest on the 2016 Bonds, become subrogated to the rights of the recipients of such payments in accordance with the terms of the Insurance Policy (which subrogation rights shall also include the rights of any such recipients in connection with any Insolvency Proceeding). Each obligation of the Authority to the Insurer under the Indenture shall survive discharge or termination of such Indenture.

Reimbursement of Insurer. The Authority shall pay or reimburse, or cause the City to pay and reimburse, the Insurer any and all charges, fees, costs and expenses that the Insurer may reasonably pay or incur in connection with (i) the administration, enforcement, defense or preservation of any rights or security in the Indenture; (ii) the pursuit of any remedies under the Indenture or otherwise afforded by law or equity, (iii) any amendment, waiver or other action with respect to, or related to, the Indenture or any other Related Document whether or not executed or completed, or (iv) any litigation or other dispute in connection with the Indenture or the transactions contemplated thereby, other than costs resulting from

the failure of the Insurer to honor its obligations under the Insurance Policy. The Insurer reserves the right to charge a reasonable fee as a condition to executing any amendment, waiver or consent proposed in respect of the Indenture.

Application of Funds Upon Default. After payment of reasonable expenses of the Trustee, the application of funds realized upon default shall be applied to the payment of expenses of the Authority or rebate only after the payment of past due and current debt service on the 2016 Bonds and amounts required to restore the Reserve Fund to the Reserve Requirement.

Payment on the 2016 Bonds. The Insurer shall be entitled to pay principal or interest on the 2016 Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Authority (as such terms are defined in the Insurance Policy), and any amounts due on the 2016 Bonds as a result of acceleration of the maturity thereof in accordance with the Indenture, whether or not the Insurer has received a Notice of Nonpayment (as such terms are defined in the Insurance Policy) or a claim upon the Insurance Policy.

Finances and Accounts. The Authority will permit the Insurer to discuss the affairs, finances and accounts of the Authority or any information the Insurer may reasonably request regarding the security for the 2016 Bonds with appropriate officers of the Authority and will use commercially reasonable efforts to enable the Insurer to have access to the facilities, books and records of the Authority on any business day upon reasonable prior notice.

Notices. The Trustee shall notify the Insurer of any failure of the Authority to provide notices, certificates and other information under the Indenture.

Additional Bonds. Notwithstanding satisfaction of the other conditions to the issuance of additional bonds set forth in the Indenture, no such issuance may occur (1) if an Event of Default (or any event which, once all notice or grace periods have passed, would constitute an Event of Default) exists unless such default shall be cured upon such issuance and (2) unless the Reserve Fund is fully funded at the Reserve Requirement (including the proposed issue) upon the issuance of such additional bonds, in either case unless otherwise permitted by the Insurer.

Amendments. In determining whether any amendment, consent, waiver or other action to be taken, or any failure to take action, under the Indenture would adversely affect the security for the 2016 Bonds or the rights of the Owners, the Trustee shall consider the effect of any such amendment, consent, waiver, action or inaction as if there were no Insurance Policy.

No Contract. No contract shall be entered into or any action taken by which the rights of the Insurer or security for or sources of payment of the 2016 Bonds may be impaired or prejudiced in any material respect except upon obtaining the prior written consent of the Insurer.

Investment Agreements. Any interest rate exchange agreement or similar hedge or swap agreement entered into by the Authority on parity with the 2016 Bonds shall be subject to the Insurer's prior written consent.

Rights of Insurer. The rights granted to the Insurer under the Indenture or any other Related Document to request, consent to or direct any action are rights granted to the Insurer in consideration of its issuance of the Insurance Policy. Any exercise by the Insurer of such rights is merely an exercise of the Insurer's contractual rights and shall not be construed or deemed to be taken for the benefit, or on behalf, of the Owners and such action does not evidence any position of the Insurer, affirmative or

negative, as to whether the consent of the Owners or any other person is required in addition to the consent of the Insurer.

Additional Information. The Insurer shall be provided with the following information by the Authority or Trustee, as the case may be:

- (i) Annual audited financial statements within 180 days after the end of the City's fiscal year (together with a certification of the Authority that it is not aware of any default or Event of Default under the Indenture) and the City's annual budget within 30 days after the approval thereof together with such other information, data, or reports as the Insurer shall reasonably request from time to time;
- (ii) Notice of any draw upon the Reserve Fund within two Business Days after knowledge thereof other than (i) withdrawals of amounts in excess of the Reserve Requirement and (ii) withdrawals in connection with a refunding of Bonds;
- (iii) Notice of any default known to the Trustee or Authority within five Business Days after knowledge thereof;
- (iv) Prior notice of the advance refunding or redemption of any of the 2016 Bonds, including the principal amount, maturities and CUSIP numbers thereof;
- (v) Notice of the resignation or removal of the Trustee and Bond Registrar and the appointment of, and acceptance of duties by, any successor thereto;
- (vi) Notice of the commencement of any Insolvency Proceeding;
- (vii) Notice of the making of any claim in connection with any Insolvency Proceeding seeking the avoidance as a preferential transfer of any payment of principal of, or interest on, the 2016 Bonds;
- (viii) A full original transcript of all proceedings relating to the execution of any amendment, supplement, or waiver to the Indenture;
- (ix) All reports, notices and correspondence to be delivered to Bondholders under the terms of the Indenture; and
- (x) The Insurer shall have the right to receive additional information as it may reasonably request.

Reserve Policy Provisions. With respect to the Reserve Policy, as long as the Reserve Policy shall be in full force and effect, notwithstanding anything to the contrary set forth in the Indenture the Authority and the Trustee agree to comply with the following provisions; provided, however, that any amounts due to the Insurer with respect to the Reserve Policy under the Indenture, shall be valid and payable in accordance with this section.

(a) The Authority shall repay solely from Project Revenues any draws under the Reserve Policy and pay all related reasonable expenses incurred by the Insurer and shall pay interest thereon from the date of payment by the Insurer at the Late Payment Rate. "Late Payment Rate" means the lesser of (x) the greater of (i) the per annum rate of interest, publicly announced from time to time by JPMorgan Chase Bank at its principal office in the City of New York, as its prime or base lending rate ("Prime

Rate”) (any change in such Prime Rate to be effective on the date such change is announced by JPMorgan Chase Bank) plus 3%, and (ii) the then applicable highest rate of interest on the 2016 Bonds and (y) the maximum rate permissible under applicable usury or similar laws limiting interest rates. The Late Payment Rate shall be computed on the basis of the actual number of days elapsed over a year of 360 days. In the event JPMorgan Chase Bank ceases to announce its Prime Rate publicly, Prime Rate shall be the publicly announced prime or base lending rate of such national bank as the Insurer shall specify. If the interest provisions of this subparagraph (a) shall result in an effective rate of interest which, for any period, exceeds the limit of the usury or any other laws applicable to the indebtedness created in the Indenture, then all sums in excess of those lawfully collectible as interest for the period in question shall, without further agreement or notice between or by any party to the Indenture, be applied as additional interest for any later periods of time when amounts are outstanding under the Indenture to the extent that interest otherwise due under the Indenture for such periods plus such additional interest would not exceed the limit of the usury or such other laws, and any excess shall be applied upon principal immediately upon receipt of such moneys by the Insurer, with the same force and effect as if the Authority had specifically designated such extra sums to be so applied and the Insurer had agreed to accept such extra payment(s) as additional interest for such later periods. In no event shall any agreed-to or actual exaction as consideration for the indebtedness created in the Indenture exceed the limits imposed or provided by the law applicable to this transaction for the use or detention of money or for forbearance in seeking its collection.

Repayment of draws and payment of expenses and accrued interest thereon at the Late Payment Rate (collectively, “Policy Costs”) from Project Revenues shall commence in the first month following each draw, and each such monthly payment shall be in an amount at least equal to 1/12 of the aggregate of Policy Costs related to such draw.

The Authority shall take all actions required by the Dissolution Act to ensure that Policy Costs are paid to the Insurer when due, including the submittal of Recognized Obligation Payment Schedules providing for Policy Costs that are payable to the Insurer.

Amounts in respect of Policy Costs paid to the Insurer shall be credited first to interest due, then to the expenses due and then to principal due. As and to the extent that payments are made to the Insurer on account of principal due, the coverage under the Reserve Policy will be increased by a like amount, subject to the terms of the Reserve Policy. The obligation to pay Policy Costs shall be secured by a valid lien on all Project Revenues (subject only to the priority of payment provisions set forth under the Indenture).

All cash and investments in the Reserve Fund shall be transferred to the Interest Account, the Principal Account, and the Sinking Account for payment of debt service on the 2016 Bonds before any drawing may be made on the Reserve Policy or any other Reserve Account Credit Facility credited to the Reserve Fund in lieu of cash (“Credit Facility”). Payment of any Policy Costs shall be made prior to replenishment of any such cash amounts. Draws on all Credit Facilities (including the Reserve Policy) on which there is available coverage shall be made on a pro-rata basis (calculated by reference to the coverage then available thereunder) after applying all available cash and investments in the Reserve Fund. Payment of Policy Costs and reimbursement of amounts with respect to other Credit Facilities shall be made on a pro-rata basis prior to replenishment of any cash drawn from the Reserve Fund. For the avoidance of doubt, “available coverage” means the coverage then available for disbursement pursuant to the terms of the applicable alternative credit instrument without regard to the legal or financial ability or willingness of the provider of such instrument to honor a claim or draw thereon or the failure of such provider to honor any such claim or draw.

(b) If the Authority shall fail to pay any Policy Costs in accordance with the requirements of subparagraph (a) above, the Insurer shall be entitled to exercise any and all legal and equitable remedies available to it, including those provided under the Indenture other than (i) acceleration of the maturity of the 2016 Bonds or (ii) remedies which would adversely affect owners of the 2016 Bonds.

(c) The Indenture shall not be discharged until all Policy Costs owing to the Insurer shall have been paid in full. The Authority's obligation to pay such amounts shall expressly survive payment in full of the 2016 Bonds.

(d) The Authority shall include any Policy Costs then due and owing to the Insurer in the calculation of the Additional Bonds test and rate covenant in the Indenture.

(e) The Trustee shall ascertain the necessity for a claim upon the Reserve Policy in accordance with the provisions of subsection (a) above and provide notice to the Insurer in accordance with the terms of the Reserve Policy at least five Business Days prior to each date upon which interest or principal is due on the 2016 Bonds. Where deposits are required to be made by the Authority with the Trustee to the Interest Account, the Principal Account and the Sinking Account for the 2016 Bonds more often than semi-annually, the Trustee shall be instructed to give notice to the Insurer of any failure of the Authority to make timely payment in full of such deposits within two Business Days of the date due.

Miscellaneous

Limited Liability of Authority. Notwithstanding anything in the Indenture contained, the Authority shall not be required to advance any moneys derived from any source of income other than the Project Revenues, and the funds and accounts pledged or assigned under the Indenture, for the payment of principal of or interest on the Bonds, or for the performance of any covenants contained in the Indenture (except to the extent any such covenants are expressly payable under the Indenture from the Project Revenues, and the funds and accounts pledged or assigned under the Indenture, or otherwise from amounts payable under the Installment Purchase Agreement). The Authority may, however, advance funds for any such purpose, provided that such funds are derived from a source legally available for such purpose and may be used by the Authority for such purpose without incurring indebtedness.

The Bonds shall be revenue bonds, payable exclusively from the Project Revenues and other funds as in the Indenture provided. Neither the general fund of the Authority nor the general fund of the City is liable, and the credit of the Authority and the City is not pledged, for the payment of the interest and premium (if any) on or principal of the Bonds. The Owners of the Bonds shall never have the right to compel the forfeiture of any property of the Authority or the City. The principal of and interest on the Bonds shall not be a legal or equitable pledge, charge, lien or encumbrance upon any property of the Authority or the City or upon any of its income, receipts or revenues except the Project Revenues and other funds pledged to the payment thereof as in the Indenture provided.

Benefits of Indenture Limited. Nothing in the Indenture, expressed or implied, is intended to give to any person other than the Authority, the Trustee, the City and the Owners of the Bonds, any right, remedy or claim under or by reason of the Indenture. Any covenants, stipulations, promises or agreements in the Indenture contained by and on behalf of the Authority shall be for the sole and exclusive benefit of the Trustee, the City and the Owners of the Bonds.

Discharge of Indenture. If the Authority shall pay and discharge any or all of the Outstanding Bonds in any one or more of the following ways:

(a) by well and truly paying or causing to be paid the principal of, and the interest and premium (if any) on, such Bonds as and when the same become due and payable;

(b) by irrevocably depositing with the Trustee, in trust, at or before maturity, money which, together with the available amounts then on deposit in the funds and accounts established with the Trustee pursuant to the Indenture, the Installment Purchase Agreement and any Related Contracts, is fully sufficient to pay such Bonds, including all principal, interest and premium (if any); or

(c) by irrevocably depositing with the Trustee or any other fiduciary, in trust, Defeasance Securities in such amount as Bond Counsel or an Independent Accountant shall determine will, together with the interest to accrue thereon and available moneys then on deposit in the funds and accounts established with the Trustee pursuant to the Indenture, the Installment Purchase Agreement and any Related Contracts, be fully sufficient to pay and discharge the indebtedness on such Bonds (including all principal and interest) at or before their respective maturity dates;

then, upon the Written Request of the Authority (at the direction of the City), and notwithstanding that any of such Bonds shall not have been surrendered for payment, the pledge of the Project Revenues and other funds provided for in the Indenture with respect to such Bonds, and all other pecuniary obligations of the Authority under the Indenture with respect to all such Bonds, shall cease and terminate, except only the obligation of the Authority to pay or cause to be paid to the owners of such Bonds not so surrendered and paid all sums due thereon from amounts set aside for such purpose as aforesaid, and all expenses and costs of the Trustee. Any funds held by the Trustee following any payment or discharge of the Outstanding Bonds pursuant to this section, which are not required for said purposes and the payment of the fees and expenses of the Trustee, shall be paid over to the Authority.

Execution of Documents by Bond Owners. Any request, consent or other instrument required by the Indenture to be signed and executed by Bond Owners may be in any number of concurrent writings of similar tenor and may be signed or executed by such Bond Owners in person or by their attorneys duly appointed in writing. Proof of the execution of any such request, consent or other instrument or of a writing appointing any such attorney, shall be sufficient for any purpose of the Indenture and shall be conclusive in favor of the Trustee and of the Authority if made in the manner provided in this section, or in any other manner satisfactory to the Trustee, which may nevertheless in its discretion require further or other proof in cases where it deems the same desirable.

The fact and date of the execution by any person of any such request, consent or other instrument or writing may be proved by the affidavit of a witness of such execution, by a guarantee of the signature thereon by a bank or trust company or by the certificate of any notary public or other officer of any jurisdiction, authorized by the laws thereof to take acknowledgments of deeds, certifying that the person signing such request, consent or other instrument or writing acknowledged to him the execution thereof.

The ownership of Bonds shall be proved by the Registration Books. Any request, consent or vote of the owner of any Bond shall bind every future owner of the same Bond and the Owner of any Bond issued in exchange therefor or in lieu thereof, in respect of anything done or suffered to be done by the Trustee or the Authority in pursuance of such request, consent or vote. In lieu of obtaining any demand, request, direction, consent or waiver in writing, the Trustee may call and hold a meeting of the Bond Owners upon such notice and in accordance with such rules and obligations as the Trustee considers fair and reasonable for the purpose of obtaining any such action.

Disqualified Bonds. In determining whether the Owners of the requisite aggregate principal amount of Bonds have concurred in any demand, request, direction, consent or waiver under the Indenture, Bonds which are owned or held by or for the account of the City or the Authority (but

excluding Bonds held in any employees retirement fund) shall be disregarded and deemed not to be outstanding for the purpose of any such determination; provided, however, that for the purpose of determining whether the Trustee shall be protected in relying on any such demand, request, direction, consent or waiver, only Bonds which the Trustee knows to be so owned or held shall be disregarded. At the time of any consent or other action taken under the Indenture, the Authority and the City shall furnish the Trustee a certificate of an Authorized Authority Representative and Authorized City Representative, upon which the Trustee may rely, describing all Bonds so to be excluded.

Determination of Percentage of Bond Owners; Exclusion of Bonds. Whenever in the Indenture the consent, direction or other action is required or permitted to be given or taken by a percentage of the Owners of an aggregate principal amount of Outstanding Bonds (including by the Owners of a majority in aggregate principal amount of the Outstanding Bonds), such percentage shall be calculated on the basis of the principal amount of the Outstanding Bonds determined as of the next succeeding Interest Payment Date.

Payments of Bonds; Unclaimed Moneys.

(a) If and when the principal and interest on the Bonds issued pursuant to the Indenture shall become due and payable in accordance with their terms, all amounts payable to the Trustee and the Paying Agent have been paid and the whole amount of the principal and interest due and payable on all of the Bonds shall have been paid or set aside for payment with the Trustee or a Paying Agent, then and in that case, the right, title and interest of the Trustee under the Indenture shall thereupon cease, terminate and become void, and the Trustee shall convey all property, other than money held by the Trustee or paying Agent for the payment of unrepresented Bonds, and interest therein which it obtained under the Indenture free and clear of all liens thereon which the Trustee may have.

(b) Anything in the Indenture to the contrary notwithstanding, subject to the laws of the State, any moneys held by the Trustee in trust for the payment and discharge of the principal and interest on the Bonds which remain unclaimed for one year after the date when such payments have become due and payable, if such moneys were held by the Trustee at such date, or for one year after the date of deposit of such moneys if deposited with the Trustee after said date when such Bonds become due and payable, shall be repaid by the Trustee to the Authority, as its absolute property and free from trust, and the Trustee shall thereupon be released and discharged with respect thereto and the Bond Owners shall look only to the Authority for the payment of such Bonds; provided, however, that before being required to make any such payment to the Authority, the Trustee shall, at the expense of the Authority, cause to be mailed to the Owners of all such Bonds, at their respective addresses appearing on the Registration Books, a notice that said moneys remain unclaimed and that, after a date named in said notice, which date shall not be less than 30 days after the date of mailing of such notice, the balance of such moneys then unclaimed will be returned to the Authority.

INSTALLMENT PURCHASE AGREEMENT

Purchase and Sale of 2016 Sewer Project

Purchase and Sale of 2016 Sewer Project. The Authority agrees to purchase the 2016 Sewer Project and to sell the 2016 Sewer Project to the City for the Purchase Price. The City agrees to sell the 2016 Sewer Project to the Authority and to purchase the 2016 Sewer Project from the Authority for the Purchase Price.

Changes to the 2016 Sewer Project. The City may substitute other improvements for those listed as components of the 2016 Sewer Project in an Exhibit to the Installment Purchase Agreement, but only if the City first files with the Authority and the Trustee a Certification of the City:

(a) identifying such other improvements and the improvements to City facilities they will replace in the 2016 Sewer Project; and

(b) stating that the estimated costs of construction, acquisition and installation of the substituted improvements are not less than such costs for the improvements previously planned, and that the weighted average useful life of the components of the 2016 Sewer Project after such substitution is not less than such useful life prior to such substitution.

Purchase Payments

Purchase Price.

(a) The Purchase Price to be paid by the City under the Installment Purchase Agreement to the Authority is the sum of the principal amount of the City's obligations under the Installment Purchase Agreement plus the interest to accrue on the unpaid balance of such principal amount from the effective date of the Installment Purchase Agreement over the term thereof, subject to prepayment as provided in the Installment Purchase Agreement.

(b) The principal amount of the payments to be made by the City under the Installment Purchase Agreement on each 2016 Purchase Payment Date is set forth in an Exhibit B to the Installment Purchase Agreement.

(c) The interest to accrue on the unpaid balance of such principal amount is as specified in the Installment Purchase Agreement, and shall be paid by the City as and constitute interest paid on the principal amount of the City's obligations under the Installment Purchase Agreement.

2016 Purchase Payments. The City shall, subject to any rights of prepayment provided in the Installment Purchase Agreement, pay the Authority the Purchase Price in installment payments of interest and principal in the amounts and on the 2016 Purchase Payment Dates as set forth in the Installment Purchase Agreement.

Each 2016 Purchase Payment shall be paid to the Authority in lawful money of the United States of America. In the event the City fails to make any of the payments required to be made by it under this section, such payment shall continue as an obligation of the City until such amount shall have been fully paid; and the City agrees to pay the same with interest accruing thereon at the rate or rates of interest then applicable to the remaining unpaid principal balance of the 2016 Purchase Payments if paid in accordance with their terms.

The obligation of the City to make the 2016 Purchase Payments is absolute and unconditional, and until such time as the Purchase Price shall have been paid in full (or provision for the payment thereof shall have been made pursuant to the Indenture), the City will not discontinue or suspend any 2016 Purchase Payments required to be made by it under this section when due, whether or not the 2016 Sewer Project or any part thereof is operating or operable, or its use is suspended, interfered with, reduced or curtailed or terminated in whole or in part, and such payments shall not be subject to reduction whether by offset or otherwise and shall not be conditional upon the performance or nonperformance by any party to any agreement for any cause whatsoever.

Notwithstanding anything in the Installment Purchase Agreement to the contrary, the parties to the Installment Purchase Agreement acknowledge that pursuant to the Indenture the Authority has assigned to the Trustee, as security for the 2016 Bonds, all 2016 Purchase Payments received and receivable from the City. The City consents to such assignment and agrees that all 2016 Purchase Payments shall be made directly to the Trustee.

Additional Purchase Payments.

(a) In addition to 2016 Purchase Payments, the City shall also pay to the Authority, the Trustee, any provider of a Reserve Account Credit Facility or the United States Treasury Department, as the case may be, "Additional Purchase Payments," as follows:

(i) All taxes and assessments of any type or character charged to the Authority or to the Trustee affecting the amount available to the Authority or the Trustee from payments to be received under the Installment Purchase Agreement or in any way arising due to the transactions contemplated under the Installment Purchase Agreement (including taxes, service charges, and assessments and other governmental charges lawfully assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments) but excluding franchise taxes based upon the capital and/or income of the Trustee and taxes based upon or measured by the net income of the Trustee; provided, however, that the City shall have the right to protest in good faith any such taxes or assessments and to require the Authority or the Trustee, at the City's expense, to protest and contest any such taxes or assessments levied upon them and the City shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest could, in the reasonable opinion of the Authority, adversely affect the rights or interests of the Authority or the Trustee;

(ii) Any taxes which may be imposed on the sale, resale, use, possession or ownership of the Enterprise pursuant to the Installment Purchase Agreement;

(iii) All reasonable fees, charges and expenses of the Trustee, as and when the same become due and payable;

(iv) The reasonable fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Authority or the Trustee to prepare audits, financial statements, reports, opinions or provide such other services required under the Installment Purchase Agreement or the Indenture;

(v) The reasonable costs and expenses of the Authority as provided in the Installment Purchase Agreement in connection with the Installment Purchase Agreement, the 2016 Bonds or the Indenture, including any and all expenses incurred in connection with the issuance, sale and delivery of any such 2016 Bonds or in connection with any litigation which may at any time be instituted involving the Installment Purchase Agreement, the 2016 Bonds or the Indenture or any of the other documents contemplated under the Installment Purchase Agreement;

(vi) Any Policy Costs as and when the same become due and payable, to the Trustee or to the provider of the related Reserve Account Credit Facility pursuant to the terms thereof; and

(vii) Any amount required to be paid to the United States Treasury Department pursuant to the Installment Purchase Agreement.

(b) Such Additional Purchase Payments to the Authority or the Trustee shall be billed to the City by the Authority or the Trustee, as the case may be, from time to time, together with a statement certifying that the amount billed has been incurred or paid by the Authority or the Trustee, for one or more of the above items. After such a demand, amounts so billed shall be paid by the City within 30 days after receipt of the bill by the City.

Prepayment of 2016 Purchase Payments. 2016 Purchase Payments are subject to prepayment as provided in the Installment Purchase Agreement. All prepayments of 2016 Purchase Payments shall be made in funds immediately available on the Prepayment Date.

(a) Optional Prepayment. Prior to August 1, 2026, the City shall not have the option to prepay remaining Principal Components of 2016 Purchase Payments. From and after August 1, 2026, the City shall have the option to prepay remaining Principal Components of 2016 Purchase Payments in whole or in part (in an amount equal to Authorized Denominations), in any order of maturity, to the extent the Authority has the ability to effect an optional redemption of the 2016 Bonds. Such prepayment shall be effected by depositing with the Trustee the Prepayment Price with respect thereto on or before the Prepayment Date. The City shall give the Trustee written notice of its intention to exercise its option to prepay not more than 90 and not less than 45 days in advance of the date of such prepayment.

(b) Effect of Prepayment. In the event that the City prepays the 2016 Purchase Payments in whole, the amount paid shall be applied to the redemption in full of the principal and interest with respect to the 2016 Bonds in accordance with the Indenture. In the event that the City prepays the 2016 Purchase Payments in part, such prepayment shall be applied to the prepayment of the 2016 Purchase Payments as follows: (i) the City shall designate which Principal Components are being prepaid, and to what extent, and the Principal Component of each remaining 2016 Purchase Payment shall be reduced accordingly, in each case in the amount equal to Authorized Denominations in excess thereof corresponding to the principal amount of 2016 Bonds redeemed pursuant to the Indenture; and (ii) the Interest Component of each remaining 2016 Purchase Payment shall be reduced by the aggregate corresponding amount of interest which would otherwise be payable on the 2016 Bonds thereby redeemed pursuant to the Indenture. Upon any prepayment of 2016 Purchase Payments in part, the City shall provide the Authority with an amended Exhibit to the Installment Purchase Agreement.

Covenants of the City

Compliance with Installment Purchase Agreement and Ancillary Agreements. The City will punctually pay the 2016 Purchase Payments in strict conformity with the terms of the Installment Purchase Agreement, and will faithfully observe and perform all the agreements, conditions, covenants and terms contained in the Installment Purchase Agreement required to be observed and performed by it, and will not terminate the Installment Purchase Agreement for any cause including, without limiting the generality of the foregoing, any acts or circumstances that may constitute failure of consideration, destruction of or damage to the 2016 Sewer Project, commercial frustration of purpose, any change in the tax or other laws of the United States of America or of the State of California or any political subdivision of either or any failure of the Authority to observe or perform any agreement, condition, covenant or term contained in the Installment Purchase Agreement required to be observed and performed by it, whether express or implied, or any duty, liability or obligation arising out of or connected with the Installment Purchase Agreement or the insolvency, or deemed insolvency, or bankruptcy or liquidation of the Authority or any force major, including acts of God, tempest, storm, earthquake, war, rebellion, riot, civil disorder, acts of public enemies, blockade or embargo, strikes, industrial disputes, lock outs, lack of transportation facilities, fire, explosion, or acts or regulations of governmental authorities.

The City will faithfully observe and perform all the agreements, conditions, covenants and terms contained in the Indenture required to be observed and performed by it; and it is expressly understood and agreed by and between the parties to the Installment Purchase Agreement that, subject to the Installment Purchase Agreement, each of the agreements, conditions, covenants and terms contained in each of the Installment Purchase Agreement and the Indenture is an essential and material term of the purchase of and payment for the 2016 Sewer Project by the City pursuant to, and in accordance with, and as authorized under, the Act.

The City will faithfully observe and perform all the agreements, conditions, covenants and terms required to be observed and performed by it pursuant to all outstanding Contracts and Bonds as such may from time to time be executed or issued, as the case may be.

Against Encumbrances; Lien on Net Revenues. The City will not make any pledge of or place any lien on Net Revenues except as provided in the Installment Purchase Agreement. The City may at any time, or from time to time, issue evidences of indebtedness or incur other obligations for any lawful purpose which are payable from and secured by a pledge of and lien on Net Revenues on a parity as provided in the Installment Purchase Agreement, or subordinate in all respects to the pledge of and lien thereon provided in the Installment Purchase Agreement.

Against Sale or Other Disposition of Property. The City will not enter into any agreement or lease which impairs the operation of the Enterprise or any part thereof necessary to secure adequate Revenues for the payment of the 2016 Purchase Payments, or which would otherwise impair the rights of the Authority under the Installment Purchase Agreement or the operation of the Enterprise. Any real or personal property which has become nonoperative or which is not needed for the efficient and proper operation of the Enterprise, or any material or equipment which has become worn out, may be sold if such sale will not impair the ability of the City to pay the 2016 Purchase Payments and if the proceeds of such sale are deposited in the Sewer Fund.

Nothing in the Installment Purchase Agreement shall restrict the ability of the City to sell any portion of the Enterprise if such portion is immediately repurchased by the City and if such arrangement cannot by its terms result in the purchaser of such portion of the Enterprise exercising any remedy which would deprive the City of or otherwise interfere with its right to own and operate such portion of the Enterprise.

Against Competitive Facilities. To the extent that it can so legally obligate itself, the City covenants that it will not acquire, construct, maintain or operate and will not, to the extent permitted by law and within the scope of its powers, permit any other public or private agency, corporation, district or political subdivision or any person whomsoever to acquire, construct, maintain or operate within the City any sewer system competitive with the Enterprise.

Tax Covenants. The Authority and the City shall not use, permit the use of, or omit to use Gross Proceeds or any other amounts (or any property the acquisition, construction or improvement of which is to be financed directly or indirectly with Gross Proceeds) in a manner that if made or omitted, respectively, would cause the interest on any of the 2016 Bonds to become includable in the gross income, as defined in section 61 of the Code, of the owner thereof for federal income tax purposes. Without limiting the generality of the foregoing, unless and until the Authority or the City receives a written opinion of Bond Counsel to the effect that failure to comply with such covenant will not adversely affect the exemption from federal income tax of the interest on any 2016 Bond, the Authority or the City, as the case may be, shall comply with each of the specific covenants in this section.

Maintenance and Operation of the Enterprise. The City will maintain and preserve the Enterprise in good repair and working order at all times and will operate the Enterprise in an efficient and economical manner and will pay all Operation and Maintenance Costs as they become due and payable.

Payment of Claims. The City will pay and discharge any and all lawful claims for labor, materials or supplies which, if unpaid, might become a lien on the Revenues or the funds or accounts created under the Installment Purchase Agreement or under the Indenture prior or superior to the lien of the 2016 Purchase Payments or which might impair the security of the 2016 Purchase Payments.

Insurance.

(a) The City will procure and maintain or cause to be procured and maintained insurance on the Enterprise with responsible insurers in such amounts and against such risks (including damage to or destruction of the Enterprise) as are usually covered in connection with facilities similar to the Enterprise, so long as such insurance is available from reputable insurance companies and obtainable at a reasonable cost.

(b) The City will procure and maintain such other insurance as it shall deem advisable or necessary to protect its interests, which insurance shall afford protection in such amounts and against such risks as are usually covered in connection with municipal sewer systems similar to the Enterprise.

(c) Any insurance required to be maintained by paragraph (a) above and, if the City determines to procure and maintain insurance pursuant to paragraph (b) above, such insurance, may be maintained under a self-insurance program so long as such self-insurance is maintained in the amounts and manner usually maintained in connection with sewer systems similar to the Enterprise and is, in the opinion of an accredited actuary, actuarially sound.

All policies of insurance required to be maintained in the Installment Purchase Agreement shall provide that the Authority shall be given thirty (30) days written notice of any intended cancellation thereof or reduction of coverage provided thereby.

Accounting Records; Financial Statements and Other Reports.

(a) The City will keep appropriate accounting records in which complete and correct entries shall be made of all transactions relating to the Enterprise, which records shall be available for inspection by the Authority and the Trustee (who shall have no duty to so inspect) at reasonable hours and under reasonable conditions.

(b) The City will prepare and file with the Authority annually within two hundred seventy (270) days after the close of each Fiscal Year (commencing with the Fiscal Year ended June 30, 2016) financial statements of the Sewer Fund of City for the preceding Fiscal Year prepared in accordance with generally accepted accounting principles, together with an Accountant's Report thereon.

Protection of Security and Rights of the Authority. The City will preserve and protect the security of the Installment Purchase Agreement and the rights of the Authority to the 2016 Purchase Payments under the Installment Purchase Agreement and will warrant and defend such rights against all claims and demands of all persons.

Payment of Taxes and Compliance with Governmental Regulations. The City will pay and discharge all taxes, assessments and other governmental charges which may be lawfully imposed upon the Enterprise, or any part thereof or upon the Revenues when the same shall become due. The City will

duly observe and conform with all valid regulations and requirements of any governmental authority relative to the operation of the Enterprise, or any part thereof, but the City shall not be required to comply with any regulations or requirements so long as the validity or application thereof shall be contested in good faith.

Amount of Rates and Charges. The City shall fix, prescribe and collect rates, fees, charges and connection fees for sewer service of the Enterprise which will be at least sufficient to yield during each Fiscal Year Net Revenues equal to one hundred ten percent (110%) of Debt Service plus all amounts due as Policy Costs (to the extent not duplicative of Debt Service) for such Fiscal Year. The City may make adjustments from time to time in such rates, fees, charges and connection fees and may make such classification thereof as it deems necessary, but shall not reduce the rates and charges then in effect unless the Net Revenues from such reduced rates, fees, charges and connection fees will at all times be sufficient to meet the requirements of this section.

Covenant to Budget. The City covenants that it will include in the annual budget for the Enterprise for the following Fiscal Year the Installment Payments due in that Fiscal Year. The City will furnish to the Trustee (who shall have no duty to review such budget), as assignee of Authority, copies of each final budget of the Enterprise by September 1 of each year, together with a certificate substantially in the form of Exhibit C to the Installment Purchase Agreement. The covenants on the part of the City contained in the Installment Purchase Agreement are deemed by the City to be duties imposed by law and it shall be the duty of each and every public official of the City to take such action and do such things as are required by law in the performance of the official duty of such officials to enable the City to carry out and perform the covenants and agreements in the Installment Purchase Agreement agreed to be carried out and performed by the City.

Further Assurances. The City will adopt, deliver, execute and make any and all further assurances, instruments and resolutions as may be reasonably necessary or proper to carry out the intention or to facilitate the performance of the Installment Purchase Agreement and for the better assuring and confirming unto the Authority of the rights and benefits provided to it in the Installment Purchase Agreement.

Continuing Disclosure. The City covenants and agrees that it will comply with and carry out all of the provisions of the Continuing Disclosure Agreement. Notwithstanding any other provision of the Installment Purchase Agreement, failure of the City to comply with the Continuing Disclosure Agreement shall not be considered an Event of Default; however, any Participating Underwriter (as defined in the Continuing Disclosure Agreement) or any holder or beneficial owner of the 2016 Bonds may take such actions as described under the Continuing Disclosure Agreement to cause the City to comply with its obligations under this section.

Additional Bonds and Contracts

Additional Bonds and Contracts. The City may at any time issue any Bonds, or arrange with the Authority the issuance of any Bonds, the payments under and pursuant to which, or execute any Contract the Installment Payments under and pursuant to which, as the case may be, are payable from the Net Revenues on a parity with the payment by the City of the 2016 Installment Payments as provided in the Installment Purchase Agreement.

“Additional Obligations” shall mean all additional Bonds to be issued, and/or Contracts to be executed, by the City or the Authority pursuant to the Installment Purchase Agreement.

Notwithstanding anything in this section to the contrary, no Additional Obligations may be issued, or entered into, by the City unless (a) no Event of Default shall have occurred and be continuing, and (b) either (i) Net Revenues for the most recent audited Fiscal Year or for the unaudited twelve-month period during the eighteen months preceding the date of issuance or execution of such Additional Obligations shall have been equal to at least one hundred ten percent (110%) of the Maximum Annual Debt Service on all outstanding Bonds and Contracts and on such Additional Obligations, plus all amounts due as Policy Costs during the then current Fiscal Year, as evidenced by a Certification of the City or (ii) the estimated Revenues and Net Revenues for the first Fiscal Year in which no interest on such Additional Obligations is capitalized, as evidenced by a Certification of the City and a report prepared by an Independent Certified Public Accountant or an Independent Financial Consultant, filed with the Trustee (which calculation shall take into account only adopted rates and charges), are sufficient to satisfy the requirements of the Installment Purchase Agreement.

If any such Bonds are issued or any such Contracts are executed, the terms of such Bonds or Contracts shall provide that Net Revenues shall be applied among the 2016 Purchase Payments and the principal of and interest on such Bonds and the installment payments under such Contracts, ratably, according to the amounts due thereon, without discrimination or preference and without taking into account any amounts available under any debt service reserve funds.

Notwithstanding the foregoing provisions, there shall be no limitations on the ability of the City to execute any Contract or to issue any Bonds, or arrange with the Authority to execute any Contract or to issue any Bonds at any time to refund any outstanding Bonds or any outstanding Contracts, provided that during the period in which Bonds or Contracts (other than the refunding or refunded Bonds and Contracts) will be outstanding, the Debt Service due in each Fiscal Year following such refunding will be less than what the Debt Service due in such Fiscal Year would have been without such refunding.

There shall be no limitations on the ability of the City to incur debt or other obligations payable from Net Revenues on a basis subordinate to the payment by the City of the 2016 Purchase Payments.

Special Facilities and Special Facility Obligations. The City from time to time, subject to the terms and conditions of this section, may (a) designate an existing or planned facility, structure, equipment or other property, real or personal, of the Enterprise, as a "Special Facility," (b) provide that revenues earned by the City from or with respect to such Special Facility shall constitute "Special Facility Revenues" and shall not be included as Current Revenues, and (c) issue or incur Special Facility Obligations primarily for the purpose of acquiring, constructing, renovating or improving, or providing financing to a third party to acquire, construct, renovate or improve, such Special Facility. The Special Facility Obligations shall be payable as to principal, purchase price, if any, redemption premium, if any, and interest from and secured by the Special Facility Revenues with respect thereto, and not from or by Net Revenues. The City from time to time may refinance any such Special Facility Bonds with other Special Facility Bonds.

No Special Facility Bonds shall be issued by the City unless there shall have been filed with the Trustee a Certification of the City to the effect that the estimated Special Facility Revenues with respect to the proposed Special Facility are projected to be at least sufficient to pay the principal (either at maturity or by mandatory sinking fund redemptions) or purchase price of and interest on such Special Facility Obligations as and when the same shall become due, all costs of operating and maintaining such Special Facility not paid by a party other than the City, and all sinking fund, reserve fund and other payments required with respect to such Special Facility Obligations as and when the same shall become due.

Events of Default and Remedies of the Authority

Events of Default. Each of the following events shall be an “Event of Default”:

(a) If the City shall fail to pay in full any 2016 Purchase Payment, Additional Purchase Payment or other payment required to be paid under the Installment Purchase Agreement or under any Bond or Contract at the time and in the manner specified in the Installment Purchase Agreement;

(b) If the City shall fail to observe or perform any covenant, condition, agreement or provision in the Installment Purchase Agreement on its part to be observed or performed, other than as referred to in subsection (a) above, or shall breach any warranty by the City contained in the Installment Purchase Agreement, for a period of sixty (60) days after written notice, specifying such failure or breach and requesting that it be remedied, has been given to the City by the Authority or the Trustee; except that, if in the reasonable opinion of the City such failure or breach can be remedied but not within such sixty (60) day period and if the City has taken all action reasonably possible to remedy such failure or breach within such sixty (60) day period, such failure or breach shall not become an Event of Default for so long as the City shall diligently proceed to remedy it in accordance with and subject to any directions or limitations of time established by the Authority or the Trustee, as the case may be;

(c) If the City files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Enterprise, excluding in each case the Pending Bankruptcy Case;

(d) If a court of competent jurisdiction shall enter an order, judgment or decree declaring the City an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the City or of the whole or any substantial part of the Enterprise, or approving a petition filed against the City seeking reorganization of the City under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within sixty (60) days from the date of the entry thereof, excluding in each case the Pending Bankruptcy Case;

(e) If, under the provisions of any other law for the relief or aid of debtors, any court of competent jurisdiction shall assume custody or control of the City, and such custody or control shall not be terminated within sixty (60) days from the date of assumption of such custody or control; or

(f) an event of default, as defined under any Bond or Contract, shall have occurred and be continuing.

Remedies on Default. If an Event of Default specified in this section shall occur, then, and in each and every case during the continuance of such Event of Default:

(i) The Trustee may take whatever action, at law or in equity, as may appear necessary or desirable to collect the 2016 Purchase Payments, Additional Purchase Payments and any other payments then due and thereafter to become due under the Installment Purchase Agreement or to enforce the performance and observance of any obligation, covenant, agreement or provision contained in the Installment Purchase Agreement; and

(ii) The Trustee may take whatever other legal action may appear necessary or desirable to enforce its rights and the rights of the Owners of the 2016 Bonds.

Remedies Not Exclusive; No Waiver of Rights. No remedy conferred upon or reserved to the Authority or the Trustee in the Installment Purchase Agreement is intended to be exclusive of any other available remedy or remedies, but each and every such remedy, to the extent permitted by law, shall be cumulative and shall be in addition to every other remedy given under the Installment Purchase Agreement or now or thereafter existing at law or in equity or otherwise. In order to entitle the Authority or the Trustee to exercise any remedy, to the extent permitted by law, reserved to it or contained in the Installment Purchase Agreement, it shall not be necessary to give any notice, other than such notice as may be expressly required in the Installment Purchase Agreement. Such rights and remedies as are given to the Authority under the Installment Purchase Agreement shall also extend to the Trustee, and the Trustee may exercise any rights under the Installment Purchase Agreement, and the Trustee and the owners of the 2016 Bonds issued under the Indenture shall be deemed third party beneficiaries of all covenants and conditions contained in the Installment Purchase Agreement.

No delay in exercising or omitting to exercise any right or power accruing upon any default shall impair any such right or power or shall be construed to be a waiver of any such default or an acquiescence therein, and every such right and power may be exercised from time to time and as often as may be deemed expedient.

Notwithstanding any other provision of the Installment Purchase Agreement, in no event shall the remedy of acceleration be available to the Authority, the Trustee or any other person, and the Trustee is not empowered to sell the Enterprise or any portion thereon and use the proceeds of such sale to make 2016 Purchase Payments.

Expenses on Default. In the event the City should default under any of the provisions of the Installment Purchase Agreement and the Trustee should employ attorneys or incur other expenses for the collection of the payments due under the Installment Purchase Agreement or the enforcement of performance or observance of any obligation on the part of the defaulting party contained in the Installment Purchase Agreement, the City agrees that it will on demand therefor pay to the Trustee the reasonable fee of such attorneys and such other expenses so incurred by the Trustee.

Notice of Default. The City agrees that, as soon as is practicable, and in any event within ten (10) days, the City will furnish the Trustee notice of any event which is an Event of Default pursuant to the Installment Purchase Agreement which has occurred and is continuing on the date of such notice, which notice shall set forth the nature of such event and the action which the City proposes to take with respect thereto.

Discharge of Obligations

Discharge of Obligations. When

(a) all or any portion of the 2016 Purchase Payments shall have become due and payable in accordance with the Installment Purchase Agreement or a written notice of the City to prepay all or any portion of the 2016 Purchase Payments shall have been filed with the Trustee; and

(b) there shall have been deposited with the Trustee at or prior to the 2016 Purchase Payment Dates or date (or dates) specified for prepayment, in trust and irrevocably appropriated and set aside to the payment of all or any portion of the 2016 Purchase Payments, sufficient moneys and Defeasance Securities, the principal of and interest on which when due will provide money sufficient to pay all principal, prepayment premium, if any, and interest of such 2016 Purchase Payments to their respective 2016 Purchase Payment Dates or prepayment date or dates as the case may be; and

- (c) provision shall have been made for paying all fees and expenses of the Trustee,

then and in that event, the right, title and interest of the Authority and the obligations of the City under the Installment Purchase Agreement shall, with respect to all or such portion of the 2016 Purchase Payments as have been so provided for, thereupon cease, terminate, become void and be completely discharged and satisfied (except for the right of the Trustee and the obligation of the City to have such moneys and such Defeasance Securities applied to the payment of such 2016 Purchase Payments).

In such event, upon request of the City the Trustee shall cause an accounting for such period or periods as may be requested by the City to be prepared and filed with the City and shall execute and deliver to the City all such instruments as may be necessary or desirable to evidence such total or partial discharge and satisfaction, as the case may be, and, in the event of a total discharge and satisfaction, the Trustee shall pay over to the City, after payment of all amounts due the Trustee pursuant to the Indenture, as an overpayment of 2016 Purchase Payments, all such moneys or such Defeasance Securities held by it pursuant to the Installment Purchase Agreement other than such moneys and such Defeasance Securities as are required for the payment or prepayment of the 2016 Purchase Payments, which moneys and Defeasance Securities shall continue to be held by the Trustee in trust for the payment of the 2016 Purchase Payments and shall be applied by the Trustee to the payment of the 2016 Purchase Payments of the City.

Provisions Relating to Bond Insurance

(a) Notwithstanding anything to the contrary stated in the Installment Purchase Agreement, no grace period for a covenant default under the Installment Purchase Agreement shall exceed thirty (30) days or be extended for more than sixty (60) days, without the prior written consent of the Insurer. No grace period shall be permitted for payment defaults under the Installment Purchase Agreement.

(b) The Insurer is explicitly recognized as being a third party beneficiary under the Installment Purchase Agreement and may enforce any such right, remedy or claim conferred, given or granted under the Installment Purchase Agreement.

(c) The rights granted to the Insurer under the Installment Purchase Agreement to request, consent to or direct any action are rights granted to the Insurer in consideration of its issuance of the Insurance Policy. Any exercise by the Insurer of such rights is merely an exercise of the Insurer's contractual rights and shall not be construed or deemed to be taken for the benefit, or on behalf, of the Owners and such action does not evidence any position of the Insurer, affirmative or negative, as to whether the consent of the Owners or any other person is required in addition to the consent of the Insurer.

(d) Each of the Authority and City (to the extent directed in writing) covenant and agree to take such action (including, as applicable, filing of UCC financing statements with regard to the Authority and continuations thereof) as is necessary from time to time to preserve the priority of the pledge of Net Revenues of the Sewer Fund pursuant to applicable law.

(e) The Insurer shall, to the extent it makes any payment of principal of or interest on the 2016 Bonds, become subrogated to the rights of the recipients of such payments in accordance with the terms of the Insurance Policy (which subrogation rights shall also include the rights of any such recipients in connection with any Insolvency Proceeding). Each obligation of the City to the Insurer under the Installment Purchase Agreement shall survive discharge or termination of the Installment Purchase Agreement.

(f) The City shall pay or reimburse the Insurer any and all charges, fees, costs and expenses that the Insurer may reasonably pay or incur in connection with (i) the administration, enforcement, defense or preservation of any rights or security in the Installment Purchase Agreement; (ii) the pursuit of any remedies under the Installment Purchase Agreement or otherwise afforded by law or equity, (iii) any amendment, waiver or other action with respect to, or related to, the Installment Purchase Agreement or any other Related Document whether or not executed or completed, or (iv) any litigation or other dispute in connection with the Installment Purchase Agreement or the transactions contemplated thereby, other than costs resulting from the failure of the Insurer to honor its obligations under the Insurance Policy. The Insurer reserves the right to charge a reasonable fee as a condition to executing any amendment, waiver or consent proposed in respect of the Installment Purchase Agreement.

(g) The Insurer shall be provided with the following information by the City:

- (i) Annual audited financial statements within 180 days after the end of the City's fiscal year (together with a certification of the Authority that it is not aware of any default or Event of Default under the Installment Purchase Agreement) and the City's annual budget within 30 days after the approval thereof together with such other information, data, or reports as the Insurer shall reasonably request from time to time;
- (ii) Notice of any default known to the Trustee or City within five Business Days after knowledge thereof;
- (iii) Notice of the commencement of any Insolvency Proceeding;
- (iv) Notice of the making of any claim in connection with any Insolvency Proceeding seeking the avoidance as a preferential transfer of any payment of principal of, or interest on, the 2016 Bonds;
- (v) A full original transcript of all proceedings relating to the execution of any amendment, supplement, or waiver to the Installment Purchase Agreement;
- (vi) All reports, notices and correspondence to be delivered to Bondholders under the terms of the Installment Purchase Agreement; and
- (vii) The Insurer shall have the right to receive additional information as it may reasonably request.

(h) The City will permit the Insurer to discuss the affairs, finances and accounts of the City or any information the Insurer may reasonably request regarding the security for the 2016 Bonds with appropriate officers of the City and will use commercially reasonable efforts to enable the Insurer to have access to the facilities, books and records of the City on any business day upon reasonable prior notice.

(i) The Authority shall include any Policy Costs then due and owing to the Insurer in the calculation of the Additional Bonds test and rate covenant in the Installment Purchase Agreement.

Miscellaneous

Liability of City Limited to Net Revenues. Notwithstanding anything contained in the Installment Purchase Agreement, the City shall not be required to advance any moneys derived from any source of income other than the Net Revenues and the other funds provided in the Installment Purchase

Agreement and in the Indenture for the payment of the 2016 Purchase Payments or for the performance of any agreements or covenants required to be performed by it contained in the Installment Purchase Agreement. The City may, however, advance moneys for any such purpose so long as such moneys are derived from a source legally available for such purpose and may be legally used by the City for such purpose.

The obligation of the City to make the 2016 Purchase Payments is a special obligation of the City payable solely from Net Revenues and other funds described in the Installment Purchase Agreement and in the Indenture, and does not constitute a debt of the City or of the State of California or of any political subdivision thereof in contravention of any constitutional or statutory debt limitation or restriction.

Benefits of Installment Purchase Agreement Limited to Parties. Nothing contained in the Installment Purchase Agreement, expressed or implied, is intended to give to any person other than the City, the Authority or the Trustee any right, remedy or claim under or pursuant to the Installment Purchase Agreement, and any agreement or covenant required in the Installment Purchase Agreement to be performed by or on behalf of the City, the Authority or the Trustee shall be for the sole and exclusive benefit of the other party.

Indemnification of Authority. The City agrees to indemnify and hold harmless the Authority if and to the extent permitted by law, from and against all claims, advances, damages and losses, including legal fees and expenses, arising out of or in connection with the acceptance or the performance of its duties under the Installment Purchase Agreement or under the Indenture; provided that no indemnification will be made for willful misconduct, negligence or breach of an obligation under the Installment Purchase Agreement or under the Indenture by the Authority.

Amendments. The Installment Purchase Agreement may not be effectively amended, changed, modified, altered or terminated except by the written agreement of the City and the Authority and the concurring written consent of the Trustee, given in accordance with the provisions of the Indenture; provided, however, that the City may (i) amend the description of the Components in the Installment Purchase Agreement in any manner consistent with the Tax Certificate, (ii) may amend the schedule of 2016 Purchase Payments set forth in the Installment Purchase Agreement, and (iii) amend the Installment Purchase Agreement in connection with the issuance or incurrence of Additional Obligations pursuant to the Installment Purchase Agreement, in each case without the agreement or consent of the Trustee.

Assignment. Pursuant to the Indenture, the Authority has assigned its right, title and interest in and to the Installment Purchase Agreement (other than its Unassigned Rights) to the Trustee, for the benefit of the owners from time to time of the 2016 Bonds. The City consents to such assignment. The City shall not assign its interests in the Installment Purchase Agreement without the prior written consent of the Trustee.

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX D
FORM OF BOND COUNSEL OPINION

December 28, 2016

California Municipal Finance Authority
2111 Palomar Airport Road, Suite 320
Carlsbad, California 92011

City of San Bernardino Municipal Water Department
300 North D Street
San Bernardino, California 92418

Re: \$34,445,000 California Municipal Finance Authority
Sewer Treatment Revenue Bonds, Series 2016
(City of San Bernardino Sewer Facilities Project)

Ladies and Gentlemen:

We have acted as bond counsel to the California Municipal Finance Authority, a joint exercise of powers entity established under the Constitution and laws of the State of California (the “Authority”), in connection with the issuance by the Authority of \$34,445,000 aggregate principal amount of California Municipal Finance Authority Sewer Treatment Revenue Bonds, Series 2016 (City of San Bernardino Sewer Facilities Project) (the “2016 Bonds”).

The 2016 Bonds are being issued pursuant to Article 4 of Chapter 5 of Division 7 of Title 1 of the California Government Code and an Indenture of Trust, dated as of December 1, 2016 (the “Indenture”), by and among the Authority, the City of San Bernardino, California (the “City”) and U.S. Bank National Association, as trustee (the “Trustee”). The 2016 Bonds are payable from Project Revenues, as defined in the Indenture, consisting primarily of 2016 Purchase Payments to be made by the City pursuant to an Installment Purchase Agreement, dated as of December 1, 2016 (the “Installment Purchase Agreement”), by and between the Authority and the City. Proceeds of the 2016 Bonds will be used (i) to finance the acquisition and construction of certain sewer system capital improvements of the City of San Bernardino Municipal Water Department (the “Department”); (ii) to purchase a Municipal Bond Debt Service Reserve Insurance Policy for the 2016 Bonds; and (iii) to pay the costs of issuance of the 2016 Bonds. Capitalized terms used herein and not otherwise defined shall have the meanings assigned to them in the Indenture or the Installment Purchase Agreement, as applicable.

As bond counsel, we have examined copies certified to us as being true and complete copies of the proceedings of the Authority and the City in connection with the issuance of the 2016 Bonds. We have also examined such certificates of officers of the Authority and the City and others as we have considered necessary for the purposes of this opinion.

Based upon the foregoing, we are of the opinion that:

1. The 2016 Bonds constitute valid and binding limited obligations of the Authority as provided in the Indenture and are entitled to the benefits of the Indenture. The 2016 Bonds are payable from Project Revenues (as such term is defined in the Indenture), which Project Revenues include 2016 Purchase Payments under the Installment Purchase Agreement.

2. The Indenture has been duly and validly authorized, executed and delivered by the Authority and the City and, assuming the enforceability thereof against the Trustee, constitutes the legally valid and binding obligation of the Authority and the City, enforceable against the Authority and the City in accordance with its terms. The Indenture creates a valid pledge, to secure the payment of principal of and interest on the 2016 Bonds, of the Project Revenues and other amounts held by the Trustee in the funds and accounts established pursuant to the Indenture, subject to the provisions of the Indenture permitting the application thereof for other purposes and on the terms and conditions set forth therein.

3. The Installment Purchase Agreement has been duly and validly authorized, executed and delivered by the Authority and the City, and constitutes the legally valid and binding obligation of the Authority and the City, enforceable against the Authority and the City in accordance with its terms. The Installment Purchase Agreement creates a valid pledge, to secure the payment of 2016 Purchase Payments by the City, of Net Revenues of the Enterprise, on the terms and conditions set forth therein.

4. Under existing statutes, regulations, rulings and court decisions, and assuming compliance with the covenants mentioned below, interest on the 2016 Bonds is excluded pursuant to section 103(a) of the Internal Revenue Code of 1986 (the "Code") from the gross income of the owners thereof for federal income tax purposes. We are further of the opinion that under existing statutes, regulations, rulings and court decisions, the 2016 Bonds are not "specified private activity bonds" within the meaning of section 57(a)(5) of the Code and, therefore, that interest on the 2016 Bonds will not be treated as an item of tax preference for purposes of computing the alternative minimum tax imposed by section 55 of the Code. Receipt or accrual of interest on 2016 Bonds owned by a corporation may affect the computation of the alternative minimum taxable income of that corporation. A corporation's alternative minimum taxable income is the basis on which the alternative minimum tax imposed by section 55 of the Code will be computed. We are further of the opinion that interest on the 2016 Bonds is exempt from personal income taxes of the State of California under present state law.

The Code imposes certain requirements that must be met subsequent to the issuance and delivery of the 2016 Bonds for interest thereon to be and remain excluded pursuant to section 103(a) of the Code from the gross income of the owners thereof for federal income tax purposes. Non-compliance with such requirements could cause the interest on the 2016 Bonds to fail to be excluded from the gross income of the owners thereof retroactive to the date of issuance of the 2016 Bonds. Pursuant to the Indenture and the Installment Purchase Agreement, and in the *Tax Certificate Pertaining to Arbitrage and Other Matters under Sections 103 and 141-150 of the Internal Revenue Code of 1986* being delivered by the Authority and the City in connection with the issuance of the 2016 Bonds, each of the Authority and the City is making representations relevant to the determination of, and is undertaking certain covenants regarding or affecting, the exclusion of interest on the 2016 Bonds from the gross income of the owners thereof for federal income tax purposes. In reaching our opinions described in the immediately preceding paragraph, we have assumed the accuracy of such representations and the present and future compliance by each of the Authority and the City with such covenants. Further, except as stated

in the preceding paragraph, we express no opinion as to any federal or state tax consequence of the receipt of interest on, or the ownership or disposition of, the 2016 Bonds. Furthermore, we express no opinion as to any federal, state or local tax law consequence with respect to the 2016 Bonds, or the interest thereon, if any action is taken with respect to the 2016 Bonds or the proceeds thereof predicated or permitted upon the advice or approval of other counsel.

The opinions expressed in paragraphs 1 through 3 above are qualified to the extent the enforceability of the 2016 Bonds, the Indenture and the Installment Purchase Agreement may be limited (a) by applicable bankruptcy, insolvency, debt adjustment, reorganization, moratorium or similar laws or equitable principles relating to or limiting creditors' rights generally, including as may be applied to alter the priority, payment dates and terms, security, payment sources, covenants (including tax-related covenants), and other terms or provisions of or afforded by the Installment Purchase Agreement in the pending case filed by the City under chapter 9 of the U.S. Bankruptcy Code, or (b) as to the availability of any particular remedy. The enforceability of the 2016 Bonds, the Indenture and the Installment Purchase Agreement is subject to the effect of general principles of equity, including, without limitation, concepts of materiality, reasonableness, good faith and fair dealing, to the possible unavailability of specific performance or injunctive relief, regardless of whether considered in a proceeding in equity or at law, and to the limitations on legal remedies against governmental entities in California.

No opinion is expressed herein on the accuracy, completeness or sufficiency of the Official Statement or other offering material relating to the 2016 Bonds.

Our opinions are based on existing law, which is subject to change. Such opinions are further based on our knowledge of facts as of the date hereof. We assume no duty to update or supplement our opinions to reflect any fact or circumstance that may hereafter come to our attention or to reflect any change in any law that may hereafter occur or become effective. Moreover, our opinions are not a guarantee of result and are not binding on the Internal Revenue Service; rather, such opinions represent our legal judgment based upon our review of existing law that we deem relevant to such opinions and in reliance upon the representations and covenants referenced above.

Respectfully submitted,

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX E

FORM OF CONTINUING DISCLOSURE AGREEMENT

THIS CONTINUING DISCLOSURE AGREEMENT (this “Disclosure Agreement”), dated as of December 1, 2016, is by and between CITY OF SAN BERNARDINO, a municipal corporation and Charter City organized and existing under the laws of the State of California (the “City”), acting by and through the CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT (the “Department”), and URBAN FUTURES, INC., as dissemination agent (the “Dissemination Agent”).

WITNESSETH:

WHEREAS, the California Municipal Finance Authority (the “Authority”) has issued the California Municipal Finance Authority Sewer Treatment Revenue Bonds, Series 2016 (City of San Bernardino Sewer Facilities Project) (the “2016 Bonds”), in the aggregate principal amount of \$34,445,000, pursuant to the Indenture, dated as of November 1, 2016 (the “Indenture”), by and between the Authority and U.S. Bank National Association, as trustee;

WHEREAS, this Disclosure Agreement is being executed and delivered by the City, acting by and through the Department, and the Dissemination Agent for the benefit of the owners and Beneficial Owners of the 2016 Bonds and in order to assist the underwriters of the 2016 Bonds in complying with Securities and Exchange Commission Rule 15c2-12(b)(5); and

WHEREAS, the Department has been created by the City Charter of the City to act on behalf of the City with regard to the Sewer Treatment Enterprise and accordingly, the Department has agreed to undertake compliance with all of the obligations required under this Disclosure Agreement on behalf of the City;

NOW, THEREFORE, for and in consideration of the mutual promises and covenants herein contained, the parties hereto agree as follows:

Section 1. Definitions. Unless the context otherwise requires, the terms defined in this Section shall for all purposes of this Disclosure Agreement have the meanings herein specified. Capitalized undefined terms used herein shall have the meanings ascribed thereto in the Indenture.

“Annual Report” means any Annual Report provided by the Department, on behalf of the City, pursuant to, and as described in, Sections 2 and 3 hereof.

“Annual Report Date” means the date in each year that is the first day of the month following the eighth month after the end of the Department’s fiscal year, which date, as of the date of this Disclosure Agreement, is March 1.

“Audited Financial Statements” means audited financial statements of the Department, including the financial results of the Sewer Treatment Fund, or audited financial statements of the City including the financial results of the Sewer Treatment Fund.

“Beneficial Owner” means any person that has or shares the power, directly or indirectly, to make investment decisions concerning the ownership of any 2016 Bonds (including persons holding 2016 Bonds through nominees, depositories or other intermediaries).

“City” means the City of San Bernardino, California, a charter city and municipal corporation organized and existing under the laws of the State.

“Department” means the City of San Bernardino Municipal Water Department.

“Disclosure Representative” means the Director of Finance of the Department, or his or her designee, or such other person as the Department, on behalf of the City, shall designate in writing to the Dissemination Agent from time to time.

“Dissemination Agent” means Urban Futures, Inc., or any successor Dissemination Agent designated appointed to act as Dissemination Agent in accordance with this Disclosure Agreement.

“Indenture” means the Indenture, dated as of December 1, 2016, by and between the Authority and the Trustee, as originally executed and as it may be amended or supplemented from time to time in accordance with its terms.

“Listed Events” means any of the events listed in subsection (a) or subsection (b) of Section 4 hereof.

“MSRB” means the Municipal Securities Rulemaking Board or any other entity designated or authorized by the Securities and Exchange Commission to receive reports pursuant to the Rule. Until otherwise designated by the MSRB or the Securities and Exchange Commission, filings with the MSRB are to be made through the Electronic Municipal Market Access (EMMA) website of the MSRB, currently located at <http://emma.msrb.org>.

“Official Statement” means the Official Statement, dated December 8, 2016, relating to the 2016 Bonds.

“Participating Underwriter” means Raymond James & Associates, Inc. and any other original underwriter of the 2016 Bonds required to comply with the Rule in connection with the offering of the 2016 Bonds.

“Rule” means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“Trustee” means U.S. Bank National Association, as Trustee under the Indenture, or any successor thereto as Trustee thereunder, substituted in its place as provided therein.

Section 2. Provision of Annual Reports. (a) The Department, on behalf of the City, shall, or shall cause the Dissemination Agent to, provide to the MSRB an Annual Report that is consistent with the requirements of Section 3 hereof, by not later than the Annual Report Date, commencing with the Annual Report for the 2015-16 Fiscal Year. The Annual Report may include by reference other information as provided in Section 3 hereof; provided, however, that the Audited Financial Statements, if any, may be submitted separately from the balance of the Annual Report, and later than the date required above for the filing of the Annual Report if they are not available by that date. If the Department’s fiscal year changes, it shall, or it shall instruct the Dissemination Agent to, give notice of such change in a filing with the MSRB.

(b) Not later than 15 business days prior to the date specified in subsection (a) of this Section for the providing of the Annual Report to the MSRB, the Department, on behalf of the City, shall provide the Annual Report to the Dissemination Agent. If by such date, the Dissemination Agent has not received

a copy of the Annual Report, the Dissemination Agent shall contact the Department to determine if the Department is in compliance with the first sentence of this subsection (b).

(c) The Dissemination Agent shall:

(i) provide each Annual Report received by it to the MSRB, as provided herein, within one business day of receipt thereof from the Department; and

(ii) file a report with the Department and the Trustee certifying that such Annual Report has been provided pursuant to this Disclosure Agreement and stating the date it was provided to the MSRB.

(d) If the Dissemination Agent is unable to verify that an Annual Report has been provided to the MSRB by the date required in subsection (a) of this Section, the Dissemination Agent shall, in a timely manner, send a notice to the MSRB in substantially the form attached as Exhibit A.

Section 3. Content of Annual Reports. The Annual Report shall contain or incorporate by reference the following:

(a) The Audited Financial Statements for the prior fiscal year, prepared in accordance with generally accepted accounting principles as promulgated from time to time by GASB and all statements and interpretations issued by the Financial Accounting Standards Board which are not in conflict with the statements issued by GASB. If the Audited Financial Statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements and the Audited Financial Statements shall be filed in the same manner as the Annual Report when they become available.

(b) Unless contained in the Audited Financial Statements, the following information:

(i) An update of the information contained in Table 2 in the Official Statement for the most recently completed fiscal year.

(ii) An update of the information contained in Table 3 in the Official Statement for the most recently completed fiscal year.

(iii) An update of the information contained in Table 4 in the Official Statement for the most recently completed fiscal year.

(iv) An update of the information contained in Table 5 in the Official Statement for the most recently completed fiscal year.

(v) An update of the information contained in Table 6 in the Official Statement, for the most recently completed fiscal year.

(vi) An update of the information contained in Table 7 in the Official Statement, for the most recently completed fiscal year.

(vii) An update of the information contained in Table 9 in the Official Statement, for the most recently completed fiscal year.

(viii) An update of the information contained in Table 11 in the Official Statement, for the most recently completed fiscal year.

(ix) An update of the information contained in Table 14 in the Official Statement to reflect historical debt service coverage for the most recently completed fiscal year (an update of the projections is not required).

(x) The principal amount of 2016 Bonds Outstanding as of the December 31 next preceding the Annual Report Date.

(xi) The balance in the Common Reserve Account, and a statement of the Reserve Requirement, as of the December 31 next preceding the Annual Report Date.

(c) In addition to any of the information expressly required to be provided under the preceding paragraphs (a) and (b), the Department, on behalf of the City, shall provide such further information, if any, as may be necessary to make the specifically required statements, in the light of the circumstances under which they are made, not misleading.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the City or related public entities, that have been made available to the public on the MSRB's website. The Department, on behalf of the City, shall clearly identify each such other document so included by reference.

Section 4. Reporting of Significant Events. (a) Pursuant to the provisions of this Section, the Department, on behalf of the City, shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the 2016 Bonds in a timely manner not later than ten business days after the occurrence of the event:

(i) Principal and interest payment delinquencies.

(ii) Unscheduled draws on debt service reserves reflecting financial difficulties.

(iii) Unscheduled draws on credit enhancements reflecting financial difficulties.

(iv) Substitution of credit or liquidity providers, or their failure to perform.

(v) Adverse tax opinions or issuance by the Internal Revenue Service of proposed or final determination of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB).

(vi) Tender offers.

(vii) Defeasances.

(viii) Rating changes.

(ix) Bankruptcy, insolvency, receivership or similar event of the City.

For purposes of the event identified in paragraph (ix), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the City, or if such jurisdiction has been assumed by leaving the existing

governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the City.

(b) Pursuant to the provisions of this Section, the Department, on behalf of the City, shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the 2016 Bonds, if material, in a timely manner not later than ten business days after the occurrence of the event:

(i) Unless described in paragraph (v) of subsection (a) of this Section, material notices or determinations by the Internal Revenue Service with respect to the tax status of the 2016 Bonds or other material events affecting the tax status of the 2016 Bonds.

(ii) Modifications to rights of holders of the 2016 Bonds.

(iii) Optional, unscheduled or contingent 2016 Bond calls.

(iv) Release, substitution, or sale of property securing repayment of the 2016 Bonds.

(v) Non-payment related defaults.

(vi) The consummation of a merger, consolidation, or acquisition involving the City or the sale of all or substantially all of the assets of the City other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms.

(vii) Appointment of a successor or additional trustee or the change of name of a trustee.

(c) The Dissemination Agent shall, within one business day of obtaining actual knowledge of the occurrence of any of the Listed Events, contact the Disclosure Representative and inform such person of the event.

(d) Whenever the Department obtains knowledge of the occurrence of a Listed Event described in subsection (b) of this Section, the Department shall determine if such event would be material under applicable Federal securities law.

(e) Whenever the Department obtains knowledge of the occurrence of a Listed Event described in subsection (a) of this Section, or determines that knowledge of a Listed Event described in subsection (b) of this Section would be material under applicable Federal securities law, the Department, on behalf of the City, shall, or shall cause the Dissemination Agent to, file a notice of the occurrence of such Listed Event with the MSRB, within ten business days of such occurrence.

(f) Notwithstanding the foregoing, notice of Listed Events described in paragraph (vii) of subsection (a) of this Section and (iii) of subsection (a) of this Section need not be given any earlier than the notice (if any) of the underlying event is given to holders of affected 2016 Bonds pursuant to the Indenture.

Section 5. Format for Filings with MSRB. Any report or filing with the MSRB pursuant to this Disclosure Agreement must be submitted in electronic format, accompanied by such identifying information as is prescribed by the MSRB.

Section 6. Termination of Reporting Obligation. The Department's and the City's obligations under this Disclosure Agreement shall terminate upon the legal defeasance, prior redemption or payment in full of all of the 2016 Bonds. If such termination occurs prior to the final maturity of the 2016 Bonds, the Department, on behalf of the City, shall give, or cause to be given, notice of such termination in a filing with the MSRB.

Section 7. Dissemination Agent. The Department, on behalf of the City, may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Agreement, and may discharge any such Dissemination Agent, such discharge to become effective upon the appointment of a successor Dissemination Agent. The Dissemination Agent may resign by providing 30 days' written notice to the Department, such resignation to become effective upon the appointment of a successor Dissemination Agent. The initial Dissemination Agent shall be Urban Futures, Inc.

Section 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Agreement, the Department, on behalf of the City, and the Dissemination Agent may amend this Disclosure Agreement (and the Dissemination Agent shall agree to any amendment so requested by the Department, on behalf of the City, so long as such amendment does not adversely affect the rights or materially increase the obligations of the Dissemination Agent), and any provision of this Disclosure Agreement may be waived, provided that the following conditions are satisfied:

(a) if the amendment or waiver relates to the provisions of subsection (a) of Section 2 hereof, Section 3 hereof or subsection (a) or (b) of Section 4 hereof, it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the 2016 Bonds, or the type of business conducted;

(b) the undertakings herein, as proposed to be amended or waived, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the primary offering of the 2016 Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) the proposed amendment or waiver (i) is approved by Owners of the 2016 Bonds in the manner provided in the Indenture for amendments to the Indenture with the consent of Owners, or (ii) does not, in the opinion of nationally recognized bond counsel, materially impair the interests of Owners or Beneficial Owners of the 2016 Bonds.

In the event of any amendment or waiver of a provision of this Disclosure Agreement, the Department, on behalf of the City, shall describe such amendment or waiver in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the Department, on behalf of the City. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements (i) notice of such change shall be given in a filing with the MSRB, and (ii) the Annual Report for the year in which the change is made shall present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

Section 9. Additional Information. Nothing in this Disclosure Agreement shall be deemed to prevent the Department, on behalf of the City, from disseminating any other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or

including any other information in any Annual Report or notice required to be filed pursuant to this Disclosure Agreement, in addition to that which is required by this Disclosure Agreement. If the Department, on behalf of the City, chooses to include any information in any Annual Report or notice in addition to that which is specifically required by this Disclosure Agreement, the Department, on behalf of the City, shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event or any other event required to be reported.

Section 10. Default. In the event of a failure of the Department, on behalf of the City, or the Dissemination Agent to comply with any provision of this Disclosure Agreement, any Participating Underwriter or any Owner or Beneficial Owner of the 2016 Bonds may, take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Department, on behalf of the City, or the Dissemination Agent, as the case may be, to comply with its obligations under this Disclosure Agreement. A default under this Disclosure Agreement shall not be deemed an Event of Default under the Indenture, and the sole remedy under this Disclosure Agreement in the event of any failure of the Department, on behalf of the City, or the Dissemination Agent to comply with this Disclosure Agreement shall be an action to compel performance.

Section 11. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall not be responsible for the form or content of any Annual Report or notice of Listed Event. The Dissemination Agent shall receive reasonable compensation for its services provided under this Disclosure Agreement. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement. To the extent permitted by law, the Department, on behalf of the City, agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, and which are not due to its negligence or its willful misconduct. The obligations of the Department, on behalf of the City, under this Section shall survive resignation or removal of the Dissemination Agent and the termination of this Disclosure Agreement.

Section 12. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Authority, the Department, the City, the Dissemination Agent, the Participating Underwriter and the Owners and Beneficial Owners from time to time of the 2016 Bonds, and shall create no rights in any other person or entity.

Section 13. Counterparts. This Disclosure Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument.

IN WITNESS WHEREOF, the parties hereto have executed this Disclosure Agreement as of the date first above written.

**CITY OF SAN BERNARDINO, acting by
and through the City of San Bernardino
Municipal Water Department**

By: _____
Director of Finance

**URBAN FUTURES, INC., as Dissemination
Agent**

By: _____
Authorized Signatory

EXHIBIT A

NOTICE OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer: California Municipal Finance Authority
Name of Issue: California Municipal Finance Authority Sewer Treatment Revenue Bonds,
Series 2016 (City of San Bernardino Sewer Facilities Project)
Obligated Person: City of San Bernardino Municipal Water Department, on behalf of the City of
San Bernardino
Date of Issuance: December 28, 2016

NOTICE IS HEREBY GIVEN that the City of San Bernardino, a municipal corporation and Charter City organized and existing under the laws of the State of California (the "City"), acting by and through the City of San Bernardino Municipal Water Department (the "Department"), has not provided an Annual Report with respect to the above-named Bonds as required by the Continuing Disclosure Agreement, dated as of December 1, 2016, by and between the City, acting by and through the Department, and Urban Futures, Inc., as Dissemination Agent. [The Department anticipates that such Annual Report will be filed by _____.]

Dated: _____

URBAN FUTURES, INC., as Dissemination
Agent, on behalf of the City of San Bernardino
Municipal Water Department

cc: California Municipal Finance Authority

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX F

INFORMATION REGARDING THE BOOK-ENTRY ONLY SYSTEM

The following description of DTC and its book-entry system has been provided by DTC and has not been verified for accuracy or completeness by the City, the Department or the Authority, and none of the City, the Department or the Authority shall have any liability with respect thereto. None of the City, the Department or the Authority shall have any responsibility or liability for any aspects of the records maintained by DTC relating to or payments made on account of beneficial ownership, or for maintaining, supervising, or reviewing any records maintained by DTC relating to beneficial ownership, of interests in the 2016 Bonds.

The Depository Trust Company (“DTC”), New York, NY, will act as securities depository for the 2016 Bonds. The 2016 Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered bond will be issued for each maturity of the 2016 Bonds, in the aggregate principal amount of such issue, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a Standard & Poor’s rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com, provided that nothing contained in such website is incorporated into this Official Statement.

Purchases of 2016 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the 2016 Bonds on DTC’s records. The ownership interest of each actual purchaser of each 2016 Bond (“Beneficial Owner”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the 2016 Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in 2016 Bonds, except in the event that use of the book-entry system for the 2016 Bonds is discontinued.

To facilitate subsequent transfers, all 2016 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of 2016 Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the 2016 Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such 2016 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of 2016 Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the 2016 Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Indenture and the Installment Purchase Agreement. For example, Beneficial Owners of 2016 Bonds may wish to ascertain that the nominee holding the 2016 Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the 2016 Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to 2016 Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Authority as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts 2016 Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the 2016 Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Authority or the Trustee, on payable dates in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name" and will be the responsibility of such Participant and not of DTC, the Trustee, or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Authority or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the 2016 Bonds at any time by giving reasonable notice to the Authority or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, bonds are required to be printed and delivered. The Authority may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, bonds will be printed and delivered to DTC.

The information in this Official Statement concerning DTC and DTC's book-entry system has been obtained from sources that the Authority, the Department and the City believes to be reliable, but the Authority, the Department and the City take no responsibility for the accuracy thereof.

APPENDIX G
CONTINUING DISCLOSURE POLICY

[THIS PAGE INTENTIONALLY LEFT BLANK]

SAN BERNARDINO MUNICIPAL WATER DEPARTMENT
POLICIES & PROCEDURES MANUAL

POLICY XX.XXX – DISCLOSURE POLICY AND PROCEDURE

Date: July 18, 2016
Revision No.:
Supersedes:
First Adopted: July 18, 2016

POLICY:

This Disclosure Policy and Procedure (the **Disclosure Procedure**) of The City of San Bernardino Municipal Water Department (the **Department**) are intended to ensure that the Department is in compliance with all applicable federal and state securities laws.

RESPONSIBILITY:

The Director of Finance of the Department shall be the **Disclosure Coordinator of the Department** (the **Disclosure Coordinator**).

PROCEDURE:

Article I. Review and Approval of Official Statements

The Disclosure Coordinator of the Department shall review any Official Statement prepared in connection with any debt issuance by the Department in order to ensure there are no misstatements or omissions of material information in any sections that contain descriptions of information prepared by the Department.

In connection with its review of the Official Statement, the Disclosure Coordinator shall consult with third parties, including outside professionals assisting the Department, and all members of Department staff, to the extent that the Disclosure Coordinator concludes they should be consulted, so that the Official Statement will include all “material” information (as defined for purposes of federal securities law).

Disclosure Policy

As part of the review process, the Disclosure Coordinator shall submit all Official Statements to the Board of Water Commissioners for approval. The cover letter used by the Disclosure Coordinator to submit the Official Statements shall be substantially in the form of Exhibit A.

The approval of an Official Statement by the Board of Water Commissioners shall be docketed as a new business matter and shall not be approved as a consent item. The Board of Water Commissioners shall undertake such review as deemed necessary by the Board of Water Commissioners, following consultation with the Disclosure Coordinator, to fulfill the Board of Water Commissioners' responsibilities under applicable federal and state securities laws. In this regard, the Disclosure Coordinator shall consult with the Department's disclosure counsel to the extent the Disclosure Coordinator considers appropriate.

Article II. Continuing Disclosure Filings

Under the continuing disclosure undertakings that the Department has entered into in connection with its debt offerings, the Department is required each year to file annual reports with the Municipal Securities Rulemaking Board's Electronic Municipal Market Access (EMMA) system in accordance with such undertakings. Such annual reports are required to include certain updated financial and operating information, and the Department's audited financial statements.

The Department is also required under its continuing disclosure undertakings to file notices of certain events with EMMA.

The Disclosure Coordinator is responsible for establishing a system (which may involve the retention of one or more consultants) by which:

- (i) the Department will make the annual filings required by its continuing disclosure undertakings on a complete and timely basis, and
- (ii) the Department will file notices of enumerated events on a timely basis.

Article III. Public Statements Regarding Financial Information

Whenever the Department makes statements or releases information relating to its finances to the public that are reasonably

expected to reach investors and the trading markets, the Department is obligated to ensure that such statements and information are complete, true, and accurate in all material respects.

Article IV. Training

The Disclosure Coordinator shall ensure that the Board of Water Commissioners and members of the Department staff involved in the initial or continuing disclosure process are properly trained to understand and perform their responsibilities.

The Disclosure Coordinator shall arrange for disclosure training sessions conducted by the Department's disclosure counsel. Such training sessions shall include education on these Disclosure Procedures, the Department's disclosure obligations under applicable federal and state securities laws, and the disclosure responsibilities and potential liabilities of members of the Department's staff and members of the Board of Water Commissioners. Such training sessions may be conducted using a recorded presentation.

Attachment: Exhibit A - BOWC Staff Report

EXHIBIT A

Form of Staff Report

To: Board of Water Commissioners

From: (Name), Disclosure Coordinator

SUBJ: **PROPOSED ISSUANCE OF** _____

Date: _____

BACKGROUND:

This Staff Report relates to the proposed issuance of _____ (the Obligations) by the Department. The Board of Water Commissioners is asked to approve issuance of the Obligations and all related documents. The near-final versions of these documents are attached.

The attached Preliminary Official Statement has been reviewed and approved for transmittal to the Board of Water Commissioners by the Department's Disclosure Coordinator. The distribution of the Preliminary Official Statement by the Department is subject to federal securities laws, including the Securities Act of 1933 and the Securities Exchange Act of 1934. These laws require the Preliminary Official Statement to include all facts that would be material to an investor in the Obligations. Material information is information that there is a substantial likelihood that it would have actual significance in the deliberations of the reasonable investor when deciding whether to buy or sell the Obligations.

If the Board of Water Commissioners concludes that the Preliminary Official Statement includes all facts that would be material to an investor in the Obligations, it must adopt a resolution that authorizes staff to execute a certificate to the effect that the Preliminary Official Statement has been "deemed final."

The Securities and Exchange Commission (the SEC), the agency with regulatory authority over the Department's compliance with the federal securities laws, has issued guidance as to the duties of the Board of Water Commissioners with respect to its approval of the Preliminary Official Statement. In its *Report of Investigation in the Matter of County of Orange, California as it Relates to the Conduct of the Members of the Board of Supervisors* (Release No. 36761 / January 24, 1996), (the

Release), the SEC indicated that, if a member of the Board of Water Commissioners has knowledge of any facts or circumstances that an investor would want to know about prior to investing in the Obligations, whether relating to their repayment, tax-exempt status, undisclosed conflicts of interest with interested parties, or otherwise, he or she should endeavor to discover whether such facts are adequately disclosed in the Preliminary Official Statement. In the Release, the SEC indicated that the steps that a member of the Board of Water Commissioners could take include becoming familiar with the Preliminary Official Statement and questioning staff and consultants about the disclosure of such facts.

Section 1. Add Purpose of Financing.

Section 2. Add Documents for Approval; Security for the Obligations.

Section 3. Add Risks Relating to Repayment and Tax-Exempt Status of the Obligations.

RECOMMENDATION:

Staff recommends that the Board of Water Commissioners make the following motion:

- **Approve the issuance of the Obligations and all related documents; and**
- **Adopt the resolution authorizing staff to execute a certificate to the effect that the Preliminary Official Statement has been deemed final.**

Respectfully submitted,

Disclosure Coordinator
Director of Finance

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX H

FORM OF MUNICIPAL BOND INSURANCE POLICY

[THIS PAGE INTENTIONALLY LEFT BLANK]



MUNICIPAL BOND INSURANCE POLICY

ISSUER:

BONDS: \$ in aggregate principal amount of

Policy No: -N

Effective Date:

Premium: \$

ASSURED GUARANTY MUNICIPAL CORP. ("AGM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") (as set forth in the documentation providing for the issuance of and securing the Bonds) for the Bonds, for the benefit of the Owners or, at the election of AGM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the Business Day next following the Business Day on which AGM shall have received Notice of Nonpayment, AGM will disburse to or for the benefit of each Owner of a Bond the face amount of principal of and interest on the Bond that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by AGM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of the principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in AGM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by AGM is incomplete, it shall be deemed not to have been received by AGM for purposes of the preceding sentence and AGM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, who may submit an amended Notice of Nonpayment. Upon disbursement in respect of a Bond, AGM shall become the owner of the Bond, any appurtenant coupon to the Bond or right to receipt of payment of principal of or interest on the Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under the Bond, to the extent of any payment by AGM hereunder. Payment by AGM to the Trustee or Paying Agent for the benefit of the Owners shall, to the extent thereof, discharge the obligation of AGM under this Policy.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity unless AGM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment of principal or interest that is Due for Payment made to an Owner by or on behalf of the Issuer which has been recovered from such Owner pursuant to the

United States Bankruptcy Code by a trustee in bankruptcy in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means telephonic or telecopied notice, subsequently confirmed in a signed writing, or written notice by registered or certified mail, from an Owner, the Trustee or the Paying Agent to AGM which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount and (d) the date such claimed amount became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer or any person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

AGM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee and the Paying Agent specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee and the Paying Agent, (a) copies of all notices required to be delivered to AGM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to AGM and shall not be deemed received until received by both and (b) all payments required to be made by AGM under this Policy may be made directly by AGM or by the Insurer's Fiscal Agent on behalf of AGM. The Insurer's Fiscal Agent is the agent of AGM only and the Insurer's Fiscal Agent shall in no event be liable to any Owner for any act of the Insurer's Fiscal Agent or any failure of AGM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, AGM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to AGM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy.

This Policy sets forth in full the undertaking of AGM, and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, (a) any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity and (b) this Policy may not be canceled or revoked. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW.

In witness whereof, ASSURED GUARANTY MUNICIPAL CORP. has caused this Policy to be executed on its behalf by its Authorized Officer.

ASSURED GUARANTY MUNICIPAL CORP.

By _____
Authorized Officer

A subsidiary of Assured Guaranty Municipal Holdings Inc.
1633 Broadway, New York, N.Y. 10019
(212) 974-0100

